

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

APPENDIX TO COMPLAINANT’S EXCEPTIONS TO INITIAL DECISION

APPENDIX “1”	Initial Decision, dated June 17, 2016
APPENDIX “2”	Respondents’ Answer to the Complaint, dated July 10, 2015
APPENDIX “3”	Complaint, dated May 27, 2015
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APPENDIX “1”

S E R V E D

June 17, 2016

FEDERAL MARITIME COMMISSION

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS FZE

v.

**MARINE TRANSPORT LOGISTICS, INC. and
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

INITIAL DECISION

I. INTRODUCTION AND SUMMARY OF DECISION.

On May 27, 2015, complainants Crocus Investments, LLC, and Crocus FZE commenced this proceeding by filing a Complaint with the Secretary. Crocus Investments and Crocus FZE are owned and operated by Alexander Safonov. The Complaint alleges that respondents Marine Transport Logistics, Inc. (MTL) and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 41102(c) of the Shipping Act of 1984 (Shipping Act or Act) when handling three boats. MTL is licensed by the Commission as a non-vessel-operating common carrier (NVOCC), license number 018709. Aleksandr Solovyev (Solovyev) operates Royal Finance Group, Inc. (RFG) and two other companies that are relevant to this proceeding. Solovyev at times works as an agent for MTL. MTL is owned and operated by Solovyev's wife Alla Solovyeva from whom he was and is separated. The Complaint alleges that Solovyev violated section 40901 of the Act by operating as an ocean transportation intermediary without holding a valid license to do so.

As set forth more fully below, in separate shipments, MTL operated as an NVOCC when it transported by water two of the boats at issue from the United States to Dubai, United Arab Emirates, and delivered them to the consignee without problem. Complainants do not claim that Respondents violated the Act on these shipments. The boats were then returned to the United States and delivered to MTL as consignee. Complainants contend that MTL operated as an NVOCC on this shipment, but the evidence does not establish that MTL operated as an NVOCC. The evidence establishes that the third boat never left the United States; therefore, the third boat never entered into

international commerce, the Shipping Act does not apply, and the Commission does not have jurisdiction to resolve disputes regarding its handling. Complainants have not proved by a preponderance of the evidence that Respondents violated the Act. Therefore, the Complaint is dismissed.

Part II of this decision sets forth the background in narrative form, Part III the procedural background, Part IV the controlling authority, and Part V the findings of fact on which the narrative and this decision is based. Parts VI and VII address the claims that Respondents violated the Act. Part VIII finds that as a prevailing party, Respondents may be awarded reasonable attorney fees.

II. BACKGROUND.

Entrepreneur – one who organizes, manages, and assumes the risks of a business or enterprise.¹

This proceeding is essentially about the business dealings of two entrepreneurs. Alexander Safonov (Safonov), the owner of Complainants, has a degree in jurisprudence from the Moscow State Law Academy. After graduating, Safonov registered a company in Moscow and spent the next three to six years buying and selling real estate until he bought an apartment for himself. Safonov then registered another company in Moscow to engage in engineering and communication. He ran this business until 2011 when he closed it and moved to Dubai. Safonov saw a business opportunity in purchasing used boats in the United States and shipping them to Dubai for repair and resale. In Dubai, Safonov opened and began operating complainant Crocus FZE to pursue investment opportunities. He then opened and operated another company relevant to this proceeding called Middle East Asia Alfa, FZC (Middle East Asia). “[T]here was agreement between Crocus FZE and company, Middle East Asia Alfa, that I [Safonov], as Crocus FZE, invest my money into Middle East Asia Alfa.” Middle East Asia was involved in the events that resulted in this proceeding, but is not a party. In 2013, Safonov opened complainant Crocus Investments, LLC (Crocus Investments), a Florida limited liability company. Safonov was the 100% owner of Crocus Investments and Crocus FZE and co-owner of Middle East Asia with decision-making rights for the company. (ALJFF 1-8.)

Respondent Solovyev, who holds a bachelors degree in music from a college in Moscow, operates or acts as agent for several businesses useful to someone who wants to purchase used boats in the United States and ship them overseas. In 2007, Solovyev relocated to New Jersey where he incorporated World Express & Connection, Inc. (World Express), a warehouse. World Express was involved in the events that resulted in this proceeding as it operates a warehouse in which the boats that are the subject of this proceeding were stored, but is not named as a respondent. Solovyev is

¹ Merriam-Webster, <http://www.merriam-webster.com/dictionary/entrepreneur> last visited May 27, 2016.

also the sole owner, officer, and director of respondent Royal Finance Group, Inc. (RFG).² RFG advances payments on international transactions on behalf of its customers for the purchase of used vehicles and boats at auction and for payment of transportation charges. Solovyev is also the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). *Inter alia*, at the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country. (ALJFF 21.) Solovyev is married to Alla Solovyeva, although they are now separated. (ALJFF 17.) Alla Solovyeva owns respondent MTL. (ALJFF 16.) MTL and World Express are both located at 63 New Hook Road, Bayonne, NJ 07002. Solovyev/Car Express also acts as an agent for MTL on shipments transported by MTL. (ALJFF 28.)

Safonov, located in Dubai, contacted Solovyev, located in the United States, to engage his services and companies to assist in the purchase of used boats in on-line auctions operated by Copart, a company that conducts Internet auctions to sell used motor vehicles and boats. Safonov and Solovyev would view boats online and Safonov would decide which boats to purchase. Solovyev, operating as his companies and as agent for respondent MTL, would then carry out the tasks necessary to purchase the boats and transport them to Dubai. Car Express, identified as a “member” of Copart, would purchase the boats from Copart on behalf of Safonov’s companies. RFG provided financial services. One of Safonov’s companies would wire the money for purchase or transportation of a boat to RFG which would then transfer the money to the appropriate recipient – Copart for the purchase or respondent MTL for transportation, and RFG would retain a fee. World Express stored the boats before they were loaded on board vessels to be transported to Dubai. MTL operated as an NVOCC on the shipments of the boats from the United States to Dubai. Solovyev through his company Car Express would act as an agent for MTL in arranging the shipment. Approximately ten boats were purchased using this process. With one exception, the boats were sent to Middle East Asia in Dubai for repair and resale there. (ALJFF 29-37.)

Safonov and Solovyev each state that they are the sole decision-makers for their corporations, and of course, a corporation can only act through the natural persons who run it or are employed by it. The record suggests that both Safonov and Solovyev are somewhat casual about following corporate formalities. For instance, Safonov formed Middle East Asia to purchase used boats in the United States to be shipped overseas for repair and sale in Dubai, but Crocus FZE or Crocus Investments, not Middle East Asia, paid for the boats and their transportation. Solovyev used his corporation Car Express to purchase the boats from Copart for Safonov, used his corporation RFG to send invoices for the purchase and other costs, used his corporation World Express to store the boats, and arranged for shipping to Dubai in his role as agent for MTL. For that reason, in this narrative, I often refer to Safonov and Solovyev instead of their corporate identities.

On April 13, 2013, Safonov purchased the first boat that is a subject of this proceeding – a 2011 Monterey 20', VIN RGFMC1931011. On April 13, 2013, Crocus FZE wired \$30,000 to RFG

² The caption identifies “Aleksandr Solovyev a/k/a Royal Finance Group Inc.” as a respondent.

as payment for the Monterey and another invoice. The Monterey invoice indicates that Safonov³ paid \$9,855 for the Monterey, \$800 for delivery (apparently to World Express/MTL in New Jersey), \$2,400 for loading/shipping to Dubai, \$500 for commission, \$400 for documentation, and \$900 for a trailer for the boat, a total of \$14,855. Safonov instructed Solovyev to ship the Monterey to Dubai. On May 5, 2013, MTL through its agent Solovyev issued bill of lading number HBOL 13535 identifying "Tretiykov Andrey" as shipper, Middle East Asia Alfa, FZE, as consignee, New York as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Monterey. Also on May 5, 2013, vessel-operating common carrier (VOCC) Maersk Line issued Maersk non-negotiable waybill number 560010878 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of unloading, and identifying the cargo to include the Monterey. The Monterey was transported by water to Dubai and delivered to Middle East Asia. MTL operated as an NVOCC on this shipment. Complainants do not contend that Respondents violated the Shipping Act during the transportation of the Monterey from the United States to Dubai. (ALJFF 44-50.)

On May 7, 2013, Safonov purchased the second boat that is a subject of this proceeding – a 2008 Chaparral, VIN FGBL 3738D808. The RFG invoice indicates that Middle East Asia was charged \$10,505 for the Chaparral, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$450 for commission, \$400 for documentation, and \$900 for a trailer, a total of \$15,455. I do not find proof of payment for the Chaparral in the record, but in closing argument, counsel for Respondents acknowledged that "there is really no dispute from respondents' side that the Monterey and the Chaparral were ultimately paid for by one of Mr. Sofonov's companies." Closing Argument Transcript 49:3-6.⁴ Safonov instructed Solovyev to ship the Chaparral to Dubai. On May 22, 2013, MTL issued bill of lading number EO-20756 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Chaparral. On May 25, 2013, Maersk Line issued Maersk non-negotiable waybill number 560083476 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of unloading, and identifying the cargo to include the Chaparral. The Chaparral was transported by water to Dubai and delivered to Middle East. (ALJFF 51-56.) MTL operated as an NVOCC on this shipment. Complainants do not contend that Respondents violated the Shipping Act during the transportation of the Chaparral from the United States to Dubai.

³ The invoice identifies Andrey Tretiyakov, the Middle East employee in Dubai, as the purchaser.

⁴ During closing argument, counsel for Complainants suggested that the \$30,000 wire transfer to RFG on April 13, 2013, was for the Chaparral as well as the Monterey. Closing Argument Transcript 47:6-19. The Chaparral was not purchased and invoice 1177AT issued until May 7, 2013, so the April 13, 2013, wire transfer for invoices 1168AT and 1174 could not have been meant for payment of the Chaparral.

On August 7, 2013, Safonov instructed Solovyev to purchase a 2010 Formula boat 34PC, VIN TNRD7870C010 with the intention of sending the boat to Dubai for repair and resale. Solovyev, through Car Express, purchased the Formula for a total of \$56,280. The Formula required a trailer for ocean shipment. The record contains three different RFG invoices with the same number for this purchase. On August 7, 2013, RFG issued invoice #1189AT to Alexander Safonov, Crocus Investments in the amount of \$56,280 for purchase of the Formula and \$3,500 for delivery, a total of \$59,780. Also on August 7, 2013, RFG issued invoice #1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa in the amount of \$56,280 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. Then on August 8, 2013, RFG issued invoice #1189AT to Crocus FZE in the amount of \$56,280.00 for purchase of the Formula, \$3,500 for delivery, \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay the \$56,280.00 for the Formula and the \$3,500 for delivery to the port of loading. Complainants did not pay the \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, \$500 for documentation, or \$4,500 for a trailer. (ALJFF 83-89.)

In November 2013, Solovyev told Safonov that he had found a trailer for the Formula but Safonov did not like the trailer. In December 2013, Solovyev offered what Safonov found to be a suitable trailer. The record contains three different RFG invoices with number 1204AS issued on December 3, 2013. The first is to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 028.) The second invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151. (CX 035.) The third invoice is to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95151, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation. (CX 038.) On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95151. The record does not contain any evidence that Complainants paid the \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, or \$500 for documentation.

Safonov reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, “started to become a crook” and decided that he did not want to deal with “crooks.” On February 14, 2014, Safonov sent an email to Solovyev stating: “I am sending you the name of the company in Florida – from which you have received the money for Formula-34 – please prepare all documents for the boat reflecting this company’s information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai.” (CX 055.) Solovyev did not send the Formula to Florida.

The Monterey and the Chaparral remained in Dubai for about one year. Middle East Asia repaired the boats and, along with several other boats, they were offered for sale on March 1, 2014. Middle East Asia was able to sell several boats that had been purchased by Safonov using Solovyev’s services, but was not able to sell the Monterey and the Chaparral. (ALJFF 57-58.)

After the Monterey and the Chaparral did not sell, Safonov instructed two employees of Middle East Asia to arrange for the shipment of the boats back to the United States. A representative for Middle East Asia contacted Solovyev for assistance in arranging the shipment. On April 25, 2014, Solovyev sent an email from his address at mtlworld@mtlworld.com to Zahedi at Emirates Logistics, a freight forwarder in Dubai, stating “hi Zahedi, can u offer me 40hc, ocean freight only Dubai-NY, cargo boats?” Zahedi forwarded the email to Linnet at Emirates Logistics with a cc to Solovyev [sic] stating “Ms. Linnet, Plz assist with rate. Rgds/Zahedi.” On April 27, 2014, Linnet at Emirates Logistics sent Solovyev rates of US \$2492 on VOCC Hapag Lloyd and US \$3411 on VOCC MSC. (ALJFF 59-62.)

On May 30, 2014, another VOCC, APL, issued APL bill of lading number APLU 020188407 identifying Middle East Asia Alfa, FZE, as shipper, AEC Cargo Services LLC as the forwarding agent, MTL as consignee, Jebel Ali, Dubai, as port of loading, and Maher Terminal, NJ, as port of unloading, and identifying the cargo to include the Chaparral and the Monterey. Emirates Logistics, Solovyev’s contact in Dubai, is not mentioned on the APL bill of lading. MTL is not mentioned on the APL bill of lading except as consignee and MTL did not issue a bill of lading assuming responsibility for transporting the boats on their return voyage. Neither Hapag Lloyd nor MSC transported the Monterey and the Chaparral back to the United States and Emirates Logistics did not act as a forwarding agent on the shipment. APL issued a Notice of Arrival to MTL with an ETA of July 12, 2014. On July 23, 2014, Fauna & Flora Customhouse issued an invoice to MTL in the amount of \$615.70 for duty, custom entry service fee, bond preparation, and importer security filing (ISF) bond for the Monterey and Chaparral, and on August 26, 2014, MTL paid \$615.70 to Fauna & Flora. Solovyev notified Safonov that the Chaparral and the Monterey arrived in the United States and the boats were stored in the warehouse operated by World Express. (ALJFF 63-70.)

The Monterey and the Chaparral arrived in New Jersey from Dubai on or about July 12, 2014. On July 17, 2014, Safonov sent an email to Solovyev stating: “Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34, + 2 boats that arrived from Dubai” followed by emails on July 24, 2014, and August 3, 2014, asking Solovyev to send the boats to Florida. On August 13, 2014, Solovyev sent Safonov an email requesting payment of invoices for storage of the three boats: an invoice to Crocus Investment for \$38,859.39 for 369 days of storage of the Formula, and an invoice to Crocus Investment for the port fee for the container that transported the Monterey and the Chaparral from Dubai to the United States, \$1,200 for custom clearance, \$1,250 for delivery and unloading/documentation/tracking/return empty back, \$700 for delivery to the storage lot/put together trailer and boat, \$800 for thirty-two days storage of the Chaparral, and \$800 for thirty-two days storage of the Monterey. On August 19, 2014, Safonov sent an email demanding the boats and threatening legal action. (ALJFF 93-99.)

Safonov and Solovyev had at least one other business transaction during this period. Solovyev purchased two automobiles – a Mercedes and a Porsche – in the United States and shipped them to Middle East Asia in Dubai for repair and sale in Dubai. (ALJFF 101-102.)

Safonov commenced this proceeding before the Commission on May 27, 2015, and on November 15, 2015, World Express commenced an action against Crocus Investments, Crocus FZE, Alexander Safonov, and Middle East Asia in the United States District Court for the District of New Jersey seeking unpaid storage fees for the Monterey, the Chaparral, and the Formula. (ALJFF 100.)

III. PROCEDURAL HISTORY.

Crocus International and Crocus FZE filed their Complaint on May 27, 2015, and Respondents filed their Answer on July 10, 2015. The parties engaged in discovery. The parties completed their briefing on the merits on February 25, 2016. On March 3, 2016, Complainants were ordered to file translations of document in languages other than English that they had included in their appendix. *Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc. (Crocus v. MTL)*, FMC No. 15-04 (ALJ Mar. 3, 2016) (Order to File English Translations of Documents in Languages Other than English). Complainants filed the translations on March 23, 2016. On April 12, 2016, the parties were each ordered to file all shipping documents relating to the transportation of the Monterey and the Chaparral from Dubai back to the United States.

On April 26, 2016, two months after briefing on the merits had concluded, Complainants sought leave to amend their Complaint. The proposed amended complaint sought to clarify factual allegations in the original Complaint and did not allege any new violations of the Act. The motion to amend was denied. *Crocus v. MTL*, FMC No. 15-04 (ALJ Apr. 27, 2016) (Order Denying Motion to Amend Complaint).

On May 13, 2016, the parties appeared by telephone for closing argument. A transcript was made of the testimony and is part of the record. The parties' contentions in the closing argument have been considered along with their written briefs.

IV. CONTROLLING AUTHORITY.

A. Statutory Background.

Complainants filed their Complaint pursuant to section 41301 of the Act.

A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.

46 U.S.C. § 41301(a).

The Complaint alleges that MTL is an NVOCC licensed by the Commission. (Complaint ¶ 7.) "The term 'non-vessel-operating common carrier' means a common carrier that – (A) does not

operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16).

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The Act prohibits NVOCCs from taking certain actions. Paragraph 28 of the Complaint alleges that Respondents violated section 41102(c) of the Act: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

The Complaint also alleges that “[r]espondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. § 40901(a) when it presented invoices and collected payment for MTL’s transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.” (Complaint ¶ 29.) Section 40901 provides:

A person in the United States may not act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary’s license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

46 U.S.C. § 40901(a).

The Complaint alleges that the Complainants were injured by Respondents’ alleged violations and seeks a reparation award for their injuries. (Complaint ¶¶ 25-27.) The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

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(e) *Attorney Fees*. – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

B. Evidence and Burden of Persuasion.

Under the Administrative Procedure Act (APA), an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d). *See also Steadman v. SEC*, 450 U.S. 91, 102 (1981). All documents provided by the parties in support of their arguments are admitted as evidence. This initial decision is based on the Complaint and Answer, the parties’ briefs, the appendices filed with the briefs, the supplemental evidence filed by the parties, and the parties’ oral arguments.

This initial decision addresses only material issues of fact and law. It is not necessary to resolve disagreements on matters not material to the outcome of this proceeding. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-194 (1959); *In re Amrep Corp.*, 102 F.T.C. 1362, 1670 (1983).

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

V. FINDINGS OF FACT.

The parties submitted appendices containing documents relevant to the claims in this proceeding and additional documents as ordered by the undersigned. All documents are admitted as evidence. Closing Argument Transcript 5:7-6-5.

1. Complainant Crocus Investments, LLC (Crocus Investments) is a Florida limited liability company. (CX 001-002.)⁵
2. Alexander Safonov (Safonov) is the 100% owner of complainant Crocus Investments. (RX 58 (Dep. of Safonov, 8:8-10); Resp. Comp. Prop. FF 1.)
3. Complainant Crocus FZE is a Free Zone Establishment licensed by the United Arab Emirates. (CX 003.)
4. Safonov is the 100% owner of complainant Crocus FZE. (RX 65 (Dep. of Safonov 37:11-12); Resp. Comp. Prop. FF 1.)
5. Safonov is the co-owner of Middle East Asia Alfa, FZC (Middle East Asia), not a party to this proceeding, and had decision-making rights for the company. (RX 60 (Dep. of Safonov 16:10-18); RX 61 (Dep. of Safonov 19:18-25); Resp. Comp. Prop. FF 2.)
6. Safonov formed Middle East Asia with Oleg Bortsov to purchase used boats in the United States and ship the boats overseas for repair and sale in Dubai. (RX 60 (Dep. of Safonov 17:7-8); RX 61 (Dep. of Safonov 18, 20-21); RX 62 (Dep. of Safonov 23-25).)
7. Safonov was co-owner with decision-making rights for Middle East Asia. (RX 60 (Dep. of Safonov 16:15-18).)
8. “[T]here was agreement between Crocus FZE and company, Middle East Asia Alfa, that I [Safonov], as Crocus FZE, invest my money into Middle East Asia Alfa.” (RX 67 (Dep. of Safonov 42:14-19).)
9. Middle East Asia employed Andrey Tretyakov (Tretyakov) as an associate in Dubai. (RX 61 (Dep. of Safonov 18:21-23); Resp. Comp. Prop. FF 2.)
10. Tretyakov also owned an interest in Middle East Asia. Closing Argument Transcript at 9-10.

⁵ “CX” followed by a number refers to a page in Complainants’ Appendix, “RX” followed by a number 1-89 refers to a page in Respondents’ Appendix, “RX” followed by a number 90-95 refers to Respondents’ Notice of Filing dated May 4, 2016, “Resp. Comp. Prop. FF” refers to Respondents’ Proposed Findings of Fact and Response to Complainants’ Proposed Findings of Fact filed February 11, 2016.

11. Middle East Asia sold seven boats in Dubai that had been purchased in the United States. (RX 67 (Dep. of Safonov 42:23-25).)
12. Until the summer of 2014, Safonov lived in Dubai, United Arab Emirates. (RX 58 (Dep. of Safonov 6:11-12).)
13. In business situations, Safonov sometimes acts as Crocus Investments, sometimes as Crocus FZE, and sometimes as Middle East Asia. (Closing Argument Transcript at 8.)
14. Respondent Marine Transport Logistic, Inc. (MTL) is licensed by the Commission as a non-vessel-operating common carrier, license number 018709. Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited June 13, 2016.
15. MTL is located at 63 New Hook Road, Bayonne, NJ 07002. Official notice of Commission records, <http://www2.fmc.gov/oti/NVOCC.aspx>, last visited June 13, 2016.
16. Alla Solovyeva is the owner of MTL. (Resp. Comp. Prop. FF 8.)
17. At the time the relevant events occurred, respondent Aleksandr Solovyev (Solovyev) and Alla Solovyeva were husband and wife, but separated. (Resp. Comp. Prop. FF 8; RX 30 (Dep. of Aleksandr Solovyev 11:20-12-5).)
18. Solovyev uses the email address mtlworld@mtlworld.com. (Resp. Comp. Prop. FF 9.)
19. Alla Solovyeva uses the email address alla@mtlworld.com. (Resp. Comp. Prop. FF 10.)
20. Solovyev is the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). (Complaint ¶ 6; Answer ¶¶ 5, 6.)
21. At the request of customers, Car Express purchases automobiles and boats from auctions and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country. (Complaint ¶¶ 5, 9; Answer ¶¶ 5, 9.)
22. Solovyev is the sole owner, officer, and director of the owner of respondent Royal Finance Group, Inc. (RFG). (Complaint ¶ 6; Answer ¶ 6.)
23. Solovyev is the owner, officer, and director of World Express & Connection, Inc. (World Express). (Resp. Comp. Prop. FF 6.)
24. World Express is a warehouse company providing loading and storage services for vehicles, boats, and other cargo, including for ocean transportation from the United States to foreign ports. (Resp. Comp. Prop. FF 6; RX 32 (Dep. of Aleksandr Solovyev 20:13-22).)

25. World Express is located at 63 New Hook Road, Bayonne, NJ 07002. (Resp. Comp. FF 7.)
26. MTL's tariff provides that MTL's container freight station/container yard (CFS/CY) "may be a designated warehouse. Shipper, at its own expense, will deliver its vehicle to [MTL's] designated warehouse for loading into the container for movement to the U.S. load port." (CX 178.)
27. MTL uses World Express as its CFS/CY. (RX 14 (Dep. of Alla Solovyeva at 33-36).)
28. At times, Solovyev or one of his companies acts as agent for MTL. (CX 024 (Email dated October 31, 2013, from Solovyev to Complainants).)
29. Safonov engaged Solovyev and his three companies to perform services for Safonov and his three companies to purchase used boats in the United States and ship the boats to Dubai for repair and resale. (RX 63 (Dep. of Safonov 28:21-23).)
30. Copart is a company that conducts Internet auctions of vehicles and boats in part by posting photographs and descriptions of the vehicles and boats online. (RX 64 (Dep. of Safonov 32:13-22).)
31. Safonov and Solovyev would view boats together online and Safonov would decide which boats to purchase. (RX 63 (Dep. of Safonov 29:1-12); RX 68 (Dep. of Safonov 46:3-23).)
32. All of the boats were purchased from the auction company Copart. (RX 64 (Dep. of Safonov 30:6-13).)
33. Car Express was a member of Copart and was able to purchase boats from Copart on behalf of buyers. (CX 115, 118.)
34. When Safonov wanted Aleksandr Solovyev to purchase a boat, RFG would often pay for the boat and incur other fees related to the purchase.
35. [RFG] advanced payments on behalf of the foreign Complainants to Co-Part (a U.S. auction site), and to other companies (e.g. MTL, Car Express, inland trucking companies). This was done as a convenience to Complainants so that Complainants would only need to make a single "lump sum" wire-transfer payment to RFG and, accordingly, could avoid paying the fees associated with sending multiple wire transfers. In this way, Complainants would also avoid incurring penalties for late payment to the auction site, which could occur if there are delays with the foreign wire transfers. (See Dep. Tr. of [Aleksandr] Solovyev, at 45-17 - 47:25). RFG, in turn, charged

a commission to Complainants for its services. (*See* Dep. Tr. of [Aleksandr] Solovyev, at 46:8-14).

(Resp. Comp. Prop. FF 4; Closing Argument Transcript 36:9-39:11.)

36. Q Did Royal Finance Group receive payment on behalf of MTL?
A Yes.
Q Why did it do that?
A Because it was easy to receive one lump sum from Dubai and Andre was asking to pay once to the company for the all services out of USA and Royal Finances – Royal Finance Group was receiving money for all services, five, six services and paying on behalf of the customer for all the services up to shipping to the pay Dubai.
Q So Royal Finance Group would receive money on behalf of MTL and then pay MTL its portion for its services?
A Yes.

(RX 41 (Dep. of Aleksandr Solovyev 54:19-55:10); Closing Argument Transcript 37-39).)

37. Solovyev through RFG forwarded payments he had collected from Complainants for MTL's shipping services to MTL. (Resp. Comp. Prop. FF 5.)
38. Safonov or a Middle East Asia associate "Sergey" had final decision-making authority about which boats to buy. (RX 63 (Dep. of Safonov 29:1-12).)
39. Safonov purchased about ten boats using Solovyev's services. (RX 63-64 (Dep. of Safonov 29:13-30:13).)
40. Crocus FZE wired the money to pay for the boats to RFG. (RX 65 (Dep. of Safonov 34:12-35:4).)
41. After purchase from Copart, the boats would be transported to the World Express warehouse. (Resp. Comp. Prop. FF 27.)
42. Solovyev/Car Express, as agent for MTL, would arrange for the shipment of the boats to Dubai. (Resp. Comp. Prop. FF 12, 13.)
43. Other than the three boats at issue in this proceeding, Complainants did not have any problems with boats purchased and shipped to Dubai using Solovyev and his companies. (RX 67 (Dep. of Safonov 44:6-9).)

44. On April 18, 2013, RFG sent invoice 1168AT to Andrey Tretyakov at Middle East Asia for the purchase of a boat identified as 2011 Monterey 20', VIN RGPMC1931011. (CX 011.)
45. The RFG invoice indicates that Andrey Tretyakov was charged \$9,855 for the boat, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$500 for commission, \$400 for documentation, and \$900 for a trailer for the Monterey, a total of \$14,855. (CX 011.)
46. On April 13, 2013, Crocus FZE wired \$30,000 to RFG as payment for invoice 1168AT (the Monterey) and invoice 1174.⁶ (CX 112.)
47. Safonov instructed Solovyev to ship the Monterey to Dubai. (RX 68 (Dep. of Safonov 48:12-14).)
48. On May 5, 2013, MTL issued bill of lading number HBOL 13535 identifying Tretykov Andrey as shipper, Middle East Asia Alfa, FZE, as consignee, New York as port of loading, and Jebel Ali (Dubai) as port of unloading, and identifying the cargo to include the 2011 Monterey. (CX 006.)
49. On May 5, 2013, Maersk Line issued Maersk non-negotiable waybill number 560010878 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of discharge, and identifying the cargo to include the 2011 Monterey. (RX 01.)
50. The Monterey arrived in Dubai and was delivered to Middle East Asia Alfa, FZE. (RX 69 (Dep. of Safonov 50:21-51:1).)
51. On May 7, 2013, RFG sent invoice 1177AT to Middle East Asia for the purchase of a boat identified as 2008 Chaparral, VIN FGBL 3738D808. (CX 007.)
52. The RFG invoice indicates that Middle East Asia was charged \$10,505 for the Chaparral, \$800 for delivery, \$2,400 for loading/shipping to Dubai, \$450 for commission, \$400 for documentation, and \$900 for a trailer, a total of \$15,455. (CX 007.)
53. Safonov instructed Solovyev to ship the Chaparral to Dubai. (RX 68 (Dep. of Safonov 48:12-14).)
54. On May 22, 2013, MTL issued bill of lading number EO-20756 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali as port of unloading, and identifying the cargo to include the Chaparral. (CX 116.)

⁶ Invoice 1174 is not in the record. I assume it was for another boat or other items Solovyev purchased for Safonov.

55. On May 25, 2013, Maersk Line issued Maersk non-negotiable waybill number 560083476 identifying MTL as shipper, Middle East Asia Alfa, FZE, as consignee, Newark as port of loading, and Jebel Ali, United Arab Emirates, as port of discharge, and identifying the cargo to include the Chaparral. (RX 02.)
56. The Chaparral arrived in Dubai and was delivered to Middle East Asia. (RX 69 (Dep. of Safonov 50:21-51:1).)
57. Middle East Asia repaired the Monterey and the Chaparral in Dubai and they boats were ready for sale on March 1, 2014. (RX 69 (Dep. of Safonov 51:2-51:14).)
58. Middle East Asia was not able to sell the Monterey and the Chaparral in Dubai. (RX 69 (Dep. of Safonov 51:18-52:9).)
59. Safonov instructed two employees of Middle East Asia to arrange the shipment of the Monterey and the Chaparral to the United States. (RX 69 (Dep. of Safonov 52:13-53:9).)
60. Tretyakov contacted Solovyev for assistance in shipping the Monterey and the Chaparral back to the United States. (RX 42 (Dep. of Solovyev 52:13-53:9).)
61. On April 25, 2014, Solovyev sent an email from his address at mtlworld@mtlworld.com to Zahedi at Emirates Logistics stating "hi Zahedi, can u offer me 40hc, ocean freight only Dubai-NY, cargo boats?" Zahedi forwarded the email to Linnet at Emirates Logistics with a cc to Solovyev [*sic*] stating "Ms. Linnet, Plz assist with rate. Rgds/Zahedi." (CX 058.)
62. On April 27, 2014, Linnet at Emirates Logistics sent Solovyev rates of US \$2492 on Hapag Lloyd and US \$3411 on MSC. (CX 056.)
63. On May 30, 2014, APL issued bill of lading number APLU 020188407 identifying Middle East Asia Alfa, FZE, as shipper, AEC Cargo Services LLC as forwarding agent, MTL as consignee, Jebel Ali, Dubai as port of loading, and Maher Terminal, NJ, as port of discharge and place of delivery, and identifying the cargo to include the Monterey and the Chaparral. (RX 05.)
64. APL charged a total of \$3,593.46 for the transportation. (RX 05.)
65. APL operated as a vessel-operating common carrier transporting the boats from Dubai to the United States. (RX 05.)
66. APL issued a Notice of Arrival to MTL with an ETA of July 12, 2014. (RX 90 (Resp. Notice of Filing May 4, 2016).)

67. The Notice of Arrival states: "You are requested to arrange for prompt delivery of your cargo. By doing so, you will avoid any unnecessary cargo and equipment detention costs. If incurred, these costs (DEMURRAGE/STORAGE CHARGES) will be assessed in accordance with the applicable tariff for any delays after expiration of free time. These charges must be paid before cargo can be released." (RX 90 (Notice of Filing May 4, 2016).)
68. The Monterey and the Chaparral arrived at Maher Terminal in New Jersey on July 12, 2014. (RX 93 (Resp. Notice of Filing May 4, 2016).)
69. On July 23, 2014, Fauna & Flora Customhouse issued an invoice to MTL in the amount of \$615.70 for custom and related fees for the Monterey and Chaparral. (RX 93 (Resp. Notice of Filing May 4, 2016).)
70. On August 26, 2014, MTL paid \$615.70 to Fauna & Flora Customhouse for duty, custom entry service fee, bond preparation, and ISF bond for the Chaparral and the Monterey. (RX 92 (Resp. Notice of Filing May 4, 2016).)
71. MTL received delivery of the Monterey and the Chaparral. (Resp. Comp. Prop. FF 27.)
72. The international transportation on the return trip ended when the Monterey and the Chaparral were delivered to MTL at Maher Terminal in New Jersey. (RX 05.)
73. Solovyev notified Safonov that the Monterey and the Chaparral arrived in the United States. (RX 69-70 (Dep. of Safonov 53:23-54:2).)
74. On August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (CX 118.)
75. Safonov bought the Formula with the intention of sending it to Dubai for repair and resale. (RX 72 (Dep. of Safonov 62:21-64:15).)
76. On August 7, 2013, RFG sent invoice 1189AT to Alexander Safonov, Crocus Investments for the purchase of a Formula boat 34PC, VIN TNRD7870C010. (CX 009.)
77. The RFG invoice indicates that Alexander Safonov, Crocus Investments, was charged \$56,280 for the Formula and \$3,500 for delivery, a total of \$59,780. (CX 009.)
78. On August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa for the purchase of the Formula. (CX 031.)
79. The RFG invoice indicates that Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa was charged \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai,

- \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. (CX 031.)
80. On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula (\$56,280.00) and the delivery to the intended port of loading (\$3,500). (CX 114.)
 81. The Formula required a trailer for ocean shipment. (RX 72 (Dep. of Safonov 64:7-12).)
 82. On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813. (CX 114.)
 83. In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer. (RX 72 (Dep. of Safonov 64:18-19).)
 84. In December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable. (RX 72 (Dep. of Safonov 64:20-24).)
 85. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$13,000. (CX 028.)
 86. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for a boat trailer 2005 NTTRL VIN LW95141 for the Formula. (CX 035.)
 87. On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL VIN LW95141, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$17,950. (CX 038.)
 88. Complainants did not pay the \$12,000 for loading and shipping the Formula to Dubai, the \$500 for commission, or the \$500 for documentation. (Complainants' Response to Respondents' Proposed FF 5.)
 89. On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95141. (CX 113.)
 90. Complainants reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, "started to become a crook." (RX 72 (Dep. of Safonov 65:3-6).)
 91. Safonov decided that he did not want to deal with "crooks," so in February 2014 Complainants instructed Solovyev to ship the Formula to Miami. (RX 72 (Dep. of Safonov 65:6-10).)

92. On February 14, 2014, Safonov sent an email to Solovyev stating: "I am sending you the name of the company in Florida – from which you have received the money for Formula-34 – please prepare all documents for the boat reflecting this company's information and send me all copies, ok? Do you know if copies of the documents will be enough to transfer Formula to Florida? It is good that we did [not] have time to send it to Dubai." (CX 055.)⁷
93. On July 17, 2014, Safonov sent an email to Solovyev stating: "Aleksandr – please from you to Ft. Lauderdale – Formula-34 PC, + 2 boats that arrived from Dubai." (CX 061.)
94. On July 24, 2014, Safonov sent an email to Solovyev stating: "I went to get a license plate for mercedes – GL450 – they asked for Title, I said I don't have it – then they asked for proof of purchase reflecting paid taxes. What is going on with the boats?" (CX 064.)
95. On August 3, 2014, Safonov sent an email to Solovyev stating: "We agreed with Andrei that he will ship those boats to the USA for me to sell – he kept another boat for sale Four winns (\$40000) – he will sell it in Dubai and will come to the US. Now he is changing the plan – we did not agree to that! That's why I am asking to send the boats to me in Miami." (CX 064.)
96. On August 13, 2014, Solovyev sent Safonov an email stating:

Alexander, your attention to unpaid invoices for your boats! [Unfortunately] because of non-payment, we are not able to hold your boats anymore in our storage facility and have to cover all expenses of their storage, not later than Monday, 18th of August of year 2014! Your boat Formula has been stored in our storage facility for more than a year? This will not work! Therefore, immediately I request to cover all your expenses! If you need help delivering the boats to Miami, our prices are as follows: Monterey and Chaparral- for \$3,500 each! Boat Formula to Miami- \$17,000.

(CX 103.)

97. On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investment for \$38,859.39 for 369 days of storage of the Formula. (CX 106.)

⁷ On March 23, 2016, Complainants filed copies of pages 19-110 of Complainants' Appendix with English translations. The English translation does not say "not." Given the context, I conclude that either the English translation inadvertently omitted "not" or in the original transmission, Safonov omitted the negative. Because the Formula was not shipped to Dubai, the sentence has no meaning with the "not."

98. On August 13, 2014, Solovyev (RFG) sent an invoice to Crocus Investment for the port fee for the container that transported the Monterey and the Chaparral from Dubai to the United States, \$1,200 for custom clearance, \$1,250 for delivery and unloading/documentation/tracking/return empty back, \$700 for delivery to the storage lot/put together trailer and boat, \$800 for thirty-two days storage of the Chaparral, and \$800 for thirty-two days storage of the Monterey. (CX 107.)
99. On August 19, 2014, Safonov sent an email to Solovyev stating: “I am attaching copies of the documents for the boats that were shipped from [Dubai] by Middle East Asia Alfa to your company MTL. Based on the agreement between the partners Bortcov [*sic*] Oleg (manager) and Safonov Alexander – I have the last say in this company! In case of not meeting my lawful demands – I will be forced to go through the legal system of the USA.” (CX 077.)
100. On November 15, 2015, World Express commenced an action against Crocus Investments, Crocus FZE, Alexander Safonov, and Middle East Asia in the United States District Court for the District of New Jersey seeking unpaid storage fees for the Monterey, the Chaparral, and the Formula. *World Express & Connection, Inc. v. Crocus Investments, LLC, Crocus FZE, Alexander Safonov, and Middle East Asia Alfa FZE*, 2:15-cv-08126-KM-MAH (D.N.J. Nov. 18, 2015) (complaint filed). (CX 254.)
101. Solovyev shipped two automobiles – a Mercedes and a Porsche – to Middle East Asia for sale in Dubai for another customer. (RX 62 (Dep. of Safonov 22-23).)
102. On August 20, 2014, Middle East Asia sent invoice #a20 to RFG for repairs to the Mercedes and the Porsche. (CX 101-102.)
103. MTL’s tariff states: “Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day.” (CX 178.)

VI. COMPLAINANTS HAVE NOT PROVED THAT ALEKSANDR SOLOVYEV OPERATED AS AN OCEAN TRANSPORTATION INTERMEDIARY WITHOUT A VALID LICENSE.

Complainants allege that “[r]espondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. § 40901(a) when it presented invoices and collected payment for MTL’s transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.” (Complaint 29.) Complainants argue:

Solovyev provided services in arranging the shipment of certain good[s] internationally to his customers, such as the Complainants. Complainants never actually dealt directly with Marine Transport [Logistics], Inc., to coordinate the

shipment of the boats that they acquired from the United States. Solovyev was the one that communicated between the Complainants and MTL. Solovyev collected payment for Marine Transport Logistic, Inc.'s services via an entity called Royal Finance Group, Inc. and forwarded payment to Marine Transport Logistic, Inc. He also was the one that set up all the shipment arrangements with Safonov and his employees. In essence, Solovyev was the middleman between Complainants and Marine Transport Logistic, Inc. Therefore, Solovyev was acting as an ocean freight forwarder in the transactions out of which this lawsuit arises.

(Complainants' Proposed Findings of Fact, Brief, and Appendix at 6-7.)⁸

The record shows that upon purchase of Complainants' boats in the United States, Solovyev/Car Express, acting as agent for MTL, would arrange for the international ocean transportation of the boats to Dubai, MTL issued the bills of lading for transporting the boats to Dubai, and MSC identified MTL as the shipper on the MSC bills of lading. (ALJFF 42, 48, 49, 54, 55.) Solovyev also used the email mtlworld@mtlworld.com in arranging for the ocean shipment of Complainants' 2001 Monterey and Chaparral from Dubai back to the United States. (ALJFF 61).

Section 40901 provides:

A person in the United States may not act as an ocean transportation intermediary unless the person holds an ocean transportation intermediary's license issued by the Federal Maritime Commission. The Commission shall issue a license to a person that the Commission determines to be qualified by experience and character to act as an ocean transportation intermediary.

46 U.S.C. § 40901(a). In *Landstar*, the court, held that "the plain language of [section 40901's] licensing requirement does not extend to agents of Ocean Transportation Intermediaries." *Landstar Express America, Inc. v. Federal Maritime Commission*, 569 F.3d 493, 499 (D.C. Cir. 2009). The court stated that this was so because a person providing NVOCC services only falls within the ambit of the Commission's licensing requirement when it holds itself out to the general public to provide transportation and assumes responsibility for the transportation.

An agent providing NVOCC services on behalf of a disclosed NVOCC principal possesses neither of those two defining characteristics . . . because it holds out only in the name of the NVOCC, subject to that NVOCC's control . . . [and] . . . does not ordinarily assume responsibility for the transportation of the cargo as the principal bears the burdens of liability.

⁸ It is not clear whether Complainants contend that Solovyev operated as an OTI regarding the three boats at issue in this proceeding or on all the boats that Safonov purchased and shipped to Dubai using Solovyev's services.

Id. at 497 (emphasis in original, internal citations omitted).

Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal MTL, Solovyev did not hold himself or RFG out to the public to provide transportation and did not assume responsibility for Complainants' boats. Operating as an NVOCC, MTL issued the bills of lading for the transportation from the United States to Dubai. ALJFF 48, 54. Complainants have not proved by a preponderance of the evidence that Aleksandr Solovyev acted as an ocean transportation intermediary (OTI), not as an agent for MTL in arranging for the international ocean transportation of Complainant's boats. I find that Solovyev did not operate as an NVOCC when the Monterey and the Chaparral were transported to Dubai and is not subject to the Commission's section 40901 licensing requirements. The claim that Solovyev violated section 40901(a) of the Act by operating as an OTI without a license issued by the Commission is dismissed.

VII. COMPLAINANTS HAVE NOT PROVED THAT RESPONDENTS VIOLATED SECTION 41102(c) OF THE SHIPPING ACT.

A. Claims Regarding the 2011 Monterey and the 2008 Chaparral.

1. Transportation of the Monterey and the Chaparral from the United States to Dubai.

MTL operated as an NVOCC for the transportation of the Monterey and the Chaparral from the United States to Dubai. MTL issued bills of lading on the separate shipments of each boat. Each boat was transported by water to Dubai and delivered to Middle East Asia, the consignee, without problem. Complainants do not claim violations of the Act occurred when the boats were transported to Dubai. Closing Argument Transcript at 52-54.

2. Transportation of the Monterey and the Chaparral from Dubai to the United States.

Middle East Asia repaired the boats and offered them for sale, but they were not purchased. Safonov decided to ship the boats back to the United States. He instructed Tretyakov to find transportation to the United States. Because the only document in the parties' appendices filed with their briefs on the merits was the APL bill of lading submitted by Respondents (RX 06), the parties were ordered to serve and file:

all documents related to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States, including, but not limited to, bills of lading, waybills, dock receipts, notices of arrival, invoices, and records of payment for the transportation created by Complainants, Respondents, Middle East Asia Alfa, FZE, AEC Cargo Services LLC, APL, or any other entity.

Crocus v. MTL, FMC No. 15-04 (ALJ Apr. 12, 2016) (Order to Supplement the Record). Complainants responded by identifying emails between Solovyev and Emirates Logistics already in the record at CX 058-059 and submitting the Certification of Safonov dated April 21, 2016, but did not file any documents from AEC Cargo Services LLC or APL. (Complainants' Response to Supplement the Record (filed April 22, 2016).) On May 4, 2016, Respondents submitted the APL Notice of Arrival sent to MTL, a Fauna & Flora Customhouse invoice to MTL in the amount of \$615.70 for the Chaparral and the Monterey, MTL check no. 479 to Fauna & Flora Customhouse in the amount of \$615.70, and Solovyev's response to Safonov's certification. (Respondents' Response to the April 12, 2016, Order filed May 4, 2016.)

In his Certification dated April 21, 2016, Safonov states that Tretyakov "found two companies that can deliver the boats for approximately \$4,000.00, but then he received a better offer for the same delivery from Aleksandr Solovyev for \$1,500.00." (Safonov Certification ¶ 4.) Safonov states that he "agreed to the proposal made by Aleksandr Solovyev with the understanding that [MTL] will arrange for the shipment of the boats from Dubai . . . and the boats will be picked up and held by MTL in the USA." (Safonov Certification ¶ 5.)

Solovyev acknowledges that Tretyakov contacted him to obtain a freight quote for the transportation of the boats from Dubai to the United States and that he "emailed Zahedi, an agent at Emirates Logistics, LLC, in Dubai, to obtain a freight quote for a 40' high cube container, moving from Dubai to New York." (Declaration by Aleksandr Solovyev in Response to Complainants' April 21, 2016 Certification (Solovyev Dec.) ¶ 2-3; ALJFF 59.) Zahedi responded with quotes of US \$2492 on Hapag Lloyd and US \$3411 on MSC that Solovyev forwarded to Tretyakov. (Solovyev Dec. ¶¶ 6-7; ALJFF 60.) Solovyev states that these are the only quotes that he gave Tretyakov and that he did not send a better offer of \$1,500 and did not offer for MTL to arrange for the shipment of the boats from Dubai to the United States. (Solovyev Dec. ¶¶ 8-10.)

MTL's only connection to the Dubai-United States shipment of the Monterey and Chaparral from Dubai to the United States established by the documents is as consignee. APL is the carrier, Middle East Asia Alfa, FZE, is the shipper, and AEC Cargo Services LLC is the forwarding agent. (ALJFF 61.) It is clear that MTL was contacted about the shipment through its agent Solovyev and that Solovyev and that Solovyev forwarded quotes to Tretyakov at Middle East Asia, but those quotes were for transportation by VOCCs Hapag Lloyd and Mediterranean Shipping Company. Another VOCC, APL, transported the boats and nothing connects Solovyev or MTL to the transportation by APL. Although Solovyev conveyed offers to Complainants, Complainants have not proved by a preponderance of the evidence that Middle East Asia shipped the Monterey and the Chaparral to the United States using a carrier identified by Solovyev or that MTL assumed responsibility for transporting the boats.

Complainants argue that the facts that Solovyev forwarded the quotes from Hapag Lloyd and MSC for transportation from Dubai to the United States to Tretyakov at Middle East Asia and that MTL paid the Fauna & Flora Customhouse charges and took possession of the boats proves MTL was involved in their transportation.

MS. TARASSOVA: It is my client's position that Mr. Solovyev who was acting on behalf of MTL throughout the course of their dealings arranged that. It is corroborated by the fact that MTL did not object to picking up the boats once they arrived. They did not object to paying customs and taking custody or control over the boats and that is evident in the respondents' supplemental documents which they filed just a week ago or so. It looks like MTL not only acquiesced to being a consignee they also took responsibility for the cargo.

JUDGE GUTHRIDGE: Took responsibility at what point?

MS. TARASSOVA: When the boats arrived to the United States they paid customs fees for it and they produced documentation that showed that MTL – if you look at RX 92 it looks like a copy of the check from Marine Transport Logistics –

JUDGE GUTHRIDGE: RX 92? Oh, that's one of the supplemental responses.

MS. TARASSOVA: Yes, Your Honor. And then I guess the check relates to RX 93 for an invoice to MTL from Fauna and Flora for duty customs, entry fee, bond preparation, et cetera which they paid on behalf of the complainants when they picked up the cargo which is the two boats in question. So how they got to be the consignee it is unclear. That is the question again for the actual parties to answer but it certainly looks like they did not have an objection to that and picked up the boat.

Closing Argument Transcript 59:16-61:5.

Regarding the fact that Solovyev sent the quotes, the Monterey and the Chaparral were transported by APL, not one of the VOCCs from which Solovyev obtained quotes. Other than the fact that MTL was named as consignee, no documentary evidence in the record links MTL to the transportation of the Monterey and the Chaparral by APL. When an NVOCC is involved in the transportation of cargo, the VOCC bill of lading would normally identify the NVOCC as the shipper. The APL identifies Middle East Asia (not MTL) as the shipper and AEC Cargo Services LLC (not MTL or Emirates Logistics, the entity in Dubai that Solovyev contacted for rates) as the forwarding agent. Furthermore, Safonov's certification filed April 22, 2016, states that Safonov's assistant received an offer from Solovyev for \$1,500. APL charged \$3,593.46 for the transportation.

Regarding the payment of the charges and taking possession of the Monterey and the Chaparral, the APL Notice of Arrival sent to MTL states:

You are requested to arrange for prompt delivery of your cargo. By doing so, you will avoid any unnecessary cargo and equipment detention costs. If incurred, these costs (DEMURRAGE/STORAGE CHARGES) will be assessed in accordance with

the applicable tariff for any delays after expiration of free time. These charges must be paid before cargo can be released.

(RX 91.) As consignee, MTL was potentially liable for demurrage charges that would accrue if the boats were not picked up within the free time allotted by the VOCC. *See Capitol Transportation, Inc. v. United States*, 612 F. 2d 1312, 1319-1321 (1st Cir. 1979) (upholding Commissions decision that Capitol was a carrier as well as a consignee subject to liability for payment of demurrage under the underlying vessel-operating carriers' tariffs); *Safmarine v. Columbia Container Lines (USA), Inc.*, No. 10-CV-1825 (KAM), 2010 U.S. Dist. LEXIS 143502 *10, 2010 WL 7134001 (E.D.N.Y. Dec. 15, 2010) ("The general rule is that shippers or consignees are liable for demurrage."); *Prudential Lines, Inc. v. Farrell Lines, Inc., Zim Container Service and Zim Israel Navigation Co., Ltd.*, 1984 FMC LEXIS 15, 26 F.M.C. 497 (ALJ June 7, 1984). The litigation costs defending an action brought against MTL contesting liability, even if MTL prevailed, would far exceed the \$615.70 that MTL paid to secure release of the container. Securing release of the shipment was a prudent business decision by MTL.

Complainants contend that MTL "failed to establish, observe, and enforce just and reasonable regulations and practices by (1) failing to notify Complainants when the two smaller boats arrived in New Jersey, [and] (2) releasing the Complainants' property to a third party, World Express and Connection, which was owned by Solovyev." (Complainants' Brief at 8.) The Monterey and the Chaparral arrived from Dubai on July 12, 2014. (ALJFF 68.) On July 17, 2014, Safonov sent an email to Solovyev stating: "Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34, + 2 boats that arrived from Dubai." (ALJFF 93.) Safonov knew that the boats arrived within five days of their arrival. The evidence does not support Complainants' claim that they were not notified that the boats arrived from Dubai. MTL's tariff provides that MTL's container freight station/container yard "may be a designated warehouse." (ALJFF 26.) If it were determined that MTL operated as a common carrier when the boats were transported from Dubai to the United States, storing the boats in the World Express warehouse is contemplated by MTL's tariff.

Complainants have "the initial burden of proof to establish the[] violation[]." *AHL Shipping Company v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). Based on the evidence in the record, Complainants have not proved by a preponderance of the evidence that MTL assumed responsibility for the transportation of the Chaparral and the Monterey from Dubai to the United States and operated as an NVOCC on the shipment.

3. Request to transport the Monterey and the Chaparral from New Jersey to Florida.

One of the purposes of the Shipping Act is to "establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs." 46 U.S.C. § 40101(1). The Act imposes requirements on common carriers that "provide transportation by water of . . . cargo

between the United States and a foreign country for compensation [and] assume[] responsibility for the transportation from the port or point of receipt to the port or point of destination [and] use[] for all or part of that transportation, a vessel operating on the high seas . . . between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(6) The Act provides that a common carrier “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Act and the Commission’s power to enforce the Act is limited to transportation that fits within these definitions. Therefore, the Commission has jurisdiction over the transportation by water of the Monterey and the Chaparral on their voyages from the United States to Dubai and from Dubai to the United States and the concomitant power to sanction violations of the Act that occur during that transportation. As discussed above, Complainants do not contend that Respondents committed any violations of the Act on the transportation of the Monterey and the Chaparral from the United States to Dubai, and Complainants have not proved by a preponderance of the evidence that Respondents operated as a common carrier when the boats were transported back to the United States.

The record indicates that on July 17, 2014, after the Monterey and the Chaparral arrived in the United States, Safonov sent an email to Solovyev stating: “Aleksandr – please calculate the shipping from you to Ft. Lauderdale – Formula-34 PC, + 2 boats that arrived from Dubai.” (CX 061.)⁹ Assuming that there was an agreement between Safonov and any respondent – Solovyev, any of his corporations, or MTL – to transport the Monterey and the Chaparral by water or any other means from New Jersey to Florida, this was not an agreement to “provide transportation by water of . . . cargo between the United States and a foreign country” subject to the Shipping Act or Commission jurisdiction.

Even if it were determined that MTL assumed responsibility for the transportation of the Monterey and the Chaparral from Dubai to New Jersey, the APL bill of lading shows that the ultimate destination of the boats was New Jersey and that international transportation ended when the boats were delivered to MTL. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”) Because, in this case, the international shipment of the boats terminated in New Jersey with delivery

⁹ The first request regarding sending the third boat – the Formula – to Florida came in February 2014. Presumably, if Safonov had decided then or at any time before they were shipped from Dubai on May 30, 2014, that he wanted the Monterey and Chaparral to go to Florida, Safonov would have had them shipped from directly from Dubai to Florida, not to New Jersey.

to MTL and the arrangement to ship the boats to Florida was a separate and new arrangement, the transportation in question is a purely domestic one, over which the Commission has no jurisdiction.

B. Claims Regarding the Formula.

The record shows that Complainants originally intended to ship the Formula to Dubai for repair and resale. On August 7, 2013, RFG sent invoice 1189AT for payment in the amount of \$77,280 to Complainants' employee in Dubai, Andrey Tretyakov, reflecting \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, UAE, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer to load the boat. (FF 75 (CX 031)). Complainants wired \$59,780 on August 9, 2013, to RFG to pay for the Formula (\$56,280.00) and the cost of the delivery to the port of loading (\$3,500), and \$4,950 on December 4, 2013, to pay for the boat trailer.¹⁰ Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai or the \$500 for Commission and \$500 for documentation. (ALJFF 76, 85, 92.) Safonov subsequently reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, "started to become a crook," and on February 2014, instructed Solovyev to ship the Formula to Miami instead. (ALJFF 86, 87.) Therefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.

As discussed above, an agreement to transport the Formula from New Jersey to Florida is not an agreement to "provide transportation by water of . . . cargo between the United States and a foreign country." Therefore, any controversy about an alleged agreement to ship the Formula to Florida is not subject to the Shipping Act or the Commission's jurisdiction.

C. Claims Regarding Storage Fees.

Complainants also contend that MTL "failed to establish, observe, and enforce just and reasonable regulations and practices . . . (3) by issuing invoices for storage at rates contrary [to] its posted tariffs." (Complainants' Brief at 8.) MTL's tariff states: "Carrier provides 30 calendar days free storage prior for vehicles, trucks and boats received for US export shipment at its CFS/CY as listed herein. Beyond 30 days, storage charges per day apply as follows: A. STORAGE CHARGES AT BAYONNE, NJ . . . Boats: USD 20 per day." (ALJFF 103.) Complainants were not charged storage fees for the Monterey and Chaparral when they were shipped from the United States to Dubai. When the Monterey and Chaparral returned to the United States, even if MTL were operating as an NVOCC, the boats were not "received for US export shipment" and the tariff does not apply. As found above, although Safonov originally intended to ship the Formula to Dubai, there was never

¹⁰ On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00. Complainants state that this payment was for a trailer for the Formula, Closing Argument Transcript 113, but nothing in the record indicates that the transfer for an amount different from the \$4,500 for a trailer stated in the August 7 and 8 invoices went to RFG or that it was for a trailer.

an agreement to transport the Formula by water from the United States to a foreign port. Therefore, the Formula was not “received for US export shipment” and the tariff does not apply.

VIII. ATTORNEY FEES.

“In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305. I find that because the Complaint has been dismissed, the Respondents are prevailing parties in this proceeding and may be awarded reasonable attorney fees. “In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated.” 46 C.F.R. § 502.254(c). *See also Organization and Functions; Rules of Practice and Procedure; Attorney Fees – Notice of Proposed Rulemaking*, FMC No. 15-06, available on the Commission’s electronic reading room at http://www.fmc.gov/electronic_reading_room/proceeding_or_inquiry_log_search.aspx?F_DocketType=1; *Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Final rule*, 81 Fed. Reg. 10508 (Mar. 1, 2016).

ORDER

Upon consideration of the record in this proceeding and for the reasons set forth above, complainants Crocus Investments, LLC, and Crocus FZE, have not proved by a preponderance of the evidence that respondents Marine Transport Logistics, Inc., and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c) or that respondent Aleksandr Solovyev a/k/a Royal Finance Group, Inc., violated section 40901(a) of the Shipping Act of 1984, 46 U.S.C. § 40901(a). Therefore, it is hereby

ORDERED that Complainants’ Complaint against respondents Marine Transport Logistics, Inc., and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “2”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

(Complainants)

v.

**MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

(Respondents)

ANSWER

Respondents Marine Transport Logistics, Inc. (hereinafter, "MTL") and Aleksandr Solovyev, the latter incorrectly alleged to be a/k/a Royal Finance Group, Inc., (hereinafter "Solovyev"), through its undersigned counsel hereby respectfully submits this Answer in response to the Complaint filed by complainants Crocus Investments, LLC and Crocus, FZE (hereinafter collectively, "Crocus"). The section headings contained herein mirror those in the Complaint and are included solely for purposes of clarity and organization, and Respondents do not admit, but rather hereby specifically deny, any factual or legal allegations in the headings used in the Complaint and in this Answer.

To the extent that the allegations contained in the preamble of the Complaint constitute factual allegations or legal conclusions, Respondents deny the allegations contained therein, although no response by Respondents is required.

THE COMPLAINANTS

1. Respondents deny knowledge or information sufficient to form a belief as to the allegation(s) contained in ¶ 1 of the Complaint.
2. Respondents deny knowledge or information sufficient to form a belief as to the allegation(s) contained in ¶ 2 of the Complaint.
3. Respondents deny knowledge or information sufficient to form a belief as to the allegation(s) contained in ¶ 3 of the Complaint.

THE RESPONDENTS

4. Respondents deny the allegation(s) contained in ¶ 4 of the Complaint.
5. Respondents admit the allegation(s) contained in ¶ 5 of the Complaint only to the specific extent that Respondent Solovyev, as the principal and sole owner of Car Express & Import, Inc. (hereinafter, "Car Express") and Royal Finance Group, Inc. (hereinafter, RFG"), is in the business of purchasing used vehicles, including boats, at auction on behalf of Car Express's customers, and when requested by Car Express's customers, Car Express will arrange the shipment of such vehicles on behalf of Car Express's customers with a NVOCC for ocean transport from U.S. ports to non-U.S. ports.

6. Respondents deny the allegations contained in ¶ 6(a) of the Complaint, because Respondent Solovyev is not a principal, owner, officer or employee of MTL nor does Respondent Solovyev “control” MTL.

Respondents admit the allegations contained in ¶ 6(b) and ¶ 6(c) of the Complaint only to the specific extent that Solovyev is the principal and sole owner of RFG and Car Express.

7. Respondents admit the allegation(s) contained in ¶ 7 of the Complaint.
8. Respondents admit the allegation(s) contained in ¶ 8 of the Complaint only to the specific extent that MTL is a Non-Vessel Operating Common Carrier with an OTI license issued by the Federal Maritime Commission, and in that regard, provides the types of services set out in 46 C.F.R. 515.2(l) and except as so specifically admitted, denies the allegation(s) contained in ¶ 8 of the Complaint.
9. Respondents admit the allegation(s) contained in ¶ 9 of the Complaint only to the specific extent that Car Express may, upon the request of a Car Express customer, purchase automobiles and/or boats from auctions and arrange on behalf of that customer, for the transportation of such automobiles and/or boats to a non-U.S. port and except as so specifically admitted, denies the allegation(s) contained in ¶ 9 of the Complaint.

10. Respondents deny the allegation(s) contained in ¶ 10 of the Complaint.

JURISDICTIONAL STATEMENT

11. Respondents deny the allegation(s) contained in ¶ 11 of the Complaint.

FACTS

12. Respondents deny the allegation(s) contained in ¶ 12 of the Complaint, and admit only that on or about April 16, 2013, Car Express, by use of its auction license, would act as the purchaser at auction on behalf of Complainant Crocus Investments, LLC and non-party Middle East Asia Alfa FZE (“Middle East Asia”), the latter two being partners in a joint venture for purchasing used boats in the United States for shipment to Jebel Ali, Dubai, UAE, where the boats would be refurbished by Middle East Asia for subsequent sale by Middle East Asia. Respondents further admit that Complainant Crocus Investments, LLC and non-party Middle East Asia participated in the auction with Car Express through Skype, an online teleconferencing service, for the purchase at auction of the 2008 CHAPPARAL and 2011 MONTEREY.

13. Respondents deny the allegation(s) contained in ¶ 13 of the Complaint for the reason that Respondent Solovyev is not a principal, owner, officer or employee of MTL and does not control or act “on behalf of MTL”, and admits that all instructions for the movement of the 2008 CHAPPARAL and 2011 MONTEREY were given by Middle East Asia to Car Express who, in turn,

would coordinate the booking with MTL for the ocean transportation to Jebel Ali.

14. Respondents admit that Crocus Dubai wired \$30,000 to Solovyev's company, RFG, to effect the purchase of the two boats through the Car Express auction license for inland delivery to the non-party World Express & Connection warehouse facility and except as so specifically admitted, denies the allegation(s) contained in ¶ 14 of the Complaint.

15. Respondents admit that in August 2013, Complainant and Middle East Asia instructed Car Express to purchase, using Car Express's auction license, a 2010 FORMULA and except as so specifically admitted, denies the allegation(s) contained in ¶ 15 of the Complaint.

16. Respondents admit that after the 2010 FORMULA was purchased by Car Express, using its auction license, on or about August 7, 2013, the 2010 FORMULA was transported by truck to the World Express & Connection storage facility, to await further instructions and payment from Middle East Asia, which were never received, for its ocean shipment from Port Newark to Jebel Ali or any other foreign destination, pursuant to a MTL NVOCC House Bill of Lading. The 2010 FORMULA remains, to date, at the World Express & Connection storage facility accruing storage charges, and except as so

specifically admitted, Respondents deny the allegation(s) contained in ¶ 16 of the Complaint..

17. Respondents admit the allegation(s) contained in ¶ 17 of the Complaint only to the specific extent that Complainants wire transferred \$59,780.00 to RFG, which reflected payment of \$56,280.00 for the purchase of the 2010 FORMULA and \$3,500 for inland delivery charges of the 2010 FORMULA to the World Express & Connection storage facility.

18. Respondents admit the allegation(s) contained in ¶ 18 of the Complaint only to the specific extent that Complainant wire transferred \$5,000.00 to RFG, which reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge.

19. Respondents admit the allegation(s) contained in ¶ 19 of the Complaint only to the specific extent that Complainant wire transferred \$4,950.00 to RFG, and except as so specifically admitted, denies the allegation(s) contained in ¶ 19 of the Complaint.

20. Respondents deny the allegation(s) contained in ¶ 20 of the Complaint.

21. Respondents deny the allegation(s) contained in ¶ 21 of the Complaint.

22. Respondents admits that RFG issued a \$5,500 invoice to Complainants for port fees, U.S. customs clearance, and inland delivery from Port Newark to the World Express & Connection storage facility with respect to the ocean transport of the 2011 MONTEREY or the 2008 CHAPPARAL from Jebel Ali to Port Newark aboard the APL VANCOUVER pursuant to APL B/L no. 020188407 issued May 30, 2014, and except as so specifically admitted, denies the allegation(s) contained in ¶ 22 of the Complaint.

23. Respondents deny the allegation(s) contained in ¶ 23 of the Complaint.

24. Respondents admit that the 2011 MONTEREY, 2008 CHAPPARAL, and 2010 FORMULA have been stored at the World Express & Connection warehouse facility for pickup by Complainants upon payment of the accrued storage charges, which remain outstanding to this date, and further admit that MTL does not own or operate a warehouse storage facility and that World Express & Connection is a separate and independent company which provides storage and loading services to MTL, and except as so specifically admitted, denies the allegation(s) contained in ¶ 24 of the Complaint.

DAMAGES

25. Respondents deny the allegation(s) contained in ¶ 25 of the Complaint.

26. Respondents deny the allegation(s) contained in ¶ 26 of the Complaint.

27. Respondents deny the allegation(s) contained in ¶ 27 of the Complaint.

VIOLATIONS OF THE SHIPPING ACT

28. Respondents MTL denies the allegation(s) contained in ¶ 28 of the Complaint.

29. Respondents Solovyev and RFG deny the allegation(s) contained in ¶ 29 of the Complaint.

REQUEST FOR HEARING

30. No response by Respondents is necessary for ¶ 30 of the Complaint, but to the extent that a response is deemed necessary, Respondents do not object to the hearing request.

INFORMAL DISPUTE RESOLUTION

31. Respondents deny the allegation(s) contained in ¶ 31 of the Complaint.

AS AND FOR JURISDICTIONAL DEFENSES

32. The below jurisdictional defenses are made without waiving Respondents' right to serve discovery including, but not limited to, service of interrogatories, document demands, and notices of deposition upon Complainants and without waiving Respondents' right to file a Motion to Dismiss the Complaint and/or Motion for Summary Judgment.

1ST JURISDICTIONAL DEFENSE

33. The Complaint fails to state a cause of action against Respondent MTL in that, to the extent that the claims are apparently directed toward warehouse storage charges accrued at a storage warehouse operated by World Express & Connection, which is not operated by or related to MTL, such charges are/were independent of MTL's NVOCC services, which, in the instant Complaint, were limited to the ocean transportation of the 2011 MONTEREY and 2008 CHAPPARAL from Port Newark to Jebel Ali, Dubai, UAE pursuant to its HB/L and the Maersk Master Bs/L, and, thus, there cannot be any alleged violation of the Shipping Act.

2ND JURISDICTIONAL DEFENSE

34. The Federal Maritime Commission lacks personal and subject matter jurisdiction over Respondents Solovyev, RFG, Car Express & Import, Inc., and World Express & Connection's warehouse operations, all of which are separate and distinct from MTL's NVOCC operations.

3RD JURISDICTIONAL DEFENSE

35. The Complaint is defective as a matter of law in that it lacks specificity because it fails to state facts sufficient to constitute a Shipping Act violation against Respondents.

AS AND FOR ADDITIONAL DEFENSES:

1ST ADDITIONAL DEFENSE

36. The relief sought by Complainants is barred by the doctrine of estoppel.

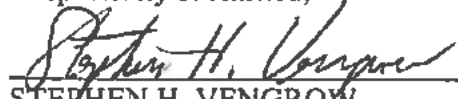
2ND ADDITIONAL DEFENSE

37. The relief sought by Complainants is barred, in whole or in part, because any damages resulted from Complainants own inaction, negligence or other fault, including but not limited to, Complainants failure to pay outstanding storage charges owed by Complainants.

WHEREFORE, Respondents pray that the Complaint in this proceeding be dismissed.

Dated: July 10, 2015
New York, NY

Respectfully submitted,



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ERIC CHANG

CICHANOWICZ CALLAN KEANE

VENGROW & TEXTOR, LLP

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APPENDIX “3”



ORIGINAL

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Case No.: 15-04

CROCUS INVESTMENTS, LLC, a Florida
Limited Liability Company and CROCUS, FZE, a
United Arab Emirates Business Entity

Complainants,

vs.

MARINE TRANSPORT LOGISTICS, INC., a
Corporation
and
ALEKSANDR SOLOVYEV a/k/a ROYAL
FINANCE GROUP INC. an individual.

Respondents



FORMAL COMPLAINT

Crocus Investments, LLC and Crocus, FZE, Complainants herein, file this Formal Complaint against Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group, Inc., Respondents herein, and allege that Respondents violated the Shipping Act of 1984, specifically 46 U.S.C. § 40901(a) & § 41102(c), and the Regulations Affecting Ocean Shipping in Foreign Commerce, specifically 46 C.F.R. § 520.3 & § 532.5, and in support states the following:

THE COMPLAINANTS

1. Complainant, Crocus Investments, LLC, a Florida Limited Liability Company, (hereinafter "Crocus USA") has a principal place of business in Pembroke Pines, Broward County, Florida.
2. Complainant, Crocus, FZE, a UAE Free Zone Establishment, (hereinafter "Crocus Dubai") has a principal place of business in Dubai, United Arab Emirates.
3. Both Complainants are sister companies, that are in the business of buying used

watercrafts at auctions, refurbishing them and either reselling or leasing the watercrafts to the general public for a profit.

THE RESPONDENTS

4. Respondent, **Aleksandr Solovyev**, is an individual, last known to reside at 85 West 5th Street, Apt. 2E, Brooklyn, New York 11224.
5. **Aleksandr Solovyev** orchestrates a business operation, which includes buying used goods, including watercrafts, from auctions within the United States and shipping the goods overseas to his respective customers. To do this, he uses the three business entities described herein.
6. Upon information and belief, **Aleksandr Solovyev** owns and controls the following business entities:
 - a. **Marine Transport Logistics, Inc.**, a New York Corporation, with its principle place of business at 63 New Hook Road, Bayonne NJ 07002;
 - b. **Royal Finance Group, Inc.**, a Florida Corporation with its principle place of business at 1040 Seminole Drive., Apt. 1460, Fort Lauderdale, FL 33304;
 - c. **Car Express & Import Inc.**, a New York Corporation with its principle place of business at 333 Avenue X, 2nd Floor, Brooklyn, NY 11224.
7. **Marine Transport Logistics, Inc.** (hereinafter "MTL") is a Non-Vassal Operating Common Carrier (NVOCC) licensed by the Federal Maritime Commission under organization number 018709.
8. **MTL** holds itself out as an "international shipping company" and purports to provide transportation overseas of automobiles, watercrafts, and other similar goods via "freight forwarding, air freight forwarding, cargo warehousing, customs clearance cargo

consolidation services, door-to-door delivery, container loading, international auto shipping and multimodal transportation services.”

9. **Car Express & Import Inc.**, (hereinafter “**CEI**”) is a corporation through which **Aleksandr Solovyev** purchases automobiles, watercrafts, and other similar goods from auctions to ship to clients overseas.
10. **Royal Finance Group, Inc.**, is a corporation through which **Aleksandr Solovyev** issues invoices and collects payments for **MTL**’s and **CEI**’s services.

JURISDICTIONAL STATEMENT

11. Federal Maritime Commission (FMC) has subject matter jurisdiction because the claims stated herein arise out of Respondents’ violations of the Shipping Act of 1984, specifically 46 U.S.C. § 40901(a) & § 41102(c) and violations of the Regulations Affecting Ocean Shipping in Foreign Commerce, specifically 46 C.F.R. § 520.3 & § 532.5.

FACTS

12. On or about March 2013, Complainant, Crocus Dubai made an agreement with Respondent Solovyev, for Respondent to buy two boats from the auction. To wit:
 - a. 2008 CHAPARRAL 190 SSI
 - b. 2011 MONTEREY 204
13. Respondent Solovyev, acting on behalf of MTL, agreed to ship the two boats from MTL’s storage facility in New Jersey to Dubai, UAE.
14. On August 25, 2013, Crocus Dubai wired \$30,000.00 for the purchase and delivery of the two boats to Solovyev’s company Royal Finance Group, LLC.
15. In August 2013, Crocus USA made an agreement with Respondent Solovyev, for Respondent to buy a third boat from the auction. To wit:

a. 2010 FORMULA 34PC

16. Respondent Solovyev, acting on behalf of MTL agreed to ship the third boat from MTL's storage facility in New Jersey to Dubai, UAE.
17. Crocus USA wired \$59,789.00 to Royal Finance Group Inc., for the third boat, which included a delivery fee of \$3,500.00 on August 9, 2013.
18. Crocus USA wired another \$5,000.00 to Royal Finance Group Inc., for a trailer that MTL said was necessary to load the boat into a shipping container on August 13, 2013.
19. On December 3, 2013, Solovyev via Royal Finance Group Inc., issued an invoice to Crocus Dubai for the trailer again and without realizing that its sister company, Crocus USA, had already paid for it in August, Crocus Dubai wired another \$4,950.00 to Royal Finance.
20. In February 2014, when MTL has still not made any shipments of the boats, Complainants contacted MTL, and requested that MTL reroute the shipment of all three boats to Florida, USA.
21. After the request by the Complainants to reroute the delivery of the three boats, Respondents became nonresponsive and all communications from the Respondents suddenly stopped.
22. Then on August 13, 2014, a full year after the last boat was ordered, Solovyev through his company Royal Finance Group, Inc., issued an invoice to Crocus USA for "port fees, customs clearance, delivery, unloading, documentation, tracking, returns empty (sic) back, delivery to the storage lot and storage fees," totaling \$5,500.00.

23. MTL did not have tariffs posted nor did it have a written agreement with the Complainants setting out its fees as required pursuant to 46 C.F.R. §520.3 and 46 C.F.R. §532.1 and 532.5.
24. The boats were never delivered to Complainants and are presumably in MTL's possession.

DAMAGES

25. Complainant lost \$99,739.00 which it paid to Respondents for the boats which MTL never delivered.
26. Complainants suffered loss of use of the three boats which they intended to rent out on an hourly basis to prospective customers. The CHAPARRAL 190 SSI and MONTEREY 204 each rent for approximately \$350.00 per 24 hour period and the FORMULA 34PC rents for approximately \$600.00-\$1,000 per 24 hour period. Annual profit from rentals of the all three boats in 2014 potentially would have exceeded \$297,000.00.
27. Complainants suffered additional financial losses in the amount of \$20,000.00 in connection with refurbishing the boats prior to shipment, storage and other expenses paid by Claimants in anticipation of receiving the boats and renting them out to prospective clients.

VIOLATIONS THE SHIPPING ACT

28. Respondent MTL violated 46 U.S.C. §41102(c) when it failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by unlawfully withholding Complainants' property (boats) and/or committing conversion against the Complainants' property with which it was entrusted.

29. Respondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. §40901(a) when it presented invoices and collected payment for MTL's transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.

REQUEST FOR HEARING

30. A hearing is requested to be held in Washington D.C.

INFORMAL DISPUTE RESOLUTION

31. Complainants attempted to contact Respondents and resolve the issues informally but have been unsuccessful. No mediation or arbitration took place.

WHEREFORE Complainant prays that Respondent be required to answer the charges herein; that after due hearing, an order be made commanding said Respondent (and each of them): to cease and desist from the aforesaid violations of said act(s); to establish and put in force such practices as the Commission determines to be lawful and reasonable; to pay to said complainant by way of reparations for the unlawful conduct hereinabove described the sum of **\$416,739.00**, with interest and attorney's fees or such other sum as the Commission may determine to be proper as an award of reparation; and that such other and further order or orders be made as the Commission determines to be proper in the premises.

WHEREFORE, SAFONOV ALEXANDER, THE OWNER of CROCUS INVESTMENTS, LLC, a Florida Limited Liability Company and CROCUS, FZE, a United Arab Emirates Business Entity Complainant respectfully requests relief consistent with the Formal Complaint and such other relief which this honorable Court shall deem proper.

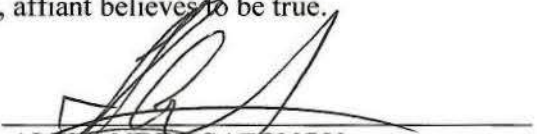
Dated: May 27, 2015



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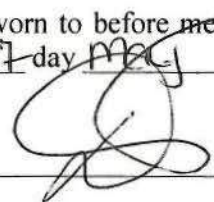
VERIFICATION

State of Florida, County of Palm Beach, ALEXANDER SAFONOV being first duly sworn on oath deposes and says that he is the President and Designated Corporate Representative and is the person who signed the foregoing complaint; that he had read the complaint and that the facts stated therein, upon information received from others, affiant believes to be true.



ALEXANDER SAFONOV
11484 Sae Grase Cir.,
Boca Raton, FL 33498

Subscribed and sworn to before me, a notary public in and for the State of Florida, County of Palm Beach this 27 day May, 2015.

[Notary Public] 

Seal _____

My Commission expires 12/10/18.

☐ Personally known

☒ Produced identification

Type of identification passport.



APPENDIX “4”

Marine Transport Logistic Inc. - FMC Tariff No. 1	Orig/Rev Original	Page 2,000,039
FROM: TARIFF ORIGIN SCOPE TO: TARIFF DESTINATION SCOPE	Cancels Original	Cancels Page 2,000,039
SECTION 2 - RULES	CORR: 0	Issued: 01May2012
Items with effective dates prior to page Issue Date are brought forward without change. Future effective items are preceded with a > symbol.		
RULE 7: Payment of Freight Charges		
Effective: 04May2004 Thru:	Expires:	Publish 04May2004 Amend: I
A. CURRENCY Rates and charges are quoted in U.S. Currency and have been determined with due consideration to the relationship of U.S. currency to other currencies involved. In the event of any material change in this relationship, carrier reserves the right, upon publications in conformity with the provisions of the U.S. Shipping Act of 1984, as amended, to adjust the rates and charges as required. B. PAYMENT IN U.S. DOLLARS Except as otherwise provided, freight and charges shall be prepaid in the United States in United States dollars. C. METHODS OF PAYMENT Payment for freight or charges due the carrier must be payable in legal tender or, at carrier's option, by check or bank draft acceptable by carrier's bank for immediate credit without charges. D. PREPAID FREIGHT 1. When freight monies and charges are prepaid, such payment shall be made not later than the time of release of any original Ocean Bill of Lading by the carrier to the shipper or his duly authorized licensed Freight Forwarder or Agent acting in his behalf. 2. When freight and charges are billed prepaid they shall be paid in U.S. dollars. E. FREIGHT COLLECT All freight and charges which are billed on a freight collect basis must be paid in full in U.S. Dollars, or in a currency acceptable to the carrier provided such currency shall be unblocked, freely convertible and freely remittable free of tax into U.S. Dollars, for the complete originally issued Bill of Lading quantity prior to release of cargo or any portion thereof. F. CURRENCY CONVERTABILITY: 1. Conversion Provisions:		
This tariff number 018709-001 is published by Distribution-Publications, Inc. (DPI) on the web at http://www.dpiusa.com. RFSP 097		

Marine Transport Logistic Inc. - FMC Tariff No. 1	Orig/Rev Original	Page 2,000,040
FROM: TARIFF ORIGIN SCOPE TO: TARIFF DESTINATION SCOPE	Cancels Original	Cancels Page 2,000,040
SECTION 2 - RULES	CORR: 0	Issued: 01May2012
Items with effective dates prior to page Issue Date are brought forward without change. Future effective items are preceded with a > symbol.		
<u>RULE 7: Payment of Freight Charges (Continued)</u> In addition to the United States Dollars, freight monies and charges may be billed and paid in foreign currencies, provided they are freely convertible and remittable and free of tax.		
This tariff number 018708-001 is published by Distribution-Publications, Inc. (DPI) on the web at http://www.dpiusa.com .		

APPENDIX “5”

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

(Complainants)

v.

**MARINE TRANSPORT LOGISTICS, INC. AND
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC.**

(Respondents)

RESPONDENTS' APPENDIX

By: CICHANOWICZ, CALLAN, KEANE,
VENGROW & TEXTOR, LLP
Attorneys for Respondents
Marine Transport Logistics, Inc., and
Aleksandr Solovyev

Stephen H. Vengrow
svengrow@cckvt.com
Eric Chang
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61 Broadway, Suite 3000
New York, New York 10006-2802
(212) 344-7042

Respondents' Appendix

Documents

Maersk Line B/L No. 560010878 from NJ to Jebel Ali	RX 01
Maersk Line B/L No. 560083476 from NJ to Jebel Ali	RX 02
Marine Transport Logistics, Inc. B/L No. EO-20756 from NJ to Jebel Ali	RX 04
APL B/L No. APLU 020188407 from Jebel Ali to NJ	RX 05

Deposition Transcripts

Transcript from the November 19, 2015 Deposition of Ms. Alla Solovyeva	RX 06
Transcript from the November 20, 2015 Deposition of Mr. Aleksandr Solovyev	RX 28
Transcript from the December 3, 2015 Deposition of Mr. Alexander Safanov	RX 56

 MAERSK LINE		NON-NEGOTIABLE WAYBILL		SOAC MAEU 41 No 560010878
Shipper MARINE TRANSPORT LOGISTICS INC 63 NEW HOOK ROAD BAYONNE NJ 07002 UNITED STATES		Booking No. 560010878		Expiry Reference EO-20294
Consignee MIDDLE EAST ASIA ALFA FZE JUMEIRAH VILLAGE CIRCLE, EMIRATES GARDEN MULBERRY-2, FLAT 119, DUBAI, UAE TEL: 97144340897		Date of Contract 6-4-2011		This contract is subject to the terms and conditions, including the law & jurisdiction clause and limitation of liability & declared value clauses, of the current MAERSK Line B/L of Loading Consignee from the carrier to consignee and at www.maerskline.com, which are applicable with respect to the cargo (multiple packages). In the event necessary to deliver the Consignee to sea and to be used under this contract, the Shipper on entering into the contract does so on the carrier's behalf and as agent for and on behalf of the Consignee and warrants that he has the authority to do so. The shipper shall be deemed to charge the Consignee at any time before delivery of the goods provided for given the Carrier's responsibility notes in writing. Delivery will be made to the Consignee or the authorized agent on production of reasonable proof of identity (and, in the case of an agent, reasonable proof of authority) without endorsement of this waybill. The Carrier shall be under no liability whatsoever for misdelivery unless caused by the Carrier's negligence. Carrier's liability limited (but not of Carrier's obligation to deliver) to the value of the goods as declared in the contract.
Trade Name SAME AS CONSIGNEE	Vessel MAERSK WYOMING	Voyage No. 1307	Port of Loading NEWARK	
Port of Discharge JEBEL ALI, UNITED ARAB EMIRATES		Port of Delivery (if applicable only when different from the Port of Discharge)		

PARTICULARS FURNISHED BY SHIPPER

1 Container Said to Contain 2 Vehicles 2011 MONTEREY VIN# HGFM1931011 2002 CHAPARRAL VIN# FG8J1748G102 K20130502013089 MSKU4005380 45 DRY 9'6 2 Vehicles 5329.71 KGS Shipper Seal : 268174 THESE COMMODITIES, TECHNOLOGY, OR SOFTWARE WERE EXPORTED FROM THE UNITED STATES IN ACCORDANCE WITH THE EXPORT ADMINISTRATION REGULATIONS. DIVERSION CONTRARY TO U.S. LAW PROHIBITED. SHIPPER'S LOAD, STOW, WEIGHT AND COUNT PREPARED CV/CY	Weight 5329.71 KGS	Measurement
--	------------------------------	-----------------

Product & Charges	Unit	Unit	Quantity	Product	Charge
Carrier's Mark, Description of Goods, or other marks as required by Law 1 container Date of Issue of B/L (if applicable) 2013-05-05	Date of Issue of B/L Charlotte Date of Issue of B/L (if applicable) 2013-05-28	Shipped, as far as is stated, under the responsibility of the carrier, in separate goods and under the carrier's supervision, stored in the total number of quantity of Containers or other packing, as or under the label in the box opposite marked "Carrier's Receipt"			
Original Value of Goods (as per Law) & the Carrier's Liability (if applicable) for Goods as per Law of USA		Signed by the Carrier A.P. Pallas - Master A/S Trading as Maersk Line  Maersk Agency U.S.A., Inc - Charlotte CRC As Agent for the Carrier			
Shipper MARINE TRANSPORT LOGISTICS HOOK RD BAYONNE NJ 07002					

RESP 001

RX 01

BILL OF LADING

2. EXPORTER (Print/letter reference and address including ZIP Code) Marine Transport Logistic Inc 63 NEW HOOK RD, Tel: 2019589600, BAYONNE, NJ 07002, USA ZIP CODE		3. DOCUMENT NUMBER 560083476	4a. BILL NUMBER EO-20756
3. CONSIGNEE TO Middle East Asia Alfa FZE Jumeirah Village Circle, Emirates Garden 2 Mulberry-2, flat 119, Tel: 971 4 434 0897, DUBAI, UNITED ARAB EMIRATES		7. FORWARDING AGENT (Name and address - reference) Marine Transport Logistic Inc 63 NEW HOOK RD, BAYONNE, NJ 07002, USA	
4. NOTIFY PARTY/INTERMEDIATE CONSIGNEE (Name and address)		8. PORT (STATE) OF ORIGIN OR FTZ NUMBER	
12. PRE-CARRIAGE BY		13. PLACE OF RECEIPT BY PRE-CARRIER	
14. EXPORTING CARRIER SEA LAND MERCURY / 1311		15. PORT OF LOADING/EXPORT Newark	
16. DRAUGHT PORT OF UNLOADING (Vessel and/or air way)		17. PLACE OF DELIVERY BY SH-CARRIER	
11. TYPE OF MOVE Vessel, Containerized		11a. CONTAINERIZED (Vessel only) Yes ☒ No	
MARKS AND NUMBERS (10) PONU3045771 7268064 WR 63794 WR 64551	NUMBER OF PACKAGES (11) 1 PCS 1 PCS	DESCRIPTION OF COMMODITIES (20) 45 Ft. High Cube auto 2007 Four Winns VIN:GFNMN113E707 2008 CHAP BOAT VIN:FGRL3738D808 AES XTN: 123456789-HBOL13826	GROSS WEIGHT (21) 2948.35 Kg 1587.57 Kg
MEASUREMENT (22) 2		4535.92 Kg 0.00 m³	
DECLARED VALUE US\$ _____ SUBJECT TO EXTRA FREIGHT AS PER TARIFF AND CLAUSE 7 (a) OF THIS B/L			
FREIGHT RATES, CHARGES, WEIGHTS AND/OR MEASUREMENTS			
SUBJECT TO CORRECTION	PREPAID	COLLECT	
GRAND TOTAL			

ACKNOWLEDGED BY THE CARRIER (Print/letter reference and address including ZIP Code)
 Marine Transport Logistic Inc
 63 NEW HOOK RD, BAYONNE, NJ 07002, USA
 DATED AT Bayonne
 SIGNED ON BEHALF OF THE CARRIER
 05/22/2013
 Month / Day / Year
 B/L No. **EO-20756**

RESP 005

RX 04

BILL OF LADING

PEER Principal or Seller (consent and full address) MIDDLE EAST ASIA ALEA FZE HARJAH, UAE BOX : 51352 TEL : 0971 4 4340897 FOB : 0971 56 1440911		BOOKING NUMBER 020188407		BL NUMBER/PAGE 1 OF 1 APLU 020188407	
ADDRESSEE (Name and Full Address / Non-Negotiable Unless Consigned to Order) (Unless provided otherwise, a consignment "In Order" means To Order of Shipper.) MARINE TRANSPORT LOGISTIC FEW HOOK ROAD 63 LAYONEE NJ07002 TEL : 201 858 8600 FAX : 201 858 8607		EXPORT REFERENCES DEC # 2010183656214			
NAME OF CONSIGNEE AS CONSIGNEE		FORWARDING AGENT (Reference F.M.C. No.) AEC CARGO SERVICES LLC 206, MOHD AL TAYAR BLDG AL MINA ROAD, BUR DUBAI			
		PORT AND COUNTRY OF ORIGIN OF GOODS UNITED STATES			
		ALSO NOTIFY (Name and Full Address) / DOMESTIC ROUTING / EXPORT INSTRUCTIONS / PEER - TERMINAL / ONWARD ROUTING FROM POINT OF DESTINATION			
TOTAL CARRIAGE (MODE)		PORT OF DEPARTURE SEBEL ALI, DUBAI			
PEER OVERCOVER & Seal 009		PORT OF DESTINATION SEBEL ALI, DUBAI			
PEER TERMINAL, NJ		PEER TERMINAL,			

Bill of Lading		PARTICULARS FURNISHED BY SHIPPER		Payment by Cheque must be made to the order of APL Co. Pte Ltd.	
NO OF PKGS	CONTAINER NOS	QUANTITY & DESCRIPTION OF GOODS	GROSS WEIGHT	MEASUREMENT	
1	SC CTRF001/E	UNIT AA LV73500.09.00 SLAC CY/CY 2008 CHAPARRAL BOAT VIN NO FGBL3738D808 2011 MONTEREY BOAT VIN NO RGPMC1931011	5500.000KG 2125.410LB	40.000M3 1412.588CF	
	FREIGHT PREPAID				
CTR NBR RLU664213-4	****SEAL NBR**** AM30032658	T/S HT MODE QUANT/TYPE D40 96 CY/ CY 2UNIT	WEIGHT 5500.00KG		
	**SHIPPER'S LOAD, STOW AND COUNT **				
OBA	DUBAI, UAE	SHIPPED ON BOARD MAY. 30, 2014			
		** FREIGHT PREPAID * ***** APL COPY ***** ** NON-NEGOTIABLE * **** APL COPY **** ** NON-NEGOTIABLE **			

[illegible]

RESP 006

RX 05

ALLA SOLOVYEVA
CROCUS INVESTMENTS vs. MARINE TRANSPORT

November 19, 2015
1-4

FEDERAL MARITIME COMMISSION -----X CROCUS INVESTMENTS LLC and CROCUS FZE, Complainants, Docket No. -against- 15-04 MARINE TRANSPORT LOGISTICS, INC. and ALEXSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP, INC. Respondents. -----X November 19, 2015 10:53 a.m. Deposition of ALLA SOLOVYEVA, taken by Complainants via video conference at the offices of Esquire Deposition Solutions, 1384 Broadway, New York, New York, before Anneliese R. Tursi, a Registered Professional Reporter and Notary Public within and for the State of New York.	Page 1 STIPULATIONS Page 3 IT IS HEREBY STIPULATED AND AGREED by and between the attorneys for the respective parties herein that filing and sealing be and the same are hereby waived. IT IS FURTHER STIPULATED AND AGREED that all objections, except as to the form of the question, shall be reserved to the time of the trial. IT IS FURTHER STIPULATED AND AGREED that the within deposition may be signed and sworn to before any officer authorized to administer an oath with the same force and effect as if signed and sworn to before the Court.
Page 2 APPEARANCES THE LAW OFFICE OF LOUIZA TARASSOVA, P.A. Attorneys for Complainants 1420 Lake Baldwin Lane Unit A Orlando, Florida 32814 BY: LOUIZA TARASSOVA, ESQ. 407-622-1885 louiza@mylawadvocate.com (Present via video conference.) CICHANOWICZ, CALLAN, KEANE, VENGROW & TEXTOR, LLP Attorneys for Respondents 61 Broadway Suite 3000 New York, New York 10006-2802 BY: STEPHEN H. VENGROW, ESQ. 212-344-7042 svengrow@eckvt.com	Page 4 1 A. SOLOVYEVA 2 ALLA SOLOVYEVA, 3 residing at 420 Jansen Street, Staten 4 Island, New York 10312, having been 5 first duly sworn/affirmed by the Notary 6 Public (Anneliese R. Tursi), was 7 examined and testified as follows: 8 EXAMINATION BY MS. TARASSOVA: 9 Q. Good morning, Ms. Solovyeva. 10 A. Hello. 11 Q. Were you in the room earlier when 12 I was going over the ground rules for the 13 deposition? 14 A. Well, I didn't listen to your 15 questions, whatever you said. 16 Q. Okay. I will begin from the 17 beginning. 18 Have you ever been to a deposition 19 before? 20 A. Yes. 21 Q. How many times? 22 A. I cannot recall that. 23 I'm the owner of the company. 24 MR. VENGROW: Talk to her. Don't 25 talk to me.



800.211.DEPO (3376)
EsquireSolutions.com

RX 06

Page 5

1 A. SOLOVYEVA
2 A. Sometimes I have this.
3 Q. So how many times -- is it between
4 one and five or five and ten or ten and 15?
5 A. I cannot say that. I don't
6 remember.
7 Maybe a couple of times.
8 Q. Maybe how many?
9 A. Maybe a couple of times.
10 Q. I want to go over the ground rules
11 for the deposition. Basically, I'm sure you
12 have heard it before, but I just want to
13 refresh your memory again.
14 I'm going to assume that you
15 understood my questions, unless you ask me to
16 rephrase the question or restate the question.
17 Okay?
18 A. Okay.
19 Q. So if you don't understand what
20 I'm asking, please stop me and ask me to
21 restate it, rephrase it, so that you can
22 understand it. Okay?
23 A. Okay.
24 Q. I am going to need a verbal
25 response from you. Sometimes we tend to

Page 6

1 A. SOLOVYEVA
2 naturally nod or shake our heads instead of
3 saying yes or no. If you can just give me a
4 verbal response -- yes, no, maybe -- so that
5 way the court reporter can put it down on the
6 record properly. Okay?
7 A. Okay.
8 Q. So throughout the deposition your
9 attorney or I may be making objections. Don't
10 let that throw you off. Stop answering the
11 question, wait for us to resolve the issue and
12 then continue to answer when you have an
13 instruction. Okay?
14 A. Okay.
15 Q. Are you on any kind of medication
16 today that might prevent you from remembering
17 certain facts?
18 A. No.
19 Q. Are you suffering from any kind of
20 an illness that may prevent you from being
21 able to attend this deposition and answer the
22 questions?
23 A. No.
24 Q. What is your address?
25 A. It's 420 Jansen Street, Staten

Page 7

1 A. SOLOVYEVA
2 Island, 10312.
3 Q. And who lives there with you?
4 A. My daughter.
5 Q. And what is her name?
6 A. Danielle Solovyeva.
7 Q. Are you married?
8 A. I don't have to answer this
9 question.
10 Q. I'm going to ask you to answer the
11 question. That is the point of the
12 deposition. I get to ask you questions --
13 A. I think it is a personal question.
14 MR. VENGROW: Can I speak to her a
15 second. You have to answer the
16 question.
17 (Discussion off the record.)
18 A. I'm not divorced, but I'm living
19 apart with my husband.
20 Q. Are you currently separated?
21 A. Well, we're living apart.
22 Q. And what is your husband's name?
23 A. Aleksandr Solovyeva.
24 Q. Does Mr. Solovyeva ever live at
25 that address that you say you live at now?

Page 8

1 A. SOLOVYEVA
2 A. Yes.
3 Q. And when did he move out?
4 A. I cannot recall that.
5 Q. Was it this year?
6 A. No.
7 Q. Was it last year?
8 A. I cannot recall that, ma'am. I
9 don't want to lie to you. This year, last
10 year or five years ago.
11 Q. I'm asking you generally to answer
12 the question. I'm certainly not going to hold
13 you to the wrong date. I just want --
14 A. I understand, ma'am. This is what
15 I'm saying to you. I cannot recall that. It
16 wasn't this year and it wasn't last year.
17 Q. So was it two years ago?
18 A. I cannot recall that, ma'am.
19 Q. Other than your daughter, does
20 anyone else live at your address?
21 A. I have a dog.
22 Q. Any human beings?
23 A. It's a human.
24 MR. VENGROW: Alla --
25 THE WITNESS: That's fine.

Page 9 1 A. SOLOVYEVA 2 Q. I agree with you. I have a dog as 3 well. They are like people. 4 Can you please tell me what your 5 phone number is that you use. 6 A. 718-612-2119. 7 Q. And is that a mobile? 8 A. Yes. 9 Q. And an e-mail address, all e-mail 10 addresses that you use. 11 A. It is Alla, A-L-L-A, at 12 MTLWorld.com. 13 Q. Is that the only address that you 14 use? 15 A. Yes. 16 Q. Are you currently employed? 17 A. Yes. I'm the owner. 18 Q. Of Marine Transport Logistics? 19 A. Exactly. 20 Q. Are you employed by anyone else? 21 A. No. 22 Q. Before you owned Marine Transport 23 Logistics -- first of all, let me go back. 24 When was Marine Transport 25 Logistics opened?	Page 11 1 A. SOLOVYEVA 2 company. I am the only one, decisionmaker, 3 and I have a hundred percent of all stocks in 4 the company. 5 Q. So can you describe to me your 6 daily duties. What do you do on a daily basis 7 for the company? 8 A. Okay. Basically, I am handling 9 all service contracts with the ocean carriers, 10 and I am reviewing the inventory and I am 11 asking my employees how much inventory we have 12 and what is the plan for the shipping and the 13 loading, and if they have any problems. 14 Then I open my e-mail box and I 15 read through. I answer all e-mails. 16 And sometimes I'm running meetings 17 with the different departments. 18 Then I'm asking my accountant if 19 everything is okay with the accounts and if 20 any checks were bounced. 21 So this is the daily routine. 22 Q. And would you say you are there 23 pretty much every day at the office? 24 A. Yes. I am every day in the 25 office, yes.
Page 10 1 A. SOLOVYEVA 2 A. I believe in 2001. 3 Q. Before you opened Marine Transport 4 Logistics, were you employed? 5 A. Yes. I had the same company 6 located in Brooklyn, New York, but the name of 7 the company was a little bit different. 8 Q. And what was the name at the time? 9 A. I believe it was MTL Worldwide, or 10 it was MTL Marine Transport Logistics, 11 something like that. 12 I think it was MTL Marine 13 Transport Logistics. 14 Q. And what state was that company 15 registered in? 16 A. New York. 17 Q. Other than being the owner of 18 Marine Transport Logistics, do you hold any 19 other role with the company? 20 A. Such as? 21 Q. The president, the vice 22 president -- 23 A. I hold all roles in my company. 24 Q. I'm sorry, what? 25 A. I'm holding all roles in my	Page 12 1 A. SOLOVYEVA 2 Q. What is the physical address for 3 MTL? 4 A. It is 63 New Hook Road, Bayonne, 5 New Jersey, 07002. 6 Q. Are any other businesses located 7 at that address? Does MTL allow any other 8 businesses to use that address? 9 A. MTL is a tenant. I'm not the 10 landlord. So the building has plenty of 11 different companies and a law office, and my 12 competition as well. 13 Listen, it is a lot of companies. 14 Trading companies. 15 Q. Who is your landlord? 16 A. He is -- it is Jerham Realty. 17 Q. How do you spell that? 18 A. It is hard to say. I don't 19 remember the exact spelling. I believe it is 20 J-E-R-H-A-M. Jerham Realty. 21 Q. Who is the person that you deal 22 directly with? 23 A. A Lenny. 24 Q. How do you spell that? 25 A. L-E-N-N-Y.

Page 13

1 A. SOLOVYEVA
2 Q. Lenny?
3 A. Yes.
4 Q. Is that a male or female?
5 A. It's a male.
6 Q. Does he have a last name?
7 A. I don't remember his last name.
8 Q. How long has MTL been renting from
9 Jerham Realty at 63 New Hook Road?
10 A. Approximately eight years.
11 Q. And do you have a lease?
12 A. Yes.
13 Q. And how long is that lease for?
14 A. It's -- we reviewing lease every
15 five years.
16 Q. When is it expiring next time?
17 A. I believe in two years.
18 Q. When does it expire next time,
19 when is the renewal coming up?
20 A. I just told you. In two years.
21 Q. In two years. I'm sorry. This
22 audio is bad.
23 A. That's okay.
24 Q. So in 2017 you are due to renew?
25 A. '17 or '18.

Page 14

1 A. SOLOVYEVA
2 Q. Does the company have a website?
3 A. Yes.
4 Q. What is the website domain?
5 A. It's MTLWorld.com.
6 Q. Does that have a Facebook page?
7 A. Yes.
8 Q. Does that have a LinkedIn page?
9 A. Yes.
10 Q. And who is responsible for
11 updating the contents on the website, LinkedIn
12 and Facebook?
13 A. I have an IT engineer.
14 Q. And do you sign all the documents
15 on behalf of the company?
16 A. If it is required.
17 Q. Does anyone else have any power to
18 sign any documents on behalf of the company?
19 A. No.
20 Q. Does your husband work for MTL?
21 A. He's not working for MTL. He's
22 working for his own companies.
23 Q. And what are --
24 A. It's just like business
25 relationship.

Page 15

1 A. SOLOVYEVA
2 Q. What companies does he own?
3 A. Well, you have to ask him this
4 question. I know of just a couple of
5 companies. I know Royal Finance and World
6 Express and Connection.
7 Q. And what is the relationship
8 between MTL and his companies?
9 A. Well, since his companies handling
10 all loading process and storing of the cargo
11 of MTL.
12 But not just MTL. We are one of
13 his customers. Let's put it this way.
14 So I am requesting, not me, but my
15 staff when it is needed, we are requesting
16 loading from him, and this is his job.
17 Q. Is his company, World Express and
18 Connection, is that also located at 63 New
19 Hook Road in New Jersey?
20 A. Which one?
21 Q. The World Express and --
22 A. No, it's not. No, it's not.
23 It has a different address.
24 Q. Do you know the address?
25 A. 70 Lefante Drive, Bayonne, New

Page 16

1 A. SOLOVYEVA
2 Jersey, 07002.
3 Q. That's down the street from the 63
4 New Hook Road?
5 A. Yes.
6 Q. Did he recently move the company
7 there?
8 A. No. He was there from the day
9 one.
10 Q. Does MTL participate in providing
11 goods for clients, do they go out to the
12 auction and purchase vehicles or vessels?
13 A. Ma'am, you have to rephrase it. I
14 don't understand.
15 Q. Does your company, MTL, does it
16 participate in obtaining goods for your
17 clients? Such as, going to an auction and
18 buying vehicles or vessels.
19 A. Vessels?
20 Q. Yes.
21 A. We are not buying vessels. What
22 vessels?
23 Q. Does MTL buy any goods for your
24 clients?
25 A. No, we never go physically and we

Page 17

1 A. SOLOVYEVA
2 never buy anything from auctions.
3 But what we can do, if the
4 customer is asking us to pay for some
5 purchases they did, and that they will pay us
6 back, we might do that. We might support the
7 customers.
8 Q. Can you give me more detail about
9 how you would do that.
10 A. Well, some of the customers, for
11 example, if they have problems with the money,
12 it is stuck somewhere, or it will take like a
13 couple of days and they need to pay to the
14 auto auction for purchase of the vehicle, so I
15 might chip in.
16 But usually this is not the case.
17 I don't like to do that.
18 Q. Do you mean you lend money to
19 clients?
20 A. I don't lend money. It is not
21 lending.
22 It is just, I am paying for the
23 purchase so he is not going to get stuck with
24 the penalty charges.
25 Then, like, in a couple of days he

Page 18

1 A. SOLOVYEVA
2 pays me back. But it is a very rare
3 situation.
4 Q. Who signs checks on behalf of
5 Marine Transport Logistics?
6 A. Only me.
7 Q. Has your husband ever signed
8 checks on behalf of Marine Transport
9 Logistics?
10 A. He has no access to my checkbook,
11 and all my checks are getting printed. We
12 have printed forms. So it's impossible.
13 Q. Has your husband ever been a
14 representative or an agent on behalf of Marine
15 Transport Logistics?
16 A. Yes.
17 Q. In what capacity? Can you explain
18 that.
19 A. Well, see that I have a different
20 sources of how to sell my company services,
21 and how to produce the income, and you see
22 that any person can act on behalf of my
23 company as a broker.
24 For example, if you have a friend
25 and your friend is asking you, your friend is

Page 19

1 A. SOLOVYEVA
2 located overseas asking you to export a
3 container or some goods out of United States
4 or to overseas, then you are acting as the
5 agent for your customer, for your friend, and
6 for me.
7 So you are calling to me and you
8 are saying, you know what, I need to send
9 these goods outside. Can you please help me
10 out. I will give you the business.
11 Or, you know, it could be just not
12 on one occasion. It could be on many
13 different occasions.
14 So I do have these kind of people
15 who support my company with the business.
16 Q. And can you talk to me about how
17 your husband has done that in the past with
18 the company, how he has been an agent.
19 A. Well, it is very simple. You see
20 that he is selling his company services. It
21 is loading and storing and building something
22 on his lot, but very often the customer is
23 asking for the full services, not just the
24 loading, but the ocean freight as well. So
25 Alex sometimes he is asking me for the rate,

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1 A. SOLOVYEVA
2 how much it might cost, and then he is asking
3 not just me. He might ask somebody else, also
4 as well. I'm not the only choice he has and
5 he is working with.
6 So then, you know, it is like a
7 mutual benefit. He is loading. He has a job
8 for the loading and supporting his people, and
9 I have a job for my people in the office.
10 Q. How many employees does MTL have?
11 A. In all, it is, besides me, it is
12 12.
13 Q. And those are all office
14 employees?
15 A. Yes. But see, the employees, it
16 means that the people are getting W-2. Not
17 all my employees are on W-2. Some.
18 Q. You have contractors?
19 A. Yeah. I have -- yes, I have two
20 consultants and it is salespeople, and then I
21 have one consultant who is working in office
22 and, like, doing meetings, and, you know, more
23 like in HR.
24 And then I have documentation
25 department. And I have ro-ro department. R-O

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1 A. SOLOVYEVA
2 R-O. I have ro-ro department. It is
3 everything what is not containerized.
4 And I have loading department, and
5 domestic inland transportation.
6 Q. Have you ever heard of Alexander
7 Safonov?
8 A. Excuse me?
9 Q. Have you ever heard of Alexander
10 Safonov?
11 A. I have no idea who this person is.
12 Q. What do you know about the
13 transactions that are at issue in this case?
14 A. I don't know what the case is
15 about.
16 Q. What do you mean you don't know
17 what the case is about?
18 A. Well, you see, I have, I'm moving
19 approximately 10,000 containers per year, and,
20 you know, I cannot physically put my nose in
21 each shipment.
22 So I would like you to be a little
23 bit more specific.
24 Q. Well, you have, your company has
25 been sued in the Federal Maritime Commission.

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1 A. SOLOVYEVA
2 Do you know that?
3 A. Yes, I know that.
4 Q. And the complaint, the complainant
5 filed a complaint, a formal complaint where
6 they describe what the lawsuit is about. Do
7 you know that?
8 A. Um-hmm. Yes, I know.
9 Q. And there has been some discovery
10 served, there are documents that have been
11 served to your attorney that further describe
12 what the case is about.
13 Have you seen those?
14 A. Hold on a second.
15 (Witness/attorney colloquy.)
16 A. You see, I saw some documents.
17 I'm not the lawyer. I'm not professional.
18 The documents what you exchanged on 26.
19 MR. VENGROW: Excuse me. She
20 means Rule 26, not the 26th as a
21 calendar day.
22 A. I saw some documents and I read
23 them, but, you know, I'm not professional. I
24 don't understand. I understand only in
25 shipping.

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1 A. SOLOVYEVA
2 Q. I'm not talking about legal
3 documents. I'm talking about e-mails between
4 your husband, as agent for MTL, and the
5 complainant, the Crocuses, Crocus in Dubai and
6 the Crocus in Florida.
7 A. No, ma'am. I never saw this
8 document, and I never was involved in any
9 e-mails. I never was copied. And so I have
10 no idea what this is all about.
11 Q. Did you receive a notice of
12 deposition that described the scope of today's
13 deposition?
14 A. Yes, but, you see, that the name
15 of the company Crocus is not familiar to me.
16 MR. VENGROW: Just answer the
17 question. Okay. She just asked you if
18 you received this. That's all.
19 Q. But did you see the notice of
20 deposition that was served on your company
21 Marine Transport Logistics that --
22 A. Yes.
23 Q. -- asks the person that will be
24 testifying today to be apprised of the
25 information within the notice?

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1 A. SOLOVYEVA
2 A. Yes, but if I don't have the
3 information....
4 Q. So what you are saying is you
5 don't have any information.
6 Did you go back and try to look
7 for documents that relate to --
8 A. Ma'am, I just stated to you that I
9 was not copied in e-mails between Alex and
10 Crocus, and this company never was my
11 customer. So I cannot be involved or familiar
12 with the company which never was a customer of
13 my company.
14 Q. Who was the customer of your
15 company in that transaction?
16 A. The customer was Andrey Tretyikov.
17 Q. He was MTL's customer?
18 A. Well, in some occasions he was.
19 But what I know, that in some occasions he was
20 a customer of Royal Finance.
21 Q. Who was the -- the question I
22 asked, who was MTL's customer in this
23 transaction? Who did MTL serve?
24 A. In this transaction, you mean
25 these transactions for these two boats?

Page 25	Page 27
1 A. SOLOVYEVA 2 Q. The three boats, the Monterey, the 3 Chaparral and the Formula. 4 A. I think only two boats were 5 exported. 6 Q. I'm referencing our complaint 7 where we describe the things that we describe. 8 I'm talking about everything today. So you 9 tell me. 10 Who was the customer, who did MTL 11 deal with in this transaction in relation to 12 the complaint? 13 MR. VENGROW: Counsel, don't you 14 have copies of these in your own files? 15 We sent them to you. You can ask 16 questions based on what you have. This 17 deposition will go quicker, because I'm 18 not sure I understand your questions. 19 THE WITNESS: Me too. 20 Q. You are saying that you don't know 21 anything about this lawsuit. Right? That's 22 my understanding that's what you said. 23 MR. VENGROW: No, you are 24 misrepresenting what she is saying. 25 You produced a topical list. She	1 A. SOLOVYEVA 2 The documents, what I can see 3 only, it's a bill of ladings and it's 4 invoices. 5 What other documents I should see? 6 Then she ask me that if I saw the 7 e-mails, exchanging e-mails between 8 Aleksandr Solovyev and company Crocus. 9 I never saw these e-mails. I was 10 not involved or copied in these e-mails. 11 So then she suggested that I don't 12 know nothing. 13 BY MS. TARASSOVA: 14 Q. Ma'am, let me clarify this for you 15 because I think you are confused. Let me 16 explain to you. 17 In this case there have been 18 documents, these e-mails that I'm talking 19 about, my client produced them to your 20 attorney. Your attorney is supposed to show 21 you these documents as part of the case. 22 These are not legal documents and it is okay 23 if you were not cc'd on them. They have been 24 disclosed to you at this time. 25 I'm asking: Have you seen the
Page 26	Page 28
1 A. SOLOVYEVA 2 can talk to that. Why don't you ask her 3 questions on those. Maybe that will 4 help you to go forward. 5 MS. TARASSOVA: Right. Can we go 6 off the record for a second. 7 MR. VENGROW: Sure. 8 (Discussion off the record.) 9 MR. VENGROW: Go on the record. 10 Say what you want -- we were off the 11 record. 12 We are off the record right now. 13 (Discussion off the record.) 14 MR. VENGROW: Back on the record. 15 I'm going to ask this one question 16 of my client. 17 MS. TARASSOVA: Okay. 18 MR. VENGROW: Did you state that 19 you don't know anything about this case? 20 THE WITNESS: No, I did not. 21 MR. VENGROW: Can you -- 22 THE WITNESS: What I think 23 occurred: She asked me if I saw any 24 documents. And I asked her what 25 documents.	1 A. SOLOVYEVA 2 e-mails between your husband and Mr. Safonov 3 in this case? Have you seen a copy of those 4 e-mails yet? Has your attorney showed them to 5 you? 6 MR. VENGROW: I didn't show them 7 to you. 8 A. No, I didn't see them. 9 MR. VENGROW: There is another 10 defendant in this case. You realize 11 that? 12 MS. TARASSOVA: I'm sorry? 13 MR. VENGROW: There is another 14 respondent in this case, which is Alex 15 and this a/k/a. 16 MS. TARASSOVA: I'm just asking 17 her a question. That's all. 18 A. Ma'am, I didn't see those e-mails 19 because those e-mails are not my concern. It 20 is e-mails between Aleksandr Solovyeva and 21 Crocus, and Crocus is not my customer. 22 So Alex is sending on a daily 23 basis, I don't know how many thousands of the 24 e-mails, and I don't understand why I should 25 be involved or read them. It's not -- it's

Page 29 1 A. SOLOVYEVA 2 not my business. 3 Q. How was MTL involved in this case? 4 A. MTL provided Andrey Tretyikov with 5 the transportation and with the loading of his 6 boats. 7 So when my company, we have 8 specific department who receives the e-mails, 9 if the customer wants to ship something out. 10 So then after this request, we 11 start work on the process, then we are doing 12 the loadings, then we are producing bill of 13 lading, then the invoices, and send it over 14 to the customer. This is basically what my 15 company is doing. 16 Q. And when you talk about the 17 specific departments, what is the name of the 18 department that deals with that? 19 A. Loading department. 20 Q. Who works in the loading 21 department? 22 A. At that time when this occurred it 23 was Irina Polkovnik, but she is not with the 24 company any more. 25 Q. And other than Irina Polkovnik,	Page 31 1 A. SOLOVYEVA 2 customer, or it could be a customer. It could 3 be anybody. 4 So this department is basically 5 receiving all e-mails with requests. 6 Q. Did you work with Alex Solovyeva 7 directly? Did MTL and Alex have any 8 communications? 9 A. Well, usually how it happens that 10 Alex Solovyeva is just, you know, as a broker 11 he just sends the request, or his customers 12 might send request for the services and then 13 my loading department is just sending to me a 14 general e-mail. I even don't know who is the 15 customer because we have all rates for the 16 services like preset. It is basically almost 17 all the same. So it is, they send to me 18 request stating something like that. 19 Alla, how much it's going to cost 20 to ship out a vehicle or a boat this size from 21 the point A to point B? 22 So then I contact with the loading 23 manager, the loading manager outside who is 24 doing physical loading, and I ask him that, 25 what it will take to load this boat, if the
Page 30 1 A. SOLOVYEVA 2 did anyone else deal directly with this 3 transaction? 4 A. I don't think so because she was 5 involved in loading, unless if she was sick. 6 Q. And who made the request? Who did 7 the request come from? 8 A. Ma'am, I cannot say that because 9 we have this request, thousands of requests on 10 a daily basis. 11 This is what my employees, their 12 duties, they are receiving e-mails and they 13 are answering these e-mails and they're doing 14 what they have to do. 15 Q. So you are saying the request 16 would have come in through an e-mail? 17 A. Yes. 18 Q. And to whose e-mail address? 19 A. It is usually it was Irina 20 Polkovnik at MTLWorld.com. 21 So, ma'am, I just want to point to 22 you, it could be anybody. It could be you who 23 sends this first information what you want to 24 get loaded. It could be Steve. It could be 25 Alex if he wants to ship on behalf of his	Page 32 1 A. SOLOVYEVA 2 cargo is oversized cargo, or it is not 3 vehicle. Because with the vehicles we always 4 know. Or it's the pallets, because it is 5 standard cargo. 6 So if it is not standard cargo, so 7 then I make a phone call or I send a text 8 message to the loading manager and ask him, 9 listen, what do you think how much it might 10 cost and how long time it will take you. 11 So he is giving me the numbers, 12 and he is telling me, this boat will go with 13 the turn on the side, this boat will go 14 straight, you can consolidate this boat with 15 something else. So it is just routine, 16 routine request. 17 And then I make my decision on how 18 I will export and what I can offer to the 19 customer and what I can produce as an income 20 for the company, and I send back e-mail to my 21 loading division or department and I'm saying, 22 okay, I have this boat, we can consolidate for 23 something else. Do you have any more units or 24 not? Or if the customer agrees to consolidate 25 with another vehicle, or this boat is too big

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1 A. SOLOVYEVA
2 and we cannot consolidate. It is going to be
3 a straight shipment.
4 So then I give the rate out and
5 usually salespeople -- so the loading
6 department is taking all information from the
7 customer, if they know this customer, if they
8 are just confirming if this customer will be
9 on the bill of lading as a shipper.
10 So they ask me or they ask my
11 sales department people to create a rate quote
12 in the system.
13 Based on the rate what I
14 produced -- and it is only on oversized cargo.
15 And then one of us, me or salespeople, we are
16 issuing rate quote and then the loading
17 department, based on this rate quote, is
18 requesting the loading and they requesting the
19 empty container from the trucking company and
20 so they load. This is their job on a daily
21 basis.
22 Q. Okay. I saw some invoices from
23 MTL to I think Royal Finance Group. Can you
24 explain what that's about, what the invoices
25 from MTL are in this case, because I think

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1 A. SOLOVYEVA
2 there has been some storage fees that either
3 MTL had to pay for in regards to the boats.
4 Can you clarify how that works with one
5 company paying for another company and then
6 invoicing each other. How did that work?
7 A. Well, we have separate businesses
8 and separate activities and we are not sharing
9 the same incomes.
10 So World Express is providing my
11 company with the loading and sometimes I am
12 asking --
13 Q. I'm sorry, can I stop you for a
14 second.
15 You said World Express provides
16 your company?
17 A. World Express. It is warehouse is
18 providing my company with the loading
19 services.
20 Q. But I thought we were, and correct
21 me if I am wrong, I thought MTL had its own
22 loading department?
23 A. No, loading it means the
24 documentation department. We do loading only
25 on a piece of paper. It is inside of the

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1 A. SOLOVYEVA
2 software what we have. And the loading,
3 physical loading, is World Express who is
4 outside.
5 Q. Because I thought he had mentioned
6 earlier that when you are trying to ascertain
7 a quote for oversized goods, you go outside to
8 your loading guy?
9 A. I don't go. I call. It is not
10 mine. What I said to you, it is the loading
11 manager, but it is not my manager. And he is
12 not, this loading manager is not an employee
13 of my company. So I'm just calling, because
14 since it is a manager and he is doing this
15 specific work, and he knows how to load, so I
16 am asking him how much and what it take to
17 load this oversized cargo.
18 Q. Who is the loading manager?
19 A. His name is Stoli.
20 MR. VENGROW: Where does he work?
21 Tell her where he works.
22 A. He works for World Express and
23 Connection.
24 Q. That's why I'm confused.
25 So your husband's company World

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1 A. SOLOVYEVA
2 Express and Connections, what is it, like next
3 door to MTL?
4 A. It's around the block. The other
5 side of the building we have, he has a lot and
6 all cargo from his customers are getting
7 accepted on this lot.
8 Q. Okay.
9 A. And then on the right side of this
10 lot, he has loading docks and he has, I don't
11 know how many teams of loaders. So they are
12 storing, they are accepting cargo, and then
13 they are loading this cargo inside of the
14 container.
15 Q. So I see here some invoices that
16 were produced to us from World Express and
17 Connections to MTL Transport Logistics Inc.
18 for the storage of the Formula boat at issue,
19 and the other two, the Chaparral and the
20 Monterey.
21 Can you explain how those invoices
22 came about. When did MTL receive those
23 invoices?
24 A. Ma'am, I'm not the accounting
25 department. I have three people working in

Page 37 1 A. SOLOVYEVA 2 the accounting department and all invoices, 3 and invoices from the vendors and invoices 4 from -- to the customers, my company 5 customers, they end up in accounting office, 6 and we have account payable, we have account 7 receivable and we have like a little helper. 8 So they receive their own invoices, and 9 whatever invoices they receive, it is their 10 job, their duties to find out for what 11 services and if it is legitimate invoices. 12 And then they have to see if they were paid 13 for the services my company provided. So then 14 they -- you see, it is routine accounting 15 work. 16 And since Marine Transport 17 Logistics is one of the customers of World 18 Express and Connection, so World Express and 19 Connection bills MTL every work what they are 20 doing for MTL. For example, they bill us for 21 the loading of every container. They give us 22 free time for the storage of the cargo, and 23 then they charge us for the storages if the 24 cargo is on storage for more than 30 days. 25 And this is basically it.	Page 39 1 A. SOLOVYEVA 2 But for this specific, I cannot 3 tell you because I did not get the money. I 4 did not deposit money into the bank, and you 5 see that I was not involved. I'm not the 6 accountant. 7 Q. I'm confused, because earlier you 8 stated that you signed the checks for MTL. 9 A. I sign the checks for the MTL, but 10 I told you that I'm signing -- do you know how 11 many checks I'm signing every day? 12 It's thousands of checks. My 13 checkbook for 700 checks -- It is not the 14 checkbook. It is preprinted forms -- usually 15 is gone in one month. And you are asking me 16 for something that happened like two years or 17 three years ago. 18 Q. Marine Transport Logistics also 19 issued their own invoices to Royal Finance 20 Group in this case. 21 A. Yes, because if Marine issued this 22 invoice, it is routine work inside of my 23 office. 24 So then the Royal Finance in this 25 transaction was like a broker or like
Page 38 1 A. SOLOVYEVA 2 Q. So the invoices that I'm talking 3 about, does MTL owe any money to World Express 4 and Connection in relation to this, for 5 storing the three boats, the Monterey, the 6 Chaparral and the Formula? 7 A. Well, I cannot say that. I'm not 8 sure if my accounting people paid for all the 9 storages. This, I cannot say you that. 10 Usually they pay because it is 11 working like magic. If the invoice has 30 12 days for the payment, they are not looking at 13 the numbers or something like that. They pay. 14 And they know that, you see, if we would not 15 pay, then World Express will stop loading of 16 the containers for my account. 17 Q. So in this case World Express and 18 Connections says that the total bill for 19 storing the three boats is about \$80,000. 20 Did MTL pay World Express and 21 Connections \$80,000 for the storage? 22 A. Ma'am. I just told you that I 23 cannot state what I -- I don't -- I don't 24 know. Because I told you the routine. 25 Usually, we pays for everything.	Page 40 1 A. SOLOVYEVA 2 sometimes Alex is doing -- I don't know, for a 3 customer, and he was acting on behalf of the 4 customer. So this is -- for this reason all 5 the storage charges is getting passed to the 6 right party, who is responsible for the 7 payment. 8 Q. So why would Royal Finance Group 9 be responsible for any invoicing from Marine 10 Transport Logistics? 11 A. I just explained you why just a 12 second ago. 13 Q. Maybe I didn't understand and 14 that's the point of this deposition is for you 15 to clarify certain facts. 16 So how was Royal Finance Group 17 involved in this transaction with Marine 18 Transport? Was there an agreement between 19 Royal Finance Group that they were going to do 20 certain things for Marine Transport Logistics? 21 A. You see, I cannot say what kind of 22 setup Alex and his company Royal Finance had 23 with Andrey Tretyikov. 24 Q. No, I'm talking about directly -- 25 A. Ma'am, I understand.

Page 41 1 A. SOLOVYEVA 2 MR. VENGROW: Be quiet. Let her 3 finish talking. 4 Go ahead, counsel. 5 Q. I'm asking what relationship and 6 what agreement Royal Finance Group had with 7 Marine Transport Logistics. I'm not talking 8 about anything else, just the two companies, 9 what was the agreement? 10 A. We don't have any agreements. It 11 just, you see, if my company was billed for 12 the storages, I have to pass these charges to 13 the right party. And at that moment the right 14 party was Royal Finance. 15 Q. Why was it the right party to pass 16 on the charges? 17 A. So then because Alex was acting as 18 the intermediate party between Andrey 19 Tretykov and MTL. So this is why we passed 20 it to him. 21 Somebody is supposed to pay those 22 charges. It is not my charges. It is his 23 customers charges. 24 Q. I'm just confused and this is why 25 I'm confused. So Alex's company World Express	Page 43 1 A. SOLOVYEVA 2 another company as well. This is what I'm 3 doing when I need to. I have a different 4 vendors and I'm using different services. Not 5 just Alex. 6 Q. And this is what I want to 7 clarify. 8 What did Royal Finance Group 9 request of Marine Transport Logistics? What 10 was the connection there? 11 A. Ma'am, I just stated you before. 12 Royal Finance -- 13 Q. The reason I'm confused -- and let 14 me explain this; the reason I'm confused, you 15 say Alex. I want you to talk in the sense of, 16 you are talking about Alex as in Royal Finance 17 Group or -- 18 A. I see, I'm sorry. 19 MR. VENGROW: I told you be 20 specific. 21 A. I'm sorry. 22 So Royal Finance -- you see that, 23 I'm not involved in daily routine. 24 My different departments in the 25 company are sending e-mails or invoices. They
Page 42 1 A. SOLOVYEVA 2 and Connections sends MTL an invoice. Then 3 MTL sends an invoice back to another one of 4 Alex's companies which is Royal Finance Group. 5 Can you please clarify that for me. Because, 6 I'm telling you, it looks suspicious. 7 A. I don't know what looks suspicious 8 to you. 9 For example, you have two 10 apartments and each apartment is under a 11 different address and a different company, and 12 if, in fact, you received money from one of 13 your company, and the other company was not 14 paid for the rent, is going to be, look 15 suspicious in front of a judge? I don't think 16 so. 17 Alex has a different type of 18 activities in his life. He has different 19 businesses. And you see that his loading 20 business has nothing to do I believe with his 21 Royal Finance business, and he has, for this 22 reason, he has a different companies. 23 So one of his companies providing 24 my company with the loadings. 25 But I can request the loading from	Page 44 1 A. SOLOVYEVA 2 know how to do it because it is a routine for 3 them on daily basis. 4 If my company was billed for the 5 services, which services was not mentioned or 6 included in a rate quote, or out of the 7 ordinary, so then this, they -- usually, if it 8 is not something like, I don't know, out of 9 this world, and it is normal procedure and we 10 have this on a daily basis when we are getting 11 billed from warehouses, and they have five 12 different locations of the warehouses, 13 different warehouses almost in all -- it is in 14 all ports of the United States. 15 Q. Okay -- 16 A. So they bill me. 17 I'm sorry, ma'am, hold on. Let me 18 finish it. 19 Q. It is not answering my question, 20 and I don't want to waste your time. I'm sure 21 you are paying your lawyer a lot of money to 22 sit here. 23 MR. VENGROW: Counsel -- 24 Q. I would -- 25 MR. VENGROW: Excuse me. She is

Page 45 1 A. SOLOVYEVA 2 still giving her answer as she believes 3 she is responding properly to you. 4 MS. TARASSOVA: That's not what 5 I'm looking for. 6 THE WITNESS: Ma'am, let me 7 finish, please. Let me finish. 8 MR. VENGROW: Be quiet. 9 You asked a question and she is 10 trying to give you an answer. Maybe you 11 believe it is not responsive to your 12 question, but she has a right to give 13 you her full answer, and I think you owe 14 her a courtesy to let her speak, and 15 then you can take that answer and bring 16 it back to what you really want. 17 MS. TARASSOVA: It is going on for 18 quite a long time, and I want to save 19 all the parties money. 20 Let me ask the question. Maybe I 21 wasn't specific enough. 22 Q. The question that I'm asking is 23 what role did Royal Finance Group play 24 specifically in this transaction with MTL? 25 That's it.	Page 47 1 A. SOLOVYEVA 2 you that. Because Andrey -- Andrey Tretyikov 3 is a well-known person, and Andrey Tretyikov 4 was in the contact with the different 5 departments in my company, and he was sending 6 request for the loading himself. 7 So, you see, to tell you what the 8 role was between Andrey Tretyikov and the 9 Royal Finance, I cannot tell you that. 10 Q. That's not what I'm asking. What 11 I'm asking is if MTL was issuing invoices to 12 Royal Finance, there must have been some kind 13 of agreement or relationship. 14 Why, if you are getting requests 15 from Andrey Tretyikov, do you think, why 16 wouldn't you issue the invoice to Andrey 17 Tretyikov instead of Royal Finance Group? 18 That's where I'm confused. 19 A. Because -- 20 MR. VENGROW: You can answer. 21 A. Because Andrey Tretyikov was 22 paying to Royal Finance, and Royal Finance was 23 paying to my company. 24 Q. Was there an agreement, like a 25 written agreement that Royal Finance would owe
Page 46 1 A. SOLOVYEVA 2 What was your agreement? Why 3 would Royal Finance Group owe MTL money? 4 A. Because I believe that it was 5 Royal Finance customer who requested to export 6 and load boat out of United States, and Royal 7 Finance was involved in this chain. 8 So when warehouse -- warehouse is 9 billing my company for storage fees. It is 10 automatically we send these charges to the 11 next chain party, and in this chain it was 12 Royal Finance. And I believe that Royal 13 Finance at this point supposed to, if, of 14 course, the owner of this company wants to, 15 send these charges to his customer. 16 Q. I understand that. So can you 17 answer my question. 18 Am I correct in understanding that 19 Royal Finance had ordered the services from 20 MTL on their client's behalf? 21 A. This, I cannot speak to you if 22 Royal Finance was the company who ordered the 23 services. Most likely, Royal Finance was 24 involved maybe in financing, maybe helping to 25 purchase these boats, maybe -- I cannot say	Page 48 1 A. SOLOVYEVA 2 Marine Transport Logistics money? 3 A. There is no agreement, no. It is 4 common procedure. The customer is overseas 5 and they have no ability to pay for services. 6 So I gave you the sample before. 7 So if your friend or your mother 8 cannot pay for the services my company 9 provided to her, and it happens quite a lot, 10 so then she is asking you to pay for her. 11 I don't know what kind of 12 relationship you have with this person, is it 13 your mother, or you want just to give this as 14 a gift. 15 Q. I understand that Royal Finance 16 may have had some agreements and that you 17 can't answer those questions today because you 18 don't own Royal Finance. You are not an 19 appropriate representative for Royal Finance. 20 What you can answer are questions 21 about MTL's relationship with third parties. 22 What I'm asking you is 23 specifically the transactions, communications, 24 dealings, correspondence, things like that. 25 What did Marine Transport Logistics have with

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1 A. SOLOVYEVA
2 Royal Finance Group in connection to the
3 transactions that are at issue in this
4 lawsuit? So is it my understanding that you
5 are not sure?
6 A. No, it is not true. I just gave
7 you explanations back and forth.
8 Q. They were not clear.
9 A. I said the same thing from the
10 different angles, and we are going around the
11 same bushes.
12 MR. VENGROW: Why don't you
13 just --
14 THE WITNESS: I'm sorry.
15 MR. VENGROW: Just lower your
16 voice and answer the question.
17 A. I'm sorry. What I told you,
18 ma'am, Andrey Tretykov was the regional
19 shipper, not Royal Finance. So we have, when
20 we are doing, producing bill of lading and
21 the shipments, the bill of lading are always
22 have a regional shipper information. So the
23 regional shipper was Andrey Tretykov.
24 So in this case when you know who
25 the regional shipper is and who is that

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2 person, but this person was using Alex --
3 Royal Finance and Alexander Solovyeva as the
4 company he send the money to for the services,
5 and the Royal Finance paid for my company
6 services. And we have all of this recorded,
7 and they paid for the services. It is not
8 like it wasn't paid.
9 So they paid for this specific
10 services my company provided them with, and
11 then when my company received storage fees
12 from the warehouse, it could be not World
13 Express, because Andrey Tretykov was
14 exporting vehicles and the boats from Miami as
15 well. So then we used a different warehouse.
16 So in that warehouse, if the cargo
17 were stored for more than 30 days, I would
18 still send the invoice from that warehouse,
19 which happens to be in Miami, to Royal
20 Finance.
21 But we all knew that the regional
22 shipper is Andrey Tretykov. This is the
23 relationship.
24 Q. Who is Andrey Tretykov?
25 A. Andrey Tretykov is I believe

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1 A. SOLOVYEVA
2 Alex's customer and at that time -- you see,
3 that, I don't know what company he was dealing
4 with Alex. So it was his customer and his
5 location was in Jebel Ali.
6 Q. Is he a family friend?
7 A. No.
8 Q. Do you know him personally?
9 A. Well, I know all my customers
10 personally. We speak on Skype. They come to
11 my office. I have to know all my customers.
12 It is my due diligence.
13 Q. Okay. I'm a little bit confused
14 because earlier I thought I heard you say that
15 sometimes you are not even sure who your
16 customers are.
17 A. Because when we are doing routine
18 work, I don't know this specific loading or
19 request from which customer.
20 Q. Okay. I understand.
21 A. Because we have all rates preset.
22 It is all like a standard.
23 Q. I understand what you are saying,
24 and that is the point of this deposition is to
25 clarify, because that may be something you

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1 A. SOLOVYEVA
2 were thinking, but I did not know that's what
3 you meant.
4 So you are aware of who your
5 clients are. It is just that you are not sure
6 who specifically the request is coming from at
7 one time or another. Is that right?
8 A. Yes.
9 Q. So there was no written agreement
10 between Marine Transport Logistics and Royal
11 Finance. It was just verbal.
12 A. What was the agreement? What do
13 you mean by agreement?
14 Q. That you were going to Royal
15 Finance Group for certain service in these
16 three transactions and the transactions that
17 involved the Crocuses and Andrey Tretykov, et
18 cetera?
19 A. If it is out of the ordinary, no.
20 Q. It is just verbal, mostly?
21 A. What verbal?
22 Q. Does Royal Finance, your husband,
23 call you and say, go ahead and invoice my
24 company for services?
25 A. I don't know -- I don't do

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1 A. SOLOVYEVA
2 invoices. I even don't know how to do them.
3 Ma'am, I just told you it is all
4 automatically if we are getting invoiced, so
5 then we pass these invoices to my company,
6 specific department. If bookkeeper received
7 the invoice, bookkeeper is looking in the
8 system and sees who is the company, who is
9 responsible for the payment. So then they
10 just forward these charges to the correct
11 person who is supposed to pay.
12 Q. Yes, I understand that.
13 What I'm asking is the agreement.
14 How do you know to invoice Royal Finance Group
15 and not invoice a company X? That agreement
16 has to be either verbal or in writing.
17 What I'm asking is, was there ever
18 a written agreement, or is it your normal
19 course of business to have it in writing where
20 Royal Finance Group tells you specifically, go
21 ahead and invoice me for any services that you
22 provide for the following shipping?
23 A. Ma'am. I think that you just
24 missed the point when I explained to you. You
25 see, this specific shipment, and it is very

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1 A. SOLOVYEVA
2 quite a lot, when a company located in the
3 United States, provide with some services, no
4 matter what. They even can sell an air to the
5 customer, big customer, and this customer is
6 located in Jebel Ali or in Alaska or anywhere
7 else in the world.
8 So the company in the United
9 States, they want to produce some income. And
10 how they can do it? They can produce with the
11 services they have, or they can purchase
12 services his customer needs from a company or
13 the party who have the services.
14 So Royal Finance had a customer
15 overseas. And it is not just one customer he
16 has. The Royal Finance has many different
17 customers. So when Royal Finance needs a
18 service. He orders the service from the
19 correct party. In this case it was my
20 company.
21 So Royal Finance orders from my
22 company, and his shipper, a regional shipper,
23 and it is supposed to be like that on the bill
24 of lading, was Andrey Tretykov, because the
25 Royal Finance cannot be a regional shipper on

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1 A. SOLOVYEVA
2 the bill of lading because they are not a
3 regional shippers. It is against the law.
4 So he is the broker between --
5 Royal Finance, between my company and Mr.
6 Tretykov. This is what I'm trying to explain
7 to you.
8 So there is no agreement verbally
9 or in writing at all. Royal Finance is acting
10 as a broker.
11 Is it clear?
12 MR. VENGROW: Don't become
13 aggravated.
14 Q. That order from Royal Finance
15 Group, how would it have come into MTL? Would
16 it have been through e-mail, or a phone call?
17 A. Usually it is e-mail. Usually.
18 But sometimes it can happen with
19 the phone call. Not from Alex. Not from the
20 Royal Finance.
21 So what we have, we have companies
22 located in the United States and we have
23 companies or private individuals located
24 overseas. Okay?
25 So, you see, that companies

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1 A. SOLOVYEVA
2 located overseas, they have difficulties to
3 purchase any goods in the United States
4 because they have problems to pay for those
5 goods in United States. For this reason they
6 are asking companies like Royal Finance -- and
7 I have a hundred other companies providing
8 with the services, people and the customers
9 overseas. You see? And they getting income
10 from this.
11 So -- because people overseas,
12 they don't know whom to trust, whom to send
13 the money, who will do the service the best
14 for them. So they are using this kinds of
15 brokers. And it is a very common procedure.
16 Because a lot of time -- a lot of
17 times, even if companies like Mr. Tretykov
18 had, or his individual, when he is paying for
19 the goods in the United States, even he send
20 the money to United States, it can be
21 rejected.
22 Q. We are going way beyond my
23 question.
24 My question is how do the requests
25 from Royal Finance Group come --

Page 57 1 A. SOLOVYEVA 2 A. Let me continue. I understand. 3 So what Andrey Tretyikov was 4 doing, and many different accounts overseas 5 are doing, they are sending – 6 Q. Let's talk about specifically this 7 case. 8 A. I don't know specifically about 9 this case because I was not involved in 10 e-mails. 11 Q. Okay. So let's pause for a 12 second. And I have a question for – 13 A. Ma'am, can I finish, please. Let 14 me just finish this a couple of sentences. 15 MS. TARASSOVA: It wouldn't help. 16 Just give me one second. Let the 17 lawyers deal with this. 18 Mr. Vengrow, I have an issue here 19 because this was something that was 20 noticed on the notice of deposition for 21 the corporate rep. It is actually No. 22 4. 23 MR. VENGROW: Okay. She can 24 answer it. 25 What you should have done, quite	Page 59 1 A. SOLOVYEVA 2 What you should be doing, quite 3 frankly, is providing her with documents 4 specifically what you have and which was 5 sent over to us and ask questions on 6 that. And you are just confusing the 7 matter – 8 MS. TARASSOVA: I don't have any 9 documents I want to use as an exhibit 10 for this deposition. I'm asking her 11 about No. 4. 12 A. Ma'am, I am trying to explain to 13 you. 14 MR. VENGROW: Be quiet. Please, 15 be quiet. 16 I'm just saying to you she 17 answered that topic as best she could. 18 You may not like the answer, but that's 19 it. 20 MS. TARASSOVA: My problem, and 21 I'm trying to allow you to cure this 22 issue because I don't want to have to 23 file a motion to compel. 24 My problem is that she is saying 25 she is not apprised of the information
Page 58 1 A. SOLOVYEVA 2 frankly, is pointed to No. 4 at the 3 beginning of her deposition. 4 And now give your answer, Alla. 5 MS. TARASSOVA: That's not a 6 question. No. 4 is not a question. 7 MR. VENGROW: It is a subject 8 matter. 9 MS. TARASSOVA: It is – 10 A. But you do not let me finish. 11 MS. TARASSOVA: So my concern, 12 and let me just tell you what my concern 13 is and maybe you can cure that, is right 14 now Ms. Solovyeva is saying she does not 15 know specifically because she wasn't 16 dealing with this. 17 So my question is, has she been 18 apprised of the information for purposes 19 of this deposition of the corporate 20 representative. I'm not asking her as 21 far as her personal knowledge of it. 22 She should have been apprised – 23 MR. VENGROW: She was. You gave 24 her the subject matter and she answered 25 your subject matter question.	Page 60 1 A. SOLOVYEVA 2 because she doesn't deal with that 3 department. For purposes of a corporate 4 rep depo, she is supposed to have 5 obtained the information. 6 MR. VENGROW: No, the purpose of 7 this deposition is to talk to these 8 subjects that you brought up. And you 9 ask appropriate questions. 10 Your questions are broad, vague 11 and confusing. They really are without 12 documents. That's a problem we are 13 facing. 14 MS. TARASSOVA: That's fine. If 15 you don't want to take this opportunity 16 to cure, we will just deal with it 17 later. I'm just letting you cure it now 18 and I'm bringing it up and making a good 19 faith effort to bring this up and deal 20 with it now. 21 If you think that her questions or 22 her answers are sufficient enough, then, 23 absolutely, you know best. 24 A. So maybe, can I finish what I was 25 trying to tell you what is the routine? And

Page 61 1 A. SOLOVYEVA 2 it is a usual routine. 3 MS. TARASSOVA: Hold on one 4 second. I'm not sure that we are on the 5 record. 6 Do you want to take a five-minute 7 break really quick? 8 THE WITNESS: No, I don't want to 9 take any break. 10 MS. TARASSOVA: I need a 5-minute 11 break, and so I will be doing that and I 12 will be back in five minutes. 13 (Recess taken.) 14 BY MS. TARASSOVA: 15 Q. Ms. Solovyeva, do you know about 16 any communications that had occurred between 17 Marine Transport Logistics and Royal Finance 18 Group in connection with this case? 19 A. No. 20 Q. Can you talk about the, any 21 correspondence that Marine Transport Logistics 22 would have had with Royal Finance in relation 23 to the matters or the parties at issue in this 24 case? 25 A. No. It's -- if it is between	Page 63 1 A. SOLOVYEVA 2 A. Ma'am, I don't know that. If it 3 was between departments or not, I cannot say 4 that. I was not involved in the e-mails. 5 Q. Who would know that, Ms. 6 Solovyeva? 7 A. The credit department. If the 8 e-mail was sent to somebody in my office, one 9 of the employees, then this person would know 10 that. 11 It is just the routine work. We 12 are receiving e-mails on a daily basis and 13 answer them. 14 Q. My problem that I'm having right 15 now, and I want to put this on the record, is 16 that we served the notice of deposition to 17 Marine Transport Logistics which is your 18 company. 19 A. Um-hmm. 20 Q. Today will be the time that we 21 will be discussing items No. 1 through 16. 22 A. Okay. 23 Q. Your attorney has stated that you 24 are the corporate representative for Marine 25 Transport Logistics and you are prepared to
Page 62 1 A. SOLOVYEVA 2 departments, no. 3 Q. What about any e-mails or anything 4 like that, could they be in existence, you 5 were just not aware of them today? 6 MR. VENGROW: E-mails between who? 7 MS. TARASSOVA: Royal Finance 8 Group and Marine Transport Logistics. 9 A. If it is between departments, then 10 I don't know about this correspondence. It is 11 a normal working routine. 12 Q. I understand. And when you say 13 departments, you are talking about departments 14 within Marine Transport Logistics? 15 A. Exactly. 16 Q. Were there any communications that 17 took place between Marine Transport Logistics 18 and the Crocuses, either the Crocus in Dubai 19 or the Crocus in Florida? 20 A. Excuse me? I didn't hear that. 21 Can you please repeat. 22 Q. Sure. Are there any 23 communications that occurred between Marine 24 Transport Logistics and either Crocus FZE or 25 Crocus LLC?	Page 64 1 A. SOLOVYEVA 2 discuss items 1 through 16 on the notice of 3 deposition. 4 A. I am, but I told you before that 5 Crocus was never my customer and for this 6 reason I was not involved in any e-mails and 7 then, I believe that any of my employees were 8 involved in any e-mails. Nobody heard before 9 about this company. 10 Q. The question is do you know if 11 there are e-mails or have you even looked to 12 see if there are e-mails? That's what I'm 13 asking. 14 A. Ma'am, I didn't see any e-mails 15 between me or my employees and Crocus. I 16 didn't see them. 17 Q. So they do not exist, is that what 18 you are saying? 19 A. I didn't say that. I told you I 20 didn't see them. 21 Q. What do you mean you didn't see 22 them? A person cannot see something, either, 23 one, they didn't look, or, two, they looked, 24 they just couldn't find. 25 Which category do you fit into?

Page 65 1 A. SOLOVYEVA 2 Did you look and you couldn't find, or you 3 just didn't even look? 4 A. My question: Where would I go and 5 look? 6 MR. VENGROW: Don't do that, 7 please. She asks the questions. 8 THE WITNESS: I know, but - 9 MR. VENGROW: Please, just answer 10 the questions as best your ability, and 11 it will make your life a lot easier. 12 A. I have 12 computers and 12 13 employees, and I have -- I don't know where to 14 go and where to look, unless I have my own 15 computer and I receive something on my 16 computer. 17 MR. VENGROW: Counsel, do you have 18 any indication that there are e-mails 19 between MTL and Crocus? 20 MS. TARASSOVA: I'm asking her the 21 questions. 22 MR. VENGROW: I'm asking you the 23 question because you are making a lot of 24 this, and it may be a lot about nothing. 25 That's why I'm wondering.	Page 67 1 A. SOLOVYEVA 2 A. Yes. 3 Q. Did they eventually make it to 4 Dubai, the two boats? 5 A. Well, my documentation department 6 was supposed to know that. I guess they did 7 make it if they were sent out. 8 Q. But you are guessing right now. 9 Do you know for sure? 10 A. Yes. 11 MR. VENGROW: Is this, counsel, is 12 this still an issue? I thought that was 13 resolved at an earlier time. 14 MS. TARASSOVA: Let me ask my 15 questions. 16 MR. VENGROW: Well, no, because 17 you are wasting my time now, or my 18 client's time. 19 I don't think there is any issue 20 with regard to when those boats were 21 delivered and where and coming back. 22 You agreed to that and you said that 23 statement at one time. That's why I 24 wondered. 25 If you have a real question, go to
Page 66 1 A. SOLOVYEVA 2 If you have those e-mails, you 3 should at least point them out to us. 4 MS. TARASSOVA: I'm not trying to 5 trick Ms. Solovyeva. I'm simply asking 6 discovery questions, and that is my 7 prerogative. 8 The way that she answered it, is 9 perfectly fine. I'm ready to move on to 10 the next subject. I've got what I need 11 on the record. Thank you. 12 Q. Do you know about the agreement, 13 did Marine Transport Logistics provide 14 transportation for two of the boats, the 15 Chaparral and the Monterey, to Dubai? 16 MR. VENGROW: Answer the question. 17 A. Transportation? 18 What transportation? You mean 19 transportation on the vessel? 20 Q. Correct. 21 A. Yes. 22 Q. So that was what you are saying 23 was ordered by Royal Finance Group that Mr. 24 Tretyikov was the shipper. Is that the 25 transaction you are talking about?	Page 68 1 A. SOLOVYEVA 2 it. 3 Q. Ms. Solovyeva, did the boats make 4 it to Dubai? 5 A. Yes. 6 Q. Were the boats eventually shipped 7 through MTL back to New Jersey from Dubai? 8 MR. VENGROW: What do you mean 9 through MTL? 10 MS. TARASSOVA: Mr. Vengrow, I 11 would really ask you not to comment, and 12 let the witness answer the questions. 13 If she has a question about what I'm 14 asking - 15 MR. VENGROW: Counsel, I'm trying 16 to help you here. 17 You are talking about a maritime 18 transportation, and words are very 19 specific when you are talking about 20 movement of vehicles or cargo back and 21 forth between countries. 22 Q. Can you answer the question, 23 please. 24 A. Ma'am, I didn't understand your 25 question because you see that you are not, I

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1 A. SOLOVYEVA
2 believe, a maritime lawyer, and I'm in this
3 business for 20 years -- over 20 years.
4 So your question is not clear to
5 me. I don't understand it.
6 What do you mean through MTL?
7 MTL is just providing customers
8 with the slot on the vessel because they are
9 not allowed to do the bookings themselves.
10 Q. Right. And that's what I mean.
11 Did MTL provide that for the complainants, to
12 bring the boats back from Dubai to New Jersey?
13 That's it.
14 A. For the complainants?
15 Q. Yes.
16 A. Who is the complainants? What do
17 you mean complainants?
18 MR. VENGROW: Talking about
19 Crocus.
20 A. Crocus?
21 MR. VENGROW: Yes.
22 A. You see, I don't believe that I
23 provided any services for Crocus.
24 Q. You did not provide, MTL did not
25 provide any services to Crocus?

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1 A. SOLOVYEVA
2 A. No.
3 Q. Who did MTL provide services to?
4 A. For the company on record.
5 MR. VENGROW: Bill of lading
6 shipper, counsel. She has answered that
7 about five times now.
8 Q. So you are saying Royal Finance
9 Group --
10 A. Royal Finance Group was not a
11 regional shipper.
12 Q. Mr. Tretykov was?
13 A. For the regional shipper, yes.
14 Q. And when you are talking about --
15 this is where it is confusing.
16 When you are talking about Mr.
17 Tretykov, are you talking about a company
18 that he owned or worked for, or are you
19 talking about him as an individual?
20 A. Ma'am --
21 MR. VENGROW: Just answer the
22 question.
23 A. Okay. Ma'am, I believe that he
24 had the company, and if it was a company, then
25 the company was the regional shipper. And the

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1 A. SOLOVYEVA
2 bill of lading was issued on behalf of this
3 company. If he used his own name, then he was
4 the regional shipper.
5 Q. On that bill of lading, what does
6 it say?
7 A. Which bill of lading are you
8 talking about?
9 Q. From Dubai to New Jersey.
10 A. Because you see that overseas
11 every -- let's put it this way. Every country
12 has its own rules, and you, as an individual,
13 are not allowed to send anything out of the
14 country in Dubai. I believe so. Without a
15 proper party.
16 And I believe that the proper
17 party in this case is supposed to be a
18 company. Usually this company is the agent,
19 and it is a proper agent with the agent
20 license overseas. So this agent was with the
21 agent's license overseas, can file
22 electronically shippers export declaration,
23 and then if -- in this case, they can act as
24 the regional shipper when the cargo is coming
25 back.

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1 A. SOLOVYEVA
2 Q. So does MTL assist clients -- say
3 you have a client overseas and they contact
4 MTL and they say I need to ship something from
5 Dubai to New Jersey. Even though MTL may not
6 be the proper agent or party, would MTL be
7 able to assist clients with that?
8 A. MTL is located in the United
9 States and MTL is providing with the space on
10 the vessel, and in order to ship something in
11 or out, you have to use correct parties.
12 Q. And was that party you?
13 A. Well, ma'am, you see it is daily
14 routine and --
15 MR. VENGROW: Do you recall the
16 cargo? Was MTL involved in getting the
17 two boats back from Dubai to New York?
18 If you know.
19 THE WITNESS: I don't, because I
20 don't know if we did the booking or
21 somebody else did the booking.
22 MR. VENGROW: The way you would
23 know would be by looking at the bill of
24 lading when it arrived?
25 THE WITNESS: Yes.

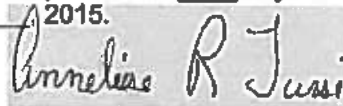
Page 73	Page 75
1 A. SOLOVYEVA 2 MR. VENGROW: And then you would 3 be able to talk -- 4 THE WITNESS: Yes. 5 MR. VENGROW: Counsel, can you 6 tell her who the bill of lading shipper 7 was and who the bill of lading consignee 8 was. 9 MS. TARASSOVA: No, I'm asking the 10 corporate representative for MTL. 11 A. It is general. 12 MS. TARASSOVA: If she doesn't 13 know, she can put on the record she has 14 no idea. 15 MR. VENGROW: She didn't say that. 16 She is saying if she had the bill of 17 lading, she can answer your question 18 very specifically, and you are not 19 providing it and you have that document. 20 MS. TARASSOVA: I don't have it 21 with me right now, and I'm not trying to 22 hide it. She has access to it, just as 23 I do. 24 MR. VENGROW: Yeah, and we didn't 25 bring any documents with us, and you	1 A. SOLOVYEVA 2 in the shipping business. Back and forth. So 3 I'm not even involved in this routine. It's a 4 routine. So we are sending and we are 5 receiving. 6 Q. Okay. 7 A. And we are loading. 8 Q. But, casually, you have not 9 discussed these issues with your husband? 10 A. I didn't have any issues. I was 11 just requested to send something outside of 12 the country, and then I believe that my 13 company was the consignee for the cargo coming 14 from another country. And I have this on a 15 daily basis. 16 So whether my company is the 17 consignee or the agent for the import, my job 18 is to unload the cargo, to act as the proper 19 agent and provide with the unloading and 20 that's it. 21 Q. Have you ever been convicted of a 22 crime? 23 A. No. 24 Q. Have you ever been sued? 25 A. Personally?
Page 74	Page 76
1 A. SOLOVYEVA 2 didn't send us any documents. 3 So, consequently, if you want to 4 talk about a shipment coming back from 5 Dubai, you should be at least referring 6 to the document. 7 MS. TARASSOVA: Can we go off the 8 record. 9 (Discussion off the record.) 10 MS. TARASSOVA: Let's go back on 11 the record. 12 Q. Ms. Solovyeva, have you and your 13 husband ever talked about the transactions as 14 they were happening? Have you discussed with 15 Mr. Solovyeva about this case? 16 A. Ma'am, I don't understand. 17 Q. Have you and Mr. Solovyeva, your 18 husband, discussed the facts of this case, as 19 they were happening in 2013 and '14, have you 20 ever heard from your husband? Has he ever 21 said anything about Mr. Tretyikov or the 22 Crocuses and Mr. Safonov? Have you guys ever 23 discussed these issues? 24 A. I don't believe so, because I have 25 containers coming back on a weekly basis. I'm	1 A. SOLOVYEVA 2 Q. Correct. 3 A. No. 4 Q. You have never been sued? 5 A. I don't remember. I don't recall. 6 Q. Have you ever been named as a 7 party in a lawsuit individually, along with 8 Marine Transport Logistics? 9 A. Yes. 10 Q. How many times? 11 A. I cannot recall that. 12 Q. Is it more than one time? 13 A. I cannot recall that. Maybe one, 14 maybe two times. I don't remember. 15 Q. You have no idea? 16 A. No. 17 MR. VENGROW: And she wouldn't, 18 because, counsel, maybe I will help you 19 out. 20 A. For 20 years. 21 MR. VENGROW: If you want to put a 22 written request. We don't understand 23 the relevancy of that line of 24 questioning, but out of deference to 25 you, if you put your request in writing

Page 77 1 A. SOLOVYEVA 2 beyond being specific, we will do our 3 best to respond to it. 4 We have been representing them for 5 quite a while. 6 MS. TARASSOVA: The point of the 7 deposition is for her to give me 8 realtime answers. 9 That's fine. I will take her 10 answer for what it is. It is on the 11 record. 12 MR. VENGROW: You have an 13 opportunity, we will give you the docket 14 numbers and the case numbers. 15 What's the time frame? That's 16 what I need. 17 Q. I'm talking about for the last ten 18 years, Ms. Solovyeva, how many times have you 19 been sued? 20 MR. VENGROW: Ten years? That's a 21 long time. 22 A. Maybe three, maybe four times. 23 Personally. 24 MR. VENGROW: You. Personally. 25 A. I don't know. MTL. With the MTL.	Page 79 1 A. SOLOVYEVA 2 A. I never was sued as Alla Solovyeva 3 without the company. 4 (Lost video conference 5 transmission.) 6 BY MS. TARASSOVA: 7 Q. Was the company Marine Transport 8 Logistics ever sued? 9 A. Yes. 10 Q. How many times? 11 A. Ma'am, I cannot recall that, how 12 many times. 13 Q. What was it sued for? 14 A. For -- 15 MR. VENGROW: Excuse me. You are 16 asking legal questions right now. I 17 suggest to you, if you want, you give us 18 a time frame, we will come back and give 19 you the name of the case. 20 Can you hear me, because your 21 picture is not there? Your photo. 22 MS. TARASSOVA: I can hear you. 23 I'm sorry. I'm nodding, but I guess you 24 can't see that. 25 MR. VENGROW: We will give you the
Page 78 1 A. SOLOVYEVA 2 MR. VENGROW: That's what I 3 thought. We will provide -- just put it 4 in writing. 5 MS. TARASSOVA: Let me ask the 6 questions, Mr. Vengrow. 7 I will file my requests if I need 8 to. Let me ask my questions in the 9 deposition. 10 Q. Ms. Solovyeva, so you said maybe 11 how many times? 12 MR. VENGROW: She answered your 13 question. 14 A. With the MTL, as a part of the 15 MTL. 16 Q. So they are two separate things 17 I'm asking. 18 Number one, the first question I 19 asked was, how many times have you been sued 20 as an individual where your name, Alla 21 Solovyeva, was in the complaint? 22 A. But if my name was just -- just my 23 name? Or my name and the company? 24 Q. Your name anywhere, whether it 25 stands by itself or it stands --	Page 80 1 A. SOLOVYEVA 2 names of the cases and the docket 3 numbers, but they are all 4 maritime-related. 5 MS. TARASSOVA: I'm sorry, what? 6 MR. VENGROW: They are all 7 maritime-related. 8 Q. Ms. Solovyeva, had Marine 9 Transport Logistics ever been sued in a 10 non-maritime capacity? 11 A. Small claim court? 12 Q. No. In any court, not related to 13 maritime law. 14 A. No. 15 MS. TARASSOVA: I don't have any 16 more questions. So if you have any 17 questions, Mr. Vengrow. 18 MR. VENGROW: No. 19 MS. TARASSOVA: You said no? 20 MR. VENGROW: Yes. The answer is 21 no. 22 MS. TARASSOVA: Okay. Thank you. 23 That's all I guess. 24 Is there anyone else that is a 25 corporate representative, or is that it

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1 A. SOLOVYEVA
2 for today?
3 MR. VENGROW: That's it, in
4 compliance with your notice of
5 deposition.
6 MS. TARASSOVA: Okay.
7 MR. VENGROW: I would like to
8 order a transcript of this.
9 (Time noted: 12:41 p.m.)
10
11
12 ALLA SOLOVYEVA
13
14 Subscribed and sworn to before me
15 this ____ day of ____, 2015.
16
17
18
19
20
21
22
23
24
25

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1
2 CERTIFICATE
3 STATE OF NEW YORK)
4 : ss.
5 COUNTY OF NEW YORK)
6
7 I, ANNELIESE R. TURSI, a
8 Registered Professional Reporter and Notary
9 Public within and for the State of New York,
10 do hereby certify:
11 That the witness whose deposition
12 is hereinbefore set forth, was duly sworn by
13 me and that such deposition is a true record
14 of the testimony given by the witness.
15 I further certify that I am not
16 related to any of the parties to this action
17 by blood or marriage, and that I am in no way
18 interested in the outcome of this matter.
19 IN WITNESS WHEREOF, I have
20 hereunto set my hand this ____ day of
21 ____, 2015.
22 
23 ANNELIESE R. TURSI, RPR
24
25

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1 DEPOSITION ERRATA SHEET
2
3
4 Require Deposition Assignment No. J0243957
5 Case Caption: Crocus v. MTL
6
7 DECLARATION UNDER PENALTY OF PERJURY
8 I declare under penalty of perjury that
9 I have read the entire transcript of my
10 deposition taken in the captioned matter or
11 the same has been read to me, and the same is
12 true and accurate, save and except for changes
13 and/or corrections, if any, as indicated by me
14 on the DEPOSITION ERRATA SHEET hereof, with
15 the understanding that I offer these changes
16 as if still under oath.
17 Signed on the ____ day of
18 ____, 20____
19
20 ALLA SOLOVYEVA
21
22
23
24
25

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1 DEPOSITION ERRATA SHEET
2
3 Page No. ____ Line No. ____ Change to: ____
4
5 Reason for change: ____
6 Page No. ____ Line No. ____ Change to: ____
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8 Reason for change: ____
9 Page No. ____ Line No. ____ Change to: ____
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11 Reason for change: ____
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17 Reason for change: ____
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20 Reason for change: ____
21 Page No. ____ Line No. ____ Change to: ____
22
23 Reason for change: ____
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Page 1 1 2 FEDERAL MARITIME COMMISSION 3 DOCKET NO.: 15-04 4 -----X 5 CROCUS INVESTMENTS, LLC AND CROCUS, PZE 6 Complainants 7 v. 8 MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR 9 SOLOVYEV a/k/a ROYAL FINANCE GROUP INC. 10 Respondents 11 -----X 12 1384 Broadway 13 New York, New York 10018 14 November 20, 2015 15 10:13 a.m. 16 17 EXAMINATION BEFORE TRIAL of ALEKSANDR 18 SOLOVYEV, the Defendant in the above-entitled 19 action, taken on behalf of the Plaintiffs, held 20 at the above time and place, and taken before 21 Dorene Glover, a reporter and Notary Public 22 within and for the State of New York. 23 24 25	Page 3 1 2 IT IS HEREBY STIPULATED AND AGREED by and 3 between the attorneys for the respective 4 parties herein, and in compliance with Rule 221 5 of the Uniform Rules for the Trial Courts: 6 THAT the parties recognize the provision of 7 Rule 3115 subdivisions (b), (c), and/or (d). 8 All objections made at a deposition shall be 9 noted by the officer before whom the deposition 10 is taken, and the answer shall be given and the 11 deposition shall proceed subject to the 12 objections and to the right of a person to 13 apply for appropriate relief pursuant to 14 Article 31 of the CPLR. 15 THAT every objection raised during a 16 deposition shall be stated succinctly and 17 framed so as not to suggest an answer to the 18 deponent and, at the request of the questioning 19 attorney, shall include a clear statement as to 20 any defect in form or other basis of error or 21 irregularity. Except to the extent permitted 22 by CPLR Rule 3115 or by this rule, during the 23 course of the examination persons in attendance 24 shall not make statements or comments that 25 interfere with the questioning.
Page 2 1 2 A P P E A R A N C E S: 3 4 THE LAW OFFICE OF LOUIZA TARASSOVA, P.A. 5 Attorneys for Complainants 6 1420 Lake Baldwin Lane 7 Orlando, Florida 32814 8 BY: LOUIZA TARASSOVA, ESQ. 9 10 CICHANOWICZ, CALLAN, KEANE, VENGROW & TEKTOR, 11 LLP. 12 Attorneys for Respondents 13 61 Broadway 14 New York, New York 10006 15 BY: ERIC CHANG, ESQ. 16 17 18 19 20 21 22 23 24 25	Page 4 1 2 THAT a deponent shall answer all questions 3 at a deposition, except (i) to preserve a 4 privilege or right of confidentiality, (ii) to 5 enforce a limitation set forth in an order of a 6 court, or (iii) when the question is plainly 7 improper and would, if answered, cause 8 significant prejudice to any person. An 9 attorney shall not direct a deponent not to 10 answer except as provided in CPLR Rule 3115 or 11 this subdivision. Any refusal to answer or 12 direction not to answer shall be accompanied by 13 a succinct and clear statement of the basis 14 therefore. If the deponent does not answer a 15 question, the examining party shall have the 16 right to complete the remainder of the 17 deposition. 18 THAT an attorney shall not interrupt the 19 deposition for the purpose of communicating 20 with the deponent unless all parties consent or 21 the communication is made for the purpose of 22 determining whether the question should not be 23 answered on the grounds set forth in section 24 221.2 of these rules and, in such event, the 25 reason for the communication shall be state for

Page 5 1 2 the record succinctly and clearly. 3 THAT failure to object to any question or to 4 move to strike and testimony at this 5 examination shall not be a bar or waiver to 6 make such objection or motion at the time of 7 the trial of this action, and is hereby 8 reserved; and 9 THAT this examination may be signed and 10 sworn to by the witness examined herein before 11 any Notary Public, but the failure to do so or 12 to return the original of the examination to 13 the attorney on whose behalf the examination is 14 taken shall not be deemed a waiver of the 15 rights provided by Rules 3116 and 3117 of the 16 CPLR, and shall be controlled thereby, and 17 THAT certification and filing of the 18 original of this examination are waived; and 19 THAT the questioning attorney shall provide 20 counsel for the witness examined herein with a 21 copy of this examination at no charge. 22 23 24 25	Page 7 1 SOLOVYEV 2 a range between one and five, five and ten, ten 3 to 15; how many would you say? 4 A. Two. 5 Q. What were those cases? 6 A. I don't remember. 7 Q. Do you know how long ago they were? 8 A. Ten years ago. 9 Q. I am sure at that time they 10 explained the ground rules to you but I'm going 11 to remind you about the ground rules of the 12 deposition today again. 13 I am going to assume that you 14 understood my question unless you tell me that 15 you did not. And ask me to rephrase it or 16 restate it; do you understand? 17 A. Understand. 18 Q. So sometimes lawyer tend to want to 19 get their thoughts out and it don't come out as 20 well as we have them in our minds. Stop me and 21 say can you rephrase that, I don't understand 22 and I'll be happy to do that, okay. 23 A. Yes. 24 Q. Answer just like you would if the 25 judge was here. Everything is being recorded
Page 6 1 2 ALEKSANDR SOLOVYEV, 3 the witness herein, having first been duly 4 sworn 5 by a Notary Public of the State of New York, 6 was 7 examined and testified as follows: 8 EXAMINATION BY 9 MS. TARASSOVA: 10 Q. Please state your name for the 11 record. 12 A. Aleksandr Solovyev. 13 Q. Please state your address. 14 A. 2820 Ocean Parkway, Brooklyn, New 15 York 11223. 16 Q. Good morning, Mr. Solovyev. Can 17 you hear me well? 18 A. Good morning, yes. 19 Q. Have you ever been to a deposition 20 before? 21 A. Yes. 22 Q. How many times would you say? 23 A. Don't remember. 24 Q. Do you know approximately? I'm not 25 asking for a specific number. I'm looking for	Page 8 1 SOLOVYEV 2 and it will be used in a hearing at a later 3 time. So if you truly do not remember then go 4 ahead and state so, but remember if you 5 suddenly remember or recall facts at a hearing 6 or at a trial, it will be basically used 7 against you; do you understand that? 8 A. Yes. 9 Q. Also, and you're doing a very good 10 job but I want to remind you to give verbal 11 responses. Sometime we tend to nod shakes our 12 heads when we agree or disagree and I do want 13 you to say yes or no; do you understand that? 14 A. Yes. 15 Q. I see that you are on your phone 16 right now; what are you doing? 17 A. Giving constructions. 18 Q. I would ask that you pay complete 19 and full attention today to the deposition. It 20 is very important that you are completely 21 participating in this because like I said, 22 everything's being recorded and if you give a 23 wrong answer, if you're distracted, it will be 24 used against you; do you understand that? 25 A. Yes.

Page 9	Page 11
1 SOLOVYEV 2 MR. CHANG: Louiza, if he gets a 3 business phone call and he needs to have 4 quick break, can we just let you know 5 and you'll stop questioning. Obviously 6 if there's a pending question, we'll 7 have him answer before he leaves. I 8 think the reason he's on his phone is 9 because he getting calls almost nonstop 10 throughout the day for work. 11 MS. TARASSOVA: Okay, Eric, that's 12 fine. 13 Q. As you know from doing previous 14 depositions, in your career, breaks are totally 15 fine but when you're talking about constant 16 phone calls, that's not going to work and so 17 that brings me to my next question: Mr. 18 Solovyev, is there anything that may be 19 distracting you today in preventing you from 20 being able to have participate fully in this 21 deposition? 22 A. No. 23 Q. So you're prepared to do this 24 deposition? You're going to be fully focused; 25 is that correct?	1 SOLOVYEV 2 Q. Okay, perfect. 3 You mentioned that -- well, let's 4 start from the beginning: What is your current 5 home address? 6 A. 2820 Ocean Parkway. 7 Q. Okay, what state is that in? 8 A. New York. Brooklyn, New York. 9 Q. And how long have you lived at that 10 address? 11 A. Three years. 12 Q. And where did you live prior to 13 that address? 14 A. I don't remember. It was the same 15 building. I moved to a new apartment. I don't 16 remember what building number it was. I don't 17 remember now. The same area. 18 Q. It was also at 2820 that building? 19 A. No, different numbers. 20 Q. Have you ever -- are you married? 21 A. Separated. 22 Q. But legally you are married right 23 now? 24 A. No, separated. 25 Q. Have you gotten a divorce?
Page 10	Page 12
1 SOLOVYEV 2 A. I am fully focused. 3 Q. Okay, perfect. And throughout the 4 deposition, you're attorney may be objecting to 5 certain questions. That's absolutely normal go 6 ahead and stop your answer. Let us put what we 7 need to put on the record and then proceed to 8 answer once you've been instructed to do so, 9 okay. 10 A. Okay. 11 Q. And finally, are you on any type of 12 medication today that would prevent you from 13 remembering certain facts? 14 A. Not yet. 15 Q. What do you mean not yet? Do you 16 think you might need to take some medication 17 later today that might prevent you from 18 remembering certain facts? 19 A. Let's see which say you're going 20 today. Maybe you're going to make it crazier 21 and I will need some Tylenol. 22 Q. Do you think Tylenol might prevent 23 you from remembering? 24 A. I don't know yet. Let's start 25 working.	1 SOLOVYEV 2 A. No. 3 Q. And what is the name of your spouse 4 who you're separated from? 5 A. Allah Solovyev. 6 Q. What address does she live at? 7 A. 420 Jensen Street, Staten Island, 8 New York. 9 Q. Have you ever lived at that 10 address? 11 A. No. 12 Q. So you never lived at that address 13 with your wife? 14 A. No. 15 Q. What is your cellphone number? 16 MR. CHANG: Is this something he 17 can check? 18 MS. TARASSOVA: Absolutely. The 19 other rule that I forgot, this is not a 20 quiz. If you do need to refer to 21 something in your phone or if there's 22 some documents, go ahead and do that. 23 That's not a problem. I want you to 24 give accurate answers. 25 A. 646-725-1355.

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1 SOLOVYEV
2 Q. Have you ever had a cellphone
3 number that was 646-725-1335?
4 A. Yes, this is my number, yes.
5 Q. 1335?
6 A. Yes.
7 Q. Is that a different cellphone
8 number from the one you just gave me that ends
9 with 1355?
10 A. Did I?
11 Q. The phone number you just gave me
12 was 646-725-1355?
13 A. No, 1335.
14 Q. How long did you have the cellphone
15 number?
16 A. Way too long.
17 Q. Pretty long. How much --
18 approximately how many years would you say?
19 A. Five years.
20 Q. And did you use the cellphone
21 number throughout the time that the dispute is
22 about? This case -- It's from the transactions
23 happened between 2013 and 2014, did you use
24 that cellphone number at the time?
25 A. Yes.

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1 SOLOVYEV
2 Q. And did you have any other
3 cellphone numbers that you used at the time?
4 A. Yes.
5 Q. And what was the number for that?
6 A. 201-467-5205.
7 Q. Did you use the cellphone number
8 during the time that the transactions occurred?
9 A. Yes.
10 Q. And did you have any other
11 cellphone in the United States of Americas
12 besides those two that you gave me?
13 A. No.
14 Q. Did you have an office number that
15 you used?
16 A. Yes.
17 Q. And how many office numbers did you
18 have at the time?
19 A. No, no, no, sorry, no.
20 Q. No landline?
21 A. No landline.
22 Q. And did you have an e-mail address
23 that you used during the transactions?
24 A. Yes.
25 Q. How many e-mail addresses did you

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1 SOLOVYEV
2 have?
3 MR. CHANG: During the 2013 or 2014
4 period?
5 MS. TARASSOVA: Correct, yes.
6 A. It was two e-mails.
7 Q. What is the first e-mail address?
8 A. Worldexpress2010@gmail.com.
9 Q. And what was the next e-mail
10 address?
11 A. Alex -- no, no, sorry.
12 MTLworld@MTLworld.com.
13 Q. Those were the only e-mail
14 addresses that you used during the transaction
15 period?
16 A. Yes.
17 Q. And I just want to clarify, when I
18 say transaction period I'm talking about the
19 transactions between the complainants and the
20 respondents, you know what I'm talking about
21 right the issues that are in the lawsuit?
22 A. No.
23 Q. No what?
24 A. Means I never had any deals with
25 your plaintiff.

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1 SOLOVYEV
2 Q. I understand.
3 So let's clarify because going
4 forward at some point we identify the parties
5 and the characters in this story correctly, so
6 tell me who you thought or who you had dealings
7 with?
8 A. About what?
9 Q. With the transactions at issue,
10 with this issue?
11 A. The boat.
12 Q. The shipping the buys everything?
13 A. Andre Trejaykov, T-R-E-J-A-Y-K-O-V,
14 and the company Middle Asia in Dubai.
15 Q. Is it Middle East Asia Alpha?
16 A. Yes, Middle East Asia Alpha.
17 Q. Have you ever had dealings with Mr.
18 Aleksandr Safonov?
19 MR. CHANG: Are you asking about
20 before this case?
21 MS. TARASSOVA: No, during the
22 transactions. We're trying to identify
23 the people involved in these
24 transactions so that I'm, you know,
25 properly asking the questions and it's

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1 SOLOVYEV
2 not confusing.
3 Q. Mr. Solovyev, have you ever in
4 these transactions dealt with Mr. Safonov?
5 A. Couple of times.
6 Q. Have you ever had dealings with
7 Crocus FZE the Dubai company?
8 A. No, never.
9 Q. Your company's never received any
10 money from Crocus FZE?
11 A. Crocus was sending money as far as
12 I remember from a Miami account. He got
13 offshore in Miami. He was trying to find money
14 in Michigan.
15 Q. So you're saying that any
16 transportations that would have been between
17 your companies and Crocus it would have been
18 the Crocus that's registered in Florida?
19 A. Yes.
20 Q. And had your company's ever issued
21 any invoices to Crocus FZE the Dubai company?
22 A. I don't remember.
23 Q. Is it possible or no?
24 A. I don't remember.
25 Q. What is your highest level of

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1 SOLOVYEV
2 education?
3 A. College in Moscow Russia.
4 Q. What did you major in?
5 A. Professional musician.
6 Q. Did you attend any colleges or take
7 any college courses in the United States?
8 A. No.
9 Q. Do you hold any degrees?
10 A. No.
11 Q. And do you hold any degrees from
12 Russia?
13 A. Yes.
14 Q. What degree?
15 A. Bachelor degree.
16 Q. Do you hold any professional
17 licenses?
18 A. Where?
19 Q. In the United States.
20 A. No.
21 Q. Do you hold any professional
22 licenses anywhere else in the world?
23 A. No.
24 Q. Are you currently employed?
25 A. Yes.

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1 SOLOVYEV
2 Q. And who are you employed by?
3 A. World Express.
4 Q. And what do you mean World Express
5 in connection?
6 A. It's what I meant.
7 Q. Can you give me the physical
8 address for that business?
9 A. 63 New Hook Road, Bayonne, New
10 Jersey 07002.
11 Q. What state is it incorporated in?
12 A. New Jersey.
13 Q. What year was it incorporated in?
14 A. Around 2007.
15 Q. And does the company hold any
16 licenses?
17 A. No.
18 Q. It does not an FMC license? And I
19 see you looking at your attorney. Are you
20 unable to answer that question?
21 MR. CHANG: If you can answer the
22 question, if you don't know the answer
23 or you don't understand the question –
24 A. No, it's what – I don't remember.
25 Q. You don't remember if your company

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1 SOLOVYEV
2 World Express in connection has a license from
3 the Federal Maritime Commission?
4 A. I don't remember. Maybe yes, maybe
5 not.
6 Q. 'Cause I found online that the
7 company actually applied for one in 2009 and
8 was issue an FMC license number?
9 A. If you have it, we can use it.
10 Q. What was that?
11 A. I don't remember because we don't
12 use it for – since whatever you said, 2009.
13 Q. Can you – so then can you explain
14 what the business does? What is it in the
15 business of doing World Express in connection?
16 A. Warehousing business.
17 Q. By that, what do you mean
18 specifically?
19 A. Warehousing means warehousing
20 whatever is connected. Cargo into the house
21 and getting out of your houses means their
22 housing business.
23 Q. So you hold goods for who? Do you
24 hold goods for like other businesses?
25 A. For other businesses.

Page 21

1 SOLOVYEV
2 Q. Why did you apply for an FMC
3 license? Were you going to do some shipping
4 internationally?
5 A. I don't remember why.
6 Q. Did you own the business?
7 A. I own the business.
8 Q. Does anyone else own the business
9 with you?
10 A. Maybe, yes.
11 Q. You say maybe. Why maybe?
12 A. Because I don't remember. It
13 was -- it stopped a long time ago. If I
14 know -- I would be prepared, right now I'm not
15 prepared, so, I'm answering maybe.
16 Q. And where would you go to find this
17 information?
18 A. In the World Express files.
19 Q. And where are those files held?
20 A. At the same address what I just
21 remained (sic) to you 63 New Hook Road in our
22 archive specific place where we keep up all the
23 documentation which is required by the
24 government during the last seven years. We
25 call it the archive for World Express.

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1 SOLOVYEV
2 Q. Does World Express have any
3 employees?
4 A. Yes.
5 Q. How many employees does that have?
6 A. Four.
7 Q. And who are those employees?
8 A. Workers, warehouse workers.
9 Q. Can you explain what they do? They
10 all do the same job?
11 A. All they do is the same job.
12 Q. And what is that job?
13 A. Work in the warehouse, unloading,
14 packing and loading cargo.
15 Q. Does anyone work in the office?
16 A. Accounting, accountant one,
17 accountant work in the office.
18 Q. Is that one in addition to the four
19 warehouse workers?
20 A. No, it's including four workers.
21 Q. So you have three warehouse
22 employees and one office employee that's an
23 accountant?
24 A. Yes.
25 Q. And who handles all the paperwork

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1 SOLOVYEV
2 on behalf of the company; is it your accountant
3 or is it you?
4 A. Me.
5 Q. So are you the one that signs
6 documents on behalf of the company?
7 A. Yes.
8 Q. And are you the one that stores
9 documents in the archives for World Express?
10 A. Yes.
11 Q. Are you employed by any other
12 employer?
13 A. No.
14 Q. What about your company called
15 World Finance Group, LLC?
16 A. It's a self-employee. I'm working
17 as a self-employee.
18 Q. Do you own that company?
19 A. I own this company.
20 Q. What is the address for that
21 company for Royal Finance Group?
22 A. I don't remember. It's a Fort
23 Lauderdale, Miami it's 1040 Seminole Drive.
24 Q. Is that an office building?
25 A. It's a private residence.

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1 SOLOVYEV
2 Q. Whose residence is it?
3 A. I don't remember.
4 Q. Is it your residence?
5 A. It's not my residence. Can I
6 interrupt, please?
7 Q. Sure.
8 (Whereupon, an off-the-record
9 discussion was held.)
10 A. Sorry.
11 MS. TARASSOVA: We are we back on
12 the record.
13 Q. Mr. Solovyev, we were talking about
14 the business address for Royal Finance Group.
15 You were telling me it was a private residence
16 but you don't remember who it belongs to. The
17 last question I asked you was is it your
18 residence?
19 A. No.
20 Q. Is it a family member's residence?
21 A. Yes.
22 Q. Why don't you remember who it
23 belongs to?
24 A. It's not important.
25 Q. Are you just refusing to answer

Page 25 1 SOLOVYEV 2 that question? 3 A. No, it has nothing to do with this 4 your plaintiff about whatever his request is. 5 Q. I don't understand that. I get to 6 ask a wide range of questions. That is 7 something that my client's have a right to do. 8 If your attorney states the question is 9 inappropriate, he may object. At this point 10 your attorney has not objected. I would 11 instruct you to go ahead and answer that 12 question. 13 A. I ask for you clearly what I know. 14 The rest, I don't remember. 15 Q. You have no idea who this private 16 residence belongs to other than it's a family 17 member? 18 A. Yes. 19 Q. Does the business Royal Finance 20 Group have any employees? 21 A. No. 22 Q. Are you an employee of the 23 business? 24 A. Yes. 25 Q. So it has one employee which is	Page 27 1 SOLOVYEV 2 A. International business which 3 required help with buying and selling some 4 merchandise, rules and regulations in the 5 U.S.A. for wholesalers or retailers, support 6 and knowledge of working procedures. It was 7 banks, it was a legal entities with lawyers, 8 and some other stuff. 9 Q. And when did those businesses 10 begin? 11 A. This business began three years 12 ago. 13 Q. And how are you qualified to give 14 such consulting information to clients? Do you 15 have some kind of a specialize knowledge or 16 some kind of experience that would allow you to 17 be able to consult clients on the things you 18 described? 19 A. Yes. 20 Q. Can you explain what that expertise 21 or knowledge is? 22 A. In my experience of 25 years doing 23 international business is worldwide activities. 24 Q. And which companies was that 25 through? I assume they're through your own
Page 26 1 SOLOVYEV 2 you; is that correct? 3 A. Yes. 4 Q. What does Royal Finance Group do? 5 A. Consulting business. 6 Q. What does -- what areas does it 7 consult in? 8 A. International transactions. 9 Q. Can you describe that what you do 10 you go to a different business clients you talk 11 to them about international transactions? 12 A. Yes, one second. 13 MS. TARASSOVA: Okay. 14 (Whereupon, an off-the-record 15 discussion was held.) 16 MS. TARASSOVA: Let the record 17 reflect this is the deponent's second 18 interruption with a phone call. I just 19 want to put that on the record. It's 20 been in the last ten minutes. 21 MR. CHANG: That's fine. 22 Q. You were telling me about the 23 nature of the business. Can you explain what 24 types of clients the business has, the Royal 25 Finance Group?	Page 28 1 SOLOVYEV 2 companies. You tell me what does your 25 years 3 of experience, what does that entail? 4 A. It entails nothing. It just 5 entails that I was logging in international 6 procedure and learning how to do it for many 7 years. It's my own knowledge. 8 Q. Were you employed by some companies 9 in the last 25 years or did you own your own 10 companies? 11 A. No, from the books and internet. 12 Q. You learned from books and internet 13 you said you know you have expertise or 14 knowledge from the last 25 years of doing 15 international business? 16 A. Absolutely right. Doing 17 international business. 18 Q. So how were you doing it? Were you 19 working, were you employed for a company or did 20 you have your own company? 21 A. I had my own companies overseas. 22 Q. Did you -- let's talk about another 23 business that you own currently. Car express 24 and import; do you own that business? 25 A. Yes, I own that business.

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1 SOLOVYEV
2 Q. And what is the address for that
3 business?
4 A. 333 Avenue X, second floor,
5 Brooklyn, New York 11223.
6 Q. Is that an office building?
7 A. It's an office building.
8 Q. What is the phone number for this
9 business?
10 A. 646-725-1335.
11 Q. Is that your cellphone number?
12 A. It's a company number, yeah,
13 company, business number, yeah.
14 Q. Does the business have a fax
15 number?
16 A. No.
17 Q. It does not?
18 A. Does not.
19 Q. Does the business have a website?
20 A. Yes.
21 Q. Is there a fax number listed on
22 that website?
23 A. I don't remember the fax number. I
24 don't remember. I never use a fax.
25 Q. So if there was a fax number listed

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1 SOLOVYEV
2 on the website, you're saying that you would
3 know about it?
4 A. I would know about it.
5 Q. So how do you reconcile the fact
6 that on the website which -- tell me what the
7 website is so that we have that on the record.
8 What is the domain for this business?
9 A. Carexpress@gmail.com.
10 Q. What is the domain address for the
11 website?
12 A. Carexpress.org.
13 Q. What about car express.U.S.?
14 A. It's the same.
15 Q. Are you looking, are you checking
16 that on the phone right now?
17 A. No.
18 Q. Are you texting on the phone right
19 now?
20 A. No.
21 MS. TARASSOVA: Eric?
22 MR. CHANG: Yes.
23 MS. TARASSOVA: I'm going to have
24 to raise an issue here and I want to put
25 that on the record. Mr. Solovyev is

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1 SOLOVYEV
2 very distracted today. He has
3 interrupted the deposition twice to pick
4 up his phone. He's looking at his phone
5 right now, he cannot describe to me what
6 he's doing that is relevant to this
7 deposition. So I'm a little bit
8 concerned about how this is going. Do
9 we need to reschedule this deposition in
10 order for us to have him focused and
11 attentive?
12 MR. CHANG: Do you want this on the
13 record?
14 MS. TARASSOVA: Yeah, I do. I want
15 it on the record as far as what your
16 response is to this?
17 MR. CHANG: Can you continue
18 without your cellphone for the rest of
19 the deposition?
20 THE WITNESS: No, I have to. I
21 have nothing to do. There is no
22 interruptions.
23 MR. CHANG: Can you put it away for
24 the next hour. Can I take the phone for
25 the next hour? Otherwise, we have to

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1 SOLOVYEV
2 reschedule, all right. I'm taking away
3 his with cellphone for now. If we have
4 to reschedule then we'll reschedule
5 let's try to get through this today.
6 MS. TARASSOVA: I agree. Thank you
7 so much.
8 Q. Mr. Solovyev, we're talking about
9 the Car Express website. I see here that it
10 has a website called carexpress.U.S.?
11 A. As well, yes.
12 Q. Is that in addition to
13 carexpress.org that you say?
14 A. Yes, it's in addition.
15 Q. Does Car Express -- where is Car
16 Express an import registered? Which state?
17 A. New York.
18 Q. Does it have any employees?
19 A. No.
20 Q. Are you employed with the company?
21 A. Yes.
22 Q. So it has one employee which is
23 you?
24 A. Yes.
25 Q. Do you own any other companies?

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1 SOLOVYEV
2 A. No.
3 Q. What about Leader Transportation,
4 Inc.?
5 A. What about Leader?
6 Q. Do you own that company?
7 A. Yes, I am.
8 Q. Did you forget that you owned it
9 when I just asked you if you own any other
10 companies?
11 A. I didn't forget about it.
12 Q. So you do own the company?
13 A. I do.
14 Q. What's the business address of that
15 company?
16 A. 63 New Hook Road, New Jersey.
17 Q. What is the phone number for the
18 company?
19 A. 201-858-3785.
20 Q. Where is that company registered?
21 A. New Jersey.
22 Q. Does anyone else own the company
23 besides you?
24 A. No.
25 Q. Does it have employees?

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1 SOLOVYEV
2 A. Yes.
3 Q. How many employees?
4 A. Just one.
5 Q. Is that you?
6 A. Two employees; me and another
7 employee, yeah.
8 Q. And who's the other employee?
9 A. Rami Homeine, R-A-M-I.
10 H-O-M-E-I-N-E.
11 Q. And what does Rami do with the
12 company?
13 A. He's dispatcher of the company.
14 Q. What kind of business is it?
15 A. It's a tracking business.
16 Q. Does the company own its own
17 trucks?
18 A. Several of them, yes.
19 Q. And what does it deliver goods? Is
20 that what it does?
21 A. Yes.
22 Q. And do you use Leader
23 Transportation to deliver like vehicles or
24 vessels for your clients?
25 A. No.

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1 SOLOVYEV
2 Q. What kinds of deliveries does
3 Leader Transportation do?
4 A. Cargo from the warehouse.
5 Q. From which warehouse?
6 A. World Express Warehouse.
7 Q. Are you currently employed by
8 Marine Transport Logistics?
9 A. No.
10 Q. Have you ever been employed?
11 A. No.
12 Q. Do you own it?
13 A. No.
14 Q. Have you ever owned it?
15 A. No.
16 Q. Have you ever owned a company
17 called Mosaic Transportation Lines?
18 A. Yes.
19 Q. And what kind of a company was it?
20 A. It was an NVOCC Company.
21 Q. And what years was it active in?
22 When was it working?
23 A. '93, '97.
24 Q. And how did it close down?
25 A. Just closed down.

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1 SOLOVYEV
2 Q. What was the reason for closing it
3 down?
4 A. I don't remember.
5 Q. Were you the only owner of the
6 business?
7 A. Yes.
8 Q. How many employees did it have?
9 A. I don't remember.
10 Q. Did your wife Allah Solovyev ever
11 participate in that business?
12 A. No.
13 Q. Did you own a business called MTL
14 Worldwide Agency, Inc.?
15 A. I can get your question.
16 Q. Did you own a company called MTL
17 Worldwide Agency, Inc.?
18 A. No.
19 Q. Mr. Solovyev, have you ever filed
20 for bankruptcy?
21 A. Yes.
22 Q. What year was that?
23 A. It was ten years ago.
24 Q. Was it in 2008?
25 A. Around that time.

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1 SOLOVYEV
2 Q. Do you remember submitting
3 information to your attorney in the bankruptcy
4 case about your employment?
5 A. I don't remember.
6 Q. Because if your bankruptcy petition
7 in the schedules attached to it, you report
8 that you were employed by MTL Worldwide Agency?
9 A. So what does it mean?
10 Q. Well, I'm asking you to clarify
11 that. I want to get that information clear.
12 So that if we have to go to trial or a hearing
13 I understand that I'm not mistaken in that
14 information?
15 A. I don't remember.
16 Q. Is it a possibility that you may
17 have owned MTL Worldwide Agency, Inc and worked
18 for it?
19 A. It's a possibility.
20 Q. Do you remember signing a
21 certification in your bankruptcy process that
22 states that your petition is true and accurate?
23 A. Absolutely.
24 Q. Have you ever held yourself out as
25 an agent or a representative for Marine

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1 SOLOVYEV
2 Transport Logistics?
3 A. Yes.
4 Q. In what circumstance did you do
5 that?
6 A. To ship my cars through the money
7 Transport Logistics cars or boats or any
8 commodities which required to be shipped
9 worldwide.
10 Q. And can you explain your
11 understanding of being an agent for MTL?
12 A. Car Express is a wholesale company
13 which was buying cars, boats or any machinery
14 at the USA auto auctions. These requirements
15 to ship it overseas. And the Car Express was
16 using money transport for such purpose.
17 Q. I guess I'm confused. Maybe you
18 can clarify.
19 So you would get a client that --
20 and tell me if I'm wrong but tell me what you
21 understand -- you would get a client through
22 Car Express, they would order something either
23 to buy a used car or used boat or some kind of
24 machinery? Your business would go to the auto
25 auction and purchase those items and then you

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1 SOLOVYEV
2 would use MTL to ship the items to the clients;
3 is that correct?
4 A. It's correct.
5 Q. So how were you an agent for MTL?
6 I don't understand. My understanding is you
7 were just to use MTL for your services or to
8 subcontract the shipping. Did you -- I mean,
9 did your client have an understanding that you
10 were working with MTL or MTL was working for
11 them?
12 A. I didn't get your question. Why is
13 it two different companies? It has to be doing
14 something together when one is a company. It's
15 buying the stuff and another is a shipping --
16 it's two different entities.
17 Q. I understand that. My question is:
18 Why were you an agent for MTL? How does that
19 play in?
20 A. Because I was trying to promote a
21 company, MTL on a friendly basis because this
22 is a very good company for the shipping and if
23 somebody out of business -- but MTL is still in
24 business, so, it's showing the faces -- the
25 company's still doing something right.

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1 SOLOVYEV
2 Q. And so in your e-mails, would you
3 write Aleksandr Solovyev agent for Transport
4 Logistics?
5 A. Yes.
6 Q. Do you know Aleksandr? We talked
7 about Aleksandr Safanov earlier? Do you know
8 him?
9 A. No, I don't know him.
10 Q. And what do you mean you don't know
11 him? Have you ever communicated with him?
12 A. What do you mean? Do I know him?
13 Q. Yes, that's what we have to clarify
14 is I guess -- let's start from the beginning:
15 Have you ever heard about him?
16 A. I heard about him.
17 Q. How did you first hear about him?
18 A. I heard about this person as Andre
19 Trejaykov from Middle East Asia and he present
20 me this person.
21 Q. And how do you know Andre
22 Trejaykov?
23 A. I know from Dubai.
24 Q. How do you know him from Dubai?
25 Did you meet in person one day? Do you have

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1 SOLOVYEV
2 common colleagues or friends?
3 A. I meet him in Dubai one day before.
4 Q. And did you have some kind of a
5 business relationship with Mr. Trejaykov?
6 A. Yes we have business before he
7 present me Safonov. It wasn't the business.
8 It was the same corporation. Trejaykov was
9 buying cars from my Car Express and shipping
10 through MTL in 2013. He brought Safonov into
11 this business.
12 Q. So the first time you heard about
13 Mr. Safonov was in 2013?
14 A. Approximately.
15 Q. What was your understanding about
16 the relationship between Mr. Trejaykov and Mr.
17 Safonov?
18 A. I have no idea. He just brought
19 him. That's all they started to buy boat
20 through Car Express.
21 Q. So when Mr. Trejaykov introduced
22 Mr. Safonov to you, you understood that they
23 were working together?
24 A. Yes.
25 Q. Have you ever met Mr. Safonov in

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1 SOLOVYEV
2 person?
3 A. Once Russia tone, two weeks ago,
4 they brought him for that.
5 MR. CHANG: Louiza, I think the
6 record's getting a little confusing
7 because you're asking him -- I think
8 he's thinking of as of this day have.
9 Q. No, I completely understand what
10 he's saying.
11 A. But we also have to understand what
12 you're asking's a little bit frustrating for
13 everybody here. Be specific, please.
14 MR. CHANG: Let her finish. I know
15 some of the answers in the record were
16 confused. If you're asking questions
17 predating this days, can I ask you to be
18 specific?
19 MS. TARASSOVA: I mean I think I
20 was specific enough. I asked if he ever
21 met him in person. He said, yes, once,
22 two weeks ago. That's pretty clear.
23 MR. CHANG: If that answers your
24 questions.
25 MS. TARASSOVA: Absolutely. I

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1 SOLOVYEV
2 don't see a problem with it whatsoever.
3 Q. Mr. Solovyev, so the first time you
4 ever met Mr. Safonov in person was when --
5 after this lawsuit had been filed and he went
6 to mediation, correct?
7 A. Yes.
8 Q. Prior to this lawsuit, you never
9 met Mr. Safonov in person; is that correct?
10 A. Never.
11 Q. Had you ever communicated with Mr.
12 Safonov prior to the lawsuit?
13 A. Yes.
14 Q. And how did you communicate with
15 him?
16 A. It was some communication in the
17 end of 2013 by Skype and some communication in
18 2014 by e-mails.
19 Q. When we're talking about Skype, did
20 you have a Skype username?
21 A. If I communicate through the Skype,
22 so, I have it.
23 Q. And sometimes the question's seem
24 very like basic but I have to set the record
25 that there was a username and then I will ask

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1 SOLOVYEV
2 you to get specific and tell me what the
3 username is. So I just want to let you know
4 to -- so you did have a username. What was the
5 username for Skype that you used to communicate
6 with Mr. Safonov?
7 A. Aleksandr.Solovyev.
8 Q. What was the e-mail address that
9 you used to communicate with him?
10 A. It was MTLworld@MTLworld.com.
11 Q. Did you purchase the Shopwell in
12 the Monterey for either Mr. Trejaykov or Mr.
13 Safonov or both of them at some point, the two
14 boats that are --
15 A. The boat purchase through any
16 company, Car Express from co-part which
17 litigated in Long Island City.
18 Q. And how were you first contacted
19 about buying these two boats?
20 A. I didn't contact them. They
21 contacted me. They were asking me to help them
22 to buy it.
23 Q. And who specifically reached out to
24 you?
25 A. Andre Trejaykov.

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1 SOLOVYEV
2 Q. And do you remember the date?
3 A. No.
4 Q. What year was that?
5 A. Everything is in the files. I
6 don't remember the date but that was 2013.
7 Q. It was in 2014?
8 A. '13.
9 Q. Who paid for the boats?
10 A. Their side paid for the boat,
11 Middle East Asia.
12 Q. So middle East Asia paid for it?
13 A. Yes.
14 Q. Who did they pay to?
15 A. They paid to Car Express. The
16 hold, they paid to Royal Finance Group.
17 Q. Why did they have to pay to Royal
18 Finance Group?
19 A. Because restrictions of the co-part
20 auto auction regarding the payment obligation
21 was given on a three free-day basis. After
22 that, it's a huge amount of penalty which
23 applies their day which we call in professional
24 way, detention demurrage, D-E-M-U-R-R-A-G-E,
25 and the storage charges and the Royal Finance

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1 SOLOVYEV
2 was helping them to pay in a timely basis for
3 their orders of whatever they bought and pay in
4 time. And after that, was waiting for the
5 payment from overseas, from Middle Asia and
6 usually it was working in time and they've been
7 paying during seven or 10 days.
8 Q. Why did Royal Finance Group do that
9 for them? Does it collect some kind of a fee
10 or interest?
11 A. Yes.
12 Q. What's the fee for the service?
13 A. From \$200 to \$400 per boat. We
14 call it commission.
15 Q. And when they -- when they first
16 reached out to you in this particular
17 transaction, were they going through your
18 company Royal Finance Group to arrange the
19 purchase and shipping or were they going to
20 your company Car Express or World Express who
21 were they contacting to arrange the purchase in
22 the shipment?
23 A. To arrange the purchase of the
24 equipment. We call it equipment. Let's say it
25 the right way. They contacted to Car Express.

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1 SOLOVYEV
2 Q. So you're saying they went directly
3 to Car Express to get the boats and then they
4 went separately? Did they go separately to
5 World Finance Group to finance the purchase?
6 A. They didn't go to Royal Finance.
7 They were receiving invoices from Royal Finance
8 because they couldn't manage their business in
9 a timely basis and I have to find out the way
10 how you excite -- would support them of doing
11 such transactions in the business of buying and
12 shipping to Dubai. So I was helping my friend
13 Andre to establish this business out of U.S.A.
14 using Car Express and Royal Finance.
15 Q. So you were doing it just, you
16 know, as a friendly favor, make sure that they
17 he had the money to pay for the boats at the
18 car auction and basically you were kind of
19 helping him arrange everything through your
20 companies?
21 A. Correct.
22 Q. And then after Royal Finance Group
23 collected the money, did it pay directly to
24 Co-part or did it have to pay Car Express?
25 A. They paid directly to co-part.

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1 SOLOVYEV
2 Q. Who arranged the shipment of the
3 boats to Dubai?
4 A. According to arrangement of the
5 shipping to Dubai customer itself sitting in
6 the Dubai made an arrangement through Car
7 Express and the Car Express is the agent of
8 Money Transport Logistic suggests to the
9 customer in Dubai to go through Money Transport
10 and ship it through Marine Transport.
11 Q. And when you're talking about them
12 going to Car Express which is an agent for MTL,
13 do you mean that they e-mailed you at your
14 address at MTLworld.com; is that how it
15 happened?
16 A. You're talking about what
17 instruction? For the buying, shipping,
18 financing? Which instructions, which
19 investment you're talking right now? (Sic)
20 Q. Arranging the shipment.
21 A. Yes, they were asking mostly
22 verbally to ship it to help them to ship to
23 Dubai and after that, once they're already to
24 ship, they've been in touch with Marine
25 Transport Logistics. They were talking to

Page 49 1 SOLOVYEV 2 purchase when the bookings on the timing, on 3 the loading, documentation, mailing back and 4 forth. 5 Q. The reason I ask this question is 6 because all the e-mails from you are from 7 the -- that I've seen so far are from 8 MTLworld@MTLworld.com, right where your 9 signature blog says Aleksandr as agent for MTL. 10 What I'm asking you is that how you 11 communicated; through e-mail? Is that the only 12 e-mail you use, whether it was to do your 13 business with Royal Finance Group or do you do 14 your business with Car Express or did you have 15 separate e-mail addresses for Car Express Royal 16 Finance Group? 17 A. Usually I'm doing for every 18 customer a different way of doing business. 19 (Sic) In this case, in your particular case 20 because Safonov didn't speak English and any 21 other language besides Russian and I started 22 this business early -- years ago with Andrea. 23 My e-mail MTL@MTLworld.com. I didn't want him 24 to bring in other sources of communication. Do 25 not make his business corporation complicated.	Page 51 1 SOLOVYEV 2 A. Yes, they arrived to Dubai. 3 Q. And how do you know that? How did 4 you get that information? 5 A. We got a bill of lading from Marine 6 Logistics. 7 Q. Why did you receive a bill of 8 lading? 9 A. I didn't receive it. Andre sent it 10 to us. 11 Q. So you received the bill of lading 12 from Andre? 13 A. Yes. 14 Q. That MTL had prepared, correct? 15 A. Yes. 16 Q. Who quoted -- who quoted Andre or 17 Mr. Safonov for the shipping, how much it would 18 cost? 19 A. MTL. 20 Q. Did you participate in quoting them 21 for the shipping at all for these two boats? 22 A. Yes, I helped them to buy trailers, 23 and measure boats with the trailers and to 24 participate in reasonable local shipping of all 25 his boats to Dubai.
Page 50 1 SOLOVYEV 2 So I was trying to setup his transactions 3 through one e-mail which is 4 MTLworld@MTLworld.com. 5 Q. Did you think it was going to be 6 confusing for him to get an e-mail from you 7 from another e-mail address? 8 A. Yes. 9 Q. Does Car Express have its own 10 e-mail address? 11 A. Yes. 12 Q. What is the e-mail address for Car 13 Express? 14 A. I don't remember right now but we 15 have the e-mail -- yes, it's on the website. 16 Q. And on the website I see it says 17 info@Carexpress.U.S.? 18 A. Absolutely right. 19 Q. Do you know if the boats ever 20 arrived in Dubai? 21 A. Which boats? 22 Q. The two boats that we were talking 23 about earlier. The Shopwell and the Monterey 24 that you purchased at the auction and set up -- 25 set them up with MTL to be shipped?	Page 52 1 SOLOVYEV 2 Q. So had you ever had to contact MTL 3 yourself on their behalf and find out how much 4 it would cost to ship? 5 A. Yes, of course because we have to 6 put together loading and the shipping. 7 Q. Were you getting paid for these 8 services, for arranging everything? 9 A. Who? Me personally? 10 Q. You, yes. 11 A. Personally, not. 12 Q. Any of your companies, were they 13 getting paid for all of this for arranging 14 everything? 15 A. Yes. 16 Q. Which company? 17 A. Royal Finance Group commission for 18 financing, Car Express for commission for the 19 buying boat; some commission was put on top for 20 buying trailers for the customers. And no 21 commission on the shipping with Marine 22 Transport. 23 Q. But did you get any commission or 24 any of your companies for arranging 25 orchestrating. I understand that Royal Finance

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1 SOLOVYEV
2 Group received a commission for its service
3 which is basically floating the purchase and
4 Car Express got a commission for buying but did
5 you or your companies get any commission or
6 payment for going to MTL and measuring these
7 boats and finding out the quotes?
8 A. No, we don't have that in our
9 invoices.
10 Q. Were you just doing that out of the
11 goodness of your heart?
12 A. Yes, I have a big heart, yes.
13 Q. Was MTL paid for its services?
14 A. I didn't get your question. MTL
15 paid nothing for anything. MTL was supposed to
16 be paid for the shipping.
17 Q. Yes, that was my question. Was MTL
18 paid for its services?
19 A. No. MTL didn't pay for anything.
20 MS. TARASSOVA: Ma'am, court
21 reporter, can you repeat my question to
22 the deponent, please.
23 (Whereupon, the referred question
24 was read back by the Reporter.)
25 A. For the shipping, MTL for the

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1 SOLOVYEV
2 shipping to the steamship line, steamship line
3 and the quoted on top, the commission.
4 Q. So MTL was paid a commission for
5 shipping, correct?
6 MR. CHANG: I'm sorry, can you read
7 back his answer. That wasn't his
8 answer.
9 (Whereupon, the referred answer was
10 read back by the Reporter.)
11 Q. Can you clarify that? I think your
12 attorney was confused. I understood your
13 answer as saying that MTL charges a commission
14 for setting up the shipping with vessel?
15 A. Yes, absolutely right, yes.
16 Q. How much was that commission? Do
17 you know?
18 A. No.
19 Q. Did Royal Finance Group receive
20 payment on behalf of MTL?
21 A. Yes.
22 Q. Why did it do that?
23 A. Because it was easy to receive one
24 lump sum from Dubai and Andre was asking to pay
25 once to the company for the all services out of

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1 SOLOVYEV
2 USA and Royal Finances -- Royal Finance Group
3 was receiving money for all services, five, six
4 services and paying on behalf of the customer
5 for all the services up to shipping to the pay
6 Dubai.
7 Q. So Royal Finance Group would
8 receive money on behalf of MTL and then pay MTL
9 its portion for its services?
10 A. Yes.
11 Q. And how does that work? Does Royal
12 Finance Group invoice your clients?
13 A. Yes.
14 Q. Is it invoice based on a quote or a
15 prior agreement?
16 A. On a quote from Marine Transport
17 Logistics.
18 Q. And at some point were these two
19 boats, the month, day and the Shopwell, were
20 they shipped back to New Jersey from Dubai?
21 A. Yes.
22 Q. Why were they shipped back; do you
23 know?
24 A. No.
25 Q. Were you helping with that

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1 SOLOVYEV
2 transaction? Were you helping set up the
3 shipment from Dubai back to New Jersey?
4 A. No.
5 Q. Because I believe I saw some
6 e-mails that Mr. Safonov produced in discovery
7 that showed that you -- I think you forwarded
8 him some communications where you were
9 arranging the shipment and asking for quotes
10 from various companies to ship the two boats
11 from Dubai to New Jersey; do you remember that?
12 A. Yes, they were asking a lot of
13 questions. I was trying to help them to do
14 their business but it's not easier of any
15 company, either companies that you just
16 mentioned been involved in the shipping out of
17 Dubai. They were doing it on their own.
18 Q. And where did those boats end up
19 after they arrived in New Jersey; do you know?
20 A. They end up in the port of New
21 York.
22 Q. And do you know where they went
23 from the port?
24 A. From the port they went to 63 New
25 Hook Road in Bayonne, New Jersey to a warehouse

Page 57 1 SOLOVYEV 2 of World Express. 3 Q. How did they end up being stored at 4 World Express? 5 A. They end up as a receiver, final 6 receiver on a bill of lading where it stated 7 that Marine Transport is a notified party for 8 these two boats in U.S.A. 9 Q. Did you help them with that? How 10 did MTL become involved in this? 11 A. MTL was a receiver as an agent for 12 the line. They would receive something from a 13 notified party on a bill of lading and they 14 hire the tracker and unloading department to 15 take this boat out of the container and store 16 it on the World Express yacht. 17 Q. So what I'm trying to understand is 18 your involvement. Prior you had said that you 19 had been helping them deal with MTL, right? 20 Did you have anything to do with the boats back 21 to New Jersey? 22 A. No. 23 Q. Did you help them arrange that? 24 A. No, to New York. No, they did it 25 under their own bill of lading and their own	Page 59 1 SOLOVYEV 2 Q. And did you have an agreement about 3 how much that would cost? 4 A. Yes. 5 Q. And was it a written agreement or a 6 verbal agreement? 7 A. It was a Skype communication with 8 numbers which is supposed to indicate the 9 number of the Monterey number for the services. 10 Q. And how much were those services 11 supposed to cost? 12 A. What services? 13 Q. For storage, you said that you guys 14 via Skype that was there was a monetary amount 15 for a monetary number that you discussed for 16 the storage of the two bets with Mr. 17 Trejaykov? 18 A. You're wrong. In order to receive 19 such cargo out of foreign country, you do not 20 have to pay storage accumulating after all 21 other services and charges which occurred 22 before which is included. Custom clearance, 23 port charges, THC, destination, local 24 demurrage, track, unloading and covering and 25 letting of the boats and after that, in about
Page 58 1 SOLOVYEV 2 loading and their own decision to ship it back. 3 Q. Do you know why MTL was listed as 4 the final receiver? 5 A. Because like Andre says to me, he 6 don't -- he didn't know anybody in the U.S.A. 7 and he wants to use his boat in U.S.A. 8 Q. And were these boats you said that 9 they were put on a truck and moved to World 10 Express, did they use your company leader? 11 A. I don't know. It looks like not. 12 There was no leader at the time. 13 MR. CHANG: Can you pick a spot for 14 a five-minute break? 15 MS. TARASSOVA: Yes, let's do it 16 now. 17 (Whereupon, a five-minute break was 18 taken.) 19 Q. Mr. Solovyev, we left off on me 20 asking you how the two boats, the Shopwell and 21 the Monterey ended up in storage with World 22 Express in connection; how did that happen? 23 A. Customer from Dubai Andre asked me 24 to install them, ship them and install them in 25 New York.	Page 60 1 SOLOVYEV 2 two weeks according to the filing storages 3 accommodated so before storages we have plenty 4 of charges which connected with import 5 shipments of the boat. 6 Q. When you described those charges, 7 can you explain who was responsible for 8 satisfying those charges on the United States 9 side? 10 A. Whoever was a shipper of the 11 anchor, Middle East Asia. They're supposed to 12 be paying all these charges. 13 Q. Did someone pay those charges? 14 A. No. 15 Q. So no one ever paid for customs 16 fees, anything like that? 17 A. Nobody. 18 Q. Do those goods not get held up in 19 customs, if customs had not paid for it? 20 A. No. 21 Q. Can you explain the process to me? 22 How does it work? So say Middle East Asia, 23 sends over the two boats, they don't pay 24 anything to anyone, who takes the hit I mean, 25 do they just have outstanding balances?

Page 61 1 SOLOVYEV 2 A. They're supposed to send all 3 balances to the company Marine Transport who 4 was paying for all these charges. 5 Q. So Marine Transport Logistics paid 6 for the charges for Middle East? 7 A. Yes. 8 Q. How does that work? Why would you 9 not collect the fees up front? Why would you 10 invoice afterwards? 11 A. It was invoiced up front. 12 Q. Did they pay? 13 A. It's the same story as procedure of 14 buying equipment from the auctions in order to 15 pay lump sum amount for all services, service 16 has to be provided. As soon as Marine 17 Transport recognizes all the charges for the 18 car and services, invoice was issued and 19 deliver to the customer in full because to 20 predict \$1.00 plus and minus, it's impossible 21 that customs can hold it for any reason. If 22 something come up legal -- but in this case 23 everything was legal -- and all the procedure 24 went smoothly and the boats resolved as a yacht 25 of World Express resolved any additional	Page 63 1 SOLOVYEV 2 cargo falls down to the final destination 3 storages will be accommodated according to the 4 filing and any unit or any object which would 5 be stored at the facility of World Express 6 would be penalized with the storage charges. 7 Q. And that policy, is it written 8 somewhere? 9 A. Yes, it's written somewhere. 10 Q. And where is that policy written? 11 A. On the performer of World Express. 12 Q. And would you give that to the 13 compliance? Is it on a website somewhere? Is 14 it an e-mail? 15 A. Yes, it's on the website. Every 16 customer can see it through the website. 17 Q. What is the website? 18 A. MTLworld.com. 19 Q. I'm confused and I hear your 20 attorney is confused as well. 21 So I'm talking about storage with 22 World Express? 23 A. Sorry. It's my mistaken. On the 24 inspection report, yes, you're right. On the 25 inspection report of World Express, there is a
Page 62 1 SOLOVYEV 2 charges. 3 Q. So was Royal Finance Group involved 4 in this transaction of the boats being shipped 5 back to New Jersey to MTL? 6 A. No. 7 Q. Did Royal Finance Group pay the 8 money upfront to cover customs and shipping 9 charges, Etc.? 10 A. I don't remember. As far as I 11 remember, Marine Transport was paying for all 12 the charges. 13 Q. And to go back to my question 14 before we got into that, I was asking you 15 about -- was there an agreement or an 16 arrangement about the storage fees and you 17 said, well, storage fees are incurred after all 18 of this is paid. Can you please clarify that 19 for me? 20 A. Yes, according to -- we have 21 30 days of fee for the customer who will 22 conduct next step for the business transaction 23 between one of our companies and in resolved 24 reason customer using storage facility as to 25 store and do not ship, do not transact his	Page 64 1 SOLOVYEV 2 stipulation on the backside. Absolutely on the 3 bill of lading stipulation of the storage 4 charges, yes, Marine Transport has nothing to 5 do with it on the World Express policy. Its 6 inspection report is stipulated as a bill of 7 lading at the backside of this paper, it 8 stipulated the storage charges procedure. 9 Absolutely right, you're right. 10 Q. Do you have a record of giving that 11 of that document from World Express where the 12 policy is written on the back of the bill of 13 lading? Do you have a copy of that that we can 14 see? 15 A. Yeah, you can see it. 16 Q. But you have it? 17 A. I can have a copy in my office in 18 the office of World Express. You can see it 19 was mentioned to Andre Trejaykov about this 20 policy he decided to ship it back or when I 21 decided to ship it to Dubai, it was stated to 22 him verbally. He doesn't speak English. So it 23 was verbally and stipulated to him that he 24 would be responsible for the storage. 25 Q. And on that written document, does

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1 SOLOVYEV 2 he have to sign the bill of lading at any 3 point? You're saying it's on the back of the 4 bill of lading, that policy? 5 A. Yes, it's on the back, yes. 6 Q. Did Mr. Andre Trejaykov or Mr. 7 Safonov or anyone else, did they ever have to 8 sign that document? 9 A. Don't have to. 10 Q. So did they come in contact with 11 that document in the regular course of 12 business? 13 A. No. 14 Q. So how would they be on notice that 15 that policy's on the back of the bill of 16 lading? 17 A. There was no notice. They would 18 ask me if there was any storage. I show them 19 the paperwork. It's my translation. It's my 20 full translation from English to Russian that 21 they would be in charge for the storage such 22 and such numbers to the -- according to the 23 size of their boat. 24 Q. So basically you're saying that it 25 was on a piece of paper that they didn't sign	1 SOLOVYEV 2 say it's about \$40 a day for the large boat 3 it's maybe from \$100 up to \$150 a day. 4 Q. Is that the industry rate or is 5 that something that you assign as a company? 6 A. Industry rate is three times higher 7 than I just mentioned to you. 8 Q. How long were the monitoring and 9 the Shopwell at World Express? 10 A. Very long years and years. More 11 than a year. 12 Q. More than a year. 13 Did you at any point notify either 14 Mr. Trejaykov or Mr. Safonov that their boats 15 are going to be incurring storage fees? 16 A. Absolutely. 17 Q. How did you notify them? 18 A. In writing. 19 Q. Through what medium? 20 A. Through the internet, Skype. 21 Q. So you wrote them a message through 22 Skype? 23 A. Absolutely. 24 Q. And when did you first inform them 25 about the storage fees?
Page 66	Page 68
1 SOLOVYEV 2 and you verbally explained it to them? 3 A. Yes, every customer -- there is 4 thousands and thousands of customers coming 5 through World Express knows about this 6 procedure. Thousands and thousands and during 7 last 20 years. It was the same procedure for 8 every customer. Maybe medium people know this 9 procedure. If you ask anybody about this 10 procedure, everybody knows it. The storage 11 charges will apply if the customer does not 12 ship. It just wants to store it. 13 Q. It's like a regular course of 14 business activity for the -- 15 A. It's a regulation of the business, 16 yes. 17 Q. And so if they don't pick up their, 18 you know, goods in 30 days, what are the 19 storage fees? 20 A. It's according to the measurement 21 of let's say for the cars. We got from \$10 up 22 to \$15 per day and for the boat it's from liner 23 meter. It's like \$20. I don't remember how 24 much. It's \$20 per liner meter so it's like if 25 the boat -- let's say for the small boat, let's	1 SOLOVYEV 2 A. When I understood that they were 3 hiding from me and they have some kind of 4 problems speaking them up (sic) and their 5 boats, their boat on top of my neck and they 6 just -- keeping the space which is supposed to 7 be for the business purpose, not for the 8 storage. 9 Q. What is your procedure to notify 10 clients if it's past 30 days? Do you reach out 11 to them immediately after the 30 days is up or 12 do you wait for them to contact you and just 13 passively add to their balance with the 14 company? What's your procedure? 15 A. It's a different procedure. 16 Usually if the customer is shipping with us, 17 and he's asking to store it, it's over the 18 phone or by e-mail. It's always -- it's a 19 different procedure. It depends on what kind 20 of customer how we ask him. We can talk 21 verbally. If you do not trust the customer, we 22 can send them an official letter or lawyer sign 23 or through the court order. 24 Q. And in this case with the two 25 boats, the Shopwell and the monitor ray, did

Page 69 1 SOLOVYEV 2 you trust Andre Trejaykov and Aleksandr 3 Safonov; did you trust them? 4 A. Absolutely, yes. 5 Q. So what happened when you noticed 6 that 30 days went by, the boats are sitting on 7 your lot and they're not picking them up? Did 8 you notify them? 9 A. Yes, we notify them. Not after 10 three days, maybe a couple of months because 11 they -- it was having a problem during the 12 period of time, 2014 to bring them out. It was 13 a lot of snow and they said give us months or 14 two, we'll take care of it and snow. It's 15 just -- and then after that, it was spring and 16 the summer and, you know, we didn't what to do 17 with these boats. After that we started 18 sending them messages. 19 Q. And when you're talking about snow 20 do you mean snow? New Jersey on your end? 21 A. Yes, snow in New Jersey. It was a 22 lot of snow. They couldn't handle these boats 23 calling me several times keep these boats to 24 pay for the storages. 25 Q. Why would they have a problem with	Page 71 1 SOLOVYEV 2 A. Yes. 3 Q. And what is that -- do you know 4 what the date of that e-mail is? 5 A. No. As far as I remember, it was 6 in May 2014 with several messages by Skype in 7 about -- in April time. 8 Q. April 2014? 9 A. Yes. 10 Q. And do you have those records? 11 A. Yes, we have it, yeah. 12 Q. And the first thing that you 13 notified them, it was wintertime. Did you do 14 it by phone or e-mail and Skype? 15 A. By phone for sure. They knew that 16 was going on and if the ship it -- hold on. 17 Can you give me a second? 18 MS. TARASSOVA: Sure. 19 (Whereupon, an off-the-record 20 discussion was held.) 21 Q. Let the record reflect that Mr. 22 Solovyev is double checking on his computer. 23 And Mr. Solovyev, can you just let us know what 24 you're referring to right now? What you're 25 looking at?
Page 70 1 SOLOVYEV 2 the snow? Is it because you charged them more 3 to get them out? Why would they care, it's not 4 their problem? 5 A. I didn't charge them more because 6 to keep out and move boats in such snow, it's 7 very difficult. Nobody any tracking company 8 would do it. I remember it was a lot of snow 9 during this time, yes. I don't know, maybe 10 there was their reason. I don't know why. 11 It's my suggestion but we've been talking about 12 weather, conditions of the weather during this 13 time and they knew the condition it was in. 14 Maybe it was interruption of the next step to 15 continue business here. 16 Q. And then when the snow cleared, did 17 you contact them again and let them know that 18 they are incurring fees? 19 A. Yes. 20 Q. How did you contact them the second 21 time? 22 A. Over the phone, over e-mail. 23 Q. Do you have proof? Do you have an 24 e-mail retained from that when you gave them 25 notice?	Page 72 1 SOLOVYEV 2 A. I was trying to remember when the 3 boats came back. 4 Q. What are you looking at? What are 5 you referring to on your computer? What 6 document? 7 A. Bill of lading for these two boats 8 arrive back. 9 Q. And what was the day on the bill of 10 lading? 11 A. It was August, September 2014 when 12 they came back. 13 Q. You said when? What was the date? 14 A. 2014 in the middle of the year two 15 boats arrived there. 16 Q. Do you have the date or you just 17 know that it's was summertime? 18 A. Let me find -- 19 Q. Can you let me know what you're 20 looking at there? What are you referring to? 21 What document is helping you remember? 22 A. You're asking me about these two 23 boats. When they arrived with the dates and 24 I'm trying to find the exact date when they 25 arrived here in New York out of Dubai all

Page 73 1 SOLOVYEV 2 right. 3 Q. Yep. What document are you 4 referring to on your computer? 5 A. Bill of lading which was sent to me 6 from Andre Trejaykov under his booking for 7 these two boats. I'm looking for the bill of 8 lading. 9 Q. Okay. 10 A. Yes, on August 2014, yes. 11 Q. So in the winter of 2014 they were 12 not in New Jersey. They were in Dubai, right? 13 A. Yes. 14 Q. So can you clarify that; cause you 15 said you remember there was a storm that 16 prevented them from getting picked up. When 17 was that. Is this even in reference to these 18 boats or might it have been something else? 19 A. It's in reference to Formula, 20 another boat. 21 Q. And when was the Formula purchased? 22 A. In August 2013. 23 Q. So it stayed and where was it 24 stored, with what company? 25 A. World Express.	Page 75 1 SOLOVYEV 2 see now I'm confused. 3 As far as the notices, I want to 4 talk about, the notices that your company or 5 you gave to them are about storage fees. In 6 relation to the Monterey and the Shopwell, when 7 was the first time that you gave either Mr. 8 Trejaykov or Mr. Safonov notice that they are 9 incurring storage charges? 10 A. Immediately after their arrival to 11 New York back. They knew about storage charges 12 immediately. 13 Q. How did they know about them? 14 A. Because they were asking if any 15 storages occurred and they received a positive 16 answer yes would be storages if they occur. 17 Q. Was this — did they ask in writing 18 and did you respond in writing or was this all 19 verbal? 20 A. It was verbal and as far as I 21 remember, in writing definitely it was in 22 writing. 23 Q. Do you have evidence of that? Can 24 you go to an e-mail or Skype message and pull 25 that up right now?
Page 74 1 SOLOVYEV 2 Q. What company bought it? 3 A. Car Express. 4 Q. Was the purchase through co-part as 5 well? 6 A. The same through co-part. 7 Q. And did Royal Finance Group collect 8 money for all the services that your company's 9 provided? 10 A. Yes. 11 Q. And in relation to the transaction 12 with the Formula, how did you communicate? Who 13 did you communicate with? 14 A. Andre Trejaykov. 15 Q. And how did you communicate with 16 him; through Skype, e-mail, phone? 17 A. E-mail, Skype and phone. 18 Q. And did you use that e-mail called 19 our e-mail MTLworld@MTLworld.com? 20 A. Yes. 21 Q. So that was — was that the boat 22 that was being stored through the wintertime 23 and you had issues with the snow? 24 A. Yes. 25 Q. So let's get this clear because —	Page 76 1 SOLOVYEV 2 A. Not right now. My lawyer also has 3 this information for you. 4 Q. He already has the information for 5 us? 6 A. Yes. 7 Q. And when you're talking about 8 writing what would you look in? Would you look 9 into your Skype account or would you look into 10 your e-mail account or both? 11 A. Both. 12 Q. So if they arrived in August 2014 13 at what point did they begin incurring storage 14 fees? 15 A. Right in the month after arrival. 16 Q. Within 30 days? 17 A. Within 30 days, yes. 18 Q. And when was that the first written 19 notice given? Do you know the date of that? 20 A. I don't remember the date but it 21 was given, notice was given. 22 Q. And we're talking about written 23 notice? 24 A. Written notice, yes. 25 Q. How many — did you remind them

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1 SOLOVYEV 2 again? Did you give them additional notices or 3 it was just that one time? 4 A. It was mentioned on every 5 conversation over Skype to Andre Trejaykov. 6 Q. Did you ever send an official 7 invoice to Andre or Mr. Safonov? 8 A. Yes, it was an official invoice, 9 yes. 10 Q. And when was that invoice sent? 11 A. Official invoice was September, 12 within a couple of months after boats arrived. 13 Q. And how much was that invoice for? 14 A. It was particularly for the storage 15 charges which is occurred up to storage day, 16 particular storage day. It was several 17 invoices which was issued from the beginning 18 after that bill had been adjusted to the higher 19 amount and never applied to other invoices and 20 nothing replied from any of the customers. 21 What you just mentioned, Andre Trejaykov or 22 Aleksandr Safonov, on the storage charges when 23 they're planning to pay or any other movements 24 of the boats. 25 For the proposal, for helping them	1 SOLOVYEV 2 shop has a stipulation, they're going to charge 3 you \$45 for storage car or \$60 per day and if 4 its amount exceeds such particular amount, 5 let's say \$2,000, they needed to put a lien or 6 just bring it to the auction and resell to get 7 their money back for the storage. The same 8 storage procedure supposed to be in this case 9 with World Express which stipulated on World 10 Express bill of lading, okay but because it was 11 my friends, we didn't put a lien and we didn't 12 sell them to cover our expenses to store them 13 for our own money. And if the customer who are 14 using somebody services in U.S.A. not 15 responsible for their boats, let's say in this 16 situation, so it's his fault to be punished 17 according to the New Jersey law for storages or 18 resending his entity in order to cover the 19 storage charges which accumulated because of 20 his mistake, not calculation for -- not to be 21 responsible for his own boat. 22 MR. CHANG: Note my objection 23 that's not responsive to the question. 24 Q. Had you ever charged them -- when I 25 say you, I guess I'm talking about World
Page 78	Page 80
1 SOLOVYEV 2 to ship it from Dubai or to fly never got to 3 this point during the next two years on any of 4 my question. So according to the New Jersey 5 law, and we have this law stipulated by 6 governor of New Jersey, we have three months of 7 storage free. After that we can get rid of the 8 boats, sell them, give us the rights on our 9 side, you can do it as well but we didn't do 10 it. We were trusted in believing that these 11 people would be -- would resolve this issue of 12 storage on their own. 13 Q. So is it my understanding and tell 14 me where I'm incorrect in the record, my 15 understanding from Mr. Safonov is that the 16 first time he heard about any storage fees was 17 when he received an invoice for about \$40,000; 18 was that the only invoice that you had sent or 19 were there invoices prior to that? 20 A. Let me explain to you how it works. 21 If you bring your car, I can give you an 22 example to a repair shop and you don't pick it 23 up after the day of your car was repaired in 24 every way in U.S.A. they will charge you and 25 everybody has the same stipulation, every car	1 SOLOVYEV 2 Express in connection, right because that would 3 be the entity that's charging them for storage; 4 is that correct? 5 A. Correct. 6 Q. Had you ever charged them storage 7 fees before? First of all, let me back up so 8 we can set the record straight. Had you done 9 business with Mr. Trejaykov or Mr. Safonov 10 prior to these three boats? 11 A. Yes, I did business with Mr. 12 Trejaykov before Safonov for about two years 13 before. 14 Q. And had you ever had charged Mr. 15 Trejaykov any storage fees? 16 A. No, there was no storage fees 17 because he was shipping everything in time out 18 of U.S.A. If he spent his money, he's supposed 19 to get his goods in Dubai as soon as possible. 20 He had never get in storage. 21 Q. So this was the first time that you 22 had to enforce your storage fee policy? 23 A. Absolutely. It was the first time 24 and customer had not been responsible for his 25 own goods.

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1 SOLOVYEV 2 Q. So what I'm getting at is this, 3 what I'm trying to figure out right now usually 4 when a business sees that their client who's 5 been doing well and has been honest through 6 their course of dealings is not picking up the 7 boats is not responding now they're an 8 inconvenience to you as a business, right? 9 A. Right. 10 Q. Usually the business will give 11 notice to that person or that company. So say, 12 listen you are now incurring storage fees 13 because you are not picking up your boats, 14 you're being nonresponsive or unresponsive. So 15 you're saying you did that and I'm trying to 16 figure out because at this point I have not 17 seen any documentation other than the e-mail 18 where you sent the \$40,000 invoice at, what 19 point did you give them notice in writing that 20 they will start incurring storages? 21 A. It was a notice over the phone and 22 Skype conversation between me and Andre which I 23 present to my lawyer where Andre says that 24 Aleksandr Safonov called him recently asking 25 why he is getting storage charges for his boat.	1 SOLOVYEV 2 first. 3 MR. CHANG: Objection to form. 4 MR. TARASSOVA: And then the 5 question to Eric is, Eric, do you know 6 what Skype conversation he's talking 7 about because I haven't received that? 8 MR. CHANG: I do not but obviously 9 if you make the request for it, we'll 10 dig it up and turn it over. 11 A. I'll mark it up. 12 MR. CHANG: We'll find it just so 13 the record's clear post August 2014? 14 MS. TARASSOVA: What are you 15 talking about? 16 MR. CHANG: Are you asking about 17 post August 2014? 18 MS. TARASSOVA: No, I'm talking 19 about -- your client told you that he 20 submitted as a disclosure that I haven't 21 received -- I'm talking about everything 22 your client submitted. It's not post or 23 prior, it's everything that may be in 24 your possession that is supposed to be 25 disclosed.
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1 SOLOVYEV 2 I got this information over Skype and if 3 Safonov is saying that he never received it, he 4 received it, I got proof. 5 MS. TARASSOVA: And counsel, do you 6 know what your client is talking about 7 because I have not seen those Skype 8 conversations? 9 MR. CHANG: I'm not positive. It 10 sounds like he's talking about a Skype 11 conversation after the invoice was sent; 12 is that correct? 13 A. Sure. 14 MR. CHANG: Does that answer your 15 question? 16 MS. TARASSOVA: Okay. 17 Q. So this Skype conversation after 18 the \$40,000 invoice; is that right? 19 A. Yes, absolutely right. 20 Q. So tell me if I'm wrong but the 21 first time that Mr. Safonov or Mr. Trejaykov 22 got notice in writing or an official invoice, 23 that was the e-mail that had the invoice for 24 \$40,000; is that correct? 25 A. Yes, whatever it was. It was	1 SOLOVYEV 2 MR. CHANG: Okay. I will look 3 through our files and see what we have 4 responsive your demand. 5 MS. TARASSOVA: Okay. 6 Q. So now the invoice, who did you 7 send that invoice, the \$43,000? Let me look -- 8 MS. TARASSOVA: Let me look for 9 something. Off the record. 10 (Whereupon, an off-the-record 11 discussion was held.) 12 Q. I found the invoice and it is dated 13 August 13th, 2014, it is from Royal Finance 14 Group, Inc. to Crocus Investments for storage 15 of the \$2,010 Formula at \$9.60 for one linear 16 meter per day. And unloading from the trailer 17 and that is in the amount of \$39,409.39. Is 18 that the invoice that you were talking about? 19 A. Yes. 20 Q. Now, this invoice looks like it was 21 just made out for the storage of the formula. 22 What about the other two boats the Monterey and 23 the Shopwell had just arrived to New Jersey 24 that summer? 25 A. Yes.

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2 Q. So when this invoice came out for
3 the storage of the formula, would an invoice
4 have been due for the storage of the Shopwell
5 and the Monterey at that point in August 2014?
6 A. It was an additional invoice
7 separated from formula.
8 Q. And when did that invoice go out
9 for the monitor ray and the Shopwell?
10 A. As soon as these two boats arrived
11 back from Dubai.
12 Q. Now, this invoice for the formula,
13 who did you send that invoice to?
14 A. It was sent to Crocus and Andre
15 Trejaykov.
16 Q. To both, so they were sent -- were
17 they sent to Mr. Safonov on behalf of Crocus?
18 A. Yes.
19 Q. Why did you wait so long to issue
20 the bill for the formula?
21 A. I didn't wait. They were waiting.
22 I didn't wait.
23 Q. Because the invoice is issued about
24 a year after it had been purchased in standing
25 at World Express in connection. It was bought

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1 SOLOVYEV
2 In the summer of 2013 and the invoice is issued
3 in the summer of 2014; is that correct?
4 A. No.
5 Q. When was the formula purchased?
6 A. Purchased in about
7 August/September 2013.
8 Q. So this invoice for \$39,000 was
9 issued in August 2014?
10 A. So what?
11 Q. What I'm asking is: Why did you
12 wait one year to issue the invoice?
13 A. I didn't wait. Customer was
14 waiting for his decision, what to do with the
15 boats. I didn't wait. As soon as the boat was
16 on my way the invoice but it was the decision
17 of the customer how soon to get this invoice
18 and what to do with the boat. We have nothing
19 to do with his boat. It's a customer who was
20 waiting whoever they didn't know what to do
21 with his boat.
22 Q. Right, but aren't you concerned
23 like any other business would be if you're
24 providing a service for a long time and the
25 clients is incurring a lot of fees that they

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2 may not pay the large fee?
3 A. No.
4 Q. Isn't that a risk for your
5 business?
6 A. It's a very big risk for the
7 business what I did to my friends so much time
8 to think about it. As they didn't make up
9 their minds, they didn't make a final decision
10 but they've been in touch with me constantly
11 about this boat opportunity to bring it to
12 Florida or to Dubai. They were talking to me.
13 Q. What prompted you to finally issue
14 the invoice for \$39,000 for formula for the
15 storage of the formula?
16 A. Say it again.
17 Q. What made you finally issue the
18 invoice because you said you were waiting on
19 them to figure out what they were going to do
20 finally in August? You decided to send them
21 the invoice. What event prompted you to send
22 that invoice?
23 A. Because people steal. They know
24 what to do with this boat even after seeing
25 some proposals from my side to shipping to ship

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2 them to Dubai or to bring them back to Florida
3 they didn't react to any of my proposals and I
4 was frustrated keeping the cargo at our
5 facility for nothing.
6 Q. Do you know what their current
7 balance with World Express in connection is to
8 date for storage?
9 A. More than a hundred thousand
10 dollars.
11 Q. Can you tell me about the business
12 relationship that you had with Mr. Trejaykov
13 and Mr. Safonov as far as you and your company,
14 shipping cars to Dubai to repair and resell;
15 what is that about?
16 A. They were buying the cars, bots,
17 jet ski, some parts, auto parts, boat parts out
18 of U.S.A. and I was helping them to buy those
19 units or cargo or commodities and usually we
20 ship them to Dubai during all this time
21 calculating fees, that's all.
22 Q. What was your agreement? Was it
23 for you to make some money off of the profit
24 and/or were you just purely providing the cars
25 for them for a commission?

Page 89 1 SOLOVYEV 2 A. No, usually they were buying cars 3 or boats or parts on their own money. Do not 4 ask me about whatever I would be participating 5 as a business. I never participate in their 6 business. 7 Q. Because I have an e-mail which we 8 provided to you that is between you and Mr. 9 Safonov in December 2013 talking about a 10 Mercedes Benz SL and a Porsche that you had 11 shipped over to Dubai. What's the deal of 12 that? What was the understanding? 13 A. It was customer who was shipping 14 panorama and a Mercedes. It's salvage cars 15 which Andre Trejaykov was supposed to sell it 16 in Dubai. Make his commission and return money 17 back to let's say United States, that's all. 18 Q. But do you buy the cars for them 19 and did you charge them for them? 20 A. No, it's not the business. It was 21 a business for one of the customers in U.S.A. 22 which ask me to sell them in Dubai, that's all. 23 Q. I guess what I'm getting at is, you 24 know, my clients are saying that they had a 25 business relationship with you where they would	Page 91 1 SOLOVYEV 2 Q. Have you -- you said that you were 3 sued prior? How many times would you say you 4 were sued? 5 MR. CHANG: Object to the form 6 but -- 7 A. I don't understand your question. 8 Q. How many times have you been sued 9 as Aleksandr Solovyev but how many times have 10 you been named as a party in the lawsuit? 11 A. Just once. 12 Q. I found a couple of lawsuits that 13 named you as a party and I want to go over them 14 with you to see if you remember that. 15 In 20 -- in 1997 you were sued? 16 You were named as a party along with a company 17 named Mosaic Transportation Lines, the 18 plaintiff in that case was Hockeya. Do you 19 remember that lawsuit? 20 A. No. 21 Q. In 2005, you were named as an 22 individual in a lawsuit along with MTL 23 Worldwide Agency, Inc. in a lawsuit where the 24 plaintiff was American president lines; do you 25 remember that lawsuit?
Page 90 1 SOLOVYEV 2 hold your vehicles that you sent over to Dubai 3 to resell just like you held their boats in New 4 Jersey. It was a mutual relationship in, 5 therefore, storage fees wouldn't be due because 6 their storage of your vehicles equal the 7 storage of the boats; is that incorrect? 8 What's your response on that issue? 9 A. I have no idea what you are talking 10 about. 11 Q. You never heard about, you know, 12 them claiming that they had stored cars for you 13 in Dubai? 14 A. No. 15 Q. So would you say your business 16 relationship with them was purely you 17 purchasing items on the auction and then taking 18 a commission and arranging shipment to Dubai? 19 Was that strictly contained to that? 20 A. Absolutely. 21 Q. Now, I asked you earlier if you 22 were at all in any way employed or owned part 23 of Marine Transport Logistics and you said, no; 24 is that correct? 25 A. Yes.	Page 92 1 SOLOVYEV 2 A. Yes. 3 Q. What was that about? 4 MR. CHANG: I'm going to object to 5 that line of questioning. I'm going to 6 instruct him not to answer unless you 7 can tie up some relevance to these 8 lawsuits. 9 MS. TARASSOVA: No, I don't think 10 that's how objections work, unless it's 11 privileged. You can't instruct him not 12 to answer the question. You can object 13 to form and you can object to it not 14 leading to any discoverable evidence but 15 we can deal with that in court. Are you 16 instructing him not to answer based on 17 privilege? 18 MR. CHANG: What was your question? 19 What was the lawsuit about? 20 MS. TARASSOVA: Right, correct. 21 MR. CHANG: If you remember, answer 22 the question. 23 Q. Go ahead Mr. Solovyev. 24 A. We had six containers with 25 windshield washer shipped no, no, no. Which

Page 93 1 SOLOVYEV 2 company was it? 3 Q. American President Lines, LTD 2005? 4 A. What was it about? 5 Q. That's what I'm asking you? 6 A. No, I don't remember. Then I don't 7 remember if you just asking -- you don't know 8 what you're asking about. I don't remember. 9 Q. No, I'm asking you about a lawsuit 10 that you were named as a party and you said you 11 do remember that lawsuit and you were about to 12 tell me what it is about? 13 A. No, you tell me what it is about 14 and I tell you in details because I don't 15 remember like from this guy what happened ten 16 years ago. 17 Q. Let's talk about more recent cases 18 that you may remember in 2009. You were named 19 as a party in a lawsuit along with Marine 20 Transport Logistics and your wife and World 21 Express it was a labor and employment lawsuit. 22 You were sued by Nadia, N-A-D-I-A, Fursoff, 23 F-U-R-S-O-F-F; do you remember that? 24 A. Yes, I remember. 25 Q. Do you remember in that lawsuit her	Page 95 1 SOLOVYEV 2 MS. TARASSOVA: Not a cause of 3 action. It's not a cause of action 4 because the cause of action was a labor 5 and employment issue. What I'm asking 6 is why would she allege the fact? 7 MR. CHANG: You're asking him to 8 speculate as to why a plaintiff alleged 9 so and so cause of action? That's not 10 what he's here for. That's not even a 11 question he can answer. 12 MS. TARASSOVA: He can answer that 13 question. This isn't court so 14 speculation would not be an objection. 15 You can use that later. I'm asking why 16 would she allege that fact? We can go 17 into that. This is very relevant, Eric. 18 Mr. Solovyev was saying on the record 19 that he has nothing to do with MTL. I'm 20 talking about examples of other people 21 stating that in fact he does have 22 control over it so -- 23 MR. CHANG: That's not a question 24 that Mr. Solovyev has any capability of 25 answering. Again, you're asking him to
Page 94 1 SOLOVYEV 2 alleging that you had control over MTL and she 3 had actually been employed by both companies 4 MTL and World Express in connection at the same 5 time? 6 A. It's maybe it. I don't remember 7 details but maybe. 8 Q. Why would she say that you had 9 control over MTL and were responsible for 10 hiring and firing employees for MTL? 11 MR. CHANG: Note my objection. I 12 am instructing him not to answer this 13 one. 14 MS. TARASSOVA: Based on privilege? 15 MR. CHANG: Privilege and 16 attorney/client. You're asking him to 17 speculate the offenses. The plaintiff 18 may have alleged. 19 MS. TARASSOVA: Absolutely not. 20 MR. CHANG: Why would the plaintiff 21 against him have alleged so and so cause 22 of action? 23 MS. TARASSOVA: Right. 24 MR. CHANG: I'm instructing him not 25 to answer.	Page 96 1 SOLOVYEV 2 speculate what a third party is thinking 3 or might have done. 4 MS. TARASSOVA: That's fine. He 5 can answer in any way that he wants to 6 answer that but I want him to answer the 7 question. You know I don't think you 8 can jump in and fight his fight for him. 9 It's a question that he has to answer 10 the best way he can. It's a deposition. 11 MR. CHANG: Okay, if you can answer 12 the question. 13 A. Yes, I can answer. I remember 14 Nadia Fursoff she was the biggest liar which 15 I've seen in my life. She was stealing money 16 of doing her duties in the company World 17 Express. It was a big fuss when she had an 18 agreement. She got the cleaning activity 19 between her working as a dispatcher for the 20 company and a subcontracting company whom she 21 hired and she was watching the money and 22 presenting false invoices to the company, 23 buying cheap and they're it sending to MTL or 24 MCL services much more higher than it's 25 supposed to be. I think she's a big liar.

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1 SOLOVYEV
2 Whatever you got information right now about
3 this case, you couldn't get me convinced that I
4 was doing something wrong. I know this person
5 is a big, big liar and she has a criminal
6 record. She was a lap dancer before, she was a
7 prostitute before and it was huge history of
8 this person. So it's not resolved of what you
9 can get truthful information about what's going
10 on in the companies.
11 Q. What position did she serve with
12 World Express in connection?
13 A. She was handling some deliveries
14 some warehousing drop.
15 Q. At the time that she was an
16 employee for World Express In Connection, was
17 she an employee with MTL as well at the same
18 time?
19 A. I don't remember.
20 Q. Then, again, in 2013 you had a
21 similar lawsuit where an employee named Kirill,
22 K-I-R-I-L-L, Delendra, D-E-L-E-N-D-R-A. He
23 alleged basically the same thing that Nadia did
24 that you are in charge of both MTL and World
25 Express In Connection that he had worked for

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1 SOLOVYEV
2 both of the companies simultaneously and that
3 you were responsible for hiring and firing for
4 both companies. Same question: Why would he
5 allege that fact in the 2013 case?
6 MR. CHANG: None of your questions
7 are factual questions. Every one of
8 your questions you're asking him why a
9 plaintiff might have sued him but that's
10 a question.
11 MS. TARASSOVA: No.
12 MR. CHANG: If you have a factual
13 question that you can answer ask him,
14 otherwise I'm instructing him not to
15 answer. If you want to make a motion to
16 get an answer for this go ahead but --
17 MS. TARASSOVA: I want to put on
18 the record that the question did not go
19 to why the plaintiff sued him or what
20 his theory of liability was. My
21 question --
22 MR. CHANG: Can I have the reporter
23 read back the question?
24 (Whereupon, the referred question
25 was read back by the Reporter.)

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1 SOLOVYEV
2 MR. CHANG: That's the exact
3 question you were asking. Why is this
4 guy alleging these facts.
5 MS. TARASSOVA: Correct. It's not
6 why is he bringing the lawsuit for, you
7 know, unpaid wages, the question is why
8 is he alleging that fact. It's a fact
9 question.
10 MR. CHANG: It's not a fact
11 question within Mr. Solovyev's
12 knowledge. Why would a plaintiff bring
13 such a lawsuit, what facts does the
14 plaintiff brings?
15 MS. TARASSOVA: I think you're
16 answering on behalf of Mr. Solovyev but
17 I have not heard Mr. Solovyev say that
18 he doesn't know. So I would propose
19 that Mr. Solovyev answer that question
20 to the best of his ability. I would
21 raise the same issue as the 2009 case
22 that you made the same argument. I said
23 stop fighting, stop answering the
24 questions for him. There's no legal
25 grounds why he should not respond to

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1 SOLOVYEV
2 this question. It's not privileged. I
3 just asked him why would this person
4 state the same fact.
5 MR. CHANG: Why would someone who's
6 not Mr. Solovyev state these facts?
7 MS. TARASSOVA: Correct.
8 MR. CHANG: That's your question?
9 MS. TARASSOVA: That's my question.
10 MR. CHANG: If you can answer, why
11 the plaintiff in the 2013-case --
12 A. I can explain. I have nothing
13 against this question. This person Kirill was
14 working as a loader in our warehouse, whatever
15 he say. He said nothing. His lawyer said the
16 same way like you are asking on behalf of your
17 customers, and we know how lawyers are working
18 this case, they are trying to find somebody who
19 pays money to his customers. So the same with
20 Kirill. When he punched me with a nail gun,
21 ear gun, he did it himself. Nobody discharge
22 this person at the time of his labor. And
23 after that, the lawyer went for everybody who
24 was in the same building, every company, he
25 started to swear at everybody. That's all what

Page 101	Page 103
1 SOLOVYEV 2 happened, but he was working to the World 3 Express just loading cars, that's all. 4 Q. In 2013, there was a case against 5 you as an individual as well as MTL Royal 6 Finance Group, Car Express and Imports, that 7 case was brought by MAVL Capital, Inc.; do you 8 remember this case? 9 A. I remember this case. 10 Q. I believe in this case, the 11 plaintiff also alleges that you are in control 12 of MTL and you are responsible for the actions 13 of MTL. Why would they allege that in 2013? 14 What happened? 15 A. Can my lawyer answer all your 16 questions because he was involved? 17 MR. CHANG: I'm not going to answer 18 his question but I'm objecting to the 19 form. There was two questions. 20 Q. The first question is: What were 21 the circumstances of that case? 22 A. It was stolen property, ships 23 through MTL. Unknown payment for boat cars and 24 some units which MAVL Company and according to 25 the shipping law, he was talking to only his	1 SOLOVYEV 2 failure to disclose funds and the United States 3 ended up coming in and taking about \$600,000 4 out of the MTL bank account; do you remember 5 that case? 6 A. Yes. 7 Q. Why would the United States of 8 America state that you were involved with MTL? 9 Why would they tie you to MTL if you have 10 nothing to do with it? 11 A. I have nothing to do with it. It 12 was shipping of some cars through Iran which is 13 an unfriendly blacklister country. This was a 14 case only with MTL not with Car Express or me. 15 Maybe it's a leased but I guzzling money from 16 MTL not from me or my companies, no. 17 Q. But based on their investigation, 18 they found that you were involved with MTL. 19 MR. CHANG: Is there a question? 20 A. I wouldn't be penalized. It wasn't 21 just money penalties, that's all. I have 22 nothing to do with this case. 23 Q. Have you ever been convicted of a 24 crime? 25 A. Convicted of a crime? I've never
Page 102	Page 104
1 SOLOVYEV 2 owner of the money. I never talk to him about 3 shipping of his goods. So nobody has proof 4 that I was advised him where to ship, how to 5 ship, that's all what has happened. So one 6 more time stolen property, which he stole ships 7 from MTL and FBI was involved in this case and 8 plus he stole some bull dozer for \$250,000 and 9 that also involved. So right now this 10 company's hiding out of U.S.A. I don't know 11 where this person is. 12 Q. What about the case that you had 13 with Homeland Security where you were named as 14 an individual along with your wife Allah 15 Solovyev and MTL where the United States 16 attorney is alleging that you are an agent for 17 MTL? 18 A. I don't know. 19 MR. CHANG: Is there a question 20 there? 21 A. What is this? 22 Q. What are the -- why would the 23 United States attorney allege that you were 24 involved with MTL in that case where just to 25 remind you that's where it was a case about	1 SOLOVYEV 2 been convicted. 3 Q. You were never convicted of a crime 4 in New Jersey for receiving stolen property? 5 A. It has to do with the boat? 6 Q. I'm entitled to ask that question. 7 A. I have to object. 8 MR. CHANG: This is whether you -- 9 was there a conviction? 10 A. No, there was no conviction. 11 Q. Have you ever been on probation? 12 A. Yes. 13 Q. What were you on probation for? 14 A. Don't matter. 15 Q. It does. Your attorney can explain 16 to you why this is relevant but it is and I'm 17 entitled to ask that question it is actually 18 very important. So can you please explain to 19 me why you were put on probation? What was 20 that in relation to? 21 MR. CHANG: You are asking for 22 the -- 23 MS. TARASSOVA: Why was he put on 24 probation? Why would the state of New 25 Jersey put him on probation?

Page 105	Page 107
1 SOLOVYEV	1 SOLOVYEV
2 A. I don't remember. It was some	2 I N D E X
3 stolen cars as the property, that's all.	3
4 Q. What were you accused of?	4 WITNESS EXAMINATION BY
5 A. I don't remember the stipulation	5 PAGE
6 but it was something like stolen Renwickr cars	6 6-106 MS. TARASSOVA
7 as the property of World Express.	7
8 Q. Was MTL involved in that?	8
9 A. No.	9
10 Q. Did you plead guilty in that case?	10
11 A. Yes.	11
12 Q. Other than probation, did you have	12
13 to serve any time in jail?	13
14 A. No.	14
15 (Continued on next page	15
16 to include jurat.)	16
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1 SOLOVYEV	1 SOLOVYEV
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3 else?	3
4 A. No.	4 STATE OF NEW YORK)
5 MS. TARASSOVA: Those are all the	5 ss.:)
6 questions I have.	6 COUNTY OF BRONX)
7 THE COURT REPORTER: Would you like	7
8 a copy of the transcript?	8
9 MR. CHANG: Sure.	9 I, DORENE GLOVER, a Notary Public for
10	10 and within the State of New York, do hereby
11 (Whereupon, at 12:48 p.m., the	11 certify:
12 examination of this witness was	12 That the witness whose examination is
13 concluded.)	13 hereinbefore set forth was duly sworn and that
14	14 such examination is a true record of the
15	15 testimony given by that witness.
16	16 I further certify that I am not related
17	17 to any of the parties to this action by blood
18	18 or by marriage and that I am in no way
19	19 interested in the outcome of this matter.
20	20 IN WITNESS WHEREOF, I have hereunto set
21	21 my hand this 4th day of December, 2015.
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Page 131
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3 else?
4 A. No.
5 MS. TARASSOVA: Those are all the
6 questions I have.
7 THE COURT REPORTER: Would you like
8 a copy of the transcript?
9 MR. CHANG: Sure.
10
11 (Whereupon, at 12:48 p.m., the
12 examination of this witness was
13 concluded.)
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Page 109	
1	SOLOVYEV
2	STATE OF NEW YORK)
	ss.:
3	COUNTY OF BRONX)
4	
5	I wish to make the following changes, for
6	the following reasons:
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24	_____
25	_____

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC, and CROCUS, FZE
(Complainants)

v.

MARINE TRANSPORT LOGISTICS, INC., and
ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP, INC.

(Respondents)

Veritext Reporting
37 N. Orange Avenue
Suite 500
Orlando, Florida
Thursday, 1:00-5:45 p.m.
December 3, 2015

DEPOSITION OF ALEXANDER SAFANOV
INTERPRETED IN RUSSIAN

Taken on Behalf of the Respondents before
Lisa Gerlach, Court Reporter, Notary Public
in and for the State of Florida at Large,
pursuant to Respondents' Notice of Taking
Deposition in the above cause.

1 Appearances: 2 Counsel for the Claimants: 3 LOUIZA TARASSOVA, ESQUIRE 4 The Law Office of Louiza Tarassova 5 1420 Lake Baldwin Lane 6 Orlando, FL 32814-6671 7 407.622.1885 8 louiza@mylawadvocate.com 9 Counsel for Respondents, by speakerphone: 10 ERIC CHANG, ESQUIRE 11 Cichanowicz Callan Keane Vengrow & Textor 12 61 Broadway 13 Suite 3000 14 New York, NY 10006-2809 15 212.344.7042 16 echang@cckvt.com 17 Also Present: 18 Valentina Maydell, Russian Interpreter 19 Tatiana Timoshkina, wife of witness 20 Aleksandr Solovyev (with his attorney by 21 speakerphone)	Page 2 Page 4 1 (The interpreter was duly sworn to 2 translate the proceedings from English to 3 Russian, and Russian to English as follows:) 4 THEREUPON, 5 ALEXANDER SAFONOV, 6 a witness herein, acknowledged after having been duly 7 sworn, testified upon his oath as follows: 8 THE WITNESS: I do. 9 DIRECT EXAMINATION 10 BY MR. CHANG: 11 Q. Good afternoon, Mr. Safonov. My name is Eric 12 Chang. I'm a lawyer for Marine Transport Logistics 13 and Aleksandr Solovyev. 14 A. Good afternoon. 15 Q. Have you attended a deposition before? 16 A. No. 17 Q. Okay. What I'd like to do now is go over 18 some basic rules for the deposition so you understand 19 what is going to take place today. Is that all right? 20 A. Yes. 21 Q. Mr. Safonov, one of the things I would ask 22 you to do is to make sure that you give a verbal 23 response, because everything that we say is being 24 written down by the court reporter, but she can't 25 write down anybody's movements or body language.
Page 3 1 INDEX 2 WITNESS EXAMINATION PAGE 3 Alexander Safonov 4 Direct by Mr. Chang 4 5 Certificate of Oath 76 6 Certificate of Reporter 77 7 Witness Review Letter 78 8 Errata Sheet 79 9 EXHIBITS 10 None	Page 5 1 A. I will do. 2 Q. Thank you. What's going to happen today, I 3 will ask you a series of questions, which you will be 4 answering under oath to the best of your ability; the 5 same as if a judge was asking you the questions. 6 Do you understand? 7 A. Understood. 8 Q. If I ask a question and you don't understand 9 my question, please let me know. 10 A. I will do. 11 Q. Otherwise, if you answer the question, we are 12 going to assume that you understood what I was asking. 13 A. Okay. 14 Q. Okay. Also, if I ask a question and you do 15 not remember the answer, you can say that, because 16 this is not a test of your memory. 17 A. Okay. 18 Q. Lastly, if you need a break at any point, 19 please let myself or your lawyer know. I would only 20 ask that if there's a question pending, that you 21 answer that question before we take a break. 22 Is that understood? 23 A. Okay. 24 Q. Let's begin. Mr. Safonov, where are you 25 currently residing?

2 (Pages 2 - 5)

Page 6

1 A. Boca Raton, Florida.
 2 Q. Could you give the building number and street
 3 address, please?
 4 A. 11484 Seagrass Circle.
 5 Q. Okay. How long have you lived at that
 6 address?
 7 A. From the summer, 2014.
 8 Q. Do you live alone at that address or is
 9 anyone else living with you currently?
 10 A. Alone.
 11 Q. Where did you live before the summer of 2014?
 12 A. Dubai.
 13 Q. Could you please state the address of your
 14 residence in Dubai prior to the summer of 2014?
 15 A. I don't remember exactly. It was Palm
 16 Jumeirah Street, but I do not remember the building
 17 number.
 18 Q. Is there any documents that you have -- not
 19 in front of you right now -- but that you have
 20 elsewhere that would help you remember the address?
 21 A. In general, I believe I do have some
 22 documents that will confirm my address.
 23 MS. TARASSOVA: Eric, I just want to
 24 interject really quick. I think Mr. Safonov,
 25 when he answered the question that he lives

Page 7

1 in the house alone, I think he misunderstood
 2 the question.
 3 Can you ask him that question again,
 4 because I think he forgot to mention that his
 5 wife lives with him?
 6 MR. CHANG: Okay.
 7 BY MR. CHANG:
 8 Q. Mr. Safonov, at your Seagrass Circle address
 9 in Florida, do you live there alone currently or with
 10 someone else?
 11 A. No. I live with my family.
 12 Q. Is that including Mrs. Tatiana Safonov?
 13 A. Tatiana Timoshkina; not Safonov.
 14 Q. With regard to your Dubai address that you
 15 were describing, how long did you live at that
 16 address?
 17 A. One-and-a-half years.
 18 Q. Where did you live prior to that?
 19 A. In Moscow.
 20 Q. I'm sorry. What was the answer?
 21 A. I lived -- prior to Dubai, I resided in
 22 Moscow.
 23 Q. Russia, correct?
 24 A. Russia.
 25 Q. Thank you. Mr. Safonov, are you the owner of

Page 8

1 a company called Crocus Investments, LLC?
 2 A. Yes, I am.
 3 Q. Did you start this company?
 4 A. No.
 5 Q. Who started the company, Crocus Investments,
 6 LLC?
 7 A. Yes, I am the one who started the company.
 8 Q. Okay. Mr. Safonov, did anyone assist you in
 9 starting Crocus Investments, LLC?
 10 A. I'm 100 percent owner of the company.
 11 Q. When did you start this company?
 12 A. In the summer of 2013.
 13 Q. Where is this company incorporated or formed?
 14 A. In Florida, Aventura.
 15 Q. In the summer of 2013, when you started this
 16 company, did this company have an office address?
 17 A. My company was registered by a law firm, and
 18 initially that law firm provided their address. After
 19 that, after the company was formed, we added a second
 20 address of the company, but I do not remember neither
 21 one, neither first or the later added.
 22 Q. Okay. Are you still the owner -- 100 percent
 23 owner -- of Crocus Investments, LLC, today?
 24 A. Yes, I am; 100 percent.
 25 Q. Does Crocus Investments have any offices

Page 9

1 today?
 2 A. Our company office is at our home.
 3 Q. When you said that you did not remember what
 4 the second address was in 2013, was that a different
 5 address than your home today?
 6 A. No. It wasn't my present address of my
 7 present home. It was, I believe, Pembroke or
 8 something town -- Pembroke Pines.
 9 Q. How many employees does Crocus Investments
 10 have today, including yourself?
 11 A. Just two of us; my spouse and I.
 12 Q. That would be referring to Tatiana; correct?
 13 A. Yes.
 14 Q. Other than yourself and Tatiana, does Crocus
 15 Investments have any other employees from 2013 through
 16 today?
 17 A. No.
 18 Q. Mr. Safonov, what is your official title with
 19 Crocus Investments?
 20 A. Owner.
 21 Q. Do you have any other job titles?
 22 A. Well, I would say general manager.
 23 Q. What kind of business does Crocus Investments
 24 do today?
 25 A. Online business.

3 (Pages 6 - 9)

Page 10

1 Q. What do you mean by, "online business"?

2 A. That is commercial secret.

3 Q. Okay. Does Crocus Investments provide

4 services to customers?

5 A. Not at this time. Not at present.

6 Q. At present, does Crocus Investments sell

7 goods to customers?

8 A. No. At present, we offer consultation only.

9 Consulting services.

10 Q. Does Crocus Investments have an online

11 website?

12 A. Yes.

13 Q. What is the website address?

14 A. There are a few website addresses, and that

15 is also a commercial proprietary -- or secret.

16 Q. Mr. Safonov, how do Crocus Investments

17 customers know who you are if you do not have a public

18 website?

19 A. Well, online business works by itself. We

20 don't have to look for clients. This is analytical

21 website.

22 Q. Did you say you have two websites for Crocus

23 Investments?

24 A. Yes.

25 Q. How long has Crocus Investments been

Page 11

1 operating these two websites?

2 A. Approximately half a year.

3 Q. Did Crocus Investments have any websites

4 prior to half a year ago?

5 A. Yes, Crocus Investments had, also, website.

6 Q. Did Crocus Investments have a website in 2014

7 and 2013?

8 A. Yes, correct.

9 Q. One website or more than one website?

10 A. One website.

11 Q. When did Crocus Investments start using that

12 one website?

13 A. In 2013.

14 Q. Is that since the beginning of the company?

15 A. Yes. When I opened the company, I also

16 prepared or made ready a website for the Crocus

17 Investments company, and the website was related to

18 boats -- motor boats -- rental -- renting motor boats.

19 MS. TARASSOVA: He said it wasn't up.

20 A. Yes; however the website was ready, but I

21 have never put -- connected it to internet.

22 BY MR. CHANG:

23 Q. Okay. Just so I understand, does that mean

24 that you never had a website address for your

25 motorboat website?

Page 12

1 A. I had the address. I registered it. I just

2 didn't open the site. I can even give the address --

3 registered address -- for my first website.

4 Q. Mr. Safonov, could you please provide us with

5 that registered address?

6 A. Crocusmarine.com.

7 Q. When you started Crocus Investments in 2013,

8 what type of business were you doing?

9 A. That was for motorboat rentals.

10 Q. Did you provide any consulting services in

11 2013?

12 A. No.

13 Q. What kind of business was Crocus Investments

14 doing in 2014?

15 A. Consulting. Hold on. 2014 -- if you mean in

16 year 2014, I believe we didn't offer any services in

17 2014. We started consulting from 2015.

18 Q. In 2013, for motorboat rentals, how many

19 boats did you own or lease?

20 A. Three here in United States. Are you asking

21 2013? Please repeat again.

22 Q. In 2013, how many motor boats did Crocus

23 Investments have, either owned or leased?

24 A. Crocus Investments had, in 2013, one boat,

25 and that one boat we bought from Mr. Solovyev.

Page 13

1 Q. Do you remember the year, make and model of

2 that one boat?

3 A. It was Formula 24, year 2010.

4 Q. This Formula boat was at Crocus Investments

5 in Florida?

6 A. No. Mr. Solovyev stole it.

7 Q. Okay. In 2013, did Crocus Investments

8 successfully rent any boats to any customers?

9 A. No, we did not rent one, because Solovyev

10 never gave us that boat.

11 Q. Is it correct that, in 2013, Crocus

12 Investments did not obtain any rental revenue from the

13 renting of motorboats?

14 A. Yes. The company, Crocus, has not received

15 any profit or, actually, income from renting of a

16 boat.

17 Q. In 2014, did Crocus Investments have any

18 motorboats either owned or leased?

19 A. Yes. In 2014, I shipped personally, from

20 Dubai, two boats as a property of Crocus Investments.

21 And these two boats, Solovyev did not -- these two

22 boats were shipped from Dubai to him, and he did not

23 ship it forward -- the shipping. So we have not

24 received the two boats we shipped from Dubai via

25 Mr. Solovyev.

Page 14 1 Q. Mr. Safonov, are you referring to the two 2 boats that are at issue in this case, a Chaparral and 3 a Monterey? 4 A. Yes, correct. 5 Q. So is it correct that, in 2014, Crocus 6 Investments did not make any income from motorboat 7 rentals? 8 A. That is correct. Not even -- in 2014, no. 9 Q. Other than motorboat rentals, did Crocus 10 Investments make any income in 2013? 11 A. No; no other income. 12 Q. Mr. Safonov, you understand, when I use the 13 word "income," I mean any money earned or obtained by 14 the company during that year. Do you understand? 15 A. The company or Crocus Investments did not 16 have any income. 17 Q. Okay. But, Mr. Safonov, you understand that 18 when I say, "income," it doesn't mean just profits. 19 It means any money earned. 20 A. I understand the difference between income 21 and profit. But in that year, this company, which is 22 Crocus Investments, no money went through, in or out. 23 Q. Okay. In 2014, did Crocus Investments have 24 any income? 25 A. No. It's the third time you asked.	Page 16 1 Q. Where were you working other than Crocus 2 Investments in 2013? 3 A. Company in Dubai. 4 Q. What was the name of this company in Dubai? 5 A. Middle East Asin Alfa. 6 Q. I will refer to this company as "Middle 7 East." When did you begin working for Middle East? 8 A. There was also a second company. It was 9 Crocus FZE. 10 Q. Mr. Safonov, when did you begin working with 11 Middle East? 12 A. I'm co-founder of that company from 13 April 2013. 14 Q. Are you still a co-founder today of Middle 15 East? Let me take that back. Sorry. Were you a 16 co-owner of Middle East in 2013? 17 A. Yes; I was also co-owner with decision-making 18 rights for the company. 19 Q. Today, in 2015, are you still a co-owner of 20 Middle East? 21 A. I haven't been to Dubai for almost a year or 22 over a year, so I don't know if that Middle East 23 company still exists. I think it was closed. 24 Q. When was the last time that you were in 25 Dubai?
Page 15 1 MS. TARASSOVA: Erie, the prior 2 questions, weren't they about 2014 as well? 3 MR. CHANG: I think it was just 2013. 4 MS. TARASSOVA: Oh, no. We understood 5 all the questions -- 6 THE INTERPRETER: I'm writing it down. 7 MS. TARASSOVA: The interpreter wrote 8 down '14. So the answers as they were 9 answered, it was for the year 2014. 10 MR. CHANG: I apologize for that. 11 BY MR. CHANG: 12 Q. In 2013, did Crocus Investments have any 13 income? 14 A. No, no income. 2013, no. 15 Q. In 2015, did Crocus Investments have any 16 income? 17 A. As of today, none. 18 Q. Mr. Safonov, if I'm asking the same question 19 more than once and you answered more than once, please 20 feel free to let me know. Understood? 21 A. Okay. 22 Q. Thank you. In 2013, were you employed or 23 working with any other company other than Crocus 24 Investments? 25 A. Yes, I worked.	Page 17 1 A. In May. We moved here -- I misunderstood. I 2 think we moved here in May 2014, but the last time we 3 were in Dubai, it was August 2014. 4 Q. Were you still co-owner of Middle East in 5 August of 2014? 6 A. Yes. 7 Q. What kind of business does Middle East do? 8 A. Okay. Repair and sale of motorboats. 9 Q. Was that always Middle East's business since 10 it started in 2013 through August 2014? 11 A. Yes, that was the services that company 12 provided -- Middle East has provided from the 13 beginning. 14 Q. In April 2013, how many employees did Middle 15 East have, including any officers of the company? 16 A. Officially employed or also part-time or 17 under-the-table workers, yes -- so-called seasonal 18 workers. 19 MS. TARASSOVA: Let me correct that 20 translation. He never said, 21 "under-the-table." He meant, like, 22 contractors. There's nothing under the 23 table. 24 THE INTERPRETER: Seasonal workers. 25 MS. TARASSOVA: Can we strike that from

5 (Pages 14 - 17)

Page 18 1 the record, Eric? 2 MR. CHANG: Louiza, I'm going to ask the 3 court reporter to read back the answer. Did 4 he give a number of workers, or no? 5 THE WITNESS: Nine or ten people. 6 BY MR. CHANG: 7 Q. Who was the other co-owner of Middle East in 8 2013? 9 A. Oleg Bortsov. 10 Q. Do you know a person by the name of Andrey 11 Tretiakov? 12 A. I know. 13 Q. Did Andrey work for Middle East in 2013? 14 A. Yes. 15 Q. Mr. Safonov, what was your job title with 16 Middle East in 2013? 17 A. I didn't have any other than owner. 18 Q. Do you know what Oleg's job title was with 19 Middle East? 20 A. General manager. 21 Q. Do you know what Andrey's title was with 22 Middle East? 23 A. Associate. He was more like associate. 24 Q. Did Oleg have decision-making authority on 25 behalf of the company?	Page 20 1 BY MR. CHANG: 2 Q. Do you know what Andrey's job duties were in 3 2013? 4 A. Also repair of boats; also to pick up or meet 5 the boats that arrived from Solovyev, or shipped by 6 Solovyev, to meet and pick up at the port. So Mr. 7 Tretiakov would go to the port, pick up or meet with 8 those who brought the boat, and was responsible to 9 deliver it. 10 Q. Deliver it to where? 11 A. To the warehouse, and, also, where the boat 12 maybe need to be repaired -- to the warehouse. Also, 13 he was in charge to find spare parts for repairs. 14 Q. Is that a warehouse owned by Middle East? 15 A. Yes, correct. 16 Q. Do you know when Middle East first started 17 using that warehouse? 18 A. I don't remember exactly, but I believe it 19 was from April 1st, 2013; and I was the one who rented 20 it -- the warehouse -- and I paid for it. 21 Q. Did you pay for the warehouse through August 22 of 2014? 23 A. No. I rented this warehouse for one year, so 24 I didn't pay til August of 2014; because we rented it 25 for a year, and then we moved into the office
Page 19 1 THE INTERPRETER: This is interpreter. 2 Could you repeat what authority? I didn't 3 hear exactly what you said. 4 MR. CHANG: Okay. Decision-making 5 authority. 6 Who is speaking right now? Is someone 7 else speaking other than Mr. Safonov? I'm 8 just hearing overlap. 9 MS. TARASSOVA: Tatiana was talking. Can 10 you repeat the question? Because I think 11 we're confused. Do you want the court 12 reporter to read back the question? 13 MR. CHANG: I'd like the interpreter to 14 translate what was just said, if that's 15 possible. 16 THE INTERPRETER: Yes. Once interpreter 17 asked to clarify what authority -- 18 decision-making authority -- so Mr. Safonov 19 answered that, since he was the owner with 20 main decision-making package -- I assume he 21 had -- so he made all major decisions related 22 to the company business. It was Mr. Safonov. 23 But Oleg, as the general manager, his 24 decision making was limited to repairs, 25 maintenance or technical or sales.	Page 21 1 building. 2 Q. Okay. After April of 2014, did Middle East 3 rent or own any warehouse space? 4 A. Yes. We had at that time -- from April 1st, 5 we had office building and warehouse. 6 Q. Were you also the person who paid for the 7 rent of the new warehouse in April 2014? 8 A. Yes; I was the one who paid for that new. 9 Q. Okay. With regard to Middle East, were you 10 personally involved in the repair of motorboats? 11 A. No. 12 Q. Were you involved in -- were you personally 13 involved in the sale of motorboats by Middle East? 14 A. Yes, of course, I was. Without my decision, 15 nobody has right to sell anything. And I'm talking 16 about boats; because they had right to sell some cars, 17 but no authority to sell boats. 18 Q. Earlier, you mentioned that the business of 19 Middle East was for the repair and sale of motorboats; 20 is that correct? 21 A. Initially, and our intention was to sell 22 boats. That's what we did -- most of our business. 23 Just, somewhat late, Solovyev asked us to sell some 24 cars -- his cars. He asked us, actually, to help him 25 to sell his cars.

6 (Pages 18 - 21)

Page 22

1 Q. Do you remember how many cars Mr. Solovyev
2 asked you or Middle East to help him sell?
3 A. Two cars. He asked for help to sell off
4 quite a few cars. The amount of cars will be quite a
5 few, but he sent only two cars.
6 Q. Okay. Just so I understand, you're saying,
7 from 2013 through 2014, Middle East only helped
8 Mr. Solovyev sell two cars; is that correct?
9 A. Not exactly. The story is that his friend
10 actually stole those two cars, so I don't know exactly
11 what was going on -- what's the story with those cars.
12 One car, from what I know, he sold it without
13 my actually knowing -- it was in secrecy that he sold
14 one car -- and then sent money to Solovyev, and he did
15 it so I would not notice it or not find out about
16 that.
17 Q. When you say he sold the one car, who are you
18 referring to?
19 A. Andrey Tretiakov, the friend of Mr. Solovyev.
20 Q. Okay. Do you remember the make and model of
21 the one car that you say Andrey sold?
22 A. It was Mercedes SL65. I do not remember
23 year.
24 Q. How about the other of the two cars; do you
25 remember the make and model?

Page 23

1 A. The second one was Porsche Panamera.
2 Q. Other than these two cars, did Middle East
3 sell any other cars from 2013 to 2014?
4 A. I am not aware of any other cars. Maybe
5 they -- Andrey and his friend -- managed to bring and
6 sell some cars, but I am not aware of any other car.
7 Q. So other than these two cars, did Middle East
8 do any other business besides repair and selling of
9 motorboats?
10 A. No, nothing more.
11 Q. When did you first meet Oleg?
12 A. I'm not sure. February or March 2013.
13 Q. How did you meet Oleg in February-March 2013?
14 A. I think it was -- I saw advertisement, online
15 newspaper.
16 MS. TARASSOVA: I think he gave the
17 advertisement.
18 A. The answer is that I saw some advertisement.
19 It was in online newspaper at that time.
20 BY MR. CHANG:
21 Q. Do you remember the name of the online
22 newspaper?
23 A. No, I do not.
24 Q. What did the advertisement say?
25 A. The ad would say, more or less, like this:

Page 24

1 "Looking for investor to open plant or shop," so
2 looking for investor to open a business.
3 Q. How long after you saw this advertisement did
4 you meet Oleg?
5 A. The advertisement was placed by Tretiakov.
6 And I believe the same week that I read it or saw it,
7 we met.
8 Q. You met Oleg, is that correct?
9 A. No. Initially, we met with Andrey. Oleg is
10 Andrey's son.
11 Q. After you met with Oleg and Andrey, did you
12 invest in their proposed company?
13 A. No. Initially, we prepared the business
14 plan. And when we prepared this business plan,
15 Andrey, of course, said then that he has a friend,
16 Solovyev, who will ship or provide boats, and we will
17 repair and sell them.
18 Q. When you said, "We were preparing a business
19 plan," that meant you and who else?
20 A. I -- myself -- Andrey and Oleg.
21 Q. After the business plan was created, did you
22 invest in the proposed company?
23 A. Of course.
24 Q. And this company became Middle East; correct?
25 A. Correct.

Page 25

1 Q. How much was your first or initial investment
2 into Middle East?
3 A. I do not remember exact details; but, at that
4 time, Oleg didn't have any money whatsoever. So I
5 agreed to put my part and also for Oleg's part. So I
6 provided for two -- both of us -- approximately half a
7 million dollars.
8 Q. Okay. And the approximately half a million
9 dollars was 100 percent of the initial investment;
10 correct?
11 A. So, yes, that was initial. And to add to it,
12 Oleg wrote, also, promissory note. It was official
13 paper -- promissory note that he will repay me back
14 within six months the amount that I loaned him, or he
15 borrowed from me; and there will be about five
16 percent, I believe, interest on that.
17 Q. Okay. After the initial 500,000 US dollar
18 investment, did you make any further investment into
19 Middle East?
20 A. I do not remember exactly or precisely what
21 sum was invested, but I do remember that it was close
22 to half a million dollars, US dollars.
23 Q. My question is: After the initial
24 investment, did you make any additional investment
25 into the company?

7 (Pages 22 - 25)

Page 26

1 A. No additional.
 2 Q. Okay. When you and Oleg started Middle East,
 3 did you sign any contracts or agreements stating what
 4 each partner's responsibilities were?
 5 A. The agreement or the promissory note that was
 6 written agreement, it's about the money that Oleg has
 7 to pay me back -- what I invested for him in the
 8 company. Then articles of the company were written in
 9 English. So I do not remember exactly what the
 10 articles say.
 11 Q. Was Middle East incorporated in Dubai?
 12 A. Yes. In United Arab Emirates. The city is
 13 Sharjah.
 14 So we created, at that time, two agreements
 15 or two contracts. One is about money that I invest
 16 for myself and him, and he has to repay me; and the
 17 second one about who is in charge of what -- the
 18 responsibilities of each party.
 19 Q. Mr. Safonov, who prepared the articles of
 20 incorporation?
 21 A. In City of Sharjah in United Arab Emirates,
 22 there is a so-called city zone where you get the
 23 templates for how the articles of incorporation or LLC
 24 -- so we used there and it's free of charge. We just
 25 filled it in.

Page 27

1 Q. Okay. You signed the articles of
 2 incorporation; correct?
 3 A. Yes.
 4 Q. Who else signed the articles of
 5 incorporation?
 6 A. All documents that we created were signed by
 7 each of -- both of us, Oleg and I.
 8 Q. Mr. Safonov, do you read English?
 9 A. Well, depends on what you mean, "read in
 10 English." When I look at the English text, I can
 11 see -- I read the title, I can see date, if there is
 12 state or some names.
 13 Q. Did you have any difficulty reading and
 14 understanding the articles of incorporation?
 15 A. Of course I had, because I don't know English
 16 that well.
 17 Q. Did you have someone reading the articles of
 18 incorporation to you?
 19 A. Andrey and Oleg, they both know English.
 20 Q. And did they translate the articles of
 21 incorporation to you?
 22 A. No, they did not.
 23 Q. Was the promissory note written in English?
 24 A. It was -- the promissory note was written in
 25 English, but when that was to sign -- and it was

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1 actually prepared -- I had interpreter. So
 2 interpreter -- I'm familiar with what was written in
 3 the promissory note.
 4 Q. Okay. From now on, when I talk about Middle
 5 East, I mean from 2013 through 2014 when you were
 6 involved as co-owner. Do you understand?
 7 A. Yes, I understand.
 8 MS. TARASSOVA: Eric, is it possible to
 9 take a break soon?
 10 MR. CHANG: Sure, that's fine. How long
 11 do you want?
 12 MS. TARASSOVA: Like, five minutes.
 13 MR. CHANG: Okay.
 14 MS. TARASSOVA: Is this a good time?
 15 MR. CHANG: It's fine.
 16 (Brief recess.)
 17 BY MR. CHANG:
 18 Q. Were you personally involved in the
 19 purchasing of motorboats for Middle East?
 20 A. Of course.
 21 Q. Where did Middle East get motorboats for
 22 repair and sale?
 23 A. From Solovyev.
 24 Q. But did anybody else at Middle East have
 25 involvement in the purchasing of motorboats?

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1 A. The decision making, which boat and selection
 2 and so on, was always mine. Online with Solovyev, I
 3 would look over or view the boats. And then I would
 4 make decision which one I will make -- the choice --
 5 choose the boats, and then make decision of
 6 purchasing.
 7 Q. You were the only one who had the
 8 decision-making authority for the purchase of these
 9 boats; correct?
 10 A. Yes, I'm the only one who had the authority
 11 of decision making because I'm the only one who had
 12 the money.
 13 Q. Do you know how many boats Middle East
 14 purchased from 2013 to 2014?
 15 A. I think it was ten.
 16 Q. Did you purchase, personally, all ten boats?
 17 A. Most of those boats, I made decision. Some
 18 decision making -- maybe on two or three purchases,
 19 decision was made by Sergey. There was such a
 20 associate there -- or person -- Sergey, S-E-R-G-E-Y.
 21 Q. Sergey is an associate with Middle East?
 22 A. He was a part-time, let's say, associate or
 23 employee for a certain period of time. He decided
 24 that he wanted to purchase two or three boats, repair
 25 them and sell, but do it through our company.

1 Q. Okay. I'm going to use an estimate of ten
2 boats that you personally purchased for my question.
3 Is that understood?
4 A. Yes, ten. That's the one that we had in our
5 warehouse. We repaired them. That's for sure.
6 Q. Of the boats that you personally purchased,
7 do you remember where they were purchased from?
8 A. Those boats were purchased, together with
9 Solovyev, while being online -- auction called Copart.
10 That's American auction company.
11 Q. Did you ever purchase any boats from any
12 other person or place?
13 A. No. All boats were purchased from Solovyev.
14 Q. Were you personally involved in arranging the
15 transportation of these boats from the US to Middle
16 East in Dubai.
17 A. No, because that was doing -- Solovyev.
18 Mr. Solovyev, he was in charge of that.
19 Q. Okay. Who at Middle East was in charge of
20 getting the boats from the US to Dubai?
21 A. During auction, I and Solovyev were there. I
22 chose the boat and we bought it. And Solovyev would
23 be paid commission once I purchased the boat in
24 auction. And then his company, Logistics, was
25 responsible to arrange shipping of purchased boat from

1 US to Dubai; and in Dubai, also to receive it and
2 deliver.
3 MS. TARASSOVA: Eric, did you get your
4 answer? Because I kind of know what you're
5 asking and I don't know if they answered it
6 collectively.
7 MR. CHANG: Not really, but.
8 MS. TARASSOVA: I think Mr. Safonov is
9 not sure if you're asking him what you're
10 asking him. Let me --
11 MR. CHANG: Could the court reporter read
12 the question?
13 THE REPORTER: "Who at Middle East was in
14 charge of getting the boats from the US to
15 Dubai?"
16 THE WITNESS: Okay. Now, I was the one
17 who would choose at auction which boat to
18 bid, which to buy. I paid -- I bought the
19 boat and also paid commission to Solovyev.
20 And Solovyev was responsible for shipping
21 organizing -- shipping of that boat from US
22 to Dubai. And in Dubai, Andrey was the one
23 who was supposed to receive the shipment and
24 deliver to warehouse.
25 BY MR. CHANG:

1 Q. Okay. If Solovyev had problems with the
2 transportation, who would he talk to at Middle East?
3 A. To me in Middle East if he has problem.
4 Q. If Middle East wanted to change any
5 transportation arrangements, who at Middle East would
6 talk to Solovyev?
7 A. In that case, I -- I am the one who will make
8 decision.
9 Q. Do you remember when you purchased your first
10 boat from Copart?
11 A. I don't remember exactly. I believe it was
12 March; maybe April. I would rather say March.
13 Q. Okay. You described looking at an auction
14 with Solovyev to pick out the boats, correct?
15 A. Yes.
16 Q. Is that an online auction?
17 A. Skype -- through Skype.
18 Q. Is it correct that you would -- how did you
19 find the boats that you wanted at the auction?
20 A. It's elementary. You just go on the website
21 of that auction and view whatever they have to
22 auction. There is a website, Copart Auction.
23 Q. Mr. Safonov, how did you find the Copart
24 website?
25 A. The website I got, Andre Tretiakov, he

1 I provided the name or address of the website.
2 Q. Do you need a user name to access the auction
3 website?
4 A. Yes. One needs to register with the website
5 first.
6 Q. Did you register for the website?
7 A. Of course. Otherwise, I would not be able to
8 do anything.
9 Q. Okay. Is this website open to the public?
10 A. Of course. How I got there? The same way.
11 It's just public. You go and register and
12 participate.
13 Q. Okay. If you registered for the website, why
14 did you need Solovyev to help you purchase the boats?
15 A. The problem would be how to deliver, ship it
16 from one place to another without American company
17 here. You can't go through the customs. You can't do
18 all the shipping, paperwork and the shipping itself.
19 For shipping abroad, you have to have a
20 higher company that is licensed. Even if I would come
21 to United States and buy my -- buy some boat -- in
22 order to ship it back to whatever place I live, I will
23 have to hire a licensed company to do that.
24 Q. In 2013, were you living in Florida?
25 A. No. We just came here in the summertime of

Page 34 1 2013 to register our company here. 2 Q. How many months did you spend in Florida in 3 2013? 4 A. Two. 5 Q. Do you remember which months? 6 A. July and August. I remember because children 7 start school, and our child starts school 8 September 1st. So we left at the end of August -- 26, 9 27. End of August, we left for home. 10 Q. Where was your full-time residence in 2013? 11 A. Dubai. 12 Q. Okay. Once you purchased the boats from 13 auction, how did you pay for the boats? 14 A. The payment was made from my company, Crocus 15 FZE. 16 Q. Was the payment by credit card, by wire? 17 A. Bank wire. 18 Q. Did you wire the purchase money to the 19 auction directly? 20 A. No. I wired it to Solovyev's company. 21 Q. So how did the auction get their money for 22 the boats? 23 A. From Solovyev. 24 Q. Did you -- and by you, I mean Crocus FZE -- 25 wire the money to Solovyev before or after Solovyev	Page 36 1 Within 24 hours, he will call me and say, "I got the 2 money. The money is clear." 3 Q. After you purchased the boat and after you 4 paid for the boat, would you give instruction on where 5 to ship the boats to Solovyev? 6 A. Yeah. He had to ship each boat to Middle 7 East Asia Alfa. Solovyev, initially, I thought, told 8 me he supposed to ship the boats to my company Crocus 9 FZE; however, he told me that he needs to ship it to 10 Middle East Asia Alfa company for the reason that 11 there is a free zone in Dubai and it will be -- the 12 shipping itself will cost less. Of course, later, I 13 learned that it wasn't true. They could have shipped 14 directly to my company, Crocus. 15 Q. Did you give directions to Mr. Solovyev to 16 ship to Middle East? 17 A. Yeah, I gave directions. 18 Q. Before that, did you suggest to Solovyev to 19 ship the boats to Crocus FZE? 20 A. No. He shipped first boat, and all of them, 21 to Middle East company. Only later, when I found out 22 that it is a scheme, that boats have to be shipped to 23 Middle East Asia company, I told him that I want him 24 to ship to Crocus FZE. 25 Q. I apologize if I'm confusing. Earlier you
Page 35 1 wired the money to the auction house? 2 A. Before -- before the Copart auction -- 3 because auction company allows only three days for 4 money wiring for the purchased item. 5 Q. So do you know if Solovyev paid the auction 6 house before you paid Solovyev? 7 A. I don't know, but I believe that nothing like 8 that could have ever happened. He never could 9 purchase anything on the money that he has. Also, as 10 a business point of view, it doesn't make much sense, 11 because, in case I would say, "Oh, I changed my mind," 12 then he will be stuck with boat. In business, nobody 13 does like that. 14 Q. Okay. Do you know how long it takes for a 15 bank wire to clear from Dubai to the US? 16 A. 24 hours. Actually, one business day. 17 Q. Was the same procedure followed for every 18 boat that you personally purchased from Solovyev? 19 A. Down the road -- not at the beginning, but 20 down the business trail, I sent or wired money ahead 21 to Solovyev, so Solovyev would have some extra money 22 just in case -- for different operations or whatever 23 needs might pop up. 24 One business day, why it takes to clear the 25 money, is because every time money -- I wire money.	Page 37 1 said that you wanted the boats shipped to Crocus FZE, 2 but you were convinced instead to ship to Middle East 3 because of a free zone. Is that correct? 4 A. Yes, that's correct. 5 Q. Did you give instructions to anybody to ship 6 the boats initially to Crocus FZE? 7 A. I didn't discuss that issue with Solovyev -- 8 Mr. Solovyev. With our business, Mr. Solovyev was -- 9 that from the beginning -- he has to ship boats to 10 Middle East company. 11 Q. Are you the owner of Crocus FZE? 12 A. Yes, 100 percent. 13 Q. When did you start Crocus FZE? 14 A. November 2012. 15 Q. Where is Crocus FZE incorporated or 16 registered? 17 A. In United Arab Emirates, city Ras al-Khaimah. 18 Q. Do you hold citizenship in the UAE? 19 A. No, I don't have citizenship. 20 Q. Where is your country of citizenship? 21 A. Russia. 22 Q. Has it always been Russia, or do you have 23 separate or dual citizenships? 24 A. I don't have dual. I always -- I actually 25 have had initial Soviet citizenship when Soviet Union

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Page 38 1 existed; and after that, I become -- my citizenship is 2 country, Russia. 3 Q. Are you in the US on a visa? 4 A. Of course. 5 Q. Do you know what type of visa? 6 A. I applied for student visa and still waiting 7 for that. 8 Q. When did you apply for the student Visa? 9 A. In June, I believe. 10 Q. June of which year? 11 A. This year, 2015. 12 Q. What's your highest level of education? 13 A. I'm an attorney, or I have degree in 14 jurisprudence. 15 Q. Which institute awarded you the degree of 16 jurisprudence? 17 A. Moscow State Law Academy -- State Academy of 18 jurisprudence. Law school in the United States. 19 Q. Is that a question for me? 20 THE INTERPRETER: No. It's in other 21 words, the translation for you. 22 BY MR. CHIANG: 23 Q. When did you get your degree from the Moscow 24 State Law Academy? 25 A. I graduated in 2000 -- year 2000.	Page 40 1 A. Sure. Once I made the profit, I bought for 2 myself, apartment. 3 Q. How long did you have this real estate 4 company? 5 A. I do not remember. Maybe three, maybe five 6 years. 7 Q. Okay. Do you remember where you worked after 8 that? 9 A. Then, after that, I also registered another 10 company. 11 Q. What was the name of this company? 12 A. An Energo Construction Project -- 13 Energo-Stroy -- E-N-E-R-G-I-O, dash, S-T-R-O-Y, Project. 14 Q. What type of business did Energo Construction 15 Project do? 16 A. Engineering and communication. 17 Q. You were the owner of this company? 18 A. Yes. 19 Q. Do you remember how many employees this 20 company had? 21 A. It varied from 50 up to 120 employees. 22 Q. How long did you continue to work with Energo 23 Projects? 24 A. Till the end of 2011. 25 Q. Where did you next work after 2011?
Page 39 1 Q. Have you ever practiced as an attorney? 2 A. No. I always worked in a business as a 3 businessman. 4 Q. When did you enter the Moscow State Law 5 Academy? 6 A. In 1995. 7 Q. Were you attending any university or college 8 institute prior to 1995? 9 A. No. 10 Q. Were you working full-time before 1995? 11 A. I was in military -- served military. 12 Q. Where did you first work after graduating 13 from the Moscow State Law Academy? 14 A. Once I graduated, I registered right away -- 15 a company in Moscow. 16 Q. What was the name of that company? 17 A. AES Invest, if you are interested. 18 Q. What did this company do? 19 A. Real estate. 20 Q. Does that mean finding and purchasing homes 21 for other people? 22 A. Yes, of course; all transactions -- buying, 23 selling real estate. 24 Q. Did that include buying and selling real 25 estate for your personal investment?	Page 41 1 A. We moved to Dubai. 2 Q. Where did you next work in Dubai? 3 A. I registered my first company there, Crocus 4 FZE. 5 Q. Okay. With your real estate company, why did 6 you decide to leave real estate? 7 A. Because I bought final apartment for myself, 8 and I didn't want to continue that. I didn't like 9 that type of business. 10 Q. Did you sell the company? 11 A. No. In Russia, at the time, you don't sell 12 company to somebody else. You just close it. 13 Q. With Energo Projects, why did you decide to 14 leave in 2011? 15 A. I got tired. 16 Q. Did you sell Energo Projects to anybody? 17 A. No; I closed it as well. At that time, I 18 needed some medical treatments that I was seeking 19 abroad, so I decided to close company and we left. 20 Q. Have any of your companies ever filed for 21 bankruptcy? 22 A. No. 23 Q. What type of business does Crocus FZE do? 24 A. The company that I opened, I wanted to be 25 investor. I was looking for the companies to

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Page 42 1 invest -- to be investor. As soon as I moved there, 2 these two Tretiakovs showed up. 3 And, if you actually -- in order to get Dubai 4 visa, you have to declare yourself of being capable 5 investor. Otherwise, no visa. 6 Q. Did Crocus FZE invest in any other companies? 7 A. No; only this one. 8 Q. I'm sorry? 9 A. Only this one. 10 Q. Only Middle East; correct? 11 A. Yes. 12 Q. Did Crocus FZE have any contractual 13 relationship with Middle East? 14 A. Yes; there was agreement between Crocus FZE 15 and company, Middle East Asia Alfa, that I, as Crocus 16 FZE, invest my money into Middle East Asia Alfa. Not 17 only my part of the money, but also invest money in 18 their part that -- what they're supposed to invest -- 19 so for two people. 20 Q. Do you know how many boats were repaired by 21 Middle East? 22 A. All of them that came in, all were repaired. 23 Q. Do you know how many boats were sold by 24 Middle East? 25 A. Seven.	Page 44 1 A. Tretiakov, with his son, Oleg. 2 Q. I'm going to ask you questions about the 3 three boats at issue in this case. Do you know which 4 boats I'm referring to? 5 A. Yes, I'm aware of what boats you're talking. 6 Q. Other than these three boats, did you have 7 any problems with the purchase and shipping of boats 8 through Mr. Solovyev? 9 A. No. Everything was fine. 10 Q. Starting with the Chaparral and the Monterey, 11 do you remember when these two boats were purchased? 12 A. I don't remember exactly, but, approximately, 13 it was May 2013. All boats were purchased between 14 March and August. But which boat was purchased 15 exactly what month, I do not remember. But we do have 16 receipts or invoices. 17 Q. I'm just going to represent to you that the 18 Chaparral and Monterey were purchased in May 2013. Is 19 that understood? 20 A. Uh-huh. 21 Q. Does that sound correct? 22 A. I already told you that I do not remember, 23 but if you want to let me look up in computer? 24 Q. That's fine. 25 MS. TARASSOVA: Eric, I'm showing him the
Page 43 1 Q. What was Middle East's income for the year 2 2013? 3 A. In 2013, the company, Middle East, didn't 4 have any. Actually, they lost -- the company lost 5 money. 6 Q. I'm sorry to hear that. In 2014, did Middle 7 East have any income? 8 A. The income was from seven boats that we sold. 9 Whatever those seven boats were sold, that was income; 10 but it did not cover the expenses of the company 11 repairs and the rest. 12 Q. Do you remember approximately how much that 13 income was in 2014 we're talking about? 14 A. I don't know the numbers, because, in that 15 company, everything was so bad -- looking bad -- that 16 I do not remember and do not want to. Nobody was 17 actually counting money in that company. 18 Q. Just to clarify, earlier, when you said there 19 was no income for Middle East in 2013, were you 20 referring to revenue or to profit? 21 A. Talking about profit. There was none in 2013 22 and 2014. No profit for sure. They were stealing 23 everything. 24 Q. When you say "they," who are you referring 25 to?	Page 45 1 bill of sale for the Chaparral. 2 MR. CHANG: Do you have a Bates number 3 for the document? 4 MS. TARASSOVA: Yes, it's P-7. 5 MR. CHANG: Do you want us to mark it as 6 an exhibit, Louiza? 7 MS. TARASSOVA: I'm trying to refresh his 8 memory so he can confirm the information. 9 MR. CHANG: That's fine. 10 MS. TARASSOVA: Then I'm showing him the 11 certificate title for the Chaparral. 12 MR. CHANG: Can we get a Bates number for 13 that too? 14 MS. TARASSOVA: P-8. 15 MR. CHANG: Okay. 16 THE WITNESS: Okay. Chaparral, 2008, the 17 receipt is July 5th, 2013. Hold on. And 18 Monterey, the bill is dated April 18th. 19 BY MR. CHANG: 20 Q. For these two boats, how did you purchase 21 these boats? 22 A. Okay. We went on a website, Copart auction. 23 On their website, they post, usually, a date -- exact 24 date of the auction that this particular -- that sale 25 will take place. And, also, they show on a website

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1 that this particular boat -- what exact day it will be
2 auctioned -- when one can participate in the auction.
3 Q. Okay. Were you in communication with anybody
4 when you purchased these boats?
5 A. The auction is run online on the screen.
6 Solovyev participated, and I. We both simultaneously
7 participated in that auction. You see online how much
8 the bid is -- each bid and so on. It's same like we
9 are sitting with you right now and talking. I sat
10 online with Solovyev and witnessed auction and were
11 doing bidding.
12 Q. So you were on a video conference of some
13 type with Solovyev when purchasing these boats?
14 A. Of course.
15 Q. Was there anybody else as part of that video
16 conference?
17 A. Andrey also was sitting, witnessing -- just
18 watching all of it.
19 Q. Where were you physically at the time of this
20 video conference?
21 A. I was in Dubai. Each one of us was at own
22 home. I was in Dubai. Solovyev was in New York.
23 Andrey also was at his home.
24 Also, when auction is in New York, then, in
25 Dubai, it's a deep late night, so usually it's like

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1 10:00, 11:00 at night, or even later.
2 Q. After you purchased the two boats, you would
3 wire transfer the purchase money to Mr. Solovyev's
4 company; is that correct?
5 A. As soon as the bidding is over and we got the
6 highest bid, within an hour or two, Solovyev would
7 send right away, electronically, a bill. Next day in
8 Dubai, I wake up in the morning. I already have the
9 bill, and then I go to the bank and wire.
10 MS. TARASSOVA: Eric, can we take a break
11 soon?
12 MR. CHANG: How long a break were you
13 thinking?
14 MS. TARASSOVA: Five minutes. It's been
15 another hour-and-a-half.
16 MR. CHANG: That's fine. I'm probably
17 going to wrap up with Mr. Solovyev maybe in
18 the next 45 minutes; and then real quick with
19 Ms. -- her last name -- I apologize -- I
20 forget --
21 THE INTERPRETER: Ms. Timoshkina.
22 MR. CHANG: I'll try to remember.
23 (Brief recess.)
24 BY MR. CHANG:
25 Q. Still on the Chaparral and Monterey, other

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1 than by video conference, how did you communicate with
2 Mr. Solovyev?
3 A. Different ways: Skype, mail, and telephone.
4 Q. Is that mail or e-mail?
5 A. E-mail.
6 Q. In Dubai, did you go into the Middle East
7 warehouse on a daily basis?
8 A. Practically every day.
9 Q. And you spoke or met with Andrey at Middle
10 East practically every day; correct?
11 A. Of course.
12 Q. With the Chaparral and Monterey, after you
13 purchased the boats from Copart, did you specifically
14 instruct Mr. Solovyev to ship the two boats?
15 A. Yes, I did.
16 Q. Did you instruct him by Skype, telephone or
17 e-mail, or a combination?
18 A. Instructions via Skype; and the bill, e-mail.
19 Q. The bill from Mr. Solovyev to your company?
20 A. Yes.
21 Q. Okay. Do you know who the ocean carrier was
22 for the Chaparral and Monterey?
23 A. I understood Mr. Solovyev's company, MTL.
24 Q. Okay. Do you know what kind of company
25 Marine Transport Logistics is -- MTL?

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1 A. Logistics, shipping. It's a shipping
2 company, logistics.
3 Q. Did you ever personally communicate with
4 anybody at MTL?
5 A. With Mr. Solovyev only.
6 Q. Okay. Do you recall paying for ocean
7 transportation of the Chaparral and Monterey?
8 A. You mean for these two boats; yes?
9 Q. Correct. Just the Chaparral and Monterey.
10 A. I do not remember exactly what amount went
11 for these two or each separately. I remember that
12 payments that I made, usually it was like 3,000 US
13 dollars, or payment in 15,000 -- the wire -- \$15,000.
14 Or even 50,000 US dollars. Depends on what was the
15 price and how many boats were purchased.
16 Q. Do those dollar amounts that you just
17 described include the purchase price of the boats?
18 A. Yes. The bill that I would receive from
19 Solovyev to wire money always included the price of
20 the boat, delivery, and services for the -- for the
21 services provided by Solovyev's company and all -- the
22 shipping itself.
23 Q. Do you know if there is a bank charge for
24 wire charges from Dubai to the US?
25 A. Yes, there is a fee.

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1 Q. How much is the fee for the bank wire
2 transfer?

3 A. The fee in Dubai is in United Arab Emirate
4 money, so they're higher. Once we use the foreign
5 currency calculation, it would cost between 50 and 60
6 US dollars for each wire.

7 Q. That fee is paid by you; correct?

8 A. Bank automatically takes from my account that
9 money. So, of course, I paid.

10 Q. What I mean is, the amount of the transfer
11 fee is not deducted or taken out of the money you
12 send, but it's in addition to the money you send;
13 correct?

14 A. Yes, of course, it was in addition; not from
15 the amount that I wired.

16 Q. Do you know when the Chaparral and Monterey
17 were shipped from New Jersey?

18 A. I do not remember precise date. Well,
19 there's a lot of paper in here -- documents -- so I
20 won't be able to find it quickly.

21 Q. That's fine. Were you in Dubai at Middle
22 East when the Chaparral and Monterey arrived in Dubai?

23 A. Yes.

24 Q. So you knew that they had been shipped and
25 arrived in Dubai; correct?

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1 A. Yes, I knew.

2 Q. Were you at Middle East when the Chaparral
3 and Monterey were being repaid by Middle East?

4 A. Of course I was there, because any repair and
5 all repairs were done from my money. If I wouldn't be
6 there, nothing would be done.

7 Q. Okay. Do you know when the repairs were
8 completed on the Chaparral and Monterey?

9 A. All boats were repaired and ready for sale by
10 March 1st, 2014, because that was -- at that time,
11 there was planned or scheduled some exhibition of
12 boats -- the boat show -- March 4th was supposed to
13 start. So we were getting ready all those boats for
14 the show.

15 Q. That is including the Chaparral and Monterey;
16 correct?

17 A. Yes.

18 Q. Did Middle East successfully present the
19 Chaparral and Monterey at the exhibition?

20 A. No, they were not -- we were not able to sell
21 them. These two were not sold.

22 Q. Was the exhibition an exhibition for sale of
23 the motorboats?

24 A. Yes; it was exhibition for sale -- show and
25 sale.

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1 Q. But Middle East had other boats at the
2 exhibition on March 4th; correct?

3 A. Yes.

4 Q. And the other boats -- not the Chaparral and
5 Monterey -- were those boats at the exhibition?

6 A. Yes. All boats were sold except these two.

7 All boats that we had were presented at that
8 exhibition -- all of those were sold except the two,
9 Monterey and Chaparral.

10 Q. Were you personally present at the
11 exhibition?

12 A. Yes.

13 Q. Okay. What was Middle East's plan to sell
14 these two boats after the exhibition?

15 A. To ship them to United States, so we can use
16 them as rentals or charter; to rent them out in Miami.

17 Q. Were you the person who authorized that
18 decision?

19 A. Yes.

20 Q. Did you personally arrange for the
21 transportation of these two boats from Dubai to the
22 US?

23 A. No, I did not do it in person. That's
24 employee or coworkers, were doing that.

25 Q. Did you give the instructions to arrange the

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1 transportation to the employees or coworkers?

2 A. Of course. And I left, also, money for that
3 procedure. I couldn't take part in the shipping
4 process myself because I was already ready to fly to
5 United States, but I left money for them for that
6 process.

7 Q. Do you remember which Middle East employee
8 you gave those instructions to?

9 A. Yes. Middle East employees, Andrey and Oleg.

10 Q. Okay. Do you know if these two boats were
11 shipped by Middle East back to the US?

12 A. Yes, and I have documents to verify.

13 Q. Do you know how long it takes to ship a boat
14 from Dubai to the US?

15 A. On average, 40 days, plus, minus, but average
16 is 40 days.

17 Q. Do you know how long it takes to go the other
18 way, from US to Dubai?

19 A. I wasn't counting days exactly, but I think
20 an average is the same. Well, I know that there is a
21 little bit longer -- takes longer from Dubai from US
22 than from US to Dubai.

23 Q. Okay. Do you know when the Chaparral and
24 Monterey arrived in the US?

25 A. I called -- I remember I talked -- called

Page 54 1 Solovyev -- and it was 4th of July. And Solovyev told 2 me, "Tomorrow the boats should be here." 3 Q. Once the boats arrived in the US, what did 4 you do after you called Solovyev? 5 A. He told me to clear US Customs will cost 6 1,500 US dollars. And the bill -- and he said, 7 "Please provide company requisites or information," 8 that I should issue invoice to -- to what company I 9 should invoice to. 10 Q. Did you provide that information to 11 Mr. Solovyev? 12 A. Of course. I e-mailed him. 13 Q. What was the company that you wanted him to 14 arrange transportation to? 15 A. Crocus Investments, LLC. 16 Q. In Florida; correct? 17 A. Yes. 18 Q. And did you make the payment of \$1,500 for 19 the customs clearance? 20 A. No, I did not because I hadn't had time. As 21 soon as I e-mailed him requisites, shortly after, 22 Solovyev disappeared. After that, he did not even 23 send me invoice or bill. He stopped answering my 24 phone calls, answering e-mail. 25 Q. When did you e-mail Solovyev to offer to make	Page 56 1 Q. When you say, "e-mails," do you mean that you 2 sent more than one e-mail afterward? 3 A. Yes; a few e-mails. 4 Q. Does that mean more than five e-mails? 5 A. More than five. 6 Q. More than ten e-mails? 7 A. That, I do not remember. 8 Q. So between -- 9 A. I can see that -- on this e-mail address, I 10 already see 13 e-mails. But I remember that I have 11 another e-mail address, and there were some too. So 12 you can say more than ten. 13 I just found in my e-mail box that on 14 July 17, 2014, I e-mailed him requisites of my 15 company. And, here, I can see in this mailbox, he 16 sent me invoice for his services. It was 17 -- 17 July 17th, he sent me -- 2014 -- and he replied July, 18 also, 17th. 19 Q. Just to make sure everything is clear, are 20 you saying that on July 17, 2014, you e-mailed 21 Mr. Solovyev about these two boats? 22 MS. TARASSOVA: Eric, I think we're a 23 little bit confused about what you're asking. 24 There are many e-mails. Which timeframe are 25 you asking about?
Page 55 1 the payment of the \$1,500? 2 A. I believe it was also 4th of July 2014, but 3 I'm checking in my files. Okay. In my paper, it says 4 July 16, but that's when I prepared the paper. I need 5 to look in my e-mail box. I am sure that it was in 6 July, but exact date, I will provide later. 7 Q. Could you identify what document you're 8 looking at? 9 A. Just e-mail message. 10 MR. CHANG: Is Mr. Safonov looking at a 11 document or -- 12 MS. TARASSOVA: He's looking in his 13 computer. He's trying to find the e-mail. 14 THE WITNESS: Do you really need exact 15 date? 16 MR. CHANG: If he can find it easily now. 17 If it's going to take some time, we'll ask 18 for it later on. 19 THE WITNESS: Okay. Then later. 20 BY MR. CHANG: 21 Q. After you sent the letter to Mr. Solovyev, 22 did you try to reach him by telephone? 23 A. Yes, I sent e-mail. I tried to call. I send 24 e-mails, other calls; but there was no response to any 25 of my e-mails or phone calls.	Page 57 1 MR. CHANG: He just mentioned -- sounds 2 like an e-mail, a response, and then a reply 3 all taking place on July 17th. I'm trying to 4 clarify if that's what he meant. 5 MS. TARASSOVA: But are you asking about 6 that timeframe? Because he's confused about 7 what timeframe you're talking about. 8 BY MR. CHANG: 9 Q. On July 17th, 2014, did you e-mail 10 Mr. Solovyev? 11 A. I e-mailed him my company requisites, yes. 12 Q. Did you receive a response from Mr. Solovyev 13 on July 17th? 14 A. No. I have not received a response on my 15 e-mail to him. 16 Q. Did you receive an invoice from Mr. Solovyev 17 at any time in July or August 2014? 18 A. Okay. I received in August, more or less in 19 one month after, for parking. 20 Q. After you received the invoice from 21 Mr. Solovyev, what did you do? 22 A. Initially, once I received his invoice, I 23 replied to that written reply that I do not agree with 24 his invoice numbers. 25 Q. Okay. Do you remember which part of the

15 (Pages 54 - 57)

Page 58 1 invoice you disagreed with? 2 A. All of them. Neither. There was none that I 3 would agree with. 4 Q. Did you disagree with the customs clearance 5 charge? 6 A. That part wasn't there listed at all. 7 Q. The customs clearance was not listed in the 8 August 2014 invoice; is that correct? 9 A. I do not remember precisely at this moment, 10 but I think it was not included in that invoice. 11 Q. Okay. Do you agree that you are responsible 12 to pay a customs clearance charge? 13 A. Of course I agree, and that's why I e-mailed 14 him in July my requisites, which means banking, 15 address, how to pay and so on. And after I sent him 16 my requisites and had not received anything from him, 17 I wrote him a letter that why -- it's not a business 18 where you're screwing up for him to hide or avoid any 19 contact and give any explanation. 20 After I sent a few of those, I received, from 21 him, invoice -- that one that we are talking about. 22 And that invoice supposed to be parking, storage or 23 whatever, of those boats. 24 Q. Did you agree that you would be responsible 25 for the uploading of the two boats in the US?	Page 60 1 A. Two or three days after I arrived to Dubai. 2 Q. Did you speak to either Andrey or Oleg about 3 the Chaparral or Monterey? 4 A. Yes. 5 Q. What was their response to you? 6 A. They told me, "You have no reason for worry. 7 Go back and everything will be fine." 8 Q. What did you do afterward? 9 A. We came to office; and what I found, that all 10 spare parts or repair parts were stolen, missing. The 11 business car or company car was stolen or missing. 12 And when I saw that, I filed complaint with police. 13 Q. Are you saying someone stole the company car 14 from Middle East? 15 A. Not somebody. Andrey stole the company car. 16 Nobody else in Dubai steals. 17 Q. Then you said you filed a complaint with the 18 police against Andrey; is that correct? 19 A. Yes, correct. 20 Q. Have you been able to recover your car, the 21 company car? 22 A. No. 23 Q. Has anything been done by the police 24 regarding your complaint? 25 A. Well, police accepted my complaint and told
Page 59 1 A. Yes; of course it's my responsibility; but as 2 I already told you, I send him requisites, which means 3 my banking account, all company -- for the purpose 4 that he will issue an invoice -- invoice me for the 5 services. And he received that from me, he 6 disappeared. 7 Q. Okay. Did you speak with anyone at Middle 8 East about these two boats after they arrived in the 9 US? 10 A. No, because his friend, Andrey Tretiakov, 11 also disappeared. They both disappeared -- or all of 12 them. And that's why I had to then -- I had to fly 13 back to Dubai and start looking for them. 14 Q. When did you fly back to Dubai to look for 15 Andrey? 16 A. Yes. At the beginning of August -- more or 17 less August 5th -- approximately August 5th, I flew to 18 Dubai. 19 Q. Is that in 2014? 20 A. Yes. 21 Q. Were you able to find Andrey or Oleg in 22 Dubai? 23 A. Yes, I found; because they did not expect me 24 to show up there. 25 Q. When did you find Andrey and Oleg?	Page 61 1 us, "We will look into it." Now just wait until we -- 2 at that point, Andrey disappeared completely. And we 3 returned back to United States because our kid has to 4 go to school. 5 Q. I'm going to ask questions now about the 6 Formula boat. Do you remember when you purchased that 7 boat? 8 A. In July 2013. 9 Q. Was this boat also purchased online at 10 auction? 11 A. Yes. 12 Q. Were you also in a video conference with 13 Mr. Solovyev and Andrey for this purchase? 14 A. I do not remember whether we were in video 15 conference with him and how long, but I can say for 16 sure that the boat -- this boat -- was also purchased 17 on auction. That's for sure. 18 Q. Do you remember telling Mr. Solovyev to send 19 the Formula to Middle East? 20 A. Yes. 21 MS. TARASSOVA: Hey, Eric? 22 MR. CHANG: Yes. 23 MS. TARASSOVA: It's getting close to 24 5:00, and they do need to head back soon 25 because they have a child that's on her own.

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Page 62 1 It's a two-and-a-half-hour drive. 2 So what do you want to do? How do you 3 want to plan it out? Because I don't know 4 how much longer you have with Mr. Safonov, 5 but you still wanted to depose Tatiana. They 6 could probably go another hour, but that's it 7 because they have to head back to their 8 daughter. 9 MR. CHANG: I'll try to wrap it up. I 10 don't want to bring them back. 11 MS. TARASSOVA: And they don't want to 12 have to come back either. That's why they 13 would prefer to get as much done today as 14 they can, but, at the same time, head back 15 within -- 16 MR. CHANG: If it looks like we're not 17 even close, we'll work something else out. 18 I'll try to wrap it up. 19 MS. TARASSOVA: Thanks. 20 BY MR. CHANG: 21 Q. Mr. Safonov, do you remember paying for ocean 22 freight for the Formula? 23 A. Yes, from Bank PNC. 24 Q. Do you remember when that payment was made? 25 A. I have the bill or statement at home, but I	Page 64 1 shipping cost of that Formula 24 boat. So Solovyev 2 was trying, supposedly, to find proper shipping 3 container because it was big. And we know that, 4 because Formula boat is bigger -- is more than 5 24 feet. So there is no shipping container as is to 6 put it in. 7 That size of boat has to be mounted or 8 somehow on the deck of the ship -- lower deck. 9 Solovyev -- in order to have it shipped on the deck of 10 the ship, it has to be installed on that trailer. 11 Solovyev was looking or trying to find that size of a 12 trailer that the boat could fit. 13 And, also, I asked him to find a car or 14 truck, actually, that would be capable of towing the 15 trailer with this boat. 16 Q. Do you remember when you asked Mr. Solovyev 17 to find such a trailer? 18 A. Initially, he offered some trailer that he 19 found in November, but I didn't like that trailer. 20 Q. Did you eventually agree on a trailer with 21 Mr. Solovyev? 22 A. Yes. In December, he send me pictures of 23 good or proper trailer that I think is suitable, and I 24 paid for that trailer. 25 Q. Did you contact or communicate with
Page 63 1 don't remember precisely. Summer, in July. 2 Q. You mentioned earlier that it takes 3 approximately 40 days for a boat to move from the US 4 to Dubai; correct? 5 A. No. The big boats, it takes longer than 6 40 days. 7 Q. Okay. Do you consider the Formula a big 8 boat? 9 A. Yes, because it does not fit into the 10 container -- shipping container. 11 Q. So for a big boat like the Formula, do you 12 know how long it takes to ship from the US to Dubai? 13 A. I thought it would take at least two months. 14 Q. So approximately two months afterward -- do 15 you know if the Formula was ever shipped from the US? 16 A. No, it was not shipped from United States. 17 Q. Okay. By November 2013, after more than two 18 months had passed, did you ask anybody why the Formula 19 had not been shipped? 20 A. No, I didn't ask because I knew that -- I was 21 aware of what had happened. 22 Q. Okay. By December, 2013, were you concerned 23 that the Formula had not arrived in Dubai yet? 24 A. No, I was not concerned that it didn't make 25 it, because, initially, we were trying to agree on the	Page 65 1 Mr. Solovyev at that time to instruct him to ship the 2 boat to Middle East? 3 A. No, I did not continue that; because, at that 4 time, I noticed that his friend, Andrey Tretiakov, 5 started to become a crook -- or crooked activities -- 6 stealing, hiding. I noticed that. So at that point, 7 I decided I don't want to deal with the crooks, so I 8 instructed him to ship the boat to Miami. 9 Q. You instructed Mr. Solovyev to ship the boat 10 to Miami? 11 A. Yes. I wrote to him -- e-mail. 12 Q. When was the e-mail sent? 13 A. At the beginning of February. 14 Q. Just so I understand, from December 2014 to 15 February 2015, you did not give any instructions to 16 ship the Formula to the Middle East. Is that correct? 17 A. Yes, that's correct, because we agreed and 18 said that we will deal with it after new year. 19 Q. Who did you have this agreement with? 20 A. With Mr. Solovyev. 21 Q. Okay. After you e-mailed Mr. Solovyev in 22 February of 2015 to ship the boat to Florida, did you 23 receive a response from Mr. Solovyev? 24 THE INTERPRETER: Did you say 25 February 2015 or 2014?

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Page 66 1 BY MR. CHANG: 2 Q. I said '15, but I meant '14. 3 A. No, I have not received any response to my 4 e-mail or letter. 5 Q. Did you e-mail or communicate with 6 Mr. Solovyev again after February of 2014 about the 7 Formula? 8 A. I don't remember that, because I was -- at 9 that time, I was planning already to go to United 10 States in May. I had plans -- or we had plans. So 11 then I thought, once I am there, we'll get together, 12 have meeting and resolve the problems. 13 Q. After February 2014, did you speak with 14 Andrey or anybody else at Middle East about the 15 Formula? 16 A. Yes, with Andrey. 17 Q. Do you remember when you had the 18 communication with Andrey? 19 A. I spoke with him almost every day. 20 Q. Do you remember what the substance or the 21 details of your communications with Andrey were 22 regarding the Formula? 23 A. At first, I asked Andrey why Mr. Solovyev 24 does not respond on my request -- letter request -- to 25 ship Formula to Miami. Andrey told me that Solovyev	Page 68 1 Q. That's in Florida; correct? 2 A. Yes, Boca Raton. 3 Q. Did you try to reach Mr. Solovyev after 4 returning to Florida in May 2014? 5 A. Yes. We talk on the phone, and he said that 6 we will meet -- when the boats from Dubai will arrive 7 here, then we'll meet. 8 Q. Do you remember when you had that telephone 9 communication with Mr. Solovyev? 10 A. In June. 11 Q. What was your understanding concerning 12 storage charges for the Formula? 13 A. My understanding -- when I saw the invoice 14 for storage and parking, it was clear to me that they 15 are trying to get -- to make the bill so high for the 16 storage that it will be more than boats' value. So -- 17 because \$40,000 for storage -- so it's illegal 18 activity. It's a crooked activity. That's why I 19 wrote to him. So he is trying to defraud me. 20 Q. Other than the Formula, were the other 21 boats -- the other motorboats -- that you purchased 22 also big boats? 23 A. Okay. The other two were smaller. The one 24 was 19 feet; the other one, 21 feet; and Formula was 25 34.
Page 67 1 is going not to respond, or be quiet and ignore your 2 request until we sell two cars that belong to 3 Solovyev, Porsche and Mercedes. 4 Q. Do you remember when you had this discussion 5 with Andrey? 6 A. I believe it was maybe February, because I 7 believe it happened about two weeks after I e-mailed 8 or sent letter -- e-mail letter to Solovyev in 9 February 2014. 10 Q. Is it correct that you did not try to send 11 any additional e-mails or call or Skype Mr. Solovyev 12 until May 2014? 13 A. Maybe I tried -- attempted to contact him 14 over the phone or Skype. I just don't remember 15 exactly. 16 Q. Okay. But if you had sent any e-mails to 17 Mr. Solovyev, would you still have a record of those 18 e-mails? 19 A. Maybe, maybe. I need to check. 20 Q. Did you return to the US in May 2014 as 21 planned? 22 A. Yes. May 28th, I believe. 23 Q. Where in the US were you on May 28, 2014? 24 A. To the address and the place where we live at 25 present.	Page 69 1 Q. For the other boats, not including the 2 Chaparral, Monterey or Formula, were there any other 3 boats that were considered big boats? 4 A. Yes. We had a big one. 5 Q. Which boat was that? 6 A. Sea Ray 300. 7 Q. Did the Sea Ray also require a trailer to 8 ship? 9 A. Yes. 10 Q. And did you have any problems getting the 11 Sea Ray shipped from the US to Dubai? 12 A. Not any special problems. One thing, though. 13 The trailer, when it came, was broken. 14 Q. Other than the Formula, for all the other 15 boats that you purchased from the US, were they 16 shipped within a month of the purchase? 17 A. It depends. Some were -- that was controlled 18 by Solovyev -- this process. And depends on the boat 19 size. It was his part of the job that he would try to 20 fit two boats in one shipping container, or what the 21 best fit is, and then ship. So it varied, I would 22 say. 23 Q. Do you remember any boats that took more than 24 two months from purchase before shipping? 25 A. No, I don't.

1 Q. With the Formula, was your objection to the
2 storage fee on the amount of the storage or to any
3 storage?

4 A. The answer is that the bill for \$40,000,
5 which if we consider it's for storage, is tenfold or
6 ten times exceeds normal price for that. But that
7 invoice he issued and sent to me after I sent him a
8 letter that he should not get involved in criminal
9 activities or a fraud that Andrey is committing.

10 Q. Do you agree that for a boat that remained in
11 storage for more than a month, you're responsible for
12 the storage of that boat?

13 A. As a matter of principle, at the same time,
14 my company had his two cars that were stored or parked
15 there -- were repaired and stored until he will claim
16 them, and he never received any bill or invoice for
17 storage of his two cars and repairs.

18 So for him, it's a pure insolence or
19 impudence to issue the invoice, especially in such an
20 amount.

21 Q. Do you know how long those two cars were
22 stored at Middle East?

23 A. Okay. We cleared the customs -- or cleared
24 those two cars through Dubai customs in 2013,
25 September.

1 Q. Were those two cars eventually sold by Middle
2 East?

3 A. As I already said, Andrey sold Mercedes
4 without my knowledge and sent or wired money to
5 Solovyev.

6 Q. Do you remember when that sale took place?

7 A. It arrived in September; October 20 for
8 repairs. So I would say November or December 2013.

9 Q. Okay. Do you know if Middle East sold the
10 Porsche Panamera?

11 A. I don't know, because he and Solovyev stole
12 it; and whatever they did with it, I don't know.

13 Q. You do not remember or you don't know when
14 the Porsche left Middle East?

15 A. I know one thing -- that when I talked to
16 employees of shipping company in Dubai that I used --
17 I know them -- as in part of investigation, they told
18 me that the Porsche was shipped to Russia in August of
19 2014. So when we arrived, they shipped it right away.

20 Q. Who did you speak with that told you the
21 Porsche was shipped in August 2014?

22 A. I don't remember the name. It's something
23 cargo. It's a shipping company. That company -- that
24 shipping company, we used to deliver the boats from
25 Dubai to Sharjah. So the company worked in Dubai --

1 shipping.

2 Q. For the Porsche and the Mercedes, did you
3 have an agreement with Mr. Solovyev that you would not
4 charge him storage?

5 A. No. Everything was based on trust, and he
6 would send whatever he wants to our company.

7 Q. Other than these two cars, the Mercedes and
8 the Porsche, did Mr. Solovyev send any other
9 machineries to your company?

10 A. No. He asked to sell these two -- those two
11 cars -- and also requested to send money to him.

12 Q. Do you know how much storage is charged by
13 Middle East for a car?

14 A. I don't remember now.

15 Q. Can you estimate, to the best of your
16 recollection, how much the storage charge was at
17 Middle East?

18 A. After I received invoice or bill from
19 Solovyev, I sent him initial invoice, too, for these
20 two cars. My invoice included repair, customs
21 clearance in Dubai, and parking, and all other
22 services that were provided to those two cars, and it
23 was 50,000.

24 Q. Did Middle East store cars or boats for any
25 other customers?

1 A. No.

2 Q. Middle East is not in the business of
3 providing warehouse space; is that correct?

4 A. No. That was just help or a friendly favor
5 to Solovyev. The reason for that was because damaged
6 cars, he will not be able to sell in United States.

7 That's why he wanted us to help him ship the cars to
8 my company in Dubai, fix them, and then only sell.

9 Q. Did Middle East receive any money from the
10 sale of the cars?

11 A. No.

12 Q. Did Middle East receive any money from the
13 repair of the cars?

14 A. No. I paid for that repair.

15 Q. Have you been able to recover the money that
16 you loaned to Oleg under the promissory note?

17 A. Less than 50 percent. Because when we sold
18 boats, those boats that we sold, part of that money I
19 received, but it's less than he owes me -- less than
20 50 percent what he owes me.

21 Q. I apologize. Were you able to recover the
22 money directly from Oleg that you loaned him?

23 A. I have not received anything directly from
24 Oleg.

25 Q. Are there currently any lawsuits against

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1 Middle East Asia in Dubai?

2 A. There's no lawsuits against the Middle East

3 company.

4 Q. Do you know of any lawsuits against you

5 personally in Dubai?

6 A. No.

7 Q. Do you know of any lawsuits against Andrey in

8 Dubai?

9 A. Oh, Sergey and I.

10 Q. Sergey and you? I'm sorry. What do you mean

11 by Sergey and you?

12 A. It means, I know one more person who filed

13 the lawsuit in Dubai against Andrey.

14 Q. So there are two lawsuits against Andrey?

15 A. Yes; I and the other man, but two cases.

16 Q. Do you know of any lawsuits against Oleg in

17 Dubai?

18 A. Yes; against Oleg too.

19 Q. Is that also a lawsuit filed by you and

20 Sergey?

21 A. And there is a third person, yes. I, Sergey

22 and the third, also. I know another - third person

23 that also filed against.

24 Q. What is the basis for your lawsuit against

25 Andrey?

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1 A. For fraud, and, also, stealing the company's

2 assets.

3 Q. Has Andrey responded to your lawsuit in

4 Dubai?

5 A. Yeah. He run away to Russia.

6 Q. So no response has been entered by Andrey in

7 the Dubai lawsuit; correct?

8 A. Of course not, because he doesn't want to be

9 in jail there, so he prefer to run away.

10 MR. CHANG: Louiza, I'm going to end

11 there for Mr. Safonov and try to wrap up

12 quickly for Ms. Timoshkina. No further

13 questions.

14 MS. TARASSOVA: Give me one second.

15 (The reading and signing of the

16 transcript were not waived, and these

17 proceedings concluded at 5:45 p.m.)

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1 CERTIFICATE OF OATH

2

3 STATE OF FLORIDA

4 COUNTY OF ORANGE

5

6

7 I, Lisa Gerlach, the undersigned Notary

8 Public, in and for the State of Florida, hereby

9 certify that Alexander Safonov personally appeared

10 before me and was duly sworn.

11

12 WITNESS my hand and official seal this

13 21st day of December, 2015.

14

15 *Lisa Gerlach*

16 Lisa Gerlach, Court Reporter

Commission #DD353538

Expires 9/8/2016

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1 CERTIFICATE OF REPORTER

2 STATE OF FLORIDA

3 COUNTY OF ORANGE

4

5 I, Lisa Gerlach, Court Reporter, do hereby

6 certify that I was authorized to and did

7 stenographically report the foregoing deposition; and

8 that the transcript is a true and correct

9 transcription of the testimony given by the witness.

10 I further certify that I am not a relative,

11 employee, attorney or counsel of any of the parties,

12 nor am I a relative or employee of any of the parties'

13 attorney or counsel connected with the action, nor am

14 I financially interested in the action.

15 Dated this 21st day of December, 2015.

16

17 *Lisa Gerlach*

18 Lisa Gerlach, Court Reporter

19

20 The foregoing certification of this transcript does

21 not apply to any reproduction of the same by any means

22 unless under the direct control and/or discretion of

23 the certifying reporter.

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APPENDIX “6”

ORIGINAL

FEDERAL MARITIME COMMISSION

2016 JUN -7 PM 4 58

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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

v

MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR
SOLOVYEV a/k/a ROYAL FINANCE GROUP INC

Docket No 15-04

+ + + + +

FRIDAY, MAY 13, 2016

+ + + + +

The Hearing of the Federal Maritime
Commission convened in the First Floor Hearing
Room, 800 North Capitol Street, N.W., Washington,
D C , pursuant to notice at 2 06 p.m., JUDGE CLAY
G. GUTHRIDGE, presiding

PRESENT:

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* * * * *

1 P R O C E E D I N G S

2 JUDGE GUTHRIDGE This is Crocus
3 Investments, LLC and Crocus, FZE vs. Marine
4 Transport Logistics, Inc and Aleksandr Solovyev
5 also known as Royal Finance Group Inc. It is
6 Federal Maritime Commission Docket Number 15-04.
7 It is May 13, 2016 and it is 2 06 p.m. This is
8 Judge Guthridge presiding Could I have
9 appearances of counsel please

10 MS TARASSOVA: Good afternoon, this is
11 Louiza Tarassova on behalf of the complainant

12 MR. CHANG Good afternoon, Judge
13 Guthridge This is Eric Chang and Stephen H
14 Vengrow on behalf of respondent.

15 MR. VENGROW: Good afternoon, Your
16 Honor.

17 JUDGE GUTHRIDGE: All right Mr.
18 Vengrow, Mr. Chang is one of you lead counsel? If
19 I have a question who do I ask?

20 MR. VENGROW I would suggest, Your
21 Honor, you speak directly to Eric Change.

22 MR CHANG: Yes, Judge

1 MR. VENGROW: If there is something that
2 needs to be added to what Eric might be saying to
3 Your Honor and I have that information I would
4 then speak up

5 JUDGE GUTHRIDGE: All right, that's
6 fine First let me apologize to you for the
7 confusion about May 11. I know you originally
8 scheduled it for May 11 There was something I
9 had forgotten to put on my calendar which was an
10 all-day thing that I could not avoid so we had to
11 switch it to today And also the best laid plans
12 of mice and men, I had a head phone set up and I
13 couldn't get it to work so I'm on my phone Also
14 on the line there should be Theresa Dike She is
15 the attorney advisor for the Administrative Law
16 Judges at the Federal Maritime Commission
17 Theresa, are you on?

18 MS DIKE Yes, I'm on, hello

19 JUDGE GUTHRIDGE: I've asked her to
20 listen in also because she may very well be
21 helping me with this decision Let me ask you
22 first -- we'll start off with this and I'll

1 summarize The parties filed their briefs and
2 their proposed findings of fact and appendices. I
3 wanted this conference because I want to make sure
4 that I understand the facts as they are presented
5 by the evidence so I wanted to go over it with
6 you. Let me start by asking are there any
7 objections to the evidence? Let me start with you
8 I guess the complainants' evidence comes in first
9 so Mr. Chang do you have any objections to any of
10 the exhibits in the appendix for the complainant?

11 MR. CHANG: Judge, we raised some
12 questions in our prehearing brief and also in our
13 supplemental submission a few weeks ago about the
14 credibility of some of the submissions but we have
15 no objection as far as their admissibility.

16 JUDGE GUTHRIDGE: All right, then the
17 complainants' evidence is admitted Ms. Tarassova
18 do you have any objections to the respondents'
19 exhibits?

20 MS. TARASSOVA. No, Your Honor. I would
21 answer in the same way We don't necessarily
22 agree with the credibility of the evidence but as

1 far as an objection is concerned, no, it should
2 all be considered and inferences should be drawn
3 accordingly.

4 JUDGE GUTHRIDGE All right, so all
5 evidence of the respondent is also admitted Let
6 me jump first to one thing just to find out who
7 did it while I'll thinking about it. Ms.
8 Tarassova pages 66 and 67 you had a two-page
9 document that was originally in a language other
10 than English and then you submitted a translation
11 of that but I don't think I saw anywhere on there
12 who identified or anything in there who wrote the
13 original.

14 MS. TARASSOVA. The original -- let me
15 just check the appendix You said it was CX 66
16 and 67?

17 JUDGE GUTHRIDGE: That's correct

18 MS TARASSOVA. I'll take a look

19 JUDGE GUTHRIDGE. It says to Aleksandr
20 Solovyev story with Andre but it doesn't say who
21 wrote it.

22 MS. TARASSOVA Yes, Your Honor, it is

1 actually an attachment to an email that goes prior
2 to it and it was from Mr. Aleksandr Safonov who is
3 the owner of the complainant.

4 JUDGE GUTHRIDGE. All right, so he wrote
5 that originally?

6 MS TARASSOVA: Yes

7 JUDGE GUTHRIDGE: Safonov?

8 MS TARASSOVA: Yes.

9 JUDGE GUTHRIDGE All right, I just
10 wanted to get that out of the way while I was
11 thinking about it. The first thing I want to do
12 is make sure I understand who the players are in
13 this. Ms. Tarassova, Aleksandr Safonov, who you
14 just mentioned, owns Crocus Investments, LLC one
15 of the complainants and also Crocus, FZE the other
16 complainant is that correct?

17 MS. TARASSOVA: Yes, Your Honor.

18 JUDGE GUTHRIDGE: And then he also owns
19 Middle East Asia Alpha FZC?

20 MS. TARASSOVA: Correct

21 JUDGE GUTHRIDGE: Middle East Asia is
22 not a complainant in this proceeding?

1 MS. TARASSOVA. No, Your Honor.

2 JUDGE GUTHRIDGE: Are Crocus
3 Investments, Crocus FZE and Middle East Asia, they
4 are all three separate and distinct legal
5 entities, is that correct?

6 MS. TARASSOVA: Yes, Your Honor.

7 JUDGE GUTHRIDGE: But when Mr Safonov
8 is acting and doing business sometimes he is one
9 and sometimes he is another, is that correct?

10 MS. TARASSOVA: That's correct.

11 JUDGE GUTHRIDGE: All right. Mr. Chang,
12 do you have any disagreement with that or do you
13 dispute that at all that -- that at least he has
14 the three distinct entities and could be one,
15 could be another at various times?

16 MR CHANG: No, Your Honor. Although
17 with regard to Middle East Asia it was represented
18 to us by complainants that Mr. Safonov is a 50
19 percent owner. I'm not certain that that has any
20 real material effect on the proceedings, but just
21 to keep the record sort of consistent with the
22 documents

1 MS. TARASSOVA: If I may add even though
2 he did have a partner in Middle East Asia he was
3 the -- I guess you can say the managing member or
4 the person with the decision maker or the tie
5 breaker basically

6 JUDGE GUTHRIDGE The first among
7 equals.

8 MS TARASSOVA: Yes.

9 JUDGE GUTHRIDGE: Then Middle East Asia,
10 it's located in Dubai, FZC -- do I correctly
11 understand that is Foreign Zone Company?

12 MS. TARASSOVA Free Zone

13 JUDGE GUTHRIDGE Okay. And Crocus FZE
14 employed Andrey Tretyakov. Is that the correct
15 pronunciation?

16 MS TARASSOVA: He was the partner in
17 Middle East Asia Alpha and Crocus FZE did not have
18 him as a shareholder. But at some point Andrey
19 Tretyakov did perform tasks for Crocus FZE

20 JUDGE GUTHRIDGE He was not a partner
21 he was an employee?

22 MS TARASSOVA: For Crocus

1 JUDGE GUTHRIDGE. For both Crocus FZE
2 and Middle East Asia?

3 MS. TARASSOVA No, he had a share in
4 Middle East Asia Alpha.

5 JUDGE GUTHRIDGE. So he is more than
6 just an employee?

7 MS. TARASSOVA: In Middle East Asia
8 Alpha correct

9 JUDGE GUTHRIDGE: Okay. Is that your
10 understanding Mr. Chang?

11 MR CHANG: With regard to Middle East
12 Asia Alpha we've actually heard various
13 representation throughout discovery but I don't
14 think his status with Middle East Asia really has
15 any strong baring on this case We're fine with
16 accepting representation that he's a shareholder
17 of Middle East Asia

18 JUDGE GUTHRIDGE. Now to the respondents
19 there is a respondent Marine Transport Logistics,
20 Inc. and it is licensed by the Commission as a
21 non-vessel operating common carrier. The record
22 indicates that Alla Solovyev owns Marine

1 Transport Logistics. Is there any dispute to
2 that? Mr. Chang I guess that is your position, is
3 that correct?

4 MR CHANG: That's correct, Judge

5 JUDGE GUTHRIDGE: Ms. Tarassova do you
6 dispute that at all?

7 MS TARASSOVA We do not dispute that
8 she is the official owner of Marine Transport
9 Logistics but we do allege that Mr Solovyev
10 involved in MTL more than just an agent I mean
11 there were times where he held himself out as the
12 owner of the company

13 JUDGE GUTHRIDGE Where in the evidence
14 can you cite to me where it indicates that Mr
15 Solovyev held himself out as the owner?

16 MS TARASSOVA It is in a couple of
17 places. First of all, we refer to Mr Safonov's
18 transcript he discusses his relationship with Mr
19 Solovyev in MTL In addition to that --

20 JUDGE GUTHRIDGE Where in the
21 transcript?

22 MS TARASSOVA Give me one second, if I

1 can refer to his transcript.

2 JUDGE GUTHRIDGE: And that's in the
3 respondents' appendix, right?

4 MS. TARASSOVA: Yes. Your Honor, I'm
5 not sure if I'm able to find the specific page and
6 line item right now. This is probably why we were
7 hoping to have an evidentiary hearing on this
8 issue is for Mr. Safonov to testify on why he was
9 under the impression that Mr. Solovyev was
10 controlled the company MTL. In addition to that
11 Mr. Solovyev held himself out as the general
12 manager on social network websites.

13 JUDGE GUTHRIDGE: I do recall seeing an
14 email or something that identified him as general
15 manager of MTL. I do know that is in there. It
16 may not make any difference one way or the other
17 but I'm just trying to understand it as best I
18 can.

19 MS. TARASSOVA: Right, so a lot of the
20 actions that he took and a lot of the events that
21 transpired it certainly made it look as if
22 Solovyev was in full control of the company. This

1 is best explained by Mr. Safonov who was dealing
2 with him and he can speak to the specific events.
3 But I believe that if we look at also Mr
4 Solovyev's transcript there is a portion where he
5 talks about -- and one of the things we can look
6 at for example in the email address that he uses
7 he uses an MTL email address similar to what his
8 wife uses for the business

9 JUDGE GUTHRIDGE: An email address would
10 not necessarily mean that he is an owner

11 MS. TARASSOVA I understand that, Your
12 Honor, but there is a number of events that took
13 place that made it look like the company was under
14 Mr. Solovyev

15 JUDGE GUTHRIDGE: And like I say in the
16 long run it might not make any difference but I
17 just want to get as good an understanding of it as
18 I can.

19 MS TARASSOVA Yes, Your Honor.

20 JUDGE GUTHRIDGE: Now, I also understand
21 that Alla Solovyev is the estranged wife of
22 Aleksandr Solovyev, is that correct?

1 MR. CHANG Judge, Alla Solovyev and
2 Mr. Solovyev have a separation agreement I believe
3 but they're still separated so that's their
4 current status. They don't live together.

5 JUDGE GUTHRIDGE: Again, that may be
6 something that in the long run doesn't make any
7 difference but while you're on I wanted to clarify
8 that. If we were having a live hearing I would
9 probably ask that so it's something that occurred
10 to me to ask during this. But they have a
11 separation agreement at this point is what you
12 said Mr. Chang, is that right?

13 MR. CHANG. I believe so, Judge.

14 JUDGE GUTHRIDGE: Okay and then the
15 other respondent that is filed as Aleksandr
16 Solovyev also known as Royal Finance Group, Inc
17 Aleksandr Solovyev also owns several companies as
18 I understand it. Car Express and Import, Inc ,
19 Royal Finance Group Inc , and World Express and
20 Connection, Inc He may own other companies but
21 those are the three that seem to be relevant to
22 this proceeding, is that correct Mr. Chang?

1 MR. CHANG: That is correct, Your Honor,
2 at least as of the dates in question.

3 JUDGE GUTHRIDGE Okay Ms Tarassova
4 do you have any disagreement with that?

5 MS TARASSOVA: No, Your Honor.

6 JUDGE GUTHRIDGE: And Car Express, Royal
7 Finance and World Express are also three separate
8 and distinct legal entities, is that correct Mr
9 Chang?

10 MR CHANG: That is correct, Judge

11 JUDGE GUTHRIDGE Then Mr. Solovyev,
12 identified as the respondent, would also be a
13 legal entity Do you have any dispute about that
14 Ms Tarassova?

15 MS TARASSOVA We do not have a dispute
16 in the sense that these are separately
17 incorporated companies but obviously we do dispute
18 the fact that he was treating them as companies
19 I think that is in our reply brief that basically
20 he was hiding behind these corporations to perform
21 acts in benefit of himself

22 JUDGE GUTHRIDGE I did see that was in

1 your reply brief Mr. Chang do you have a
2 response to that?

3 MR. CHANG. Yes, Judge, I believe what
4 the complainants are saying is sort of par for the
5 course any time a party makes an alter ego
6 allegation, but what is missing here at least in
7 the reply and in this case is some sort of a
8 causation link between the alter ego allegations
9 and the form alleged The way we're looking at it
10 is even if there was some sort of alter ego
11 question which we're not conceding but how did
12 this alter ego allegation actually bring about the
13 harm that has been alleged and we don't see any
14 such link.

15 JUDGE GUTHRIDGE: I would like to start
16 a little bit before that. Ms Tarassova, as you
17 said you mentioned that in your reply brief but I
18 looked through your complaint and I did not see
19 any allegation of piercing the corporate veil and
20 my understanding is that has got to be in the
21 complaint if you're going to raise it as a theory
22 of liability.

1 MS. TARASSOVA Right, Your Honor.

2 Initially we included as a respondent Mr. Solovyev
3 because all of his dealings were with the
4 complainants not from the companies behind which
5 he hid. But from himself they didn't even know
6 the existence of World Express and Connection.
7 The issue of all of these business entities arose
8 after the formal complaint was filed. At that
9 point we found out that there was a business
10 entity called World Express and Connection so
11 basically at that point because it was raised
12 respondents in their response brief we had to
13 reply with the corporate veil issue because of
14 that point.

15 JUDGE GUTHRIDGE: You're not reaching my
16 question. Generally, if a complainant, if a
17 plaintiff is going to raise piercing the corporate
18 veil as a theory of liability it has to be in the
19 complaint and that's what I'm saying So how did
20 your complaint put the respondents on notice that
21 you were seeking to piece the corporate veil?

22 MS TARASSOVA: Well, we included Mr.

1 Solovyev as an individual in the formal complaint.

2 JUDGE GUTHRIDGE I understand that

3 MS. TARASSOVA: We're going after him as
4 an individual. In addition to that some of these
5 corporations on the fact their involvement came up
6 during the litigation so initially the
7 complainants were -- because their dealings are
8 directly with Aleksandr Solovyev we decided to
9 file a law suit against Aleksandr Solovyev. As a
10 result, we did not put anything in the formal
11 complaint about piercing the corporate veil
12 because we never saw him as these corporations.
13 At a later time, it became apparent that he was
14 using some of these corporations to do business
15 with the complainant

16 JUDGE GUTHRIDGE: So when did you
17 develop your piercing corporate veil theory?

18 MS. TARASSOVA. When the respondents
19 alleged that Mr Solovyev was not acting as an
20 individual but acting as each one of these
21 corporations during the course of discovery it
22 became clear that Mr. Solovyev was going to use

1 these various business entities to protect himself
2 from the actions that transpired

3 JUDGE GUTHRIDGE So it was during the
4 course of discovery you developed the idea of
5 piercing the corporate veil?

6 MS TARASSOVA: Your Honor, we had to
7 raise it in our reply because it became clear that
8 Mr Solovyev was going to use the defense that it
9 wasn't him that was performing these acts it was
10 at some point it was Car Express and Import, at
11 some point it was the World Express and Connection
12 that did something, at some point it was Royal
13 Finance Group that did something.

14 JUDGE GUTHRIDGE. Didn't the
15 complainants know that all along? I mean there is
16 an invoice in there from -- and I think it is at
17 118 of your appendix from Car Part that identifies
18 Car Express as the member That's something that
19 the complainants had before they filed this
20 proceeding

21 MS. TARASSOVA If you give me one
22 second let me refer to that document.

1 JUDGE GUTHRIDGE That was my
2 recollection of the number, let me pull it up
3 myself.

4 MS. TARASSOVA Are you looking at the
5 Copart Invoice?

6 JUDGE GUTHRIDGE: Yes The CoPar invoice
7 is complainant's appendix 118 dated 8/7/13 to
8 identifying Travelers Indemnity Company as the
9 seller and member as Car Express and Import, Inc

10 MS TARASSOVA Right, Your Honor, this
11 looks like a receipt for the purchase of one of
12 the boat correct?

13 JUDGE GUTHRIDGE. That's correct the
14 formula boat.

15 MS TARASSOVA. This is something that
16 may have been in the possession of the
17 complainants before the filed the law suit. I
18 believe this is something and I can't say for sure
19 and this is why I would like the client to speak
20 on this issue how I believe this document was
21 either discovered during discovery and received
22 from the respondents or it may have been something

1 that was initially as something given from the
2 respondents prior to the law suit. As far as
3 their dealings and I really wish my client could
4 speak on this specifically so he can answer the
5 question better. It is my understanding that when
6 they were dealing with Mr. Solovyev they were
7 dealing with the individual and it was not made
8 clear that they were dealing with his corporations
9 at any point Even though there may be
10 documentation that mentions these corporations I
11 think it was -- the question is did the
12 complainants understand who they were dealing with
13 and basically who was performing the task for
14 them

15 JUDGE GUTHRIDGE. Back to my question
16 from a couple of minutes ago. You just said you
17 got this during discovery so I asked you when you
18 did you develop your theory of piercing the
19 corporate veil? Was it during discovery when you
20 started getting documents such as this car part
21 invoice?

22 MS TARASSOVA. I think that when we

1 initially realized that Mr Solovyev was going to
2 use his corporations to protect himself was
3 probably during his deposition If we look at his
4 deposition transcript I think we started
5 understanding that he was probably going to do
6 that. Now in our defense, Your Honor, did
7 respondent Solovyev file any kind of a motion or
8 response of pleading that basically said that he
9 should not be sued as an individual and should not
10 be named as an individual party in this. At no
11 point was there an objection of Mr Solovyev that
12 he was not acting as an individual but acting as a
13 corporation or multiple corporations.

14 JUDGE GUTHRIDGE: Do you have a response
15 to that Mr. Chang?

16 MR. CHANG Judge, we're not actually
17 sure where complainants' council is going with
18 this question. I will point out that from the
19 beginning of this conference complainants' council
20 mentioned that Mr. Solovyev was using an MTL email
21 address although it was in his role as Car
22 Express, as agents for MTL, but certainly the fact

1 that other corporations were involved was known to
2 complainants all along. The invoices that they
3 got were not invoices from an individual they were
4 invoices from a company As Your Honor pointed
5 out when the purchase of the boat was made it
6 wasn't Mr Solovyev purchasing it individually in
7 his name but it was the company purchasing it. It
8 seems at odds with even how the complainants
9 filed It is filed against Mr Solovyev as the
10 company name implicated. It is difficult to
11 understand how complainants can now say that they
12 thought they were dealing with Solovyev personally
13 and not with any of the companies that were on all
14 the documents, on invoices, on email and on the
15 correspondence. As far as the answer goes I'd
16 have to actually pull up what the answer says. I
17 don't recall off the top of my head (inaudible)
18 was asserted. Since an alter ego claim was not
19 raised in the complaint I don't believe we
20 responded to it

21 JUDGE GUTHRIDGE That would have been
22 unusual. Ms Tarassova when you started getting

1 the information about the other companies that you
2 say made it clear to you that Mr Solovyev would
3 be hiding behind these companies why didn't you
4 move to amend your complaint to add the piercing
5 the corporate veil claim?

6 MS TARASSOVA: And to answer that
7 question I mean I have to go back to the fact that
8 the respondents never filed a motion to dismiss
9 against Solovyev as an individual. They
10 acquiesced to the fact that we filed the formal
11 complaint against him as an individual and at no
12 point did they file any kind of a motion to
13 dismiss the law suit against him and at no point
14 did they assert that they had an issue with it.

15 JUDGE GUTHRIDGE I don't think they're
16 required to file a motion to dismiss They are
17 required to defend the case against him not
18 necessarily move to dismiss it By not moving to
19 dismiss it I don't think Mr Solovyev or the AKA,
20 the RFG, Royal Finance, waives any defensives. I
21 think we've sort of gone on on this on this
22 particular part of it because there is actually

1 another thing that I'd like to raise about
2 piercing the corporate veil As you say you did
3 not put it in your opening brief. You first
4 mentioned it in your reply brief and that's what
5 caught my eye about this Generally, arguments
6 that are not raised in an opening brief are
7 waived Even if there is some reason for not
8 having amended the complaint -- not having
9 originally plead piercing corporate veil -- and a
10 reason for not having moved to amend the complaint
11 to include it what about the fact that you did not
12 raise it in your opening brief but waited until
13 your reply brief to raise it?

14 MS TARASSOVA I think it goes back to
15 the same issue When we filed the formal
16 complaint against Mr. Solovyev as an individual
17 there was never an objection filed on behalf of
18 Mr. Solovyev that he should not be sued in his
19 individual capacity That issue did come up from
20 time to time. It seemed like they were going to
21 allege that he may be acting on behalf of his
22 corporations but there was nothing officially

1 filed that said they would be doing so So the
2 reason it is not in the opening brief is because
3 we assumed that they would not be raising this
4 issue because it has not been raised since the
5 formal complaint was filed. It was only raised in
6 the response brief and so I had to address the
7 issue in the reply brief Up until then it was
8 completely quiet on the respondents end as to
9 whether they were going to be raising the issue of
10 Mr. Solovyev being protected behind his
11 corporations I understand the Court's opinion on
12 this issue but I believe the respondent, Mr
13 Solovyev, should have raise the issue when he saw
14 his name as an individual listed on the formal
15 complaint if he believed that he was not acting as
16 an individual during these transactions I
17 believe that he should have put us on notice and
18 we could have addressed it at that point. But
19 waiting until the very end to raise that issue is
20 a little late and that is the complainants'
21 position on this issue

22 JUDGE GUTHRIDGE Okay, well those are

1 the two procedural problems. Do you want to
2 respond, Mr. Chang?

3 MR. CHANG: Yes, I'm sorry I disagree
4 that the respondents even raised the issue in our
5 opposition brief. I don't believe we made and
6 argument about the corporate veil or hiding behind
7 a corporation. Our arguments in the brief were
8 directed towards Mr. Solovyev's role as an agent
9 on behalf of MTL and therefore not having
10 requirements to file tariffs. That was the
11 argument in our opposition brief The corporate
12 veil in the complainants' reply brief is sort of
13 out of the blue I don't know where the argument
14 is coming from. I understand that throughout
15 discovery the names of multiple corporations have
16 been raised and discussed including in the
17 respondents' answer but it was never an argument
18 that there would now be a claim to pierce the
19 corporate veil

20 JUDGE GUTHRIDGE: All right. Ms.
21 Tarassova even if it were properly raised and
22 argued at some point or raised sometime earlier

1 than your reply brief the Commission has several
2 factors that it considers in whether to pierce
3 corporate veil. These are set forth in the case
4 Rose International, Inc vs. Overseas Moving
5 Network International Limited and that can be
6 found at 29 SRR 119 at 167 168 and that is a
7 Federal Maritime Commission decision in 2001 and
8 there are several factors that the Commission sets
9 forth I see no evidence at all on over half of
10 them There are certain things that are there
11 One of the factors is the nature of the ownership
12 and control and Solovyev is the owner of the three
13 corporations we talked about earlier So they all
14 have the same ownership. At least two of them use
15 the same office or business location Another
16 factor is overlapping ownership, officers,
17 directors and personnel Well, he owns all three
18 of them so that is met The others -- I mean is
19 there any evidence in the record about failure to
20 maintain corporate minutes or adequate corporate
21 records in failure to file corporate formalities.
22 Is there any evidence about that in the record Ms.

1 Tarassova?

2 MS TARASSOVA: I do not believe that we
3 specifically asked that question during his
4 deposition.

5 JUDGE GUTHRIDGE: That's not my
6 question My question is is there evidence in the
7 record about that?

8 MS. TARASSOVA: No, Your Honor, I don't
9 believe we addressed formalities with Mr Solovyev
10 during the deposition

11 JUDGE GUTHRIDGE: Is there any evidence
12 in the record on comingling of funds and other
13 assets?

14 MS TARASSOVA There could be some
15 facts that could be inferred from the fact the Mr.
16 Solovyev uses the one company called Royal Finance
17 Group to collect all funds for all the other
18 companies including MTL. That is an interesting
19 aspect of the whole situation. That is something
20 that kind of makes it look very suspicious The
21 other fact that their invoice --

22 JUDGE GUTHRIDGE Wait. Making

1 something looking like it is suspicious is not
2 evidence that it is being done. For all we know
3 because there doesn't seem to be any evidence in
4 the record Mr. Solovyev uses the Royal Finance as
5 his sort of collection and billing stuff. When
6 the money comes in if it is a Car Express payment
7 it goes to the Car Express account If it is a
8 World Express, it goes to the World Express
9 account and there is no comingling at all Is
10 there any evidence in the record that he is doing
11 anything but that?

12 MS. TARASSOVA: Your Honor, we did not
13 do financial discovery on Mr. Solovyev

14 JUDGE GUTHRIDGE: Okay. Is there
15 evidence of inadequate capitalization of any of
16 those companies?

17 MS TARASSOVA. The same answer, Your
18 Honor, we did not do financial discovery on him

19 JUDGE GUTHRIDGE: And is there any
20 evidence in the record of a diversion of the
21 corporation's funds or assets to non-corporate
22 uses?

1 MS. TARASSOVA. I do not believe so,
2 Your Honor. It goes to the same answer. We did
3 not do that type of discovery. We looked at other
4 things

5 JUDGE GUTHRIDGE Is there any evidence
6 that the corporations are treated as independent
7 profit centers or not treated as independent
8 profit centers?

9 MS TARASSOVA. I don't have any
10 evidence either way, Your Honor

11 JUDGE GUTHRIDGE: Okay, that's going to
12 be something to be considered as part of that and
13 it may not make any difference one way or another
14 but it is something I'll need to address.

15 MS TARASSOVA Your Honor, if I could
16 add to that the evidence that I do have is that
17 Mr Solovyev certainly does not treat each
18 corporation as a separate standing corporation.
19 Some of the evidence that we do have is that Mr.
20 Solovyev's testified to the fact that he uses one
21 main phone number, one main email address, one
22 main corporate address which is the same address

1 is MTL. His Florida Corporation, the Royal
2 Finance Group, is registered at a home address of
3 a person he could not name because he did not
4 remember but thought it was a family member down
5 in Florida. In addition to, he is the sole
6 employee I believe according to his deposition
7 transcript he is the sole employee of Car Express
8 and Import, Royal Finance Group and I believe he
9 said that World Express and Connection he has some
10 employees for that But those are the facts that
11 I wanted the Court to also consider.

12 JUDGE GUTHRIDGE: I will consider them.
13 I want to now get to -- try to understand exactly
14 what was going on with these operations As I
15 understand it from Mr. Safonov's this is in
16 respondent's appendix 63 it is Safonov's
17 deposition on page 29 lines 1 through 12 where
18 Safonov testified that Safonov and Aleksandr
19 Solovyev would view boats online and Safonov would
20 decide which boats to purchase Is that
21 essentially what they did because as I understand
22 it Safonov was in Dubai at this time, is that

1 correct?

2 MS. TARASSOVA Yes, Your Honor Mr
3 Safonov had some kind of online access to view the
4 inventory for the American Auto Auction -- I guess
5 it's Copart -- and I believe they sold more than
6 just autos there He would instruct --

7 JUDGE GUTHRIDGE: They sold boats there
8 and they bought boats there

9 MS TARASSOVA Yes, they did. So he
10 would instruct Mr Solovyev as to what he was
11 interested in from Dubai over the internet and Mr.
12 Solovyev would then complete the purchase on this
13 side.

14 JUDGE GUTHRIDGE I also understand this
15 is from the same page that Mr. Safonov had the
16 final decision making authority about which boats
17 to buy He was the one who would decide.

18 MS TARASSOVA. That's what he testified
19 to.

20 JUDGE GUTHRIDGE: Also all of the boats,
21 not just the three that are at issue in this
22 proceeding, but all of the boats were purchased

1 from Copart, is that correct?

2 MS. TARASSOVA: I'm not sure, Your
3 Honor There may have been another auction that
4 Mr. Solovyev used. I don't know; that's not on
5 the record

6 JUDGE GUTHRIDGE: Mr. Chang, can you
7 shed any light on that?

8 MR. CHANG. Is Your Honor's question
9 with regard to just the three boats at issue in
10 this case?

11 JUDGE GUTHRIDGE: No, as I understand
12 it, the three boats at issue in this case were
13 bought from Copart I don't think there is a
14 Copart invoice on one of them, I forget which one
15 I think there are on two but I thought read some
16 place that Copart is where they all came from
17 Not just these three but however many boats they
18 bought.

19 MR. CHANG I believe that is correct.
20 The parties Mr Safonov and Car Express and Mr
21 Solovyev's company had actually purchased other
22 boats in the past aside from these three boats As

1 far as where they were purchased from I don't have
2 that information on me at the moment but I think
3 Copart would probably be a safe assumption.
4 Copart is a rather large automobile and boat
5 auction site and it is a site that Mr. Solovyev
6 through his company Car Express which has a
7 wholesale dealer license frequents.

8 JUDGE GUTHRIDGE That actually brings
9 up my next question I was going to ask. Because
10 the invoice we were just looking at complainant's
11 appendix 118 the Copart invoice and as I read
12 earlier it said the seller was Travelers Indemnity
13 Company and the member was Car Express and Import,
14 Inc. Does one have to be a member to purchase
15 something from Copart or could I go online with
16 Copart and bid on boats or do I have to go through
17 a member Do you know, Mr Chang?

18 MR. CHANG: From what we were told
19 you're required to either have a license or to be
20 a member I'm not sure.

21 JUDGE GUTHRIDGE What kind of license?

22 MR. CHANG A wholesale or dealer

1 license.

2 JUDGE GUTHRIDGE: Does Car Express have
3 a wholesale or dealer license for boats?

4 MR CHANG: Yes, Car Express does

5 JUDGE GUTHRIDGE: And it is also a
6 member of Copart to the extent that that's
7 required according to this invoice?

8 MR. CHANG That is correct, Judge.

9 JUDGE GUTHRIDGE Okay. Then how they
10 would operate from that point as I understand it
11 from the depositions, mostly from Mr Solovyev's
12 deposition, is that after Safonov would designate
13 which boat to buy this comes from the response to
14 complainants' proposed findings of fact I think is
15 where I got this from but it is cites deposition
16 testimony Royal Finance Group would advance
17 payments on behalf of the foreign complainants
18 which would mean Safonov to Copart a U.S. auction
19 site and to other companies for example MTL, Car
20 Express, Inland Trucking Companies. This was done
21 as a convenience to complainants so that
22 complainants would only need to make a single

1 "lump sum" wire transfer payment to RFG and
2 accordingly could avoid paying the fees associated
3 with sending multiple wire transfers. In this way
4 complainants would also avoid incurring penalties
5 for late payment to the auction site which could
6 occur if there were delays with the foreign wire
7 transfers. It says see deposition transcript of
8 and I inserted Aleksandr Solovyev at page 45 line
9 17 to page 47 line 25. RFG in turn charged a
10 commission to complainants for its services see
11 deposition transcript of Aleksandr Solovyev at
12 page 46 line 8-14 Ms Tarassova is that your
13 understanding of essentially the way this
14 relationship worked before it went south?

15 MS. TARASSOVA: I think that the
16 complainants would agree that Mr. Solovyev
17 collected the payment through Royal Finance Group
18 but that's about all that they're going to agree
19 to I don't know if they would agree to the truth
20 of the statement of he did it to avoid late
21 payments for his clients. He could have done it
22 for a number of reasons and it is unclear why he

1 was collecting payment through Royal Finance Group
2 which is a Florida corporation but regardless we
3 don't disagree with the fact that he used that
4 company to collect all cash payments.

5 JUDGE GUTHRIDGE I confess I do not
6 deal a lot in foreign wire transactions. Do you
7 disagree that if Safonov in Dubai had three
8 payments to make one to Copart, one to MTL and one
9 to somebody else that making one wire transfer to
10 RFG and having RFG pass those payments on would
11 result in a lower transaction fee for Safonov?

12 MS TARASSOVA: Your Honor, we would
13 disagree with that If we look at Mr. Safonov's
14 transcript regarding the wire transfer fees I
15 think there were I think he testified to maybe
16 \$50.00 each wire transfer. Obviously the currency
17 exchange rate will be charged regardless, whether
18 it's one lump sum for a larger amount of three
19 separate charges, I mean, there is a currency
20 exchange rate. If you look at Mr. Solovyev's
21 commission for his services I think it exceeded
22 what Mr Safonov would have paid if made two

1 separate wires. So that's why he would disagree
2 that he was doing everybody a favor. I think he
3 had an ulterior reason for doing it

4 JUDGE GUTHRIDGE I don't care if he was
5 doing everybody a favor or had an ulterior reason
6 what I'm saying is this the way the operation
7 worked for the period of - for however many boats
8 were purchased during this relationship? Was this
9 their standard way of practice?

10 MS TARASSOVA: Yes, Your Honor, and we
11 did agree to that, that's how they did it

12 JUDGE GUTHRIDGE: So whatever the
13 respondent's motive might have been it got him a
14 little more and it is something that's for a
15 number of boats beyond these three the parties
16 agreed to do, is that correct?

17 MS TARASSOVA: Yes, Your Honor. That
18 was their course that the complainants would wire
19 one sum to Royal Finance Group and then Royal
20 Finance Group would I guess --

21 JUDGE GUTHRIDGE Solovyev might have
22 had an ulterior motive but Safonov agreed to that

1 course conduct for some period of time, correct?

2 MS. TARASSOVA Yes, Your Honor.

3 Correct

4 JUDGE GUTHRIDGE: Okay. Let me jump
5 before we get into the boats themselves and ask
6 you, Ms Tarassova, about the documents that
7 relate to a Mercedes and Porsche apparently owned
8 by Solovyev that he sent to Dubai I guess to be
9 repaired and sold. What's their relevance to this
10 proceeding?

11 MS TARASSOVA: I think it shows that
12 they had an understanding and it is my
13 understanding from my client's perspective is that
14 during the time that the respondents held the
15 complainants' property while they were deciding
16 what to do with the formula boat whether to ship
17 it to Dubai or whether whatever what is happening
18 while they were holding it the complainants also
19 had Mr Solovyev's property or at least Mr.
20 Solovyev alleged that it was his property. I
21 think that is an issue in dispute in a different
22 case But Mr. Solovyev hadn't requested that he

1 wanted to sell these I think they were salvaged
2 automobiles. They couldn't be sold here in the
3 United States so he sent them over to Dubai to see
4 if the complainants could fix them up and try to
5 see them in Dubai. Then whatever profits they
6 would make they would send back to Mr. Solovyev.
7 They had an ongoing relationship where they were
8 doing favors for the respondents and in turn the
9 respondents held on to the formula boat for over a
10 year

11 JUDGE GUTHRIDGE. What does the
12 automobiles and shipping them to Dubai and being
13 held by Safonov over there what does that have to
14 do with the alleged Shipping Act violations?
15 Because that is the only jurisdiction that the
16 Commission has It has to do with the
17 transportation of cargo by water between the
18 United States and foreign country, in this case
19 Dubai What do these automobiles have to do with
20 the transportation of the boats?

21 MS TARASSOVA: I think it gives us a
22 little background on the party's relationship

1 because I believe the respondents are alleging
2 that they're owed in relation to holding on to
3 property that they were going to ship
4 internationally. This just gives background to
5 the issue that maybe perhaps there was a reason
6 why they didn't initially issue any invoices for
7 storage because they had an incentive not to.

8 JUDGE GUTHRIDGE. What does it have to
9 do with whether or not the respondents, as you
10 allege in your complaint, failed to establish,
11 observe and enforce just and reasonable
12 regulations and practices related to or connected
13 with the receiving, handling, storing or
14 delivering of property, meaning the boats

15 MS TARASSOVA It is just background,
16 Your Honor, I don't think it goes directly to
17 that

18 JUDGE GUTHRIDGE. Okay So now we get
19 to the boats On May 7, 2013 according to
20 Complainants' Appendix 007 Middle East Asia Alpha
21 FZC purchased the boat identified as the 2008
22 Chaparral with a vin number for \$10,505.00

1 That's the receipt that's in there and that is the
2 evidence on which - or one piece of evidence on
3 which you rely, Ms Tarassova There is also a
4 vessel bill of sale on page 18 018 of the
5 Complainants' Appendix that identifies the seller
6 as Marine Transport Logistic. Mr Chang, did
7 Marine Transport Logistic sell the 2008 Chaparral?

8 MR. CHANG: No, Your Honor I believe
9 we were questioned about this document, Mr.
10 Solovyev was questioned about this document at a
11 deposition and he testified it was not even his
12 signature on the document. So we are not sure
13 where this document has come from. We believe it
14 was a document that was created in Dubai not for
15 any nefarious purpose but by Middle East Asia to
16 help facilitate the import of the boat into Dubai.
17 So it may be just a customs document that was
18 created for Dubai customs It wasn't a document
19 that Marine Transport Logistics had any real part
20 in.

21 JUDGE GUTHRIDGE: So I see a signature
22 of seller purportedly dated May 22, 2013 with a

1 signature there Is that the signature that you
2 say Mr. Solovyev testified was not his signature?

3 MR. CHANG: I believe that is in the
4 deposition It may also just be his response to
5 questioning on this document

6 JUDGE GUTHRIDGE: Ms. Tarassova, what is
7 your knowledge of this vessel bill of sale?

8 MS. TARASSOVA: It looks like it was
9 notarized by a person who worked for Marine
10 Transport Logistic at the time

11 JUDGE GUTHRIDGE: Are you talking about
12 Vabim Alper?

13 MS. TARASSOVA Yes, Your Honor. This
14 is a person that is believed to have worked for
15 Marine Transport Logistic at the time so I can't
16 say where it came from Perhaps this is something
17 we'll have to ask the parties but from just
18 looking at the face of the document it seems to be
19 notarized by someone who worked for Marine
20 Transport Logistics at the time

21 JUDGE GUTHRIDGE: And then there is also
22 at 115 of Complainants' Appendix the Copart

1 invoice identifying the seller as Encompass
2 Insurance and the member as Car Express and
3 Import, Inc for the '08 Chaparral boat. Let me
4 ask you something, Ms Tarassova, and I don't mean
5 to be mean by saying this but did you give some
6 thought to maybe putting all the documents about
7 each boat together? That would make it easier for
8 somebody trying to go through the record rather
9 than jumping them well hundred pages apart

10 MS TARASSOVA: I will certainly try to
11 do that next time.

12 JUDGE GUTHRIDGE: I'm not asking you to
13 redo the appendix but you ought to give some
14 thought to that maybe Make things as easy for
15 the judge as you can At the Complainants'
16 Appendix at 77-79 is a title for the 2008
17 Chaparral identifying the owner is Encompass
18 Insurance of New Jersey Who owns the 2008
19 Chaparral that this point?

20 MS TARASSOVA That is a good question,
21 Your Honor I can't say for sure I think the
22 respondents might be able to answer that better

1 JUDGE GUTHRIDGE: Why would they be able
2 to answer it better?

3 MS TARASSOVA It is my understanding
4 that these certificates of title were --

5 JUDGE GUTHRIDGE: Let me back up Let
6 me not ask it for now As of May 2013 who owned
7 the 2008 Chaparral?

8 MS. TARASSOVA: Are you asking who was
9 the registered owner or who was the owner as far
10 as -- are we talking about whether the title was
11 registered to one particular owner?

12 JUDGE GUTHRIDGE: Who purchased the 2008
13 Chaparral? It ended up going to Dubai owned by
14 somebody Who owned it at that point? Was it
15 Middle East Asia? There is some indication that
16 it is Middle East Asia. The Complainants'
17 Appendix at 007 is the invoice that says the
18 purchaser was Middle East Asia Mr Safonov is
19 the one who supplied the money for it, is that
20 correct?

21 MS. TARASSOVA Yes, Your Honor. I
22 believe all the wire transfers were from either

1 Crocus FCE or Crocus Investments

2 JUDGE GUTHRIDGE: Who bought that boat?

3 It was Mr Safonov's money and three of his
4 companies are potentially involved here Who
5 bought the boat?

6 MS. TARASSOVA. Let me look at the wire
7 receipt because whoever paid for the boat would be
8 the owner. Let me just check the wire I believe
9 for the two smaller boats the Monterey and the
10 Chaparral it was Crocus FZE that wired the money
11 and therefore would be the owner. I'm looking at
12 Complainants' CX 112, it is the application for
13 telegraphic transfer, it's the wire receipt in the
14 amount of \$30,000 from Crocus FZE so that is the
15 money that went towards to two boats So Crocus
16 FZE would be the owner of the boats since that's
17 the company that paid for it. As far as
18 registration, I'm not sure they were even ever
19 registered to a particular company.

20 JUDGE GUTHRIDGE. On that 112 where you
21 were just looking at it says payment for invoice
22 number 1168 and that is the Monterey, the 2011

1 Monterey and 1174, the 2008 Chaparral that is the
2 subject of the proceeding It was RFG invoice
3 1177.

4 MS. TARASSOVA: Right, Your Honor This
5 is the way they did business. I believe that if
6 you look at the emails going back and forth the
7 way they way do it was Mr Safonov's was at some
8 point Mr Solovyev either asked him or allowed him
9 to create some invoices and so there were a lot of
10 invoices going back and forth and sometimes their
11 numbers were different. I'm not sure if it is
12 disputed by the parties that both of these boats
13 were paid for by Crocus FZE and essentially owned
14 by them.

15 JUDGE GUTHRIDGE Mr. Chang, as far as
16 you know did Crocus FZE purchase both of these
17 boats?

18 MR. CHANG Judge, I think you really
19 asked two questions. The first question is as far
20 as who purchased the boat The initial purchaser
21 I think as Your Honor sort of hit on earlier was
22 Car Express but as Ms Tarassova pointed out

1 eventually an invoice was sent from Royal Finance
2 Group to collect the lump sum payments of all
3 these boats So there is really no dispute from
4 respondents' side that the 2011 Monterey and the
5 2008 Chaparral were ultimately paid for by one of
6 Mr. Safonov's companies. I think what might be
7 the cause of some of this confusion is there are
8 other boats involved in some of these
9 transactions I've got four named as part of this
10 complaint but were purchased upon the same agreed
11 upon procedure. That's the explanation to some of
12 these other invoices and it is also the
13 explanation for why other boats are named on the
14 bills of lading.

15 JUDGE GUTHRIDGE: Actually one of the
16 things that occurred to me as I was looking
17 through this and also in dealing with the
18 corporate veil issue and thinking about that is it
19 seems everybody was pretty casual about who was
20 actually doing what. Am I operating as Crocus
21 investment or Crocus FZE or Middle East Asia or
22 RFG, you know, who is actually legally doing what

1 is being done When things go right as it did on
2 most of the boats nobody cares much But when
3 things go wrong that's when it gets to me and I've
4 got to hash out all this stuff and figure out who
5 did what and who owns what and part of this is who
6 has a right to bring a case. Mr Chang, you seem
7 to be accepting of the fact that it came from one
8 of Mr. Safonov's three companies. Here is some
9 documentary evidence on the Monterey anyway that
10 it came from Crocus FZE but the others you're not
11 sure of unless there is something else in the
12 record, is that right?

13 MR CHANG I am not sure of the exact
14 payment documentation but the 2011 Monterey and
15 the 2008 Chaparral were shipped over to Dubai and
16 received by Middle East Asia. Certainly none of
17 Mr. Solovyev's companies raised any claims for
18 non-payment as far as the boats are concerned As
19 far as anticipating Your Honor's question or
20 standing to sue on these boats I don't see any
21 reason to object to one of Mr Safonov's companies
22 whichever one it might be having some sort of

1 standing It may be Middle East Asia at the end
2 of the day but we really haven't conducted any
3 discovery to explore that issue

4 JUDGE GUTHRIDGE Okay Then next on
5 the Chaparral, it was purchased and then on May 22
6 and this is where we finally get to the Federal
7 Maritime Commission's interest in this On May
8 22, 2013 MTL issued a bill of lading identifying
9 MTL as the shipper Middle East Asia is the
10 consignee, Newark is the port of loading and Jebel
11 Ali as port of unloading and identifying the cargo
12 to include the 2008 Chaparral. On May 25, 2013
13 MAERSK issued a similar bill of lading.
14 Both of those bills of lading also identify a 2007
15 Four Winns that they were loaded into a container
16 and shipped to Dubai. There doesn't seem to be
17 any dispute as to that. The Four Winns boat --
18 does anybody know whether the 2007 Four Winns boat
19 was purchased using the same sort of proceeding or
20 same sort of course of conduct as the 2008
21 Chaparral and the other boats? Is that one of
22 their boats?

1 MS. TARASSOVA Your Honor, I guess we
2 can only assume that We haven't done any
3 discovery in regards to that

4 JUDGE GUTHRIDGE: It is your client who
5 may or may not own it -- presumably would own it.
6 It just seemed logical to me that it probably is
7 one of the boats of which there were a number, I
8 understand from the record, that were actually
9 sold in Dubai. They were shipped to Dubai and
10 then sold but nobody knows whether that is
11 actually one of those boats, is that what you're
12 telling me?

13 MS. TARASSOVA: Yes, Your Honor.

14 JUDGE GUTHRIDGE: Okay. Now, the 2008
15 Chaparral arrived in Dubai and was delivered to
16 Middle East. Is there any dispute to that?

17 MS. TARASSOVA No. Your Honor.

18 JUDGE GUTHRIDGE: Ms. Tarassova, earlier
19 I read the statute or your allegation in the
20 complaint or the statute that you're directed to,
21 you're claiming was violated and it is 46 U S C.
22 41102(c) and a common carrier marine terminal

1 operator or ocean transportation intermediary
2 which is what MTL is may not fail to establish,
3 observe and enforce just and reasonable
4 regulations and practices relating to or connected
5 with the receiving, handling, storing or
6 delivering property. At what point if any during
7 the transportation of the 2008 Chaparral from the
8 United States to Dubai did the respondents fail to
9 establish, observe or enforce just and reasonable
10 regulations and practices relating to or connected
11 with the receiving, handling, storing or
12 delivering of the 2008 Chaparral?

13 MS TARASSOVA: On its way from New
14 Jersey to Dubai at that point everything was fine
15 still.

16 JUDGE GUTHRIDGE So you do not claim
17 there was any Shipping Act violation committed by
18 MTL or any respondent from shipping the 2008
19 Chaparral to Dubai?

20 MS TARASSOVA: To Dubai no not at that
21 point. It became an issue when MTL received it
22 when it came back to the United States.

1 JUDGE GUTHRIDGE What became an issue?

2 MS TARASSOVA: The violation of the Act
3 became an issue when the two smaller boats came
4 back into MTL's possession when they were shipped
5 from Dubai to the United States

6 JUDGE GUTHRIDGE: Okay. On the 2011
7 Monterey the Complainant's Appendix at 011 is an
8 RFG invoice 1168 to Andrey Trecyacov in Dubai
9 Middle East Asia Alpha for the 2011 Monterey
10 There is also an invoice identifying attributing
11 certain money for certain purchases. The same
12 question as regards to the 2008 Chaparral, who
13 owned the 2011 Monterey after that purchase in
14 2013?

15 MS. TARASSOVA: It would have been owned
16 by Crocus FZE.

17 JUDGE GUTHRIDGE: Okay.

18 MS. TARASSOVA They're the ones that
19 paid for it

20 JUDGE GUTHRIDGE: And then Crocus --
21 Safonov instructed Solovyev to ship the Monterey
22 to Dubai and on May 5, 2013 MTL issued a bill of

1 lading identifying Treacyacov, Andrey as shipper
2 Middle East Asia consignee, New York as of port of
3 loading, Jebel Ali as port of unloading and
4 identifying the cargo to include the 2011
5 Monterey There was on May 5 MAERSK Line issues a
6 similar bill of lading. Those two bills of lading
7 also identify 2002 Chaparral boat. Does anybody
8 know whether that was one of those purchased by
9 that process of Safonov and Solovyev going on the
10 internet and purchasing a boat?

11 MS TARASSOVA: Right, Your Honor, I
12 don't think we did any discovery related to that.
13 It can only be that that is probably part of the
14 regular dealing.

15 JUDGE GUTHRIDGE: Okay. And then the
16 2011 Monterey arrived in Dubai and was delivered
17 to Middle East Asia. The same question with
18 regard to the 2011 Monterey, do you claim there
19 was any Shipping Act violation on the shipment
20 from the United States to Dubai?

21 MS. TARASSOVA No, Your Honor, at that
22 point no.

1 JUDGE GUTHRIDGE Okay Now there came
2 a time about a year later when I guess Middle East
3 Asia or whoever was trying to sell boats over
4 there was not able to sell those two boats, the
5 two that came back.

6 MS. TARASSOVA: Yes.

7 JUDGE GUTHRIDGE: And so the record
8 indicates in Safonov's deposition and this is
9 Respondents' Appendix at 69 Safonov's deposition
10 at page 52 line 13 to 53 line 9 summarize says
11 Safonov instructed two employees of Middle East
12 Asia to arrange shipment of the 2011 Monterey and
13 the 2008 Chaparral to the United States Is there
14 any dispute to that? That Safonov instructed two
15 employees to do that?

16 MS TARASSOVA Yes, Your Honor, I don't
17 think there is a dispute. That is what he
18 testified to

19 MR CHANG: Judge, we agree that that is
20 his testimony but I will point out when Your Honor
21 gets to it but I think we have some real questions
22 in light of the supplemental certification that

1 was submitted by Mr Safonov as to what really
2 happened.

3 JUDGE GUTHRIDGE I understand that and
4 we're going to get to there but this is testimony
5 saying that he instructed two Middle East
6 employees to get these back to the United States
7 That doesn't yet have anything to do with the
8 respondents it doesn't seem

9 MR CHANG. Right, we have no
10 independent oppositional information

11 JUDGE GUTHRIDGE: Okay. Now on May 30
12 APL issued the bill of lading and sent the boats
13 2008 Chaparral and 2011 Monterey back to MTL. I'm
14 a bit puzzled, Mr Chang How did MTL end up
15 being the consignee on that?

16 MR CHANG This we don't know Our
17 best guess is that -- and this relates back to the
18 earlier bills of lading for the export shipment --
19 Mr. Treacyacov of Middle East Asia had actually
20 been, we believe, dealing directly with MTL or
21 booking shipments directly with MTL He was known
22 to MTL's booking department. Our best guess with

1 regard to this APL bill of lading is he listed
2 Marine Transport as the consignee because they
3 were the shipper on the reverse MAERSK bill of
4 lading. As our questioning and investigations
5 don't turn up any correspondence with Middle East
6 Asia or any authorization from Marine Transport
7 Logistics to be listed as the consignee. It is a
8 question mark, Your Honor Marine Transport
9 Logistics has no real independent interest in this
10 return shipment. It is only costing Marine
11 Transport Logistics money so I don't know why the
12 decision was made That's a witness that maybe
13 complainants have in their control but we don't
14 really have a straight answer for you, Your Honor

15 JUDGE GUTHRIDGE: Ms. Tarassova, I asked
16 a couple of weeks ago for any documents relating
17 to the transportation back to the United States
18 anything issued by APL, anything issued by AEC
19 Cargo Services, LLC You did not have any so the
20 complainants do not have any documents in their
21 possession about how those boats got from wherever
22 Middle East Asia kept them down to the wharf in

1 Dubai?

2 MS. TARASSOVA Your Honor, the
3 complainants do not have anything That is there
4 position. We asked for any documentation that
5 they would have and our client basically stated
6 that he does not have any documentation from that.

7 JUDGE GUTHRIDGE: Did you try to get
8 them from APL or this other company, the
9 forwarding agent? AEC Cargo Services

10 MS TARASSOVA: No, Your Honor. The
11 client stated they did not have anything and I
12 think at that point it was not going to make the
13 deadline Usually when you request documents like
14 that it takes approximately 30 days so we did not
15 request it, no.

16 JUDGE GUTHRIDGE. All right. Do you
17 know how MTL got to be the consignee?

18 MS TARASSOVA. It is my client's
19 position that Mr. Solovyev who was acting on
20 behalf of MTL throughout the course of their
21 dealings arranged that It is corroborated by the
22 fact that MTL did not object to picking up the

1 boats once they arrived. They did not object to
2 paying customs and taking custody or control over
3 the boats and that is evident in the respondents'
4 supplemental documents which they filed just a
5 week ago or so. It looks like MTL not only
6 acquiesced to being a consignee they also took
7 responsibility for the cargo.

8 JUDGE GUTHRIDGE: Took responsibility at
9 what point?

10 MS TARASSOVA. When the boats arrived
11 to the United States they paid customs fees for it
12 and they produced documentation that showed that
13 MTL -- if you look at RX 92 it looks like a copy
14 of the check from Marine Transport Logistics --

15 JUDGE GUTHRIDGE: RX 92? Oh, that's one
16 of the supplemental responses

17 MS. TARASSOVA: Yes, Your Honor. And
18 then I guess the check relates to RX 93 for an
19 invoice to MTL from Fauna and Flora for duty
20 customs, entry fee, bond preparation, et cetera
21 which they paid on behalf of the complainants when
22 they picked up the cargo which is the two boats in

1 question. So how they got to be the consignee it
2 is unclear. That is the question again for the
3 actual parties to answer but it certainly looks
4 like they did not have an objection to that and
5 picked up the boat.

6 JUDGE GUTHRIDGE. Do you have any
7 evidence at all that MTL assumed responsibility
8 for the transportation of the boats from Dubai to
9 the United States?

10 MS. TARASSOVA: Other than Mr Solovyev
11 asking MTL and arranging and it is our position
12 that Mr Solovyev helped arrange the shipment from
13 Dubai to the United States and it was under Mr.
14 Solovyev's instruction that MTL was listed as
15 consignee Do we have something in writing that
16 says MTL assumes responsibility? I do not believe
17 but I think it can be reasonably inferred. Not
18 only is their name on the bill of lading they also
19 confirmed their responsibility by paying money and
20 picking up the boat

21 JUDGE GUTHRIDGE. That is a different
22 function it seems to me That's not the

1 transportation of the cargo. As a consignee
2 identified on a bill of lading of cargo that's
3 coming from a former customer -- it comes in, why
4 they paid it I don't know. But does that mean they
5 assumed responsibility for the transportation of
6 the cargo from Dubai to the United States?

7 MS TARASSOVA We would argue that they
8 did assume it

9 JUDGE GUTHRIDGE: How? Just because the
10 cargo came in to the United States and they paid
11 the customs fees?

12 MS. TARASSOVA: Yes, Your Honor, in
13 their course of dealings they took care of all the
14 complainants' shipping needs. Mr Solovyev
15 arranged -- as we can see through the emails that
16 we do have Mr Solovyev attempted to arrange at
17 least with another company not the company they
18 ended up using we don't have anything on that, but
19 it is clear that Mr. Solovyev was involved in it
20 on behalf of MTL in trying to arrange the
21 shipment.

22 JUDGE GUTHRIDGE. All we have in the

1 record is that Mr Solovyev was contacted and made
2 some inquiries and passed the results of those
3 inquiries back to Middle East in Dubai but then
4 Middle East selected another carrier to actually
5 transport the cargo from Dubai to the United
6 States That's the evidence that is in the
7 record. Yes, there are these inferences that
8 could be made but based on what?

9 MS TARASSOVA Based on their course of
10 dealing and based on what Mr. Safonov testified to
11 in his deposition, basically they relied on Mr
12 Solovyev to handle the international shipping
13 This is why they were dealing with him in the
14 first place is because he --

15 JUDGE GUTHRIDGE: Well, they did on the
16 transportation very clearly and that's why I think
17 I mean I asked the reason with inference I would
18 make on the other boats that were in the
19 containers with the two boats that went to Dubai
20 that, yes, MTL was handling the transportation
21 from the United States to Dubai. It clearly was a
22 course of conduct but this was the only one

1 shipment that came from Dubai back to the United
2 States. Whether that course of conduct on
3 transporting U S to Dubai means they assumed
4 based on the fact that they were named as the
5 consignee means they assumed responsibility of the
6 transportation of the cargo. Because if they did
7 not assume responsibility for the transportation
8 of the cargo from Dubai to the United States how
9 could they have violated the Shipping Act?

10 MS TARASSOVA. And it is our position
11 that they did assume responsibility of the cargo

12 JUDGE GUTHRIDGE And that's why I want
13 to clarify. Based on what? Based on the evidence
14 in the record and could you summarize it again for
15 me?

16 MS TARASSOVA Yes, Your Honor. Based
17 on the testimony of Mr. Safonov who stated that he
18 was dealing with Mr Solovyev throughout all of
19 the transactions both the shipment from the United
20 States and then from Dubai back to the United
21 States. Also we do have emails where Mr Solovyev
22 actually attempts to set it up with other

1 companies even though we don't have emails where
2 he actually set it up with APL. It does show that
3 Mr. Solovyev was involved in trying to arrange the
4 shipment from Dubai to the United States In
5 addition to that, MTL was listed on the bill of
6 lading as the consignee and ended up picking up
7 the boats. So in totality it seems that MTL knew
8 about the shipment that was coming from Dubai. It
9 is our position that they are the ones that made
10 it happen and figured out who would ship it and
11 had contact in Dubai to make it happen and then
12 ultimately took control and possession of the
13 cargo when it arrived, paying for it. I don't see
14 why they would pay the customs fee, et cetera if
15 they had nothing to do with it and they were taken
16 by surprise that they were listed on the bill of
17 lading as consignee The totality of the evidence
18 shows that MTL was well aware of the fact that the
19 boats were coming and Mr. Safonov's testimony is
20 that Mr. Solovyev assisted them with all their
21 international shipping needs.

22 JUDGE GUTHRIDGE: Mr. Chang, do you have

1 a response to that?

2 MR. CHANG: Yes, Judge I think a lot
3 of this is conjecture but it is also based on the
4 recent self-serving certification that was
5 submitted by Mr. Safonov which itself is at odds
6 with the email correspondence and documents in the
7 record. Just to take one example, in paragraph
8 three of Mr Safonov's certification he said he
9 told his assistant to arrange delivery of the
10 boats. Not that he spoke with Mr. Solovyev but
11 he was speaking with his assistant Paragraph
12 four then goes on to say that Mr Safonov's
13 assistant found two companies that could deliver
14 the boats for \$4000.00 but then he received a
15 better offer from Mr Solovyev for \$1500.00
16 Again, that isn't reflected in any of the
17 correspondence and in fact in the final bill of
18 lading issued by American President Lines ocean
19 freight is in the amount of \$3000 00 plus not
20 \$1500 00. So the certification isn't supported by
21 email correspondence that was produced by
22 complainants This argument that a consignee

1 somehow assumes carrier responsibility, as Your
2 Honor has pointed out, is not correct under the
3 Shipping Act. More importantly, MTL through its
4 president Ms. Alla Solovyeva was deposed about
5 this issue and she said that it happens frequently
6 that customers will return shipments and they will
7 designate MTL as the consignee and MTL will pay
8 the customs fees because they have to clear the
9 container from the port. They can't have
10 responsibility if the container is sitting there.
11 I don't agree that an inference can be drawn just
12 because a consignee accepts a shipment they are
13 somehow simultaneously or retroactively accepting
14 a responsibility for the ocean carriage as well.

15 JUDGE GUTHRIDGE Let me ask you this,
16 Mr. Chang, and maybe would a consignee in that
17 situation be potentially liable for any demurrage
18 that builds up on the container if they do not
19 pick it up?

20 MR CHANG: I think there is actually
21 some conflicting case law on that but I believe
22 that a consignee could be liable for demurrage if

1 a container remains at the port unclaimed Under
2 the bill of lading depending on the carrier the
3 carrier can proceed against pretty much anyone
4 listed on the bill of lading for outstanding
5 freight or outstanding charges or demurrage Not
6 having the American President Line bill of lading
7 in front of me it is certainly a possibility that
8 MTL is very cognizant of it which helps motivate
9 their acceptance of a container but only as a
10 consignee.

11 JUDGE GUTHRIDGE: Ms Tarassova, do you
12 have any response to that? Could MTL as a
13 consignee be liable for demurrage if they failed
14 to pick it up?

15 MS TARASSOVA: I don't think that is an
16 unreasonable assumption to make but I mean at the
17 same time if MTL -- MTL cannot be said to not have
18 known about the shipment coming towards it and
19 that is the main point. The respondents were very
20 well aware that the two boats were coming to the
21 United States and not only to the United States
22 but it was expected that MTL would pick them up.

1 This did not come as a surprise I understand
2 that the respondents' position is that they did
3 not realize that they were listed as the consignee
4 until the boats arrived but our position is very
5 different. Our position is that they are the ones
6 that made that happen and very well knew and were
7 on notice and expected the cargo to arrive and
8 were not taken by surprise when they had to pay
9 for the fees. That's where our positions differ

10 JUDGE GUTHRIDGE: Even if it is assumed
11 that they did know that the boats were coming
12 back, that MTL knew that the boats were coming
13 back, does the fact that they knew the boats were
14 coming back mean that they assumed responsibility
15 for the transportation of the boats from Dubai to
16 the United States?

17 MS TARASSOVA We would say yes because
18 they arranged the transportation

19 JUDGE GUTHRIDGE: What demonstrates that
20 they arranged the transportation? All we have is
21 an email from Solovyev to somebody whose name
22 starts with a Z, whose name I'm not remembering

1 right now, saying what quotes do you have, what
2 quotes can you give me and you've got two quotes
3 and yet Middle East Asia used another carrier.

4 MS TARASSOVA: Your Honor, in addition
5 to that we have certification from Mr. Safonov and
6 the Court can take evidentiary statements have an
7 evidentiary hearing and ask Mr. Safonov these
8 exact questions and take his testimony under oath
9 in regards to that. We do not have anything else
10 in writing other than that

11 JUDGE GUTHRIDGE: The time to present
12 your evidence was a couple of months ago. I asked
13 for a couple of other things that you said you do
14 not have at this point that might shed some light
15 on this referring to the documents that were
16 actually created in Dubai As I understand it
17 before the container was even loaded on board the
18 vessel there had to be documentation sent to U.S
19 Customs about what was actually going to be loaded
20 on the vessel before it is put on. Am I correct
21 about that you three lawyers? Does anyone know
22 anything different from that?

1 MR. CHANG: Yes, Judge You're correct.
2 There is a 48-hour rule.

3 MR. VENGROW For the last port of
4 loading going to the United States you've got to
5 advise Customs what the --

6 MR. CHANG: Within 48 hours from the
7 last non-U.S. Port import shipments have to be
8 reported to U S Customs It is usually done
9 through the AES system. That is an automated
10 electronic system for filing of such documents
11 with Customs

12 JUDGE GUTHRIDGE: That would be for the
13 last port of loading and we don't know what the
14 last port of loading may have been necessarily.
15 It might be on the -- probably wouldn't be on the
16 APL bill of lading Would copies of all those
17 documents, Mr. Chang or Ms. Tarassova, would
18 copies of all those documents that would be
19 created in either Dubai or some other port go to
20 the shipper?

21 MR. CHANG Judge, we're a little
22 unclear on your question Some of these documents

1 would originate from the shipper in Dubai because
2 if they would have been delivered to American
3 President Lines in Dubai, but if Your Honor's
4 question is who gets copies of the U.S. Customs
5 filings I don't know that it would go to the
6 shipper or anyone It would be between the ocean
7 carrier and customs, I believe.

8 JUDGE GUTHRIDGE I see. Would the
9 original documents be created by the shipper? The
10 original Customs' documents?

11 MR CHANG. They certainly should be,
12 Judge, or the party who books to ship with the
13 carrier. In this case the shipper on the APL bill
14 of lading is Middle East Asia So we see the
15 forwarding agent by the name of AEC Cargo Services
16 was somehow involved in this transaction as well

17 JUDGE GUTHRIDGE: Okay The forwarding
18 agent -- in the normal course of business does a
19 forwarding agent -- and I don't know that you know
20 anything about Dubai shipments but just as a
21 general matter anywhere in the world, does a
22 forwarding agent who creates documents for a

1 shipper generally give copies of the documents to
2 the shipper?

3 MR CHANG. Judge, that would be my
4 assumption. If the documents didn't come from the
5 shipper itself at some point the shipper should
6 have a copy of all the documents that were
7 submitted

8 MS TARASSOVA. And, Your Honor, just
9 for the record I mean just as MTL is stating that
10 they were not in control of being identified as
11 the consignee it is very plausible that Middle
12 East Asia was also put on there as the shipper by
13 the person that was assisting in doing this. It
14 is our position that Mr. Solovyev was the one
15 helping the complainants in getting the shipment
16 over from Dubai to the United States and therefore
17 it is unclear whether even if there were copies
18 that would naturally go to the shipper if they
19 actually went to Middle East Asia. That is
20 unknown and all of these documents could be in
21 possession of Mr. Solovyev

22 MR CHANG: Again, I can't speak for

1 Dubai procedures but what complainants' council
2 just posited certainly wouldn't fly for U S
3 exports shipments A shipper is required to
4 submit certain documents They have to be
5 identified as a shipper These documents that go
6 through customs that go to the carrier. The
7 shipper has to sign off and be named as the
8 principle party of interest among other things.
9 They have to provide proof of ownership. It is
10 not simply the case that -- at least we've never
11 heard of a situation where a shipper was put on a
12 bill of lading for his own shipment without his
13 knowledge. That just doesn't seem to comport with
14 common sense, Your Honor

15 JUDGE GUTHRIDGE Yes, and I would
16 think, and Ms. Tarassova correct me if I'm wrong,
17 but didn't Middle East Asia have possession of the
18 boats in Dubai?

19 MS. TARASSOVA: Right, they did

20 JUDGE GUTHRIDGE: And at some point
21 Middle East Asia gave up possession to the boats
22 to a carrier, correct?

1 MS. TARASSOVA: Yes

2 JUDGE GUTHRIDGE: But you're telling me
3 that the complainants have no documents that
4 reflect that transfer which seems unlikely to me
5 but may very well be that they said we don't need
6 any documents just take the boats and get them to
7 the United States That doesn't sound -- it
8 sounds to me like the complainant would certainly
9 have the burden of producing those documents

10 MS. TARASSOVA: I understand that, Your
11 Honor.

12 JUDGE GUTHRIDGE That could answer a
13 lot of questions. Well, I've heard your argument
14 on why you think MTL assumed responsibility for
15 transporting the boats from Dubai to the United
16 States Where is the Shipping Act violation then?
17 Where do you contend the failure to comply with
18 41102(c) occurred?

19 MS TARASSOVA: It occurred at the time
20 that MTL took possession of the cargo and
21 (inaudible) with Mr. Solovyev by producing bogus
22 invoices for storage

1 JUDGE GUTHRIDGE: Wait what do you mean
2 by bogus invoices?

3 MS TARASSOVA: Invoices for storage
4 that were never agreed to. What happened was
5 timeline-wise by the time that these two boats
6 arrived back in the United States respondents also
7 had possession of the larger boat that never left
8 the United States It was originally going to go
9 to Dubai and then it continued to be in possession
10 of the respondents So what happened was when the
11 invoice came out for storage for \$39,000 00 that
12 was an invoice for the storage of the larger boat,
13 the Formula That apparently had been in their
14 possession for a year at that point. So they did
15 not release the smaller boats that had just
16 arrived back in the United States and come into
17 control and custody or possession of the
18 respondents because of the owed storage fees for
19 the larger boat But as time went on it seemed
20 that the two smaller boats also accumulated
21 storage fees that were never --

22 JUDGE GUTHRIDGE Okay. Let me clarify

1 something there for me The boats arrived back in
2 the United States. The 2011 Monterey and the 2008
3 Chaparral arrived in the United States?

4 MS. TARASSOVA: Yes.

5 JUDGE GUTHRIDGE: What notice did the
6 complainants have of that arrival?

7 MS. TARASSOVA: Your Honor, they did not
8 have notice of their arrival. What happened was
9 Mr. Safonov attempted to contact Mr. Solovyev
10 multiple times and I think at some point there
11 maybe was a phone call if I recall from Mr.
12 Safonov's deposition where Mr Solovyev had said
13 that the boats had arrived in I believe July 2014,
14 and when Mr. Safonov had requested that the boats
15 be released Mr Solovyev stopped communicating
16 with him By August 2014 when the complainants'
17 sent a demand to get all three boats back that is
18 when the invoice was issued So as far as an
19 official notice that, hey, your boats are here
20 there was none of that It was Mr. Safonov
21 contacting and trying to get in contact with Mr.
22 Solovyev and then finally Mr Solovyev letting him

1 know, I believe over the phone, that the boats had
2 arrived. And after that there was no more
3 communication until the invoice was issued for
4 storage.

5 JUDGE GUTHRIDGE: Okay. So what again
6 is your contention that would be the alleged
7 violation of 41102 C?

8 MS. TARASSOVA: MTL is alleging that
9 they gave the boats to Solovyev's other company,
10 World Express and Connection. So MTL failed to
11 number one give notice to the complainants' --
12 give official notice that the boats are ready to
13 be picked up, and number two instead of giving the
14 boats back to the complainants' they gave it to
15 World Express and Connection. And then MTL in
16 addition to that allegedly issued what looked like
17 paid invoices or receipts so they had been paying
18 World Express and Connection for the storage fees
19 which we believe are fraudulent, they are not
20 accurate I don't think there is any evidence
21 that Marine Transport and Logistic was able to
22 produce that shows that they actually paid World

1 Express and Connection for anything in relation to
2 those boats But we do have receipts that show
3 that they did So basically Marine Transport and
4 Logistic failed to give notice and release the
5 boats to their rightful owner

6 JUDGE GUTHRIDGE Okay But in so far
7 as it being a Shipping Act violation that is all
8 dependent at the very least on a finding that MTL
9 had assumed responsibility of the transportation
10 of the boats from Dubai to the United States,
11 isn't that correct? I'm not saying there might
12 not be other claims in other forms by complainants
13 against MTL, World Express and everybody else that
14 we've talked about today. But in so far as being
15 a Shipping Act violation which is what this
16 Commission has jurisdiction over, if MTL did not
17 assume responsibility for the transportation of
18 the cargo what jurisdiction does the Commission
19 have over the claim?

20 MS. TARASSOVA In addition to assuming
21 responsibility the only reason that MTL came into
22 custody, control and possession of the property is

1 because they were an NOVCC This is the only
2 reason why the complainants entrusted the property
3 is in connection with international shipping.
4 They would have no other reason to have control or
5 possession or custody over the complainants' cargo
6 if they were not assisting in the international
7 shipping of these goods. And they had a duty in
8 not only properly shipping them but also
9 safe-keeping them and storing them.

10 JUDGE GUTHRIDGE But if they did not
11 assume responsibility for the transportation of
12 the goods then they were not acting as a
13 non-vessel operating common carrier, as an ocean
14 transportation intermediary, on the transportation
15 of that cargo So they received it in some other
16 function it seems to me. Again, it is depending
17 on a finding on whether the evidence in the record
18 -- whether it is established by a preponderance of
19 the evidence that MTL assumed responsibility of
20 the transportation from Dubai to the United
21 States Just because their license is an NVOCC I
22 don't believe just because they have possession of

1 some cargo that came from overseas if they did not
2 transport it. If they did not assume
3 responsibility for the transportation of that then
4 they're holding it in some other function where it
5 may be the Federal Maritime Commission doesn't
6 have jurisdiction.

7 MS TARASSOVA I understand, Your
8 Honor.

9 JUDGE GUTHRIDGE: It is a knotty
10 question and I acknowledge that. But harking back
11 to something I said quite a while ago there seems
12 to be a lot of casualness about everything that
13 went on in this relationship and as long as
14 everything went right it was okay but when it goes
15 wrong then somebody has to figure out whether
16 there has been a violation in this case of the
17 Shipping Act and if so in this case who is
18 responsible You said something about
19 conversations between Safonov and Solovyev about
20 the boats Is there any documentary evidence in
21 the record about the complainants demanding
22 delivery of the 2011 Monterey and the 2008

1 Chaparral when they arrived back in the United
2 States?

3 MS. TARASSOVA Yes, I believe that is
4 covered in the emails that went back and forth let
5 me look. There were several emails that went back
6 and forth and Mr the eventually Mr Solovyev
7 stopped responding to the emails

8 JUDGE GUTHRIDGE: Where in the record?

9 MS. TARASSOVA So the emails begin at
10 CX 19 and goes through to the end where he finally
11 --

12 JUDGE GUTHRIDGE: Are these ones you
13 submitted English translations?

14 MS. TARASSOVA (Inaudible) Your Honor

15 COURT REPORTER. I'm sorry, what was
16 your response, Counsel?

17 JUDGE GUTHRIDGE. There was a
18 supplemental filing of a whole bunch of pages,
19 Complainants' appendix starting at 019 going
20 through I think it is every page up to 110 And
21 19 is the one she just referred to and there is an
22 English translation.

1 MR CHANG. If I could just interject
2 briefly. Maybe for the court reporter's benefit
3 when Ms. Tarassova was responding to the question
4 posed by Your Honor of whether or not English
5 translations were provided her microphone cut out
6 so her response wasn't actually heard from our end
7 and I assume for the court reporter's end either

8 COURT REPORTER: Thank you, Counsel

9 MS TARASSOVA The emails being at CX
10 19. It is series of emails from Mr. Safonov to Mr
11 Solovyev just between the two of them Your
12 Honor, I believe the question was is there
13 anything in writing where Mr. Safonov demands that
14 the boats are returned to him, is that the
15 question?

16 JUDGE GUTHRIDGE Yes

17 MS. TARASSOVA: So it is quite lengthy
18 There are a few emails where it is clear that Mr
19 Safonov starts panicking that Mr. Solovyev is not
20 responding and he does go on and ask -- and I just
21 want to see where they start because there is a
22 bunch of them.

1 JUDGE GUTHRIDGE: You started at 19 and
2 going for the next several pages?

3 MS. TARASSOVA: It is going to 19 all
4 the way through CX 111 The official --

5 JUDGE GUTHRIDGE Those are not all
6 emails, I know I've been through that There are
7 a lot of other things in there that are not
8 emails I'm talking about the demand for the
9 Monterey and the Chaparral after they got back to
10 the United States.

11 MS. TARASSOVA Yes, Your Honor The
12 reason why they're not all emails is because it is
13 actually emails and attachments to the emails.
14 They are in order of the email and whatever the
15 attachment of the email was that is the document
16 that goes after the individual emails

17 JUDGE GUTHRIDGE: Is that why there are
18 several copies of the same invoices and
19 everything?

20 MS. TARASSOVA: Yes, Your Honor They
21 are actually the attachments that would have been
22 attached to each particular email. Because they

1 were going back and forth and attaching various
2 invoices and attaching various certificates of
3 title and photographs. Finally, if we look at CX
4 74 that is where Crocus actually demands the boats
5 and it is in Russian at the top and then in
6 English at the bottom. That is an attachment that
7 would have been attached to CX 73. It is an email
8 that is the subject of Crocus Investments'
9 notification to Alek Solovyev. It is dated August
10 13, 2014 And then if you flip to CX 74 that was
11 the attachment that was in the email which is the
12 demand and then if you look on the bottom that is
13 in English. Basically Crocus wrote it in Russian
14 and in English and it says Aleksandr Solovyev
15 required urgently send me you bought three boats
16 Chaparral, Monterey, Formula by address or return
17 the money for these boats in the amount of
18 \$150,000 00. I regard your silence as unlawful
19 withholding of my property and qualify as fraud
20 signed Aleksandr Safonov Then there was another
21 email on CX 75 that was sent on August 13, 2014 --

22 JUDGE GUTHRIDGE: That was the date the

1 other one was, right?

2 MS TARASSOVA On CX 73 it was August
3 13 at 4:44 and CX 75 is August 13 at 4:30.

4 JUDGE GUTHRIDGE: So it is two emails 14
5 minutes apart with the same letter attached?

6 MS. TARASSOVA: It seems so. And then
7 it says subject line CX 75 is notification and
8 then CX 76 would have been the attachment to that
9 email that basically says pretty much the same
10 thing again Then there is an email CX 77 dated
11 August 19, 2014 where -- Crocus Investments'
12 notification is the subject line It says
13 Aleksandr Solovyev -- there is English translation
14 that's what I'm reading. I'm attaching copies of
15 the documents for the boats that were shipped from
16 Dubai by Middle East Asia Alpha to your company
17 MTL based on the agreement between partners
18 Bartcov, Oleg and Safonov, Aleksandr. I have the
19 last say in this company in case of not meeting of
20 lawful demands I will be forced to go through the
21 legal system in the USA And then he attaches the
22 certificate of title for the boats.

1 JUDGE GUTHRIDGE: I'm looking at your
2 translation that you just read I am attaching
3 copies of the documents for the boats that were
4 shipped from Dubai by Middle East Asia to your
5 company MTL. It doesn't say anything there at
6 least in this email on August 19, 2014 that Mr.
7 Safonov was thinking in terms of MTL transport
8 This indicates that MTL was the recipient shipped
9 by Middle East Asia by Mr. Safonov's company to
10 MTL Is the only document the certificate of
11 title?

12 MS TARASSOVA: That he attached to the
13 email?

14 JUDGE GUTHRIDGE The email refers to
15 documents for the boats that were shipped from
16 Dubai to Middle East Asia but the only documents I
17 see attached are the certificates of title

18 MS TARASSOVA Your Honor, I guess
19 that's all he knew to attach This is all he knew
20 to write and to attach I don't think we can look
21 at this one email and say it should have had all
22 the information in it. This is the only thing he

1 could think of and this man is obviously panicking
2 that he's lost all contact with the respondents
3 and they have his property They've been in
4 contact, good contact, throughout their
5 transaction and that's supported by the emails
6 prior starting at CX 19 Mr. Solovyev would
7 always respond, so I think that we can't look at
8 this email and say that Mr Safonov knew the
9 proper language to put in there but to answer your
10 question he definitely gave notice and requested
11 that his property be returned

12 JUDGE GUTHRIDGE But in so far as it
13 being a Shipping -- let's assume that MTL had the
14 boat which I think we know they did and maybe
15 perhaps should have turned them over to Safonov
16 I'm not sure where they would do that I don't
17 know if Mr Safonov said I've got somebody coming
18 around to pick them up or anything like that but
19 let's assume that it may very well only be a
20 Shipping Act violation if MTL transported the
21 cargo. If they were the recipient of cargo and
22 not involved in the transportation, then it

1 doesn't seem to me that the Shipping Act would
2 apply to them That's the problem I have to
3 answer.

4 MS TARASSOVA: It sounds like the
5 Court's issue is that there is not enough written
6 documentation on that issue and that is why I want
7 to suggest that Mr. Safonov is -- I want to
8 suggest that the Court inquire as to the relevant
9 information directly from Mr. Safonov in and
10 evidentiary hearing.

11 JUDGE GUTHRIDGE He put that in his
12 declaration. That came in and unless his
13 testimony is going to differ from his declaration
14 which in and of itself might be a problem then
15 what other evidence would he submit?

16 MS TARASSOVA. Well, I guess it would
17 be more in detail and the Court would be able to
18 ask him supplemental questions about how they
19 arranged the shipment and what MTL's involvement
20 is. The certification has general statements but
21 I don't know if it would assist the Court in
22 making this decision by asking specific questions

1 in regard to the arrangements and how it was done
2 because we do not have documentation. The reason
3 we don't have documentation is maybe the
4 complainants', like you said, did not think it was
5 important enough to keep everything organized and
6 keep a record of everything. It seems they did
7 throw these transactions together haphazardly but
8 at this point the complainants are alleging that
9 MTL and Solovyev were the ones that arranged the
10 shipment and they were responsible for everything.
11 Other than their testimony they don't have
12 documentation but they do have other
13 circumstantial evidence such as emails where Mr
14 Solovyev knew that the boats were being shipped
15 from Dubai and even though the emails are to other
16 entities that were not involved it still shows
17 that Mr. Solovyev knew He was in his signature
18 block the way he held himself out is some kind of
19 an extension of MTL. He was an agent for MTL in
20 his signature block in the email block so I think
21 circumstantial evidence does show that it is more
22 likely than not that MTL was aware of this

1 shipment and assisted the complainants with it

2 JUDGE GUTHRIDGE What other evidence
3 would you anticipate presenting? I would have
4 assumed after I sent out the inquiry for wanting
5 the documents and you responded with Mr Safonov's
6 statement that he would have put absolutely every
7 bit of information he had about this transaction
8 in there and would have put absolutely all the
9 emails that he had regarding the transportation
10 from Dubai back to the United States in the
11 original appendix That's where the documents,
12 the emails you just referred to about the alleged
13 arrangement by MTL or involvement in the
14 arrangement of that shipping by MTL, are
15 contained The burden of proof is on the
16 complainant here What other evidence would you
17 be telling me? If it is just Mr. Safonov coming
18 in and saying I really think this is the way it
19 happened with no evidence that really doesn't get
20 you very far.

21 MS TARASSOVA I'm referring to
22 specific detailed questions that he may be able to

1 answer better. I understand that he filed a
2 certification and it is accurate and it is sworn
3 so I'm just saying if the Court has additional
4 questions or details that it may need to consider
5 in regards to how this transaction was arranged he
6 would be able to better answer that. I don't know
7 what would help the Court My issue is that even
8 though he does not have or they do not have
9 documentation they can explain how it happened and
10 the Court can take into consideration everything,
11 the totality of the circumstances. If the Court
12 does not feel that additional information is
13 required from the complainants as far as testimony
14 is concerned, then I would just stand by what I
15 said originally which is if you look at everything
16 that we have so far it does indicate that MTL and
17 Mr. Solovyev were involved in this transportation
18 from Dubai to New Jersey.

19 JUDGE GUTHRIDGE: Okay We haven't
20 talked much yet about the Formula So let's talk
21 about the Formula boat. That was purchased on
22 August 7 it indicates at Complainants' Appendix

1 118 and purchase price and an extra \$3,500.00 is
2 listed at complainant's appendix 009 for delivery.
3 What was that delivery for, Ms. Tarassova?

4 MS. TARASSOVA. Your Honor, it is
5 unclear what that delivery is for because it does
6 not specifically state it in the invoice. I
7 understand that it is the respondents' position
8 that it was some kind of inland delivery from the
9 auto auction to MTL's warehouse. It is my
10 client's position that they understood that it was
11 for delivery to Dubai. But it is unclear as to
12 what specifically they meant by delivery. My
13 clients' know that they paid the invoice for the
14 cost of the boat and the cost of delivery. It
15 seems that the parties are not in agreement on
16 what --

17 JUDGE GUTHRIDGE Mr. Chang, what is
18 your position on that?

19 MR. CHANG Judge, if I could just have
20 two minutes I'm reading through Complainants'
21 Finding of Fact because I think this may have been
22 addressed there. As far as we - the respondents'

1 position is that was just for the inland movement
2 and delivery. There is another invoice actually
3 in the Complainants' Appendix where the cost for
4 freight is separately set out.

5 JUDGE GUTHRIDGE The \$12,000.00?

6 MR. CHANG Correct, and that
7 specifically identifies the loading and shipping
8 through Dubai. That is CX 031, I believe So to
9 the extent there is some confusion about what
10 delivery means I think the presence of this
11 additional \$12,000 00 charge indicates that -- it
12 does not mean the ocean carrier to Dubai.

13 JUDGE GUTHRIDGE: I see on page 31 a
14 receipt -- an invoice 1189 AT dated August 7,
15 2013 Boat cost \$56,280.00 delivery \$3,500.00
16 then loading shipping to Dubai \$12,000.00 and a
17 \$500 00 commission, \$500.00 documentation and
18 \$4,500.00 for the trailer. Do you see that, Ms
19 Tarassova?

20 MS TARASSOVA: Can you please cite the
21 page number again?

22 JUDGE GUTHRIDGE Complainants' Exhibit

1 31

2 MR. CHANG: Your Honor, there is also --
3 sorry go ahead, Ms. Tarassova.

4 MS TARASSOVA. Yes, Your Honor, this is
5 one of a number of invoices that went back and
6 forth between Mr. Solovyev and Mr Safonov. I
7 believe that then there is another invoice that
8 they actually paid There are multiple invoices
9 that were attached to these emails that were going
10 back and forth and I believe that they were trying
11 to decide what the price was, et cetera All I
12 know is that the complainants paid \$59,000 00 they
13 did not pay the 77 to 80 as this invoice

14 JUDGE GUTHRIDGE: Okay.

15 MR CHANG. Your Honor, there is also
16 Complainants' Exhibit 28 which is dated December
17 3, 2013 and that is a separate invoice that was
18 issued just reflecting the same amount of the
19 loading and shipping of \$12,000 00 plus commission
20 and documentation. I think the presence of this
21 latter invoice certainly supports the fact that
22 the \$12,000 00 is for loading and shipping in

1 ocean carriers to Dubai. On that note it was a
2 very large boat that had to be loaded on deck It
3 required special equipment so the \$12,000.00
4 shipping is not atypical.

5 JUDGE GUTHRIDGE: Were the other two
6 loaded into containers?

7 MR CHANG: That's correct, Your Honor.

8 JUDGE GUTHRIDGE: Let me tell you the
9 real problem -- the ultimate problem I have with
10 the Formula and Commission jurisdiction. That is
11 that the Formula never left the United States. It
12 was never involved in ocean transportation by
13 water from the United States to a foreign port.
14 It was transported from I think from something
15 about Brookhaven, New York to where, Brooklyn?

16 MR CHANG To the Port of New Jersey

17 JUDGE GUTHRIDGE And it never left the
18 country. So, Ms Tarassova, I don't know what
19 gives the Commission jurisdiction to do anything
20 about the Formula.

21 MS TARASSOVA Your Honor, the idea was
22 for MTL to ship the boat to Dubai and that is the

1 reason why the respondents had the boat in the
2 first place It is important to understand that
3 the reason that the complainants' -- Mr Solovyev
4 is because of his representation of his -- mainly
5 because he was able to ship goods internationally.
6 It was initially -- and there is emails that state
7 that basically the boat was supposed to go to
8 Dubai and it was contemplated that it would go to
9 Dubai and therefore it is our position that the
10 respondents had possession, custody or control
11 over the property because it was going to be
12 shipped internationally It never happened but
13 that was the intent and that is how the
14 respondents came into possession of it.

15 JUDGE GUTHRIDGE: Did the complainants
16 ever pay the \$12,000.00 payment for shipping to
17 Dubai? The loading, shipping to Dubai, and
18 \$500 00 commission, \$500.00 documentation?

19 MS TARASSOVA. Are you talking about
20 did the complainants pay for the invoice?

21 JUDGE GUTHRIDGE: Did the complaints pay
22 to ship the Formula to Dubai?

1 MS. TARASSOVA: We know that they paid
2 for a delivery. It is unclear what delivery they
3 paid for. It seems that there are additional
4 invoices that state that the actual delivery to
5 Dubai is higher. It is unclear as far as whatever
6 happened to those invoices because Mr Solovyev
7 and MTL never pursued those invoices What we
8 have here is one invoice with the delivery fee is
9 paid and the other one there are multiple invoices
10 and different variations for different deliveries
11 that were not paid, Your Honor

12 JUDGE GUTHRIDGE: Do you have any
13 evidence, Ms. Tarassova, that \$3500 00 was for
14 delivery to Dubai or anywhere other than delivery
15 to Port of New Jersey?

16 MR CHANG: That's correct, Judge

17 MS TARASSOVA: No, Your Honor, I do
18 not

19 JUDGE GUTHRIDGE Okay Then I know
20 there is deposition testimony from Mr. Safonov
21 that he began to suspect that Tretyakov, the
22 Middle East Asia employee in Dubai, and I have it

1 down here as a quote "started to become a crook."
2 That is at Respondent's Appendix 72, it is the
3 deposition of Safonov page 65 lines 3 to 6
4 Safonov decided he did not want to ship the
5 Formula to Dubai and consequently the Formula
6 never left the United States. Apparently, Ms.
7 Tarassova, the complainants never paid to have it
8 shipped overseas So I'm not sure where the
9 Commission has any jurisdiction at all. I'm not
10 saying that they're not claims that the
11 complainants have against the respondents, but I'm
12 just not sure that those claims are properly in
13 the Federal Maritime Commission

14 MS. TARASSOVA: Your Honor, I think
15 where jurisdiction stems is the respondents were
16 engaged in starting in the shipment of the
17 international That it was later canceled I don't
18 think matters because the respondents came into
19 possession of the boats because they were going to
20 ship the boats internationally So the problem is
21 when cargo goes into possession, control or
22 custody of an NVOCC in relation to international

1 shipment and then, for example, that shipment gets
2 canceled the NVOCC cannot have unjust practices
3 where they're just giving up the property to
4 somebody else. They still have responsibility to
5 return it to its rightful owner.

6 JUDGE GUTHRIDGE Are you talking about
7 the Formula?

8 MS TARASSOVA: I'm talking about the
9 Formula They have a responsibility that even if
10 the shipment is canceled to properly give the
11 property back or notify the rightful owners They
12 just can't give it to another company as MTL did,
13 they allegedly submitted it to World Express and
14 Connection, and then submitted invoices that
15 supported the fact that MTL paid for storage when
16 it is our position that they never did. But where
17 they violate the Shipping Act is when they were
18 engaged in the international shipment and then at
19 some point was canceled but they still owed a
20 duty

21 JUDGE GUTHRIDGE: Let me ask you this
22 The boats got to MTL or World Express -- I mean I

1 think I recall from the record that MTL does not
2 have a storage facility of its own, is that
3 correct, Mr Chang?

4 MR CHANG That is correct, Judge

5 JUDGE GUTHRIDGE And they use World
6 Express because it does have a cargo storage area
7 I think there is evidence in the record about
8 that

9 MR CHANG: Correct

10 MS. TARASSOVA And, Your Honor, it is
11 our contention that that is simply a way for Mr.
12 Solovyev to protect himself from any liability
13 It should be noted that World Express and
14 Connection is located at the same address of MTL.
15 MTL is if you look at their public website
16 advertises and has photographs of storage units
17 and places where they store containers and things
18 like that So even though that is their position
19 that they do not handle the storage portion of it
20 it certainly was a surprise to the complainants to
21 find out that in fact a different entity
22 technically stores the goods.

1 JUDGE GUTHRIDGE: The Formula got to MTL
2 in August 2013, correct?

3 MS TARASSOVA: Yes, Your Honor

4 JUDGE GUTHRIDGE: And was it being
5 contemplated that the Formula would be sent to
6 Dubai, is that correct?

7 MS. TARASSOVA Yes, Your Honor It was
8 contemplated all the way through December when the
9 second invoice for the trailer --

10 JUDGE GUTHRIDGE: That was my attorney
11 advisor that left the conference. I'm sorry, say
12 that again

13 MS TARASSOVA: Yes, it was contemplated
14 that the Formula be shipped to Dubai by MTL all
15 the way from August through December because there
16 are emails going back and forth in regards to
17 purchasing a trailer in order to ship it RO-RO and
18 that was -- the complainants paid for the trailer
19 in December 2013 So for six months there was a
20 plan was to eventually ship it to Dubai.

21 JUDGE GUTHRIDGE: August to December
22 would be four months is that what you're saying?

1 MS TARASSOVA: Yes, Your Honor

2 JUDGE GUTHRIDGE: Okay. So for that
3 period of time what efforts did -- let me back up
4 I saw reference in the exhibits to one that MTL or
5 Solovyev --

6 MS. DIKE: I'm sorry I got kicked out.
7 I apologize.

8 JUDGE GUTHRIDGE She's back That
9 somebody found a trailer in November that would
10 permit shipment RO-RO and that was rejected by
11 Safonov, is that correct?

12 MS TARASSOVA: Yes, I believe that
13 Solovyev was looking for a trailer and sending
14 Safonov photographs of the trailer and then
15 Safonov was to decide whether the trailer would be
16 something that would work for him and for the boat
17 or not So yes there was a rejection at some
18 point and then I believe they ended up finding a
19 trailer

20 JUDGE GUTHRIDGE Okay And then in
21 December they found a trailer I think is when that
22 was, is that correct?

1 MS. TARASSOVA: Yes, Your Honor.

2 JUDGE GUTHRIDGE: And that is December
3 2013 And then when was it they decided not to
4 ship the Formula to Dubai?

5 MS TARASSOVA: I believe there was an
6 email in February 2014 where Mr. Safonov says
7 something like -- I'm trying to identify where it
8 is but he said good thing we didn't get to ship it
9 to Dubai yet

10 JUDGE GUTHRIDGE: I think there was
11 something in his deposition about that.

12 MS. TARASSOVA I think so as well, yes

13 JUDGE GUTHRIDGE I'm not finding it in
14 my notes It raises -- and this is how this might
15 play out Let me ask you this, Ms. Tarassova, do
16 you think that the complainants did not owe
17 anything at all for storage for the Formula from
18 August to December or February whichever it is
19 that the final decision was made?

20 MS. TARASSOVA Your Honor, logically
21 speaking I think that they would owe something
22 If you look at the background, and this is in the

1 beginning of our conversation, you asked why the
2 other cars that Mr Solovyev sent over to Dubai
3 were relevant and that I say that it was for
4 purposes of the background of their business
5 relationship I believe the reason why the
6 respondents never issued any sort of invoices
7 during the time the boat was going to be shipped
8 to Dubai while they were looking for a trailer, et
9 cetera, so basically from August 2013 through
10 February 2014 is because they were also aware that
11 the complainants were doing something in their
12 benefit. So it just shows that obviously number
13 one no invoices were issued, there was no demand
14 for payment of storage, there was no agreement to
15 pay storage, the only thing that we have is MTL's
16 tariffs which are completely a different storage
17 fee then what was charged If you look at the
18 number of communications between Mr Solovyev and
19 Safonov there was no mentioned of storage fees
20 from August 2013 until August 2014. That is the
21 big problem here is these storage fees are
22 exorbitant and they came out of nowhere It is

1 very interesting that MTL claimed to have paid
2 World Express and Connection for storing the
3 Formula for an entire year if MTL had been paying
4 World Express and Connection for storage of the
5 Formula for an entire year why were the
6 complainants never notified?

7 JUDGE GUTHRIDGE Do you have a response
8 to that, Mr. Chang?

9 MR. CHANG Yes, Judge. I would just
10 like to make a quick comment about the MTL tariff
11 which was mentioned. MTL's tariff does have a
12 storage rate but it for shipments that are booked
13 for export with MTL and it is only for exports,
14 and as Your Honor pointed out with regard to the
15 Formula not only was no shipment ever booked, no
16 booking instructions were ever made, no booking
17 confirmation was ever generated and indeed no
18 payment for the ocean freight was ever made So
19 it wasn't an export shipment it was a boat that
20 was delivered to the Port of New Jersey It
21 seemed like Complainant, Mr. Safonov, was waffling
22 a little bit on what to do with this boat for

1 several months.

2 JUDGE GUTHRIDGE: Wait a minute let me
3 interrupt you there for a minute, Mr. Chang. The
4 tariff, and I've got it in front of me, it says
5 except as otherwise provided herein carrier
6 provides 30 calendar days' free storage prior for
7 vehicles, trucks and boats received for U S.
8 export shipments at its CFS/CY does that mean
9 container freight station? Container yard?

10 MR. CHANG: Yes.

11 JUDGE GUTHRIDGE As listed herein.
12 Beyond 30-day storage charges per day apply as
13 follows Well when the boat went to MTL which as
14 I understand that's where it went, is that
15 correct? From Copart when it came in from Copart
16 did it go to MTL?

17 MR CHANG: It went to the World Express
18 warehouse, Judge. They are both at the same lot
19 It is a lot that houses multiple companies. It is
20 not just the two companies operating out of the
21 same office It is a suite of offices I think
22 with regard to your question about the tariff it

1 is referring to property that is received by MTL
2 for U.S. export shipment 30 days' free time
3 contemplates cargo that is booked for shipment and
4 I think the Formula boat would not be included

5 JUDGE GUTHRIDGE Well, isn't it MTL
6 that was -- Ms Tarassova just said that MTL
7 charged for storage at some point. Did MTL not
8 issue any charges for storage?

9 MR CHANG: It did not, Your Honor. Ms.
10 Tarassova mentioned World Express invoiced MTL as
11 part of their commercial relationship as they are
12 two distinct companies. So World Express was
13 invoicing MTL but MTL was not invoicing any third
14 party.

15 JUDGE GUTHRIDGE: Where is the paperwork
16 in the record, Ms Tarassova, about -- that sort
17 of sets forth the chain of custody of the Formula
18 from the time it left Copart to the time it got to
19 where it is now?

20 MS. TARASSOVA: Your Honor, if we look
21 at CX 261 and flip through it is a number of
22 invoices from World Express and Connection to MTL

1 that are stamped as paid This is something that
2 was produced by the respondents basically showing
3 that MTL had been paying World Express and
4 Connection for the storage of the Formula boat
5 It looks like CX 261 is an invoice for February
6 14, 2014 in the amount of \$20,137.66 for 186 days
7 of storage.

8 JUDGE GUTHRIDGE: Good point, Mr. Chang.
9 If World Express was billing MTL for storage of
10 the Formula wouldn't that indicate when the
11 Formula got to the Port of New Jersey it was in
12 the custody of MTL as contemplating export?

13 MR. CHANG: Judge, I think as was
14 discussed earlier the practice between the parties
15 was for these boats to move overseas The
16 specific Formula for whatever reason Mr Safonov,
17 the complainant, elected to depart from the
18 standard practice. The boat was arranged for
19 delivery by Car Express through the warehouse.

20 JUDGE GUTHRIDGE: So for the first 30
21 days it was free or it should have been. It looks
22 here like on 261 like they actually charged for

1 the first 30 days

2 MR. CHANG. Had there been a booking for
3 export then there would have been 30 days' free
4 time as per the MTL tariff. So a shipment that
5 never gets booked for export there wouldn't be 30
6 days' free time because the free time is in
7 contemplation of the NVOCC earning on the ocean
8 freight. What seemed to happen in this case as a
9 result of commercial considerations overseas there
10 was never a need for an export and the
11 complainants were looking for free storage.

12 JUDGE GUTHRIDGE. So it is a question
13 then although it might have been in the
14 contemplation of everybody when the formula was
15 purchased and sent from Copart to the Port of New
16 Jersey why would you send it to a port if it was
17 not going to be shipped, if it wasn't contemplated
18 to be shipped The fact that it never was means
19 it was not actually received for export and
20 subject to the tariff, is that what you're saying?

21 MR. CHANG That's correct, Judge
22 Without instructions to ship, without payment to

1 ship, without a booking ever being made I don't
2 know that MTL would be in any position to act as a
3 carrier.

4 JUDGE GUTHRIDGE: We still have the fact
5 that whatever its function on that boat, on the
6 Formula, it never was transported It was never
7 transported by water from a port to a point in the
8 United States and a port or point in a foreign
9 country and so we get back to Commission
10 jurisdiction to do anything at all Ms.
11 Tarassova?

12 MS TARASSOVA: Yes?

13 JUDGE GUTHRIDGE What are your thoughts
14 on that? The other thing would be that if it was
15 not received for shipment overseas it would not be
16 subject to the tariff and even if it was subject
17 to the tariff at some point when it was decided
18 that it was no longer contemplated that it would
19 be shipped overseas why would the tariff still
20 apply for dates after that?

21 MS. TARASSOVA. Your Honor, the
22 respondents had a duty in the proper receiving,

1 handling, storing and delivering property. It is
2 our position that they were engaged in shipping
3 the boat overseas. It is our position that it was
4 their own delay in shipping it There was a
5 trailer issue as we mentioned that initially the
6 complainants paid for the trailer for it to be
7 shipped immediately. The respondents came back --

8 JUDGE GUTHRIDGE: Wait back up there.
9 Where does it indicate that the complainants paid
10 for the trailer for it to be shipped immediately?

11 MS TARASSOVA: Your Honor, we submitted
12 a printout of the bank wire transfer the
13 complainants submitted as proof of payment of
14 \$5,000.00 for which the complainants --

15 JUDGE GUTHRIDGE: Where in the record is
16 that?

17 MS TARASSOVA Give me just one second.
18 CX 114 is actually a deposit printout and the
19 complainants on August 13, 2013 wired \$5,000.00
20 and it has a reference number here That is what
21 the complainants are alleging that is the proof
22 that they paid the \$5,000 00 for the trailer. A

1 couple of days after they paid the \$59,780 00 for
2 that invoice for the cost of the boat and a
3 delivery charge which it is unclear what the
4 delivery charge was

5 MR CHANG: Judge --

6 JUDGE GUTHRIDGE: Yes, it was \$5,000.00
7 but a trailer was not actually purchased until
8 December, is that correct?

9 MS. TARASSOVA: According to Mr
10 Safonov's testimony is that Mr. Solovyev had
11 contacted him again around November and stated
12 that he needed the trailer in order to transport
13 the Formula and Mr Safonov having forgotten that
14 he already wired the \$5,000.00 ended up wiring
15 another \$4,950.00 on it looks like December 4,
16 2013 So initially it is the complainants'
17 position that they paid for the boat, paid some
18 type of a delivery charge and paid \$,5000.00 for
19 the trailer and waited for the boat to be shipped
20 and then realized the boat was not being shipped
21 because the trailer had not been purchased yet
22 Paid for trailer again under the impression that

1 the boat would be shipped and then at some point
2 cancelled the order I believe in February 2014.

3 JUDGE GUTHRIDGE: What links this
4 \$5,000 00 to a trailer? The 8/13 payment that you
5 just referenced what links that to a trailer? Are
6 these all payments to -- what links it to MTL?

7 MS. TARASSOVA Your Honor, that's all
8 the complainants have in order to prove that they
9 wired the \$5,000 00 I'm trying to look at Mr
10 Safonov's deposition transcript to see if he gives
11 clarification on that.

12 JUDGE GUTHRIDGE: I see a payment on the
13 9th the \$59,780.00 which lines up with the payment
14 for the boat and the delivery charge but then four
15 days later there is a \$5,000.00 payment but it
16 just says wired out 028409 but who did it go to?
17 What indicates who it went to?

18 MS TARASSOVA: That document does not
19 indicate who it goes to, Your Honor I believe it
20 was in Mr. Safonov's deposition transcript where
21 he described how that transaction occurred

22 MR CHANG. Judge, if I may I think a

1 lot of this goes to the question of really which
2 party was responsible for the delay and ultimate
3 non-shipment. I understand Counsel is pinning the
4 blame on respondents for this but I think the
5 documents that are in the appendix in the record,
6 certainly and deposition transcripts and the
7 correspondence, show that respondents were
8 requested to procure a trailer for the Formula. A
9 trailer was procured by November 2013 then Mr.
10 Safonov rejected that trailer A second trailer
11 was found by December 2013 but again for whatever
12 reason -- possibly because Mr Safonov's problems
13 with his Dubai company made the decision at that
14 point unilaterally not to ship it to Dubai There
15 was some correspondence in the record where he
16 indicates that he was glad that he never shipped
17 it to Dubai because that was a losing proposition
18 for him. So I don't see how Complainants can
19 really put any of the delay or the non- shipment
20 on Respondents especially when it seems like Mr
21 Safonov certainly by December 2013 no longer
22 wanted to ship it to Dubai and we all know that

1 ultimately he wanted it shipped not to Dubai but
2 to Florida MTL wouldn't be able to do that
3 shipment anyway. It would be an inland move from
4 New Jersey to Florida certainly not by ocean

5 JUDGE GUTHRIDGE: I was going to ask
6 does MTL engage in domestic shipments?

7 MR. CHANG: No. There is a letter CX 74
8 undated but Complainants represented to be some
9 sort of demand for MTL to ship the boats from New
10 Jersey to Florida and that is not something that
11 MTL itself does.

12 JUDGE GUTHRIDGE Does it require a
13 special license that it does not have or what is
14 the reason?

15 MR. CHANG: Certainly by water it
16 couldn't be done by MTL if it was traveling on
17 U.S. domestic waterways MTL itself doesn't own
18 any trucks to perform inland domestic moves It
19 would probably be subcontracted out to a trucker
20 designated by Complainant.

21 MS. TARASSOVA: Your Honor, I was able
22 to find in Mr Safonov's transcript at RX 72 it

1 looks like on page 62 line 21 Mr Safonov --

2 JUDGE GUTHRIDGE Hold on, wait a
3 minute. Let me find the right book.

4 MS TARASSOVA This is the respondents.
5 RX 72 this is the transcript, we're looking at
6 page 62 line 21 where Mr. Safonov was asked do
7 you remember paying for ocean freight for Formula
8 and he says yes from bank PNC Do you remember
9 when the payment was made? I have the bill or
10 statement at home but I don't remember precisely
11 but in summer in July and then it goes on to talk
12 about the specifics about what Mr. Safonov's
13 understanding was in shipping the boat. He goes
14 on to talk about Mr Solovyev stated that he
15 thought on line 13 page 63 I thought it would take
16 at least two months And the question is, so
17 approximately two months afterwards do you know if
18 the Formula was ever shipped from the U.S.?
19 Answer No, it was not shipped from the United
20 States question Question: By November 2013
21 after more than two months had passed did you ask
22 anybody why the Formula had not been shipped?

1 Answer No, I didn't ask because I knew that I
2 was aware of what happened The question: Okay,
3 by December 2013 were you concerned that the
4 Formula had not arrived in Dubai yet? Answer.
5 No, I was not concerned that it didn't make it
6 because initially we were trying to agree on the
7 shipping cost of the Formula 24 boat So Solovyev
8 was supposedly trying to find proper shipping
9 container because it was big and we knew that
10 because Formula boat is bigger and is more than 24
11 feet so there is no shipping container as is to
12 put it in. The size of boat has to be mounted or
13 somehow on the deck of the ship lower deck.
14 Solovyev, in order to have it shipped on the deck
15 of the ship it has to be installed on that
16 trailer Solovyev was looking or trying to find
17 that size of a trailer so the boat could fit
18 Also I asked him to find a car or truck actually
19 that would be capable of towing the trailer with
20 this boat Question: Do you remember when you
21 asked Mr Solovyev to find such a trailer?
22 Answer. Initially he offered some trailer that he

1 found in November but I didn't like that trailer.

2 Question: Did you eventually agree on a trailer

3 with Mr Solovyev? Answer Yes, in December he

4 sent me picture good or proper trailer I think

5 it is suitable and I paid for that trailer.

6 Question Did you contact or communicate with Mr.

7 Solovyev at that time to instruct him to ship the

8 boat to Middle East? Answer: No, I did not

9 continue that because at that time I noticed that

10 his friend Andrey Trecyacov started to become a

11 crook or crooked activities stealing, hiding. I

12 noticed that so at that point I decided I don't

13 want to deal with the crooks so I instructed him

14 to ship the boat to Miami So it looks like in

15 December is when he canceled the shipment to

16 Dubai But throughout the time it is evident from

17 Mr. Safonov's statements that he was under the

18 impression that Mr. Solovyev was putting efforts

19 into shipping the boat overseas

20 MR CHANG I disagree with that

21 characterization based on the transcript. The

22 final question and answer that was read indicated

1 that Mr Safonov had at no time instructed Mr
2 Solovyev to ship the boat to the Middle East The
3 transcript testimony that was just read only
4 reflects the efforts by Mr Solovyev to procure a
5 trailer and that's it

6 JUDGE GUTHRIDGE Okay, be that all as
7 it may, it may very well be that the Commission
8 doesn't have any jurisdiction over the Formula or
9 what happened to the Formula because it was never
10 shipped internationally. It was received by MTL
11 at some point or by somebody and it goes back
12 maybe to sort of the casual way in which both
13 parties treated this, their whole relationship
14 But where Complainant has to prove by a
15 preponderance of evidence a violation of the
16 Shipping Act it has to be --

17 MS TARASSOVA Your Honor, if I may --

18 JUDGE GUTHRIDGE: Let me finish It has
19 to involve transportation by water and it has to
20 involve and international shipment and the Formula
21 was never shipped internationally That is the
22 sticking point I have on the Formula

1 MS TARASSOVA If I may respond to
2 that.

3 JUDGE GUTHRIDGE: Sure.

4 MS TARASSOVA 46 U.S.C. 41102 (c)
5 which is titled Practices and Handling Property
6 states that a common carrier, marine terminal
7 operator, ocean transportation intermediary may
8 not fail to establish, observe and enforce just
9 and reasonable regulations and practices relating
10 to, connected with, receiving, handling, storing
11 or delivering property. So it is obvious that if
12 it never made it overseas -- I mean if it never
13 made it overseas does not mean that the
14 respondents do not have a duty to establish
15 reasonable practices in receiving, handling and
16 storing the boats. There are four separate duties
17 under the statute so delivering the property is
18 just one of them But receiving, handling and
19 storing are three other ones

20 JUDGE GUTHRIDGE What was not
21 reasonable about what they did?

22 MS. TARASSOVA They submitted the

1 property --

2 JUDGE GUTHRIDGE. Assuming MTL had
3 assumed control of the property even if it had not
4 shipped it overseas

5 MS. TARASSOVA Right, it seems what MTL
6 did was they gave possession over to World Express
7 and Connection and allowed --

8 JUDGE GUTHRIDGE: That assumes that MTL
9 had assumed control of the boat to being with. I
10 guess what would -- with the other boats that were
11 shipped and let's say the 2008 Chaparral and the
12 2011 Monterey the parties basically we're talking
13 here about Safonov and Solovyev went on the
14 internet, had this deal Safonov said I want to
15 buy this boat, Solovyev would handle the purchase
16 of the boat through his Car Express company and at
17 some point acting as agent as I understand it for
18 MTL the transportation would be arranged. So did
19 MTL have any responsibility for the Monterey
20 before the creation of the contract of carriage or
21 until that point was the custody of the boat of
22 the 2011 Monterey in either Car Express or one of

1 Solovyev's other companies and did not go to MTL
2 until there was actually an arrangement of
3 transportation. I think for what you're saying,
4 Ms Tarassova, there is a presumption that once
5 the purchase was made from Copart and the boat
6 started its winding its way from -- I think it was
7 stated that it was purchased in Brookhaven, New
8 York -- that MTL assumed custody somehow or other
9 at that point, but did it? It may not -- and it
10 is the same with the Formula. Until there is an
11 actual agreement to transport the cargo by water
12 to a foreign port then had MTL a separate company
13 actually assumed any responsibility at all for the
14 Monterey or did it ever assume responsibility for
15 the Formula?

16 MS. TARASSOVA For the Formula, yes,
17 Your Honor, and it is evidenced by the invoices
18 that MTL purports to have paid to World Express
19 for the Formula.

20 JUDGE GUTHRIDGE: That's true yes

21 MS TARASSOVA So what we have here is
22 MTL is purporting to have paid World Express over

1 \$40,000.00 from the time the boat was purchased
2 So I cannot see it any other way Why would MTL
3 take the responsibility and make payments for this
4 Formula. Why would MTL that was not -- if we look
5 at the respondents' position that they were not
6 engaged in any kind of shipment activity that they
7 haven't booked anything or didn't even had it in
8 their system why would MTL pay World Express over
9 \$40,000.00 in storing the boat if it was not
10 responsible for it? That is my issue. I mean we
11 have invoices that are stamped paid

12 JUDGE GUTHRIDGE Response, Mr Chang?

13 MR. CHANG: This question was actually
14 posed at the deposition of Ms. Alla Solovyev on
15 behalf of MTL The answer is that it was simply
16 part of their commercial relationship where these
17 invoices would be sent by World Express to MTL for
18 goods that were for lack of a better word passed
19 along through MTL. I think the real question here
20 as far as Shipping Act jurisdiction is whether MTL
21 was acting as a common carrier Whether it was an
22 NVOCC or an OTI, and in order to do so MTL would

1 have had to assume responsibility from either port
2 to port or port to point and that is the
3 responsibility that is governed by their bill of
4 lading or their contract of carriage. I think in
5 this situation certainly when there is no bill of
6 lading that ever issued Complainants can't say
7 that MTL assumed responsibility for an ocean move.

8 JUDGE GUTHRIDGE. But we do have the
9 situation where the NVOCC did unarguably as
10 evidence by its paying the storage fees. Some
11 responsibility for the boat and had it in its
12 custody and how does that does that affect -- I
13 appreciate the fact that the Commission can only
14 operate where it has jurisdiction and generally
15 that does require the contract of carriage, the
16 bill of lading having been issued Some agreement
17 to actually transport it Here we have sort of an
18 Inco aid agreement to transport it The question
19 is whether that inchoate agreement and of course
20 conduct with at least two other boats and maybe a
21 whole bunch of others so it adds a wrinkle to
22 that. I don't know. I'm going to have to think

1 about this

2 MR CHANG. Judge, I really think we're
3 looking at two questions and the first question
4 which might answer your question to me is whether
5 or not a warehouse, let's say for World Express in
6 this example, has responsibility for the storage
7 and I think the answer obviously is yes. But that
8 responsibility isn't Shipping Act responsibility
9 or carrier responsibility but simply the
10 responsibility of a warehouse that was hired for
11 storage

12 JUDGE GUTHRIDGE You're talking about
13 World Express and what Ms. Tarassova is talking
14 about is the fact that MTL appears to have paid
15 those storage fees Why did MTL think it had an
16 obligation to pay storage fees if it wasn't
17 somehow responsible for the boat?

18 MR. CHANG. I think the answer really is
19 that it was part of the practice and the
20 relationship between MTL and World Express. When
21 World Express would generate these invoices MTL
22 would pay them sort of as a matter of course

1 because they do have a working relationship.

2 JUDGE GUTHRIDGE So because of a course
3 of conduct between World Express and MTL is this
4 what you're saying, that MTL sort of paid them
5 without thinking or what? I don't know why an
6 NVOCC would be paying storage fees for a boat for
7 which it does not believe it has any
8 responsibility, that is hasn't somehow received in
9 contemplation of transporting overseas Whether
10 even having done that whether that puts it within
11 Commission jurisdiction I don't know

12 MR. CHANG Well, Judge, I wouldn't say
13 without thinking but the process we were told is
14 automated. It perhaps was an oversight by someone
15 in the payment department having received an
16 invoice to just assume it was paid. That I don't
17 have a clear answer for you, Judge, but we do
18 disagree that having paid these invoices to the
19 warehouse somehow brings MTL within the purview of
20 the Shipping Act.

21 JUDGE GUTHRIDGE For the Formula?

22 MR CHANG: For the Formula, yes And

1 with regard to the other two boats where it was
2 acting as a consignee only and we think whatever
3 circumstantial evidence Complainants are relying
4 upon show that MTL arranged for the carriage is
5 pretty thin at best and at worst we think there
6 may be some misrepresentation by Mr. Safonov
7 Certainly at odds with the documents and
8 correspondence in the record.

9 JUDGE GUTHRIDGE: As part of the record
10 is the District of New Jersey case World Express
11 and Connection vs. Crocus Investments, Crocus
12 FZE, Safonov and Middle East Asia Is that for
13 the storage fees for the Formula?

14 MR CHANG Yes, Judge It is the
15 outstanding storage and other charges for the
16 Formula and all three boats We brought it in a
17 different form because it has sort of a
18 contractual maybe common law tort dispute

19 JUDGE GUTHRIDGE: I understand there is
20 District Court jurisdiction over disputes like
21 that but why was it filing suit if it had already
22 been paid by MTL?

1 MR. CHANG: There were payments on some
2 of the storage charges but not all and not all the
3 customs charges either Some charges were paid by
4 MTL first with later reimbursement by other
5 parties but I hope that answers your question.

6 JUDGE GUTHRIDGE: I guess the question
7 would then become if MTL was paying -- paid some
8 of the fees and then stopped paying the storage
9 fees why didn't World Express sue MTL for them?
10 By their course of conduct MTL had sort of assumed
11 responsibility for them I know World Express is
12 not your client, MTL is your client

13 MR. CHANG. In this context I think we
14 can speak for both and I think the answer to that
15 is just because of their close knit commercial
16 relationship. World Express is a warehouse that
17 is located by MTL or at the same lot which MTL
18 uses as their preferred container freight station
19 So it didn't make sense to pursue MTL when a
20 demand has been made for these boats by
21 Complainant, Mr. Safonov, and as part of that
22 demand Safonov would be obligated to pay the

1 storage to World Express Had it been the other
2 way around and no demand had materialized by Mr.
3 Safonov and World Express was stuck with three
4 boats that had no ties to anybody then perhaps we
5 may be speaking of a different lawsuit.

6 JUDGE GUTHRIDGE: Okay I think I've
7 got some thinking to do about this case but so I
8 think we're going to adjourn pretty soon but
9 before we do, Ms. Tarassova, would you like to
10 wrap up your position?

11 MS. TARASSOVA: Sure, Your Honor. To
12 wrap up our position we just want to state that if
13 it wasn't for the respondents' position
14 specifically for MTL's position as a Non-Vessel
15 Operating Common Carrier and its ability to
16 provide international shipping services to the
17 complainants the respondents would never have come
18 into possession of the complainants' property. As
19 far as the Monterey and the Chaparral it is the
20 complainants' position that Solovyev as he had
21 prior had assisted the shipment of the two boats
22 from Dubai back to the United States just as he

1 has arranged all the shipments of the other boats
2 from the United States to Dubai Mr Solovyev was
3 very well versed in international shipment in the
4 field of international shipping The complainants
5 relied on Mr Solovyev to assist them in that and
6 were not proficient in that area. That is
7 evidenced by Mr. Safonov's email to Mr Solovyev
8 and asking him to assist him and Solovyev
9 acquiescing and attempting to get several quotes
10 from various carriers in order to ship the boats
11 from Dubai to New Jersey. Even though we do not
12 have any documentation that would connect Mr
13 Solovyev for MTL into actually arranging the
14 shipment that actually did occur from Dubai to New
15 Jersey we do have evidence of MTL assuming
16 responsibility for the cargo when it arrived
17 paying the duties and the Customs' fees and taking
18 possession of the boats, submitting them to World
19 Express and Connection storage company which is
20 owned by Solovyev and MTL continuing paying for
21 the storage of all three boats. With regard to
22 the Formula it was, again, came into possession of

1 the respondents in connection with MTL's position
2 as an NVOCC There was contemplation from the
3 very beginning that the boat be shipped overseas
4 to Dubai It is supported by the record with Mr
5 Safonov in his deposition testimony explaining how
6 Mr. Solovyev was explaining that the boat would
7 need to be shipped in a specific way and he was
8 attempting to figure out how but the entire time
9 from August 2013 to approximately December 2013
10 when Mr. Safonov cancelled the order it was
11 contemplated that the boat would be shipped to
12 Dubai. It is also supported by the invoices where
13 MTL took responsibility for paying for the Formula
14 storage fees to World Express and Connection 46
15 U.S.C. 41102 ' (c) states that the NVOCC is
16 responsible for setting up just and reasonable
17 practices in connection with not only delivering
18 the property overseas but receiving, handling and
19 storing the property. That is something that the
20 NVOCC needs to be responsible for because it is
21 assumed that when the property is submitted to a
22 carrier the carrier needs to handle the property

1 in a respectful manner What we have here is the
2 respondents came into possession of the
3 complainants' property and instead submitted it to
4 another company and now these three boats that are
5 worth over \$100,000.00 are just sitting in the lot
6 and accumulating storage fees it resulted in a
7 lawsuit being filed against the complainants for
8 over \$100,000.00 and MTL should have sent the
9 appropriate notices They should have notified
10 the complainants that storage fees would be
11 accumulating and the amount of such storage fees
12 and they should have allowed the complainants a
13 reasonable opportunity to retrieve their property
14 back It is our position that the respondents did
15 violate the Shipping Act and if it wasn't for
16 their position as international shippers they
17 would never have come into custody of the
18 complainants' property.

19 JUDGE GUTHRIDGE: Okay, thank you Mr.
20 Chang?

21 MR CHANG: Yes, Judge I guess, first in
22 regard to the 2010 Formula boat I think the record

1 is clear that MTL was never engaged as a
2 Non-Vessel Operating Common Carrier. Certainly a
3 shipment was never booked with MTL, ocean freight
4 was never paid, no booking or shipping
5 documentation was ever generated and even it had
6 been generated it would have been for a port to
7 port move which has been a practice between the
8 parties Under those circumstances we don't see
9 that MTL is really, again, within the purview of
10 the Shipping Act nor would MTL be liable as an
11 NVOCC for any of its actions. I think aside from
12 that there is also a causation question with
13 regard to any alleged violation of the Shipping
14 Act and Counsel just mentioned that allegedly
15 because of the Shipping Act violations
16 Complainants had been damaged when I think the
17 facts are pretty clear that the complainants had
18 been damaged because of their refusal to pay
19 storage It is not a question of whether MTL as an
20 NVOCC or as a warehouse or whatever role
21 mistreated the cargo or failed to take proper care
22 of the cargo it is simply a question of who is

1 responsible for paying for over a year of storage
2 of the Formula. Complainants' position which we
3 think is unreasonable is that somehow respondents
4 are responsible for paying this storage. With
5 regard to the other two boats and those are the
6 2008 Chaparral and the 2011 Monterey, we think,
7 again, the record is pretty clear if not
8 undisputed that both boats were shipped by a
9 different ocean carrier. Again, that is American
10 President Line. And MTL certainly has no role in
11 any of the documents in having engaged in
12 arranging for this transportation To the
13 contrary MTL is listed only as the consignee which
14 is the recipient of the cargo They're not listed
15 as the shipper, they're not listed as the
16 forwarding agent, there is no documentation or
17 correspondence that ties MTL to arranging for this
18 move. To the contrary the emails that were
19 provided by Complainant show pretty clearly that
20 Mr Solovyev's limited involvement was in
21 obtaining two freight quotes with Hapag-Lloyd and
22 with Mediterranean Shipping Company These two

1 freight quotes were disregarded by Middle East
2 Asia. Under that circumstance we don't see how
3 simply being a consignee or being a warehouse
4 again implicates the Shipping Act or any Shipping
5 Act violation.

6 Even under complainants' theory, again, it
7 is not that the cargo was treated unreasonably or that
8 proper care wasn't taken of the cargo in storage.
9 Complainants' only real complaint is that Complainants
10 feel they shouldn't be liable for storage or customs
11 charges or any import charges. We don't think there
12 is any legal grounds for that either.

13 So on a final note and as we mentioned
14 earlier there is a real question about the
15 credibility or weight of some of these documents
16 that were submitted. There are multiple letters
17 that are undated

18 It seems that every time a critical or
19 material letter is involved it is not sent by
20 email which is the practice of the parties but on
21 this separate letter attachment sometimes with
22 multiple English and Russian translations written

1 thereon doesn't compose with practice either. I
2 think it is well established that Complainants
3 filed an original complaint which they alleged
4 that MTL had never shipped any of the three boats
5 in what we assume was an attempt to bring in the
6 Shipping Act and of course that fact has
7 subsequently or has always been known to be
8 untrue

9 Just recently Complainant submitted the
10 certification where they make references to some
11 sort of conversation or agreement by Mr. Solovyev
12 and MTL for the import return shipment of the two
13 boats and those allegations are contradicted by
14 the correspondence as well So it really -- to us
15 there seems to be a question about what evidence
16 should be considered by the Commission in terms of
17 deciding this case.

18 JUDGE GUTHRIDGE Ms Tarassova, do you
19 have any rebuttal to any of that limited solely to
20 Mr Chang's argument and responding to his
21 argument?

22 MS TARASSOVA: Your Honor, I mean I

1 think that the documents speak for themselves. I
2 think the Commission should take care in reviewing
3 all of the email communications that were
4 submitted. I think it is very clear as to their
5 credibility and I think that obviously we could
6 raise the same issue as far as the credibility of
7 the respondents' invoices for example, but I think
8 the totality of the evidence shows a clear picture
9 and I think that it supports the complainants'
10 position that the respondents are in violation of
11 the Shipping Act and they did take responsibility
12 for these boats and their actions show that they
13 continue to take responsibility for the boats by
14 making certain payments or at least alleging to
15 make certain payments on behalf of the
16 complainants for the storage of the property

17 JUDGE GUTHRIDGE: Okay, well thank you
18 Counsel It is a case like none other I've had
19 here It raises some peculiar problems I do
20 appreciate you taking the time to call in and
21 thank you for your argument. We can go off the
22 record.

1 (Whereupon, at 5:30 p.m , the
2 HEARING was adjourned)

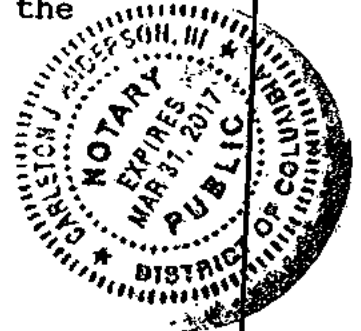
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1 CERTIFICATE OF NOTARY PUBLIC

2 DISTRICT OF COLUMBIA

3 I, Carleton J. Anderson, III, notary
4 public in and for the District of Columbia, do
5 hereby certify that the forgoing PROCEEDING was
6 duly recorded and thereafter reduced to print under
7 my direction; that the witnesses were sworn to tell
8 the truth under penalty of perjury; that said
9 transcript is a true record of the testimony given
10 by witnesses; that I am neither counsel for,
11 related to, nor employed by any of the parties to
12 the action in which this proceeding was called;
13 and, furthermore, that I am not a relative or
14 employee of any attorney or counsel employed by the
15 parties hereto, nor financially or otherwise
16 interested in the outcome of this action.



17
18
19 (Signature and Seal on File)

20 C. J. Anderson

21 Notary Public, in and for the District of Columbia

22 My Commission Expires: March 31, 2017

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APPENDIX “7”



UNITED ARAB EMIRATES
Federal Customs Authority
DUBAI CUSTOMS

الإمارات العربية المتحدة
الهيئة الاتحادية للجمارك
جمارك دبي

Consignee Claim Copy



PORT TYPE SEA		DEC TYPE IMPORT		DEC DATE 05/06/2013		DEC NO. 105-00739428-13	
4 نوع المنفذ		3 نوع البيان		2 تاريخ البيان		1 رقم البيان	
Customs Declaration Import for Re Export to Local from ROW							
NET WEIGHT 7 الوزن الصافي		CONSIGNEE / EXPORTER AE-2015742 - MIDDLE EAST ASIA ALFA FZC (I - 34239)		6 المستورد / المصدر		5 رقم إذن التسليم	
GROSS WEIGHT 5330 (kg)		INTERCESSOR CO. AE-1000181 - MAERSK KANOO (UAE) LLC		9 الشركة الوسيطة		8 الناقل / القبطان / السائق	
MEASUREMENT 13 القياس		COMMERCIAL REG. No. 11767		12 رقم السجل التجاري		11 اسم الناقل	
NO. OF PACKAGES 2 - UNIT		EXPORT TO		15 المصدر إليه		14 رقم الرحلة	
MARKS & NUMBERS NM		PORT OF LOADING NEWARK APT/NEW YORK		18 ميناء الشحن		17 رقم البوليصا / المناقصة	
		PORT OF DISCHARGE JEBEL ALI		20 ميناء التفريغ		B/L - AWB No. / MANIFEST 560010878	
		DESTINATION		21 جهة المقصد			
31 إجمالي الرسوم TOTAL DUTY AED درهم		30 نوع الإيراد INCOME TYPE		29 فئة الرسم DUTY RATE		28 القيمة بالعملة المحلية CIF LOCAL VALUE AED درهم	
1047.18		INS		5.0		20943.56	
1998.31		INS		5.0		39966.20	
27 السعر RATE		26 النوع TYPE		25 القيمة بالعملة الأجنبية CIF FOREIGN VALUE		24 بلد المنشأ ORIGIN	
3.6930		USD		4755.00		US	
3.6930		USD		9855.00		US	
23 وصف البضاعة GOODS DESCRIPTION		22 بند التعريف H.S. CODE					
1 USED CHAPPAREL BOAT W		89039910					
1 USED MONTEREY BOAT W		89039920					
EXEMPTION OF DUTY الإعفاءات		WEIGHT الوزن		CLASSIFICATION الصف		PACKAGES الطرد	
44 المستفيد BENEFICIARY		37 القائم GROSS		35 وحدة UNIT		33 النوع TYPE	
43 المصدر SOURCES		36 الصافي NET		34 الكمية QTY.		32 الكمية QTY.	
42 الرمز CODE		5330 kg		u		2	
CUSTOMS RESTRICTIONS القيود الجمركية		41 مرجع الفسخ RELEASE REF.		40 الجهة AGENCY			
AED درهم		DUTY الرسوم		CLEARING AGENT المخلص الجمركي		INSPECTION المعاينة	
TOTAL DUTY		56 الرسوم الجمركية		AE-1059294		REASONS FOR NOT RELEASING أسباب عدم الفسخ	
HANDLING		57 رسوم المناولة		AEC CARGO SERVICES L.L.C		Container Nos: MSKU4805380	
STORAGE		58 رسوم الأرصيات		LICENCE No. 632243		INSPECTOR المعاين	
OTHER CHARGES		59 رسوم أخرى		39 رقم الرخصة		GROUP SUPERVISOR رئيس المجموعة	
DEFINITE		110 إجمالي الرسوم				OTHER REMARKS ملاحظات أخرى	
INSURED		3045 تأمين				[FOB] FRT: 6351.96 INS: 603.07 Total Value: 53954.73	
PAYMENT METHOD طريقة الدفع		62		TRANSIT التراخيص		DATE تاريخه	
GUARANTEE/CHEQUE ضمان / شيك		63		ROUTE خط السير		SECURITY OFFICER موظف أمن	
RGPO 3045.00 [2263895] EP-3668194 رقم		64		EXIT PORT مركز الخروج		TRANSIT OFFICER مراقب التراخيص	
RGCH 100.00 EP-3668194				EXIT TRANSACTION NO. قيد الخروج		RELEASE DATE تاريخ الفسخ	
KDCH 10.00 EP-3668194				DATE تاريخه		05/06/2013	
DATE تاريخه		65		DATE تاريخه			
BANK بنك		66		DATE تاريخه			
RECEIPT NO. رقم إيصال الدفع		67		DATE تاريخه			
DATE تاريخه		68		DATE تاريخه			
BANK بنك		69		DATE تاريخه			

APPENDIX “8”

TRUCKS

For Valuation Please refer to Clause 7 (D) on Reverse Side

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** FREIGHT PREPAID **
***** APL COPY *****
** NON-NEGOTIABLE **
*** APL COPY ***
** NON-NEGOTIABLE **

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A part of the system of this bill of lading is hereby
 issued by the Carrier. Upon surrender to the Carrier of any
 bill of lading and taking receipt of the goods thereon
APPRO. PRESENTED.
TIN200-810-872-000

APL 020188407

RX 05

APPENDIX “9”

FEDERAL MARITIME COMMISSION

DOCKET NO.: 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

v.

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

CERTIFICATION OF ALEXANDER SAFONOV

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by mailing and emailing a copy to the persons listed below:

Stephen H. Vengrow
Eric Chang
Montgomery, McCracken,
Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022

Dated: April 22, 2016

s/Louiza Tarassova

Louiza Tarassova, Esq.
Attorney for Complainants
Florida Bar Number: 96149
The Law Office of Louiza Tarassova, P.A.
1420 Lake Baldwin Lane Unit A
Orlando, FL 32814
Telephone: (407) 622-1885
Fax: (407) 536-5041
E-Mail: louiza@mylawadvocate.com
Secondary E-Mail: service@mylawadvocate.com

COMPLAINANTS' RESPONSE TO SUPPLEMENT THE RECORD

COME NOW, Complainants, Crocus Investments, LLC and Crocus, FZE and file this Response to Supplement the Record in response to the Order to Supplement the Record served on Complainants on April 12, 2016.

The Order requests that parties file any additional documentation in relation to the "transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States...on or before April 22, 2016."

The following documents within the Complainants' Appendix also relate to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States:

1. CX 058-CX 059 – Emails between Alex Solovyev and Emirates Logistics regarding the shipment of boats from Dubai to the United States.

The following documents are a supplement to Complainants' Appendix relating to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States:

2. Certification of Alexander Safonov dated April 21, 2016 (See Attached.)

FEDERAL MARITIME COMMISSION

DOCKET NO.: 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE

v.

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

COMPLAINANTS' RESPONSE TO SUPPLEMENT THE RECORD

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Stephen H. Vengrow
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Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022

Dated: April 22, 2016

s/Louiza Tarassova

Louiza Tarassova, Esq.
Attorney for Complainants
Florida Bar Number: 96149
The Law Office of Louiza Tarassova, P.A.
1420 Lake Baldwin Lane Unit A
Orlando, FL 32814
Telephone: (407) 622-1885
Fax: (407) 536-5041
E-Mail: louiza@mylawadvocate.com
Secondary E-Mail: service@mylawadvocate.com

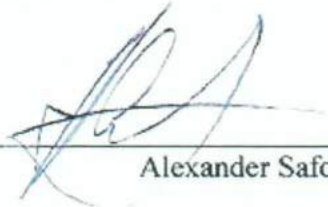
CERTIFICATION OF ALEXANDER SAFONOV

Alexander Safonov, pursuant to 28 U.S.C. § 1746, making the following
Certification under penalty of perjury, in lieu of an oath or affidavit says:

1. I am the President and Owner of a corporation known as Crocus Investments ("Crocus"), a party to this action.
2. I am also an owner of a foreign corporation known as Middle East Asia Alfa, FZC, a non-party to this action.
3. On or about April 1, 2014 I told my assistant, Andrey Tretiukov, to arrange delivery of two boats 2008 CHAPARRAL 190 SSI and 2011 MONTEREY 204 (collectively hereinafter "the boats") to the USA.
4. My assistant found two companies that can deliver the boats for approximately \$4,000.00, but then he received a better offer for the same delivery from Aleksandr Solovyev for \$1,500.00.
5. I agreed to the proposal made by Alexander Solovyev with the understanding that Marine Transport Logistics, Inc. (hereinafter "MTL") will arrange for the shipment of the boats from Dubai, UAE and the boats will be picked up and held by MTL in the USA.
6. Solovyev and I agreed to discuss the details of routing the boats within the US later, upon their arrival.
7. The boats were shipped from Dubai on May 30, 2014.
8. Solovyev stopped communicating with me.
9. On August 13, 2014 Solovyev sent a demand letter via email to pay fees for storage of the boats and customs fees which he alleged MTL paid for the boats.

10. I subsequently found out that the boats were delivered to MTL's address at 63 Hook Road, Bayonne, NJ 07002 and Solovyev and MTL now claim that the boats are in possession or custody of World Express & Connection, Inc., a company owned by Soloveyev's.

Executed on April 21, 2016



Alexander Safonov

APPENDIX “10”

ROYAL FINANCE GROUP, INC

1040 SEMINOLE DR APT 1460
FORT LAUDERDALE, 33304

CX 107
Invoice

Date	Invoice #
8/13/2014	6642134

Bill To
CROCUS INVESTMENTS 1091 N HIATUS RD, PEMBROKE PINES, FL 33026, USA

P O No	Terms	Project

Quantity	Description	Rate	Amount
1	PORT FEE CONTAINER#TRLU6642134	750.00	750 00
1	CUSTOM CLEARANCE	1,200.00	1,200.00
1	DELIVERY&UNLOADING/DOCUMENTATION/TRACKING/RETURN EMTY BACK	1,250 00	1,250 00
2	DELIVERY TO THE STORAGE LOT/PUT TOGETHER TRAILER& BOAT	350.00	700 00
32	STORAGE 2008 CHAPARRAL BOAT V#38D808	25.00	800.00
32	STORAGE 2011 MONTEREY BOAT V#931011	25.00	800 00
		Total	\$5,500 00

APPENDIX “11”



New York State Department of Motor Vehicles

SALVAGE CERTIFICATE

For a 1973 or Newer Motor Vehicle



OTHER JURISDICTIONS: Do not accept this certificate as proof of ownership for registration or titling purposes unless the vehicle and its major component parts meet your requirements concerning the bearer's right to possess them.

THIS DOCUMENT IS VOID IF ALTERED OR ERASED (Please type or print entries with ballpoint pen.)

1. VEHICLE DESCRIPTION • ENTER VEHICLE IDENTIFICATION NUMBER EXACTLY AS IT APPEARS ON PROOF OF OWNERSHIP

VEHICLE IDENTIFICATION NUMBER (Please start at first digit space)				YEAR	MAKE	MODEL
TWND7870C1010				2010	FORMULA	34 PC
WHEEL	CYLINDERS	MAX GROSS WEIGHT	STATE	PRIOR TITLE DOCUMENT NUMBER	BODY TYPE	COLOR
			NY		FIBERGLASS	WHITE

2. VEHICLE CONDITION • THIS MUST ALWAYS BE COMPLETED - CHECK ALL BOXES THAT APPLY

☐ Vehicle Identification plate missing, altered or defaced	☐ Major component part or parts missing or damaged:	☐ Air bag missing or damaged:	☐ Driver	☐ Passenger
☐ Flood damage	☐ Engine	☐ Driver side impact	☐ Passenger side impact	
☐ Rear clip	☐ Transmission	☐ Driver side curtain	☐ Passenger side curtain	
☐ Corv	☐ Frame	☐ Other Specialty		
☐ Head	☐ Front End Off			
	☐ None			

3. VEHICLE ACQUISITION

SALVAGE VEHICLE ACQUIRED BY		DATE OF ACQUISITION (Month/Day/Year)	
NAME (Use Corporation Name if Applicable)		04/27/2015	
VW PARTS, INC.			
ADDRESS (Number and Street)		ONLY BUSINESS REGISTRATION, CERTIFICATE OR ID NUMBER	
717 WAGNER ROAD		7061430	
CITY		INSURANCE CO. CODE	
FLEISCHMANN, NY 12430			
TELEPHONE NUMBER		STOCK NUMBER OR INSURANCE NUMBER	
FORMER OWNER OF VEHICLE			
NAME			
TRAVELERS INDEMNITY CO			
ADDRESS (Number (including Apt. No.) and Street)			
1983 MONTAUK HIGHWAY BROOKHAVEN NY 11719			
CITY			
STATE			
ZIP CODE			
PREVIOUS PROOF OF OWNERSHIP			
☐ NYS CERTIFICATE OF TITLE - DOC. NO.			
☐ OUT-OF-STATE TITLE - DOC. NO.			
☐ NYS SALVAGE CERTIFICATE - CERT. NO.			
☐ OUT-OF-STATE SALVAGE CERTIFICATE - CERTIFICATE NO.			
☐ OTHER			
INSURANCE COMPANY USE ONLY			
CHECK ONE BOX ONLY ☐ STOLEN - NOT RECOVERED ☐ RECOVERED STOLEN - INTACT ☐ RECOVERED STOLEN - STRIPPED ☐ TOTAL LOSS			
INCLUDE EITHER AN APPRAISAL OR TWO PHOTOS OF VEHICLE FROM DIFFERENT ANGLES WITH ONLY COPY (COPY 2) UNLESS VEHICLE IS STOLEN - NOT RECOVERED			

4. LIEN INFORMATION - List all liens for which a lien satisfaction has not been received. If liens are subsequently satisfied, send form MV-901, Notice of Release and Lien, to person to whom the vehicle was transferred.

NAME OF LIENHOLDER		NAME OF LIENHOLDER	
NONE		NONE	
ADDRESS (Number and Street)		ADDRESS (Number and Street)	
CITY	STATE	ZIP CODE	CITY
			STATE
			ZIP CODE

5. VEHICLE DISPOSITION/ODOMETER DISCLOSURE REQUIREMENTS - Federal and state law requires that you state the mileage upon transfer of ownership. Failure to do so, or not telling the truth about mileage, may result in fines and/or imprisonment. This form will be returned to you if this section is not completed.

CHECK ONE BOX:		☐ TRANSFERRED TO (COMPLETE ALL INFORMATION BELOW & SIGN WHERE INDICATED)	
☐ TRANSFERRED TO BE DISASSEMBLED FOR PARTS (SEE INSTRUCTIONS ON THE BACK)			
☐ TRANSFERRED TO BE SCRAPPED OR DESTROYED (SEE INSTRUCTIONS ON THE BACK)			
NAME OF PURCHASER (Use Corp. Address if Applicable)		PURCHASER'S ONLY BUSINESS REG. CERT. OR ID NO. IF APPLICABLE	
CAR EXPRESS & IMPORT INC		04/28/15	
ADDRESS OF PURCHASER (Street, City, State, Zip Code)			
63 NEW HOOK RD BAYONNE NJ 07002			
ODOMETER DISCLOSURE STATEMENT		MILES (No Tens)	
I, the seller, certify that to the best of my knowledge, this vehicle's odometer reads as follows and (check the box which applies)		NA	
☐ Relates to Actual Mileage		☐ Exceeds Mechanical Limits	
☐ Does Not Show the Actual Mileage - Warning: Odometer Discrepancy			
PRINT NAME OF PURCHASER		PRINT NAME OF SELLER	
Alexander Schuyler		WILLIAM HATZMAN	
SIGNATURE OF PURCHASER		SIGNATURE OF SELLER (Not to be signed until transfer of vehicle information is complete)	
[Signature]		[Signature]	

LIEN RELEASED ONLY - I hereby certify, Section 1224(2)(b) of the Vehicle and Traffic Law, that I have notified the prior owner and lien in accordance with the law.

RESP 027